

ANNUAL REPORT

AND
FINANCIAL
STATEMENTS

2023

 **Safaricom**

NAVIGATING THIS REPORT

We use icons to help readers navigate our report and recognise key elements.

Our stakeholders

-  Government and regulators
-  Suppliers and business partners
-  Customers
-  Communities
-  Investors and shareholders
-  Media
-  Employees

Material matters

-  Our platforms
-  Governance, business ethics and risk
-  Environmental stewardship
-  Our regulatory environment
-  Innovation and partnerships

UN SDGs

-  **SDG 3** Good health and well-being
-  **SDG 10** Reduced inequalities
-  **SDG 4** Quality education
-  **SDG 12** Responsible consumption and production
-  **SDG 7** Affordable and clean energy
-  **SDG 16** Peace, justice and strong institutions
-  **SDG 8** Decent work and economic growth
-  **SDG 17** Partnerships for the Goals
-  **SDG 9** Industry, innovation and infrastructure

Six capitals

-  Financial capital
-  Intellectual capital
-  Manufactured capital
-  Social and relationship capital
-  Human capital
-  Natural capital

Quick navigation tools

The top navigation on the page provides quick links to sections within the report. The Safaricom logo at the top left links to the report's contents page.

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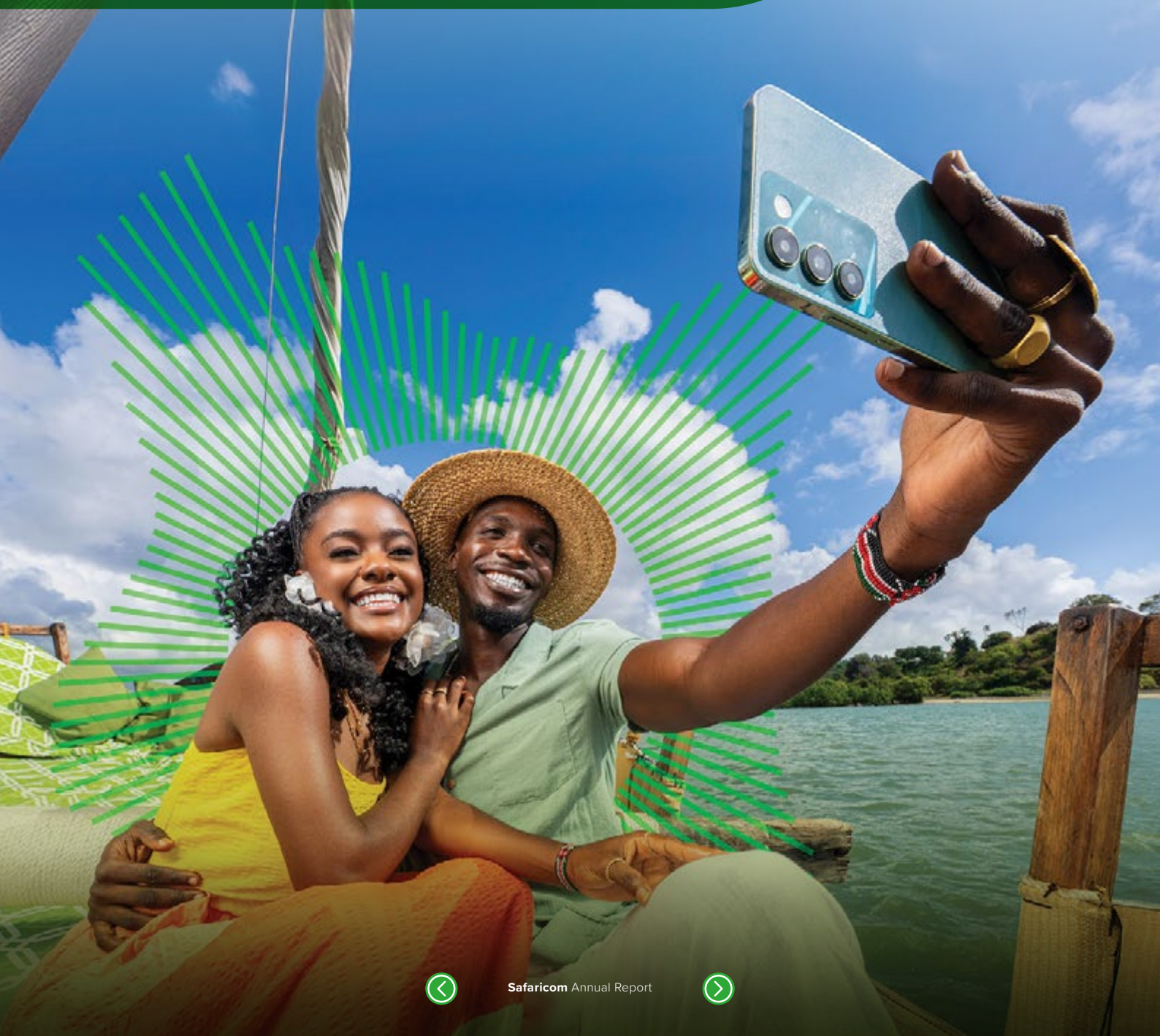
This report is best viewed in Adobe Acrobat for desktop, mobile or tablet.

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INTRODUCTION

This report marks 25 years of Safaricom's service and impact, reflecting on the journey to transform the lives of our customers, partners, employees and communities. Building on this legacy, we continued connecting people and businesses, enabling opportunity, and making everyday moments easier. We invite you to read this report to gain further insight into Safaricom's investments, innovations, outcomes, performance and prospects.



ABOUT THIS REPORT

Welcome to our Annual Report, which documents our exciting and transformative journey as Safaricom PLC Group (the Group). We exit FY26 as a strong, resilient and ambitious group, deliberately accelerating our transition into becoming Africa's leading, purpose-led technology company by 2030, anchored by a robust Kenya core business and a stabilising Ethiopia growth engine.

Reporting purpose, scope and boundary

This Annual Report is the primary report through which Safaricom PLC (Safaricom or the Company) and our subsidiaries (together, the Group) communicate with stakeholders. The report takes a Group view of our operations in Kenya and Ethiopia, with the latter's strategic importance, scale, and role in the Group's overall value creation story increasing.

We report on the financial year from 1 April 2025 to 31 March 2026 (FY26 or the year). The information in this report is intended for our capital providers while keeping a broader stakeholder audience in mind. It includes our governance statement, the full, audited Annual Financial Statements, and the Notice and Agenda of the 2026 Annual General Meeting.

This Annual Report has been prepared to provide a concise, balanced and decision-useful view of Safaricom's ability to create value over the short, medium and long term. It provides an assessment of our performance in relation to the Safaricom PLC Group strategy, business model, and operating context, while presenting stakeholders with a clear sense of our prospects and plans.

The preparation of the report followed a structured internal process that included management input, targeted interviews, content submissions from business units and functions, internal reviews, and governance oversight. This process was intended to support the integrity, relevance and connectivity of the information presented across the report.

More detailed information in the following categories is available on our website:

Financial results and reporting, including our results presentations and booklets

<https://www.safaricom.co.ke/investor-relations-landing/reports/financial-report/financial-results>

Sustainable business, including information about the Safaricom and M-PESA Foundations

<https://www.safaricom.co.ke/about/sustainability/sustainable-business-reports>

<https://www.safaricom.co.ke/about/community-impact>

Governance, including policies and leadership profiles

<https://www.safaricom.co.ke/about/who-we-are/our-governance-policies>

<https://www.safaricom.co.ke/about/who-we-are/leadership>

Our integrated reporting boundary considers risks, opportunities and outcomes for all stakeholders across our value chain

Financial reporting boundary

SAFARICOM PLC

Subsidiaries

Associates and
joint ventures

Safaricom
Foundation

M-PESA FOUNDATION

Read more about the Safaricom PLC Group structure on page 14.

Comparability and reliability of information

For FY26, we refined the structure and presentation of our Annual Report to achieve a concise, Group-oriented view. Our reporting continues to evolve in line with reporting best practice and stakeholder feedback.

All data is reported on a comparable basis, and no events during FY26 up to the date of approval of this report resulted in restatements, any material change to key indicators or their definitions.

We are committed to transparent reporting that helps investors understand what changed, why it matters, and what comes next.

For this report, Safaricom defines future periods as:

Short-term

Less than 12 months

Medium-term

Three years

Long-term

Longer than three years

Reporting frameworks and standards

The preparation of this report was informed by applicable local and international requirements, including:

- The Integrated Reporting Framework
- IFRS® Accounting Standards (IFRS Accounting Standards)
- Capital Markets Authority (CMA) Guidelines
- Nairobi Securities Exchange (NSE) Listings Requirements
- Nairobi Securities Exchange (NSE) Environmental, Social, and Governance (ESG) Manual
- Code of Corporate Governance for Issuers of Securities to the Public (2015), issued under the Capital Markets Act
- The United Nations Sustainable Development Goals (UN SDGs or SDGs)

Our materiality approach and process

Safaricom's material matters are informed by the materiality assessment conducted in 2021, which considered the operating context, stakeholder perspectives, leadership input, and the ESG-related risks and opportunities most relevant to the business.

These matters continue to guide our reporting by focusing disclosure on the topics that could substantively affect our ability to create, preserve or erode value over time. They also support strategic planning, resource allocation and decision-making by providing a structured view of the risks and opportunities most relevant to Safaricom's long-term performance and impact.

In the next financial year, we will conduct a double materiality assessment to reassess our material topics and determine whether any updates are required. This process will consider both the financial effects of sustainability-related risks and opportunities on the business, and Safaricom's impacts on the economy, environment and society. The double materiality assessment will also assist in the transition to IFRS Accounting Standards mandatory sustainability reporting by 2027 in Kenya. Read more about our material matters on page 40.

Assurance for our report

Assurance over this Annual Report is provided through a combination of governance oversight, internal and external assurance:

- The Board of Directors, supported by its Committees, oversees the integrity of the Group's reporting and the effectiveness of the control environment
- The Board Audit Committee, Risk, Environmental, Social and Governance Committee, and Human Resources Committee together with the Nominations Committee, where relevant, provide oversight on matters within their mandates
- Internal audit assesses the effectiveness of financial, operating, compliance and risk management controls
- External assurance is provided on the Safaricom PLC Group's Annual Financial Statements by the External Auditors, Ernst & Young LLP¹

Directors' statement of responsibility

The Board has a statutory duty to provide oversight in promoting the business success of the Group for the benefit of its stakeholders. In fulfilling this duty, the Board has due regard for the long-term implications and consequences of its decisions, as well as the legitimate interests of all the Group's stakeholders and the impact of our operations on the community and the environment. The Board acknowledges its overall responsibility for good corporate governance across the Group and ensures that the Group's governance policies and mechanisms are appropriate to its structure, business and risks.

The Board is committed to the highest standards of corporate governance and ensures compliance with applicable laws, regulations and governance requirements, in line with the Companies Act 2015, the Capital Markets Authority Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015 (The Code), and other relevant legal obligations.

The Board has established internal procedures and monitoring systems to promote compliance with applicable laws, regulations and standards, and is supported by qualified legal and compliance professionals.

¹ The Independent Auditor's report is available in the Annual Financial Statements from page 144.

Approval statement

The Board has applied its collective mind to the contents of this report and believes that it fairly represents the Group's material matters and that it offers a balanced view of our strategy, business model, financial and non-financial activities and value creation. On the recommendation of the Board Audit Committee, the Risk, Environmental, Social and Governance Committee, the Nominations Committee and the Human Resources Committee, the Board approved the Safaricom PLC Consolidated Audited Financial Statements on 6 May 2026.

Signed on behalf of the Board¹

Adil Arshed Khawaja (MGH)

Chairman and Non-Executive Director

Dr. Peter Ndegwa (CBS)

Group Chief Executive Officer (CEO)

Forward-looking statement

This report contains certain forward-looking statements in respect of our strategy, performance and operations, and refers to certain global, regional and domestic political, social and or macro-economic conditions. By nature, these forward-looking statements involve risk and uncertainty as they relate to future events and circumstances which are difficult to predict, and therefore beyond our control. The conditions described could thus cause our actual results, performance or achievements to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements.

¹ The Board member profiles are available from page 96.

We value your feedback on this report as we endeavour to improve our disclosures.

**FEEDBACK
REQUEST**

We invite you to contact the investor relations team at investorrelations@safaricom.co.ke.





Celebrating 25 years of Transforming Lives

Safaricom's 25-year journey is a story of connection, resilience and shared growth. Over the years, we have evolved alongside the people and communities we serve, helping to unlock opportunity through technology, innovation and connectivity. We will continue to strive to be a force for good and a catalyst for progress in the markets we operate in. This celebration is a moment to reflect on how far we have come, and to reaffirm our commitment to creating lasting value in the years ahead.

Safaricom Kenya celebrated its 25th anniversary on 23 October 2025. We marked this milestone by sharing and highlighting our growth and a transformative journey from a mobile operator to a leading technology company in the region with over 50 million customers.

To celebrate this milestone, our Safaricom@25 campaign was designed to reflect our enduring role in enabling progress for individuals, businesses and communities. At its core, the campaign reinforced a simple promise:



We offer value



We care



We delight and transform communities

Bringing the 25-year story to life

The campaign was executed through three integrated thematic pillars:

#1

Championing Kenyans

Celebrating innovation, inclusion, empowerment and everyday moments enabled by connectivity

#2

Citizens of the future

Shaping a generation ready to build a brighter Kenya by renovating/building 500 schools, empowering 56,000 teachers, digitising learning and inspiring students

#3

National promotion

Leveraging the milestone to act as a catalyst to drive customer and market engagement and powering our competitive advantage

CAMPAIGN IMPACT

- o **4.7 million** customers rewarded
- o **36.4 million** customer delights offered
- o **25** millionaires awarded
- o **25** community projects funded
- o Enhanced engagement with **1 million** Lipa na M-PESA and **1.87 million** Pochi merchants
- o **50 micro, small and medium** enterprises rewarded
- o **15** corporate social responsibility projects supported
- o **50** community radio stations supported

This multi-dimensional approach ensured that our celebration was not only retrospective but also forward-looking, linking Safaricom's legacy to its Vision 2030 ambitions.

The insights and lessons learned from this campaign, particularly around customer engagement and ecosystem expansion, will inform Safaricom's approach as we accelerate delivery against our Vision 2030 Strategy.

Our Citizens of the Future programme

Launched in November 2025 as part of Safaricom's @25 celebrations, the Citizens of the Future programme is a forward-looking education and skills development initiative. It builds on decades of investment by the Safaricom and M-PESA Foundations to expand access to quality education, strengthen school infrastructure, support digital learning and equip young people with future-ready skills.

Over the next five years, the programme aims to reach:

- 6 million targeted beneficiaries
- 20 million indirect beneficiaries
- 500 schools

Senior secondary school scholarships: 261 scholars from all 47 counties were onboarded under Cohort I (January 2026) towards a 750-scholar target by 2030, achieving 51% female representation and ~9% inclusion of vulnerable groups, with a 90-school national placement footprint.

M-PESA Foundation Academy: 149 additional scholars were onboarded, scaling total enrolment to 487 (+44%), with 626 beneficiaries in tertiary education, reinforcing a strong end-to-end talent pipeline.

School upgrading: 47 schools completed nationwide upgrades, directly benefiting 35,000 learners and 1,500+ teachers, through comprehensive infrastructure upgrades including classrooms, labs, sanitation, and ICT-enabled learning environments (towards a 500-school target by 2030).

TVET (Wezesha Vijana): Delivered a fully integrated technical and vocational education and training (TVET) model with 400 scholars onboarded (11 counties) under the University of Embu pathway (target 1,200 by 2030), seven university infrastructure partnerships initiated, two Vocational Training Colleges upgraded (610 capacity), and 350 youth trained in FY25/26 contributing to 688 total reached, 77% completion (532) and 44% transition to jobs/enterprise (304) supported by 103 business groups and 56 grants.

Digital skills: Initial rollout reached eight Teacher Training Colleges and 18,600 beneficiaries, but the programme is currently on hold and under redesign to optimise delivery approach for future impact.

Bar Anding'o Comprehensive School (Kisumu County)

Before



After



Maram Primary School (Homabay County)

Before



After



We are on a mission to build better schools, power up digital learning, and unlock opportunities for the Citizens of the Future.

FY26 AT A GLANCE

Our performance for the year reflects continued progress as we transform into Africa's leading purpose-led technology company by 2030. Our results were driven by Group-level thinking in strategy, capital allocation and risk management.

Financial performance

	Service revenue	Earnings before interest and tax	Net income
Safaricom PLC Group**	KShs 414.1 billion (FY25: KShs 371.4 billion) +11.5% ●	KShs 146.3 billion (FY25: KShs 104.1 billion) +40.6% ●	KShs 95.6* billion (FY25: KShs 69.8 billion) +37.0% ●
Safaricom Kenya	KShs 400.8 billion (FY25: KShs 364.3 billion) +10.0% ●	KShs 182.3 billion (FY25: KShs 158.1 billion) +15.3% ●	KShs 119.1 billion (FY25: KShs 95.5 billion) +24.7% ●
Safaricom Ethiopia**	KShs 14.1 billion (FY25: KShs 7.5 billion) +86.6% ●	KShs (37.7) billion (FY25: KShs (54.2) billion) +30.4% ●	KShs (25.2)* billion (FY25: KShs (25.7) billion) +2.0% ●

* Net income excluding minority interest.

** Numbers include IAS 29.

Commercial delivery and impact

Customers	M-PESA	Network	People
71.56 million total 90-day active customers (Group) (FY25: 57.08 million) +25.4% ●	43.69 million total 90-day active customers (Group) (FY25: 37.03 million) +18.0% ●	11,080 4G sites (Group) (FY25: 10,078 4G sites) +9.9% ●	49.5% women in the workforce (Group) (FY25: 49%) +0.5% ●
41.97 million 90-day active data customers (Group) (FY25: 35.97 million) +16.7% ●	3.2 million one-month active merchants (Group) (FY25: 1.86 million) +72.0% ●	3,504 sites (59% own- built, 41% collocated) (Ethiopia) (FY25: 3,141: 55% own built, 45% collocated) +11.6% ●	230 tonnes of network e-waste generated and recycled (Kenya) (FY25: 190.75 tonnes e-waste. None reported for Ethiopia in FY25 tonnes) +20.6% ●
5.32 GB per mobile data user (Group) (FY25: 4.52 GB) +17.8% ●	46.86 billion transactions (Group) (FY25: 37.27 million) +25.7% ●	97.9% 4G population coverage (Kenya) (FY25: 97.9%) 0.0% ●	KShs 6.8 billion invested through Safaricom and M-PESA Foundations (FY25: KShs 8.9 billion) -23.6% ●

*Our journey of Transforming Lives continues,
supported by a strong performance trajectory.*

● Positive/creating value
● Neutral/preserving value
● Negative/eroding value

MESSAGE FROM THE CHAIRMAN



Our priority remains creating sustainable long-term value through disciplined execution, responsible innovation and inclusive growth across the markets and the communities we serve.

Stewarding Safaricom through a defining year

As Safaricom marked 25 years of Transforming Lives in 2025, we reflect on the progress achieved over the past quarter-century and reaffirm the role Safaricom continues to play in enabling inclusive growth, strengthening digital participation, and supporting socioeconomic development across Kenya and Ethiopia.

The Board acknowledges the leadership of the Safaricom management team and employees in guiding the business through a strong year of performance. Their collective focus supported continued commercial momentum across the business, with service revenue surpassing KShs 414 billion and net income, excluding minority interest, reaching close to KShs 100 billion. We also continued to expand our scale and reach, growing our customer base to more than 72 million customers across Kenya and Ethiopia.

Safaricom's journey to this point has been a truly remarkable story of growth and resilience, reflecting the strength of our strategy and the dedication of our people. Kenya delivered a third consecutive year of double-digit growth, while Ethiopia continued building momentum towards Earnings Before Interest, Tax, Depreciation and Amortisation (EBITDA) breakeven in FY27.

We have sustained strong growth in service revenue driven primarily by M-PESA and mobile data, while maintaining profitability despite the continued start-up losses from our investment in Ethiopia, where we are beginning to see the benefits of scale with narrowing losses. This balance of growth and investment discipline is exactly what the Board expects at this stage of our journey.

The achievements recorded during the year under review support Safaricom's continued ability to create value for shareholders. We recorded an interim dividend of KShs 0.85 per ordinary share (FY25: KShs 0.55), amounting to KShs 34.06 billion, which was declared and paid.

The proposed final dividend of KShs 1.15 per ordinary share (FY25: KShs 0.65), amounting to KShs 46.08 billion, will be submitted for approval at the Annual General Meeting (AGM) on 31 July 2026. This brings the total dividend for FY26 to KShs 2.00 per ordinary share (FY25: KShs 1.20), amounting to KShs 80.13 billion. These are not just metrics; they represent the trust that we have earned, the resilience demonstrated, and the lives that we have transformed. Read more about our financial performance in the CFO report from page 85.

Safaricom's role in society

Safaricom plays an important role in Kenya's digital and financial ecosystem through connectivity, financial inclusion and digital public infrastructure. The outcome of the last True Value assessment also indicated that Safaricom contributed 5% of Kenya's Gross Domestic Product (GDP) and supported over 1.3 million jobs across its broader ecosystem.

Alongside this contribution, we are strengthening our core services. In addition, we are supporting the development of long-term digital growth platforms, including digital identity solutions, wallet-as-a-service capabilities, digital public infrastructure and sector-specific digital solutions across health, education and agriculture.

Safaricom Ethiopia is playing an increasingly transformative societal role by actively driving digital inclusion and economic empowerment. Since entering this market, we are deepening access to reliable 4G connectivity, effectively narrowing the digital divide between urban centres and underserved rural communities.

Through M-PESA, we have been able to provide integrated financial solutions to millions of previously unbanked citizens, fostering local entrepreneurship. Beyond providing connectivity, Safaricom Ethiopia plays an important role as an engine for economic participation and job creation, supporting thousands of livelihoods across its growing ecosystem of local distributors, agents and technology partners.

From the elderly person in Kakamega County receiving social support through M-PESA to communities in Wajir County accessing 4G connectivity for the very first time to young Kenyans benefiting from our Citizens of the Future education programme, this is the true measure of Safaricom's impact, and this is something that the Board is immensely proud of.

Transforming Lives through the Foundations

Through the Safaricom and M-PESA Foundations, we continue to support impactful programmes in education, healthcare, environmental conservation, economic empowerment, livelihoods and humanitarian response, bringing our purpose to life beyond commercial operations.

Over the past five years, the Foundations achieved the following impact:

- o **Education:** KShs 17.41 billion invested, reaching 2.61 million beneficiaries
- o **Health:** KShs 3.14 billion invested, reaching 11.85 million beneficiaries
- o **Environment, conservation, water and livelihoods:** KShs 1.46 billion invested, reaching 1.92 million beneficiaries
- o **Humanitarian response and other programmes:** KShs 820.19 million invested, reaching 284,700 beneficiaries

Most importantly, more than 4.4 million lives were directly impacted through Foundation initiatives in FY26.

Shareholding structure update

On 30 June 2026, Vodafone Kenya Limited completed the acquisition of an additional 15% shareholding in Safaricom PLC from the Government of Kenya, increasing its shareholding to 55%. Concurrently, the internal reorganisation of Vodafone Kenya was completed, resulting in Vodacom Group Limited becoming the majority shareholder of Vodafone Kenya Limited. Following completion of the transaction, the government of Kenya retains a 20% shareholding while public investors continue to hold 25% of the company's issued share capital. Safaricom remains listed on the Nairobi Securities Exchange and continues to operate as a Kenyan-incorporated and regulated company, subject to all applicable laws, regulations and licensing requirements.

The completion of the Vodacom transaction marks an important milestone for Safaricom and further strengthens our strategic relationship within the Vodacom Group. The transaction enhances our ability to leverage broader scale, deeper expertise and regional capabilities, supporting the execution of our long-term growth strategy and strengthening our position as a leading technology company in the region.

Governance and Board stewardship

Safaricom continues to benefit from a stable, diverse and highly committed Board, supported by well-functioning Committees that enable effective oversight and delivery against the Board Charter. While there were no changes to the composition of the Board during the year, the Board Committees were reconstituted with effect from 1 August 2025 to ensure an optimal balance of skills, experience and diversity across the governance structure.

FY26 represented the first year of Safaricom's new five-year strategic cycle under our Vision 2030 Strategy. Governance oversight focused on disciplined execution of strategy, balanced growth in Kenya, sustainable scaling in Ethiopia, and embedding purpose across the business to support long-term value creation.

Turning to Ethiopia, we continue to make steady and meaningful progress. Regulatory developments and especially the management of interconnection and infrastructure sharing by the Ethiopian Communications Authority are improving transparency within the market. The pricing rationalisation implemented in December 2025 was an important step towards aligning pricing with the cost of service delivery and supporting continued investment in network expansion. With network coverage now exceeding 50% alongside continued customer growth, Ethiopia is becoming an increasingly important part of the Group. During the year, our focus was on scaling the business responsibly while managing risk as we progress towards our target of achieving EBITDA break-even in FY27. We continue to focus on building a sustainable business and establishing a strong foundation for long-term value creation.

The Board was also focused on ensuring that purpose is embedded across the business to ensure long-term value.

Advancing Safaricom's TechCo ambition

We continue to operate in a complex and evolving global environment characterised by geopolitical uncertainty, inflationary pressures, currency volatility and changing consumer dynamics, all of which continue to impact on the cost of doing business and customer affordability. In this context, the Board has been particularly encouraged by management's response.

The focus was clear – protect customer value and affordability, improve precision and pricing segmentation, and continue innovating in products and digital services. At the same time, competition, particularly in fintech and digital services, continues to intensify. Our approach remains deliberate and disciplined: protect the core, innovate at the edge, and consistently deliver value to our customers.

Progress continued in strengthening Safaricom's transition from a traditional telecommunications operator into a purpose-led technology company. The first year of the new five-year strategic cycle focused on expanding beyond core GSM and mobile financial services into platform-led technology solutions built on connectivity and financial services ecosystems.

Future priorities include scaling fintech platforms, Internet of Things (IoT), AI-enabled services and digital ecosystems while maintaining leadership in connectivity and financial services.

Licensing and long-term resilience

FY26 was particularly significant for Safaricom as we secured renewal of our Operating and Spectrum licences from the Communications Authority of Kenya for the next 25 years. The renewal provides regulatory certainty and supports the execution of our long-term strategy. The Board acknowledges the constructive role of the regulator and the efforts of Safaricom's teams in achieving this important outcome.

Looking ahead to FY27

Safaricom has evolved from a single-market telecommunications business into a multi-market technology company with strong long-term growth opportunities across connectivity, fintech and digital services.

In FY27, our priorities will include;

- o Overseeing disciplined execution of the first phase of Safaricom's Vision 2030 Strategy and ensuring management remains aligned to the Group's long-term ambition of becoming Africa's leading purpose-led technology company
- o Supporting balanced and resilient growth in the Kenya business while maintaining strong operational and financial performance
- o Guiding the scale-up of Safaricom Ethiopia, with a focus on commercial momentum, infrastructure expansion, risk management and preparation for EBITDA breakeven in FY27
- o Supporting management in navigating evolving regulatory, competitive and macro-economic pressures across both Kenya and Ethiopia
- o Strengthening governance, risk management, compliance and internal control oversight across the Group

Acknowledgements

The Board's stewardship during the year was supported by the guidance and commitment of its members. The Board also recognises the contribution of the Group CEO, Dr. Peter Ndegwa (CBS), the management team and all Safaricom employees, whose discipline, resilience and commitment supported the execution of the Group's strategy and the delivery of strong performance.

Safaricom's progress continues to be underpinned by the trust and support of its shareholders, customers, regulators, partners, and the governments of Kenya and Ethiopia. The Board remains committed to nurturing sustainable long-term value and is confident in Safaricom's continued ability to deliver on its purpose and growth ambitions.

RIPOTI YA MWENYEKITI



Kipaumbele chetu kinasalia kuwa kuunda thamani ya kipindi kirefu kupitia utekelezaji kwa nidhamu, uvumbuzi wa kuwajibika na ukuaji jumuishi kote katika masoko na jamii tunazozihudumia.

Kuiongoza Safaricom kupitia mwaka wa kipekee

Kwa kuwa Safaricom iliadhimisha miaka 25 ya Kubadilisha Maisha mwaka 2025, tunatafakari hatua tulizozipiga katika robo karne iliyopita na kukariri tena mchango ambao Safaricom imeendelea kuutekeleza katika kuwezesha ukuaji jumuishi, kuimarisha ushirikishaji wa kidijitali, na kusaidia maendeleo ya kijamii na kiuchumi kote Kenya na Ethiopia.

Ningependa kumpongeza Afisa Mkuu Mtendaji wetu wa Kundi, kundi la wasimamizi katika Safaricom na wafanyakazi wetu kwa kuiongoza Safaricom kupata matokeo mazuri sana mwaka huo. Chini ya uongozi wao, mapato ya Kundi kutoka kwa huduma yalizidi KShs 414 bilioni nayo mapato halisi yakakaribia KShs 100 bilioni ukiwa hujahesabu mchango wa hisa za wenyehisa wadogo. Idadi ya wateja wa Kundi pia iliongezeka hadi wateja 72 milioni nchini Kenya na Ethiopia.

Safari ya Safaricom kufika hapa imekuwa ya kipekee, ya ukuaji na ukakamavu, na inayoakisi uthabiti wa mkakati wa Safaricom na kujitolea kwa wafanyakazi wetu. Kenya imeandikisha, kwa mwaka wa tatu mtawalia, ukuaji wa zaidi ya asilimia kumi, nayo Ethiopia ikaendelea kasi yake kuelekea kutengeneza faida kwenye Mapato kabla ya riba na ushuru, kushuka kwa thamani na kufutwa kwa gharama ya awali ya mali (EBITDA) ifikapo mwaka wa kifedha wa 2027.

Tumeendelea ukuaji mkubwa katika mapato kutoka kwa huduma, ambao sana umechangiwa na M-PESA na huduma ya data kwenye simu, tukiendelea pia kudumisha utengenezaji wa faida licha ya kuendelea kwa hasara inayotokana na kuanzisha biashara kwenye uwekezaji wetu Ethiopia. Lakini nchini humo sasa tumeanza kuyaona matunda ya kupanua biashara yetu na hasara inapungua. Uwiano huu wa nidhamu kwenye ukuaji na uwekezaji unaendana na matarajio ya Bodi katika hatua hii ya safari yetu.

Nina furaha kuthibitisha kwamba mafanikio ambayo tumeyatimiza katika mwaka tunaouangazia yametuwzesha kuunda thamani ya maana kwa wenyehisa wetu. Tuliandikisha mgawo wa faida wa muda wa KShs 0.85 kwa kila hisa ya kawaida (Mwaka wa Kifedha wa 2025: 0.65), ambao kwa jumla ni KShs 34.06 bilioni, ambao ulitangazwa na kulipwa. Mgawo wa faida wa mwisho uliopendekezwa ni KShs 1.15 kwa kila hisa ya kawaida (Mwaka wa Kifedha wa 2025: 1.20), ambao kwa jumla ni KShs 46.08 bilioni, pendekezo ambalo litawasilishwa ili kuidhinishwa katika Mkutano Mkuu wa Kila Mwaka (AGM) mnamo 31 Julai 2026. Hii itafikisha jumla ya

mgawo wa faida kwa Mwaka wa Kifedha wa 2026 hadi KShs 2.00 kwa kila hisa ya kawaida, ambao kwa jumla ni KShs 80.13 bilioni. Hizi sio takwimu tu, bali ni kiashiria cha imani ambayo tumejizolea, ukakamavu ambao tumeudhihirisha, na maisha ambayo tumeyabadilisha.

Soma zaidi kuhusu matokeo yetu ya kifedha katika ripoti ya Afisa Mkuu wa Kifedha kwenye ukurasa wa 85.

Mchango wa Safaricom kwenye jamii

Safaricom hutekeleza jukumu muhimu kwenye mfumo ikolojia wa kidijitali na kifedha Kenya kupitia mawasiliano ya simu na data, ujumuishaji wa kifedha na miundo mbinu ya huduma za dijitali kwa umma. Matokeo ya ukadiraji wa Thamani Halisi mwaka huo pia yalionyesha kuwa Safaricom ilichangia zaidi ya 5% ya Pato la Taifa (GDP) na kusaidia zaidi ya kazi 1.3 milioni kote katika mfumo ikolojia wake mpana.

Pamoja na mchango huu, tunaimarisha pia huduma zetu kuu. Kadhalika, tunasaidia ustawishaji wa majukwaa ya kidijitali ya ukuaji wa kipindi kirefu, ikiwa ni pamoja na huduma za utambulisho wa kidijitali, uwezo wa pochi-kama-huduma, miundo mbinu ya kidijitali ya umma na huduma za kidijitali mahsusi kwa sekta mbalimbali ikiwemo katika afya, elimu na kilimo.

Safaricom Ethiopia inatekeleza mchango unaoendelea kuongezeka wa mabadiliko katika jamii kwa kufanikisha ujumuishaji wa kidijitali na uwezesaji wa kiuchumi. Tangu tuingie kwenye soko hilo, tumeongeza upatikanaji wa mtandao wa 4G, na hivyo tukapunguza pengo la kidijitali kati ya miji na maeneo ya mashambani.

Kupitia M-PESA, tumeweza kutoa huduma za kifedha zilizofungamanishwa kwa mamilioni ya raia ambao awali walikuwa hawapokei huduma za benki, na hivyo basi kuchochea ukuaji wa ujasiriamali wa wenyeji. Kando na huduma za mawasiliano, Safaricom Ethiopia hutekeleza jukumu muhimu katika kuchochea ushiriki wa kiuchumi na kuunda nafasi za ajira, na hivyo basi kusaidia maelfu ya watu kujikimu kimaisha kote katika mfumo ikolojia wake wa wasambazaji, maajenti na washirika wa kiteknolojia wenyeji.

Kubadilisha Maisha kupitia Wakfu

Kupitia Wakfu wa Safaricom na Wakfu wa M-PESA, tumeendelea kusaidia miradi yenye manufaa kwenye elimu, huduma za afya, uhifadhi wa mazingira, kujikimu kimaisha kwa jamii na misaada ya kibinadamu, na hivyo basi kuweka hai lengo letu la kuwa na maisha zaidi ya shughuli zetu za kibiashara.

Kuanzia kwa mzee aliye Kaunti ya Kakamega anayepokea usaidizi wa kijamii kupitia M-PESA, jamii katika Kaunti ya Wajir inayopokea huduma ya 4G kwa mara ya kwanza, hadi kwa vijana Wakenya wanaofaidi kutokana na mpango wetu wa elimu wa Raia wa Siku za Baadaye, hii ndiyo mizania kamili ya mchango wa Safaricom, na ni jambo ambalo Bodi inalionea fahari.

Katika miaka mitano iliyopita, tumetimiza yafuatayo kupitia Wakfu wa Safaricom na Wakfu wa M-PESA:

- **Elimu:** Tumewekeza KShs 17.41 bilioni, na kufaidi watu 2.61 milioni
- **Afya:** Tumewekeza KShs 3.14 bilioni, na kufaidi watu 11.85 milioni
- **Mazingira, uhafadhi, maji na jamii kujikimu kimaisha:** KShs 1.46 bilioni zimewekezwa, na kufaidi watu 1.92 milioni
- **Misaada ya kibinadamu na mipango mingine:** Tumewekeza KShs 820.19 milioni, zilizofaidi watu 284,700

Muhimu zaidi, watu zaidi ya 4.4 milioni wamenufaika moja kwa moja kupitia mikakati iliyotekelezwa kupitia Wakfu katika Mwaka wa Kifedha wa 2026.

Sasisho la Muundo wa Wanahisa

Tarehe 30 Juni 2026, Vodafone Kenya Limited ilikamilisha ununuzi wa hisa za ziada za 15% katika Safaricom PLC kutoka kwa Serikali ya Kenya, na hivyo kuongeza umiliki wake wa hisa hadi 55%. Wakati huo huo, upangaji upya wa ndani wa Vodafone Kenya ulikamilika, na kusababisha Vodacom Group Limited kuwa mbia mkuu wa Vodafone Kenya Limited.

Baada ya kukamilika kwa muamala huo, Serikali ya Kenya inaendelea kumiliki hisa 20%, huku wawekezaji wa umma wakiendelea kumiliki 25% ya mtaji wa hisa uliotolewa na kampuni. Safaricom inaendelea kuorodheshwa katika Soko la Hisa la Nairobi (Nairobi Securities Exchange) na kuendelea kufanya kazi kama kampuni iliyosajiliwa na kudhibitiwa nchini Kenya, ikizingatia sheria zote husika, kanuni za udhibiti na masharti ya leseni yanayotumika.

Kuhusu pendekezo la Vodacom kununua hisa zaidi, hii ni shughuli ya wenyehisa inayoendelea. Itakapokamilika, inatarajiwa kuiweka Safaricom katika nafasi nzuri ya kufaidi kutokana na upanuzi, utaalamu wa ndani, na kuongeza uwezo wake katika kanda tunapoendelea kupanua shughuli zetu katika kanda.

Utawala na uongozi wa Bodi

Tuna bahati kuwa na Bodi thabiti, yenye sifa mbalimbali na yenye kujitolea sana, ambayo pia ina kamati zinazotekeleza kazi ipasavyo ambazo zimeisaidia Bodi katika kutimiza Ahadi yetu Kuu. Ingawa hakukuwa na mabadiliko yoyote kwenye wanachama wa bodi, tulifanyia mabadiliko Kamati za Bodi kuanzia 1 Agosti 2025 kuhakikisha tuna mchanganyiko bora zaidi wa ujuzi na maarifa, pamoja na uzoefu na utofauti.

Mwaka wa Kifedha wa 2026 ulikuwa mwaka wa kwanza katika mzunguko mpya wa mkakati wa miaka mitano wa Safaricom chini ya Ruwaza ya 2030. Uangalizi wa utawala uliangazia zaidi nidhamu katika utekelezaji wa mkakati wetu, uwiano wa ukuaji wetu Kenya, upanuzi endelevu Ethiopia, na kufungamanisha lengo kote katika biashara ili kusaidia uundaji wa thamani kwa kipindi kirefu.

Tukiangazia Ethiopia, tumeendelea kupiga hatua imara na za maana. Mabadiliko ya kisheria na kutumiwa pamoja kwa miundo mbinu ya mawasiliano vinamarisha uwazi sokoni. Uwiano wa uamujaji wa bei na ada ambao ulitekelezwa Desemba 2025 tayari umeanza kuzalisha msukumo wa manufaa kwenye biashara. Upatikanaji wa mtandao wetu sasa umezidi 50% pamoja na wateja wetu kuongezeka pia. Hili limeifanya Ethiopia kuendelea kuwa na umuhimu mkubwa kwenye Kundi. Mwaka huu, ilikuwa muhimu sana kupanua shughuli zetu huku tukiendelea kudhibiti hatari ili kujiandaa kuanza kupata faida kwenye Mapato kabla ya riba na ushuru, kushuka kwa thamani na kufutwa kwa gharama ya awali ya mali (EBITDA) katika Mwaka wa Kifedha wa 2027. Kwa sasa, angalau, bado tuko kwenye awamu ya uwekezaji sokoni, lakini wakati uo huo ni soko ambalo lina uwezo mkubwa kimkakati katika kipindi kirefu.

Bodi pia iliangazia kuhakikisha lengo linafungamanishwa kote kwenye biashara ili kuhakikisha thamani ya kipindi kirefu.

Kuendeleza azma ya Safaricom kuwa kampuni ya kiteknolojia

Tunaendelea kuendesha shughuli zetu katika mazingira magumu ya kimataifa na yanayobadilika sana hasa kutokana na siasa za mataifa kwa mataifa, shinikizo za mfumo wa bei, kuyumba kwa thamani ya sarafu na kubadilika kwa tabia na mienendo ya wateja.

Haya yote yanaendelea kuathiri gharama ya uendeshaji wa biashara yetu na uwezo wa wateja kumudu bei ya bidhaa na huduma zetu. Katika muktadha huu, Bodi imetiwa moyo na hatua ya wasimamizi. Lengo lao limekuwa wazi – kulinda thamani ya mteja na uwezo wake kumudu bei ya bidhaa na huduma, kuimarisha shabaha katika utoaji huduma na kuwa na vitengo kwenye maamuzi ya bei. Kadhalika, uvumbuzi katika bidhaa na huduma za kidijitali. Wakati uo huo, ushindani, hasa katika sekta ya teknolojia na kifedha pamoja na huduma za kidijitali, umeendelea kuwa mkali. Mtazamo wetu umesalia kuwa na makusudi na nidhamu: kulinda kiini cha biashara, kuvumbua pembezoni, na kila wakati kuhakikisha thamani kwa wateja.

Tuliendelea kupiga hatua katika kuibadilisha Safaricom kuwa kampuni ya kawaida ya teknolojia ya mawasiliano hadi kuwa kampuni ya kiteknolojia inayoongozwa na malengo. Mwaka wa kwanza wa mzunguko mpya wa mkakati wa miaka mitano uliangazia kupanua shughuli zetu kutoka kwa GSM (teknolojia ya mawasiliano ya simu) na huduma za kifedha na kuwa majukwaa ya huduma za kiteknolojia yaliyojengwa kwenye mfumo ikolojia wa mawasiliano na data na huduma za kifedha.

Vipaumbele vyetu vya siku za baadaye ni pamoja na kupanua majukwaa yetu ya huduma za kifedha na teknolojia, kuunganishwa kwa vifaa kupitia Intaneti (IoT), huduma zinazotumia Akili Mnemba (AI) na mifumo ikolojia ya kidijitali tukiendelea kudumisha uongozi katika huduma za mawasiliano, data na huduma za kifedha.

Leseni na uthabiti wa kipindi kirefu

Mwaka wa Kifedha wa 2026 ulikuwa mwaka muhimu sana kwa Safaricom kwani tulipata mfumo uliunganishwa wa leseni kutoka kwa Mamlaka ya Mawasiliano ya Kenya wa kutumika kwa miaka 25 ijayo. Hii ni zaidi ya hatua kuu sana kwenye sheria kwani inatoa uhakika wa kipindi kirefu na kutuwezeshwa kuwekeza kwa imani. Ningependa kushukuru msimamizi wa sekta yetu na wafanyakazi na maafisa wetu kwa kutimiza hili.

Kutazama mbele Mwaka wa Kifedha wa 2027

Safaricom imebadilika kutoka mwanzo wake kama biashara ya mawasiliano ya simu inayoangazia taifa moja hadi kuwa kampuni kubwa ya kiteknolojia inayoangazia mataifa mbalimbali na yenye fursa nyingi za ukuaji wa kipindi kirefu katika utoaji wa huduma za mawasiliano na data, huduma za kiteknolojia katika fedha na huduma za kidijitali.

Vipaumbele vyetu Mwaka wa Kifedha wa 2027 vitakuwa ni pamoja na:

- Kuhakikisha utekelezaji kwa nidhamu wa awamu ya Ruwaza ya 2030 ya Safaricom na kuhakikisha usimamizi unafuatilia azma ya kipindi kirefu ya Kundi ya kuwa kampuni ya kiteknolojia inayoongozwa na lengo inayoongoza Afrika
- Kusaidia ukuaji sawasawa na thabiti katika biashara yetu Kenya huku tukidumisha matokeo mazuri ya uendeshaji shughuli na kifedha
- Kuongoza upanuzi wa Safaricom Ethiopia, kwa lengo la kuongeza kasi ya biashara, upanuzi wa miundo mbinu, usimamizi wa hatari na kujiandaa kuanza kupata faida kwenye Mapato kabla ya riba na ushuru, kushuka kwa thamani na kufutwa kwa gharama ya awali ya mali (EBITDA) katika Mwaka wa Kifedha wa 2027
- Kusaidia usimamizi katika kupitia mazingira ya kisheria yanayobadilika, ushindani na shinikizo za Uchumi mpana Kenya na Ethiopia
- Kuimarisha utawala, usimamizi wa hatari, utimizwaji wa mahitaji ya kisheria na uangalizi wa ndani kote katika Kundi

Shukrani

Ningependa kuwashukuru wanachama wenzangu katika Bodi kwa uongozi na uelekezi wao. Nataoa pia shukrani zangu za dhati kwa Afisa Mkuu Mtendaji wa Kundi, Dkt. Peter Ndegwa (CBS), kundi la wasimamizi na wafanyakazi wote wa Safaricom kwa nidhamu yao, ukakamavu na kujitolea kwao katika utekeleza mkakati wa Kundi na kufanikisha matokeo haya mazuri.

Ningependa pia kuwashukuru wenyehisa wetu, wateja, wasimamizi wa sekta, washirika, na Serikali za Kenya na Ethiopia kwa kuendelea kuwa na imani nasi na kutuunga mkono.

Bodi imejitolea kuhakikisha kuundwa kwa thamani endelevu ya kipindi kirefu, na nina uhakika kwamba mazuri zaidi ya Safaricom bado yaja.

ABOUT SAFARICOM

Safaricom continues evolving as a purpose-led technology company. Guided by our purpose, vision and mission, we launched our Vision 2030 Strategy to provide strategic focus for the next five years. We are the connecting point for individuals, businesses, families, farmers and investors in Kenya and Ethiopia, shaping the communication landscape, commerce and society.



Our purpose

Transforming Lives



Our vision

Africa's leading purpose-led technology company by 2030



Our mission

To scale innovative converged solutions



Our culture

Purpose-driven, customer-obsessed, innovative and collaborative

The Spirit of Safaricom

The Spirit of Safaricom underpins our culture, providing the framework and reference for our beliefs, behaviours and language. It supports our culture, which in turn determines how we view and behave within our Group and about our customers and other stakeholders.

Our beliefs and behaviours

Customer obsession

Belief: Our customers' perception is their reality

Behaviour: I act on customer pain and resolve issues at source

Collaboration

Belief: We are partners in one ecosystem

Behaviour: I engage openly, seek understanding and co-create solutions

Innovation

Belief: Progress matters more than perfection

Behaviour: I learn, adapt and improve through execution

Purpose

Belief: I am an extreme owner

Behaviour: I take responsibility for outcomes and act in the best long-term interest

VISION 2030

Vision 2030 is our new strategy, focusing on protecting and growing the core business, accelerating our transition into a technology company, and boosting and evolving our Ethiopia business, while unlocking value through innovative delivery models.

Vision 2030: Becoming Africa's leading purpose-led technology company by 2030

Two complementary ambitions define our Vision 2030 Strategy

Delivering personalised digital services at scale

We aim to deliver value-adding, personalised digital services enabled by big data, analytics and artificial intelligence (AI). These services are designed to simplify daily life, improve access and create meaningful value for customers and society.



Becoming the digitisation and financial services partner of choice

We seek to be the preferred digitisation and financial services partner for enterprises and the public sector, providing secure, scalable and cutting-edge technology solutions that support efficient service delivery and institutional resilience.

What success will look like

#1

Customer and network NPS

Double-digit

Topline growth

80%

Sustainability index

#1

Trusted TechCo brand

100%

Secure licences

90%

4G penetration

#1

Place to work

90 million+

Consumers at Group level

Level 5

Agile and digital maturity



WHO WE ARE

Safaricom operates in Kenya and Ethiopia, providing connectivity, digital platforms and financial services to individuals, businesses and public institutions.

Safaricom plays an integral role in the communication infrastructure, commerce and digital ecosystems of the markets in which we operate. Listed on the NSE, Safaricom PLC Group operates at a significant national scale and plays a central role in enabling communication, commerce and digital participation. Its activities span network infrastructure, digital platforms and partnerships that support economic activity and service delivery across sectors.

Our operations in Kenya and Ethiopia

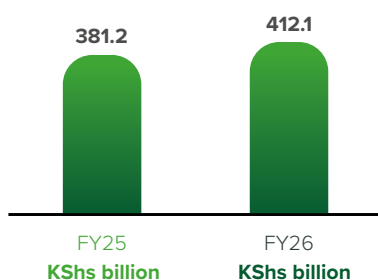
Safaricom's profile reflects two operating segments. Kenya provides scale, ecosystem depth and diversification. Ethiopia represents a significant long-term growth opportunity and an expanding operating footprint.

Our model combines strategic oversight at Group level with execution shaped by local market conditions.

Safaricom Kenya

- The #1 telecom operator in Kenya and the largest listed company on the NSE by market capitalisation
 - A scaled business spanning connectivity, fixed broadband, financial services, enterprise solutions and digital platforms
 - M-PESA serves more than 41 million 30-day active customers and around 46.8 million 90-day active customers
 - The ecosystem includes approximately 3.1 million businesses, 149,834 developers and about 89,780 integrations
-
- **57.9** million 90-day active customers
 - **98.6%** 2G network population coverage in Kenya
 - **30.8** million 4G+ devices
 - **97.9%** 4G population coverage
 - **21,000** km fibre-optic footprint
 - **807,016** homes passed by fibre
 - **490,691** Fixed service customers (26.9% FWA)
 - **333,011** M-PESA agents
 - **5,648** employees
 - **66.8%** GSM market share¹

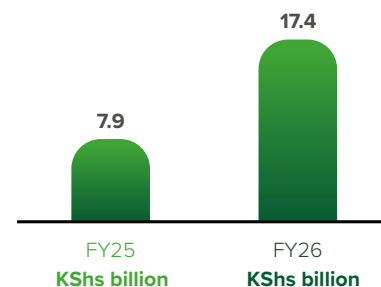
Total revenue – Kenya



Safaricom Ethiopia

- A scaling operation in a market of over 120 million people
 - Growing network expansion, customer acquisition and digital use cases
 - Population coverage around 59.2% supported by 3,504 sites in service
 - Market position is strengthened by already established superior 4G data quality
-
- **13.6** million 90-day active customers
 - **59.2%** network population coverage
 - **10.6** million 4G+ devices on our network
 - **70.0k** M-PESA merchants
 - **963** employees, 67% male and 33% female

Total revenue – Ethiopia



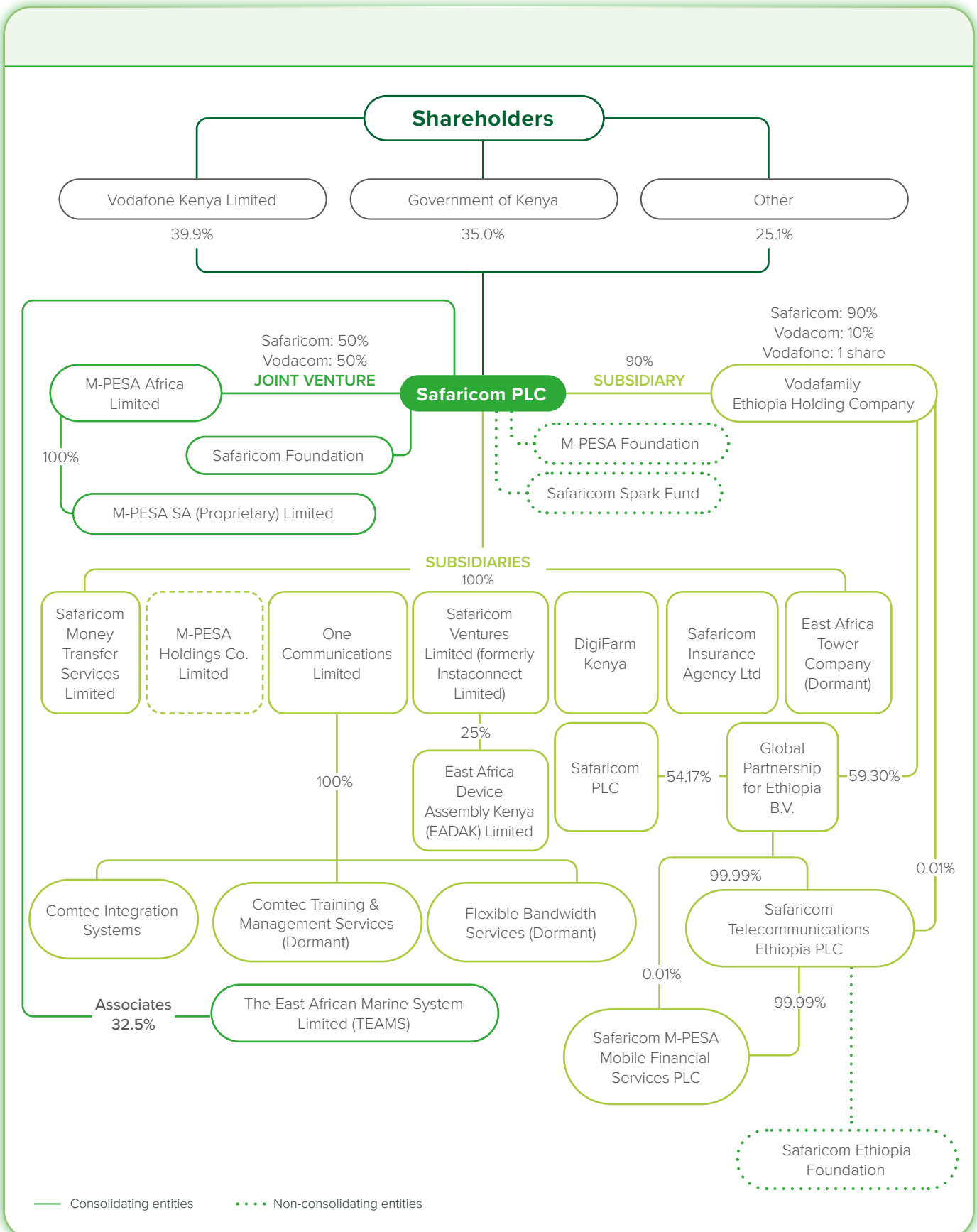
Total revenues include M-PESA, voice, mobile data, fixed data, messaging, interconnect, mobile incoming, other service revenue, handset and connection revenue.

The M-PESA platform enables customers to send and receive money, make payments for goods and services, and access a broad range of solutions to drive financial health, including savings, credit and insurance. The platform also supports businesses with payment collection and bulk disbursement capabilities and integrates additional services such as airtime purchase and digital commerce.

¹ Communications Authority of Kenya.

Safaricom PLC Group structure

The Group's operating structure as at 31 March 2026 is set out below. Operations are organised across wholly owned subsidiaries, majority-owned subsidiaries, associates and joint ventures, supporting activities in telecommunications, financial services, digital platforms and infrastructure. Further detail on changes in shareholding composition post 31 March 2026 is set out on page 15 and more details are provided in the Annual Financial Statements from page 212. This structure enables market-specific execution while maintaining central oversight, governance alignment and disciplined capital allocation.



Safaricom ownership

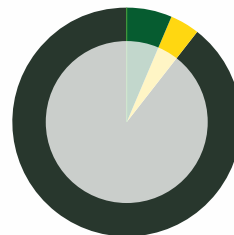
Safaricom's shareholding reflects a combination of strategic ownership, state participation and broad market representation.

Shareholding composition after change on 30 June 2026*



	Vodafone Kenya Limited	55%
	Government of Kenya	20%
	Free float shareholders	25%

Corporate vs Individual shareholder distribution (as at 31 March 2026)



	Foreign individual	0.10%
	Foreign corporate	6.33%
	East African individual	4.23%
	East African corporate	89.34%

* See page 7 for shareholding update post 31 March 2026.

Read more about our principal shareholders on page 242 of the Annual Financial Statements.



OUR FOOTPRINT AND BUSINESS ACTIVITIES

Safaricom PLC Group's operating footprint spans Kenya and Ethiopia, with network infrastructure, platforms and distribution partnerships extending reach across urban and rural communities. In Kenya, Safaricom provides mobile connectivity and mobile financial services on a national scale. In Ethiopia, Safaricom continues to expand network coverage, service adoption and operational capability as part of its long-term growth trajectory.

Our services and solutions

Safaricom delivers a broad portfolio of products and services designed to meet the evolving needs of individuals, businesses and institutions.

Connectivity and broadband services

We provide mobile voice, messaging and data services that form the backbone of everyday communication and digital access. Continued investment in network reliability, capacity and coverage enables consistent connectivity for individuals, businesses and institutions across urban and rural communities.

- Voice
- Messaging
- Mobile data
- Mobile incoming
- Other connectivity services, including:
 - IoT
 - Content-enabled services
- Fixed broadband for home and businesses

Financial services

Through M-PESA and related platforms, we deliver digital payment, savings, credit and insurance solutions that support daily transactions, enterprise activity and public service delivery. These services play a central role in enabling financial participation, resilience and inclusion at scale.

- Consumer payments
- Business payments
- Global payments
- Withdrawal services
- Credit solutions
- Other solutions, including insurance, wealth management and savings

Enterprise and public sector solutions

Our business offers connectivity, cloud, hosting, and fixed services that support the digitisation of enterprises and public sector institutions. These solutions are designed to improve operational efficiency, enhance service delivery and enable secure, scalable digital operations.

- Managed services
- Cloud services
- Hosting solutions
- Fixed services
- Kifaru Net

For the public sector, our solutions are designed to support e-government initiatives, digital public infrastructure, and national development priorities to support:

- Enhanced access
- Transparency
- Resilience across critical services such as healthcare, education, security, and public administration

Digital platforms and value-added services

Our digital platforms and value-added services, including content, loyalty and IoT solutions, extend the functionality of our core offerings. They enable deeper engagement, support ecosystem participation, and unlock new use cases across sectors.

- Skiza Tunes – a ringback tones service
- Bonga Points – a loyalty programme
- Stori Ibambe – a platform for mobile content creators
- Devices

OUR IMPACT COMMITMENTS AND CONTRIBUTIONS

The SDGs are an important reference point for how Safaricom has defined, prioritised and measured our broader impact. Safaricom Kenya adopted nine of the 17 SDGs most relevant to the business and our stakeholders, based on our potential contributions and investment priorities.

Our contribution and commitments to the SDGs

SDG	Our commitment and contribution
SDG 3	We leverage mobile technologies and our Foundations to transform lives by improving access to quality, affordable healthcare services and by promoting well-being for all. The Safaricom and M-PESA Foundations fund programmes in maternal and child health. In addition, the business is advancing digital health initiatives that use technology, connectivity and partnerships to expand access to healthcare services and support more inclusive health outcomes. Read more about our digital health initiatives on page 30.
SDG 4	Our focus is on expanding access to education by developing innovative solutions, cultivating strategic partnerships and leveraging our network. Citizens of the Future is our flagship initiative under the Foundations' education programme through which we invest in children's education through scholarships, digital literacy, Information and Communication Technology (ICT) access and improvements to learning infrastructure. Through Instant Network Schools, we support the scaling of innovation and learning centres in refugee camps by providing connectivity-enabled classrooms that improve access to digital learning resources. Through the Safaricom and M-PESA Foundations, we fund education programmes that strengthen learning access, digital inclusion and long-term opportunity for young people.
SDG 7	Our focus is to transition to clean energy at our sites and to leverage technology to deliver clean energy solutions, including payment solutions for local and renewable energy. Our commitment is to be a net-zero-emitting company by 2050.
SDG 8	We provide decent work within Safaricom and across our value chain, including enforcing effective health and safety practices both internally and by suppliers, simultaneously contributing to the local and national economy through innovative solutions that increase employment and facilitate economic activity. Our growing agent network and merchant platform support the development of local suppliers. As the technology partner for the National Youth Opportunities Towards Advancement (NYOTA) project, we help unlock digital skills and open employment opportunities for young people. In agriculture, we created an e-voucher platform for the national subsidy programme that goes beyond farm inputs to livestock vaccination services, boosting productivity and livelihoods.
SDG 9	We deliver connectivity and innovative products and services by leveraging our network to provide unmatched solutions to meet the needs of Kenyans. We facilitate increased access through affordable smartphones and data plans. Our mobile network coverage and fibre footprint continue to expand, delivering high-quality, high-availability service. In partnership with the Communications Authority of Kenya, we leveraged the Universal Service Fund (USF) to drive last-mile connectivity projects to reach underserved and unserved communities, which forms part of our ambition of ensuring that no Kenyan is left behind.
SDG 10	We address inequalities by ensuring equal access to opportunities for all, focusing on vulnerable groups, through our network, solutions, and technology. We advance financial inclusion across sectors and drive both digital and gender inclusion. We play a central role in the Inua Jamii programme. This initiative provides cash transfers and subsidies to vulnerable populations, such as seniors, people with disabilities, and orphans, using Safaricom's M-PESA platform for secure distribution.
SDG 12	We manage our operations responsibly, decreasing our environmental impact and promoting responsible behaviour among all our stakeholders. We repair mobile devices and manage both solid and e-waste to promote recycling, re-use and circularity.
SDG 16	We manage our operations responsibly and ethically, and fight corruption in all its forms. Through the e-Citizen platform, we have facilitated the digitisation of over 15,000 government services, streamlining payments and enabling integrated revenue collection that benefits both the government and the people.
SDG 17	We partner to build collective capacity in support of the goals. We partner with licensed mini-grid providers in remote regions or grid-power-deficient areas, serving as the anchor tenant. We have strategic partnerships with the broader business community and regulatory authorities to drive positive impacts for people and the planet. We scale impact through partnerships that strengthen enterprise delivery, public sector digitisation and inclusive growth. This includes working with partners to expand connectivity, platforms and financial services across health, agriculture, education and public administration. We further support innovation and access through initiatives such as Spark Accelerator and EADAK, which help grow early-stage ventures, strengthen local device assembly and improve affordable smartphone access.

Read more about the projects that support our SDG contributions in the Safaricom Sustainable Business Report.

Tracking our Purpose Strategy commitments

Theme	Purpose projects	2030 targets
Climate action	- Net-zero by 2050 - Carbon enablement - Supply chain decarbonisation - Building adaptive capacity to climate change	5,000 sites on solar photovoltaic (PV) energy 95% green energy powering the network - Reduce Scope 1 and 2 emissions by 43% - Reduced power outage - Reduce Scope 3 emissions by 41% 2-3 climate finance solutions
Circularity	- Mobile device circularity - Network equipment circularity	20% growth in device collection, repair and recycling 100% re-use/resale/recycling network waste 100% recycling/repurposing solid waste
Biodiversity and ecosystem conservation and restoration	- Green procurement - Landscape and forest restoration	5,000 ha restored 5 million trees grown 100,000 tCO₂ sequestered
Regulation and standards	Environmental assessments and audits	100% compliance with the changing regulatory environment

Our targets are at different levels of implementation, and their progress and achievements are recorded in various parts of the report. Read more about Our strategic progress from page 51, contributions to our capitals from page 54 and our Purpose strategy from page 60.

Creating value beyond Safaricom

Safaricom's True Value assessment provides a broader view of the socioeconomic value created through our operations, partnerships and community investments. The outcomes presented below reflect the latest completed assessment. The FY26 assessment is underway and will be included in our next Sustainable Business Report.



Safaricom's "True Value" is 16 times greater than our financial profit, supporting our key principle of purpose before profit



In FY25, Safaricom contributed 5% to Kenya's GDP



Safaricom supports more than 1.3 million jobs directly and indirectly



We continue expanding our local supplier base and directed 5.07% of supplier spend to women, youth and Persons with Disabilities (PwDs)



Through M-PESA, our solutions and network meet both immediate and future social and economic needs, contributing to some of society's most pressing challenges. In FY26, M-PESA generated KShs 182.7 billion and processed KShs 41.68 trillion in transactions



Safaricom has created KShs 242.3 billion in value for the National Treasury during the 18 years that the government has been a shareholder in the Group



Through the Safaricom and M-PESA Foundations, Safaricom Kenya supports stronger and more resilient communities, with social value generated from the investments of KShs 6.8 billion (FY25: invested KShs 8.9 billion). We have positively impacted 25.9 million lives over our 25-year lifespan

Over the past 25 years, Safaricom has played a foundational role in expanding access to connectivity, financial services, and digital public infrastructure in Kenya and, more recently, in Ethiopia.

¹ Safaricom uses a True Value assessment model to translate our most material socioeconomic and environmental impact into financial terms. Read more in the Sustainable Business Report.

OUR BRAND

Our brand journey is a story of connection and the aspiration to be a catalyst for progress and a force for good. Over the years, Safaricom has evolved from a telecommunications provider into a purpose-led technology company, building products, services and platforms that have become part of everyday life for millions of customers.

We are consistently ranked among the leading brands in Kenya and across Africa, positioning Safaricom as a purpose-led TechCo committed to Transforming Lives. This strong purpose alignment fosters trust with regulators, government, development partners, and the public. It also strengthens customer loyalty, supporting the expansion of digital and financial inclusion solutions. Additionally, it enables strategic partnerships across sectors such as health, education, agriculture, and digital government, which are central to delivering on our Vision 2030 Strategy.

Our value proposition

The customer is at the heart of all we do, informing innovation and engagement strategies. As such, we aim to deliver superior products and services with unmatched functionality and customer experience that are valuable to our customers' lives and enhance their lifestyles. This alignment fosters trust with our regulators, government, development partners, and the public, supporting the expansion of our digital and financially inclusive solutions.

In the year under review, we set out to conclude our 25-year celebrations through:

- A national promotion dubbed Shangwe@25, through which we celebrated and honoured our customers with over KShs 250 million in prizes. We also re-energised the partner ecosystem by including them in the promotion, ensuring they, too, were recognised for their contributions to growing Safaricom
- As part of the celebrations, we launched the "Citizens of the Future" programme to shape a generation ready to build a brighter Kenya

Our growth has spanned over 25 years

Foundation and access

Safaricom is established and begins building the foundations of connectivity, customer access and affordability in Kenya.

- Safaricom was officially launched in Kenya with 17,000 customers
- Safaricom Foundation launched on 14 August 2003
- Affordability initiatives introduced, driving customer inclusivity
- The foundation of a customer-led business is established

Financial inclusion and ecosystem growth

Safaricom deepens its relevance in the lives of customers, businesses and communities as M-PESA expands the company's role beyond connectivity to financial inclusion, commerce and day-to-day transactions.

- M-PESA was launched and scaled
- First operator to launch 3G
- Financial inclusion became a defining part of the business
- Safaricom initial public offering (IPO)
- Established M-PESA Foundation
- Developed and approved Sustainability Strategy
- Published the first Sustainability Report

Group evolution and Vision 2030 Strategy

Safaricom's current phase: Group expansion, including growth into Ethiopia, strategic focus in Vision 2030, and the transition toward a TechCo.

- Launch of Safaricom's new business strategy and Agile organisation
- Vision 2030 sets a new strategic direction
- Awarded a telecommunications licence in Ethiopia, with Ethiopia becoming an important growth platform within the Group
- TechCo capabilities, digital platforms and AI gain greater prominence
- The value creation story becomes more explicitly Group-led and future-focused

2000 – 2003

2004 – 2006

2007 – 2012

2013 – 2020

2021 – 2026

Scale and connectivity

Safaricom enters a phase of stronger network and customer growth and shifts focus to scaling and strengthening mobile capabilities.

- Mobile internet was introduced
- Customer growth accelerated
- Joined the United Nations Global Compact – the world's largest corporate sustainability initiative
- Early digital capability begins to take shape

Purpose, platforms and broader relevance

Safaricom evolves from a telecommunications business into a more diversified digital ecosystem player with deeper investment in digital platforms and network quality.

- Integration of Sustainability into the supply chain
- Launch of 4G network and fibre capabilities expanded
- Digital services and platforms broadened
- Sustainability and purpose became more embedded in strategy
- Safaricom's contribution to the Kenyan economy reached 6% of GDP

Our blueprint for sustained growth

Customer Obsession	Superior functional delivery	Strong brand portfolio	Continuous innovation	Breakthrough marketing
The customer is at the heart of all we do, informing innovation and engagement strategies	Superior products and services with unmatched functional delivery and customer experience	A portfolio of strong (sub)brands across key TechCo verticals that leverage the strength of the Safaricom and M-PESA master brands	Innovation-driven growth, with technology at the core	Compelling storytelling and brand engagements that drive connection, amplifying our points of superiority and differentiation to build a distinct and relevant brand

Scaling value through our brand

Our brand investments are anchored in Safaricom's strategic priorities, supporting enhanced customer experiences, accelerated digital and fintech growth, network leadership and expansion into new markets.

We are prioritising converged solutions to position Safaricom as the "Home of Value". Data-driven insights inform the development of integrated, lifestyle-relevant propositions such as *Ofa ya boda*, which combines voice, data and insurance into a single, meaningful offering.

We refine our understanding of customers by investing in intelligence, advancing our segmentation models and leveraging emerging technologies. We want to deliver more personalised, timely and relevant engagements as we progress towards a "segment of one" approach. This will be driving our brand position as the Safaricom and M-PESA platforms of choice for our customers' everyday connectivity and financial needs.

Our brand identity

For more than 25 years, Safaricom has built a brand anchored in purpose, relevance and a commitment to Transforming Lives. Today, our brand continues to reflect the trust we have earned and the value we continue to create. Our brand was built not only through visibility, but through the value customers experience in their daily interactions with Safaricom and M-PESA.

Safaricom brand tracker

We use a brand health tracker to measure performance via monthly data collection in partnership with an independent, global brand research agency. We use computer-assisted telephone interviewing to obtain insights, which are reported quarterly. We also monitor brand trust and M-PESA brand performance through internal research tools. These insights are gathered weekly using SMS-based surveys and consolidated into monthly reporting, enabling us to track and respond to sentiment and emerging trends.

Africa's Most Admired Brand

Safaricom was named Africa's Most Admired Brand at the 2025 Brand Africa Awards, while also winning across telecommunications, social impact and sustainability-related categories.

Ziidi Wins Global Fintech Recognition

Safaricom's Ziidi Investment platform won the Best Fintech and Digital Commerce Innovation Award at the 2026 GLOMO Awards in Barcelona.

First Place Champion (1st Level Award of Excellence) at the Ethiopian Quality Award in 2025

Safaricom Ethiopia secured first rank at the Ethiopian Quality Award, recognising its compliance with national quality standards and strong performance across leadership, service quality, operational excellence and continuous improvement.

Safaricom Group recognised as a Top Employer

Safaricom Group PLC was recognised by the Top Employers Institute as a Top Employer in Kenya, Ethiopia and Africa for 2026. This marked the Group's fifth consecutive certification in Kenya and third in Ethiopia, with Safaricom Kenya also named Kenya's No. 1 Employer.

Best Use of Digital Technology in Procurement

At the 2025 CIPS Africa Excellence in Procurement and Supply Awards, Safaricom won for Best Use of Digital Technology.

Excellence in Leadership, Innovation and E-Commerce

Safaricom received recognition across three distinct areas: gender-inclusive leadership, digital insurance innovation and e-commerce.



Strategic priorities and areas of focus in FY26

FY26 was marked by strong commercial momentum, continued strategic execution and progress across our markets. As the business scaled its digital platforms, connectivity services and customer propositions, Safaricom remained focused on enhancing customer experiences, strengthening trust and supporting sustainable growth.

Key areas of focus during the year included:

- Optimising customer onboarding and user experiences following the rollout of the unified app, particularly for diaspora, roaming and migrated customers
- Delivering accessible and innovative products and services while responding to evolving customer affordability needs
- Further strengthening privacy, cybersecurity and responsible technology practices to support customer trust in an increasingly digital environment
- Deepening customer engagement and brand awareness in Ethiopia through network expansion, localised support and tailored customer propositions
- Continuing to invest in service quality, network reliability and digital experiences to meet growing customer expectations

Looking ahead

We will continue to strengthen the role of our brand as a strategic asset, deepening emotional connection with customers, reinforcing trust, and supporting the Group's transition into Africa's purpose-led technology company by 2030. Our focus will be on delivering consistent, insight-led brand experiences that drive relevance, informed by these strategic themes:

- Build enduring brand trust that makes Safaricom indispensable in everyday life
- Leverage intelligence to power growth
- Leverage converged solutions to position Safaricom as the "Home of Value"
- Scale precision marketing in order to deliver an intelligent, data-driven commercial Group

THE STRATEGIC DRIVERS FOR OUR INVESTMENT CASE

Safaricom operates a market-leading connectivity and fintech platform with a leading position in Kenya and a growing runway in Ethiopia. Our investment case is underpinned by the scale and resilience of our Kenya business, the expanding opportunity in Ethiopia, and sustained investment in world-class network and digital capabilities.

Safaricom@25: Strength, scale and readiness

Safaricom is the market leader in Kenya, with a 66.8% GSM market share and a 34.9% fixed broadband market share as at December 2025, as per the Communications Authority Quarterly Statistics Report. Safaricom achieved an EBITDA margin of 56.8% in Kenya in FY26 and has a track record of generating excellent free cash flow.

We own Kenya's largest fibre network spanning over 21,000 km. Safaricom benefits from a broad, integrated ecosystem that enables cross-selling opportunities, strengthens customer engagement and loyalty, and reduces reliance on any single product or service.

With a rapidly expanding 5G subscriber base in Kenya, exceeding 1.6 million, Safaricom is well-positioned to capitalise on future data monetisation opportunities. Our scale advantages, combined with our extensive infrastructure, loyal customer base, and strong brand equity, create a durable competitive moat.

The Group continues to demonstrate disciplined execution and capital allocation across its markets. With a resilient, cash-generative core business, we continue to invest in growth and transformation.

A growing Ethiopian business

Safaricom is the majority shareholder in Safaricom Ethiopia, the new mobile operator in Ethiopia, which has already attracted 13.6 million three-month active customers.

Safaricom Ethiopia is progressing from rollout to momentum, driven by subscriber growth and expanding coverage. This market represents Safaricom's most significant long-term expansion opportunity. The business is building on a strong data customer base with an uplift in voice contributions.

Safaricom Ethiopia reached 3,504 sites by year-end, progressing towards its scaled target of 4,000 sites, supporting a world-class digital network with extensive 4G coverage across major cities and towns.

M-PESA was also launched in Ethiopia, marking a major step in advancing financial inclusion in one of Africa's largest underserved markets. This launch has opened a new frontier for growth, positioning Safaricom Ethiopia as a critical enabler of the digital economy.

Regulatory movement on wholesale infrastructure pricing and retail pricing is helping improve the operating environment and strengthening the pathway to more sustainable returns on this investment.

M-PESA fintech ecosystem

Safaricom's M-PESA is a world-leading fintech business, facilitating over 136 million daily transactions for 40.66 million customers. It processed KShs 41.68 trillion in transactions in FY26, representing 2.4 times Kenya's GDP (2.4 times is calculated based on M-PESA value of KShs 41.68 trillion over the nominal GDP of 17.58 trillion).

M-PESA processes over KShs 647.47 billion annually in cross-border money transfers, over 17.9 million customers accessing affordable credit, and more than KShs 114 billion in daily transactions.

M-PESA's scale, extensive ecosystem and continued innovation have strengthened its position within Kenya's financial services landscape. Supported by a broad network of customers, agents, merchants and partners, the platform plays an integral role in the daily activities of individuals and businesses. Its diverse services deepen customer engagement and reinforce customer loyalty to the Safaricom network.

As the world's most advanced mobile payment platform, M-PESA has revolutionised financial inclusion. The platform has expanded beyond basic money transfers to become a fully integrated financial ecosystem, supporting payments, savings, credit, insurance, and international remittances. M-PESA is the most used service for remittances into Kenya.

Despite its market position, there is substantial headroom for M-PESA growth given the need for enhanced savings, insurance and investment solutions. Deeper penetration of digital financial services can also accelerate access to healthcare financing, education loans, agricultural value-chain credit, and microinsurance solutions, thereby enhancing economic resilience and productivity.

With the Fintech 2.0 upgrade, M-PESA can now handle up to 6,000 transactions per second and has capacity to be scaled up to over 10,000 transactions per second, featuring enhanced AI-driven security and open APIs that enable seamless integration.

M-PESA maintains 99.999% service availability, supporting continuous innovation and service enhancement through the Consumer and Business Apps.

Undervalued stock with clear and attractive upside

Safaricom's valuation multiples remain below levels typically associated with a Group of its scale, competitive moat, financial strength, and dominant market share economics. Our price/earnings ratio of 11.51 is relatively low compared to global telecom and fintech peers, particularly when adjusted for Safaricom's superior growth profile. Similarly, an enterprise value/EBITDA multiple of 5.64 appears modest for a business with Safaricom's scale and brand leadership.

Safaricom's market capitalisation stood at KShs 1.10 trillion at 31 March 2026. Notably, share price performance reflects improving market sentiment, with a 50.3% increase in FY26.

Institutional capability, trust and licence to operate

Safaricom's institutional strength and long-term orientation continue to underpin stakeholder trust.

Safaricom's debut Green Bond, launched in November 2025 as part of a KShs 40 billion Domestic Medium-Term Note (DMTN) programme, was an overwhelming success, oversubscribed by 175.7%. Nearly 96% of applications came from more than 2,400 individual investors, underscoring their trust in Safaricom's ability to create a positive impact through our decarbonisation efforts.

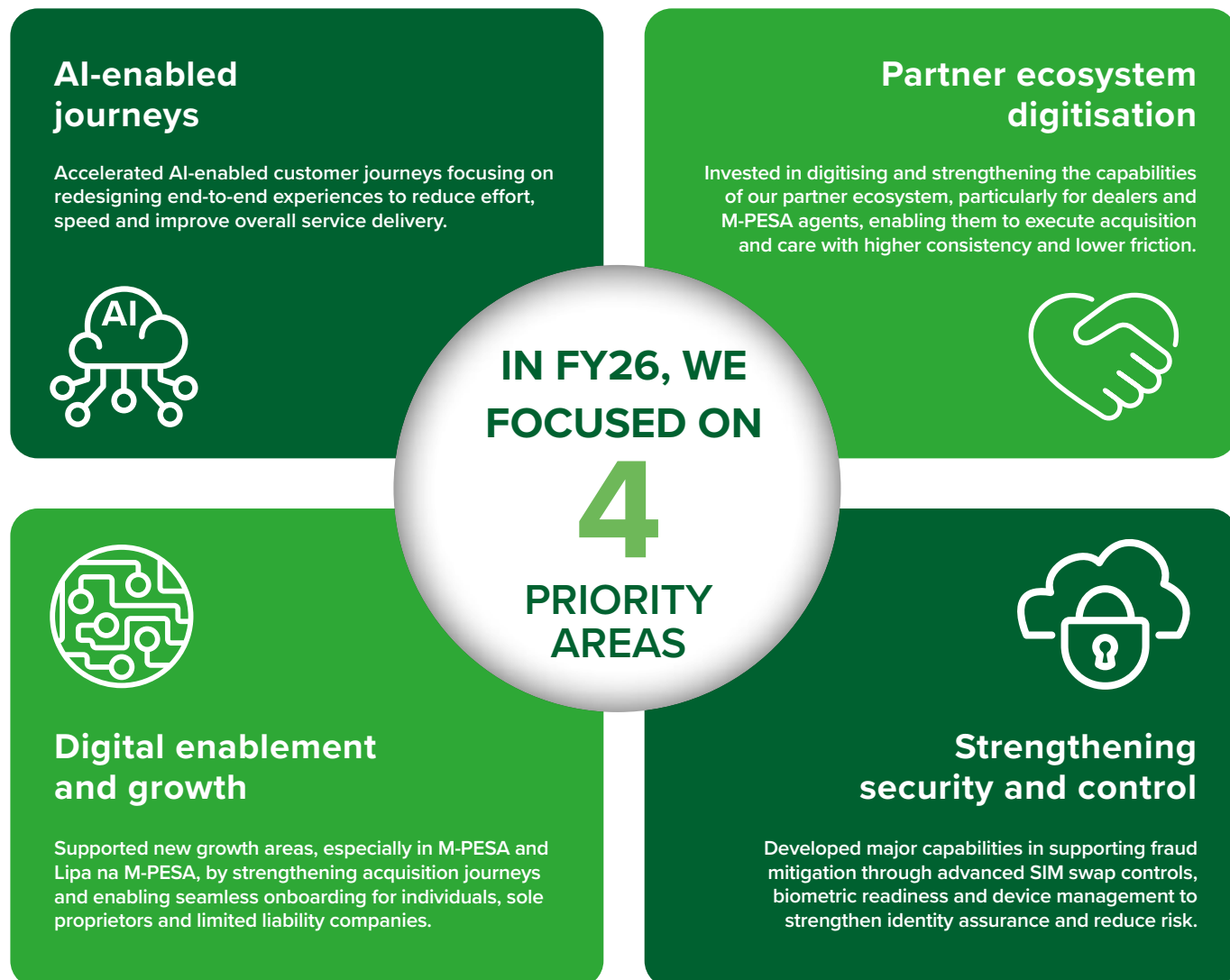
In the financial year, we also achieved an A score in the CDP's Climate Change and Supplier Engagement Assessment, demonstrating environmental transparency and leadership. We also maintained our Lead Company status with the United Nations Global Compact.

Safaricom has been ISO 2770 certified, the highest certification in Privacy Information Management Systems, independently confirming our capability to protect customer information and maintain trust.



TECHNOLOGY

We use digital platforms, AI-enabled journeys and partner-facing tools to simplify customer experiences, strengthen trust, expand access and improve the efficiency of service delivery at scale.



AI-enabled journeys

A major area of progress in FY26 was the redesign of customer journeys to make them faster, simpler and more intuitive. We reduced multi-step processes and improved interaction quality across care and onboarding. This included broader use of AI-enabled capabilities and more streamlined service journeys.

The impact of this approach is evident in the performance of digital self-service. Unassisted contacts rose materially above target, suggesting that more customers are increasingly willing and able to use digital channels for routine tasks. Strong traction in self-service adoption was reflected in do-it-yourself performance, which rose from 553,000 to 636,000 interactions per day.

This improves customer convenience and frees up assisted channels to focus on more complex interactions.

Partner ecosystem digitisation

Our partner ecosystem continues to demonstrate strong digital adoption and positive sentiment, reflecting growing trust in digital channels and increasing reliance on the partner portal.

- o **Sustained growth in usage:** Active users have increased to 4,136 out of a total partner base of 4,411. This trajectory indicates broad-based engagement and positions the portal as a core platform for partner interaction and service delivery
- o **Strong partner sentiment:** Our transactional NPS remains robust
- o **Expanded capabilities:** This positive sentiment is underpinned by enhancements in reporting, more intuitive workflows

As adoption deepens and capabilities expand, the platform is increasingly positioned as the primary interface for partner engagement, enabling faster decision-making, reducing operational friction, and supporting scalable growth across the ecosystem.

Digital enablement and growth

Safaricom's technology journey also reflects an important tension: as digital channels scale, some customers may still prefer or require human support. For instance, Tunukiwa penetration remained below 45%, indicating the need for improved education, user-interface surfacing, and simpler pathways. We remain aware of ongoing barriers related to digital literacy, device limitations, and language, as evidenced by lower-than-expected penetration in some personalised journeys.

This is important for the broader journey, as our approach to reducing customer pain points should not only be driven by improving efficiency but, at the forefront, the tools we develop must remain accessible and inclusive now and always.

Read more about digital inclusion on pages 63 and 80.

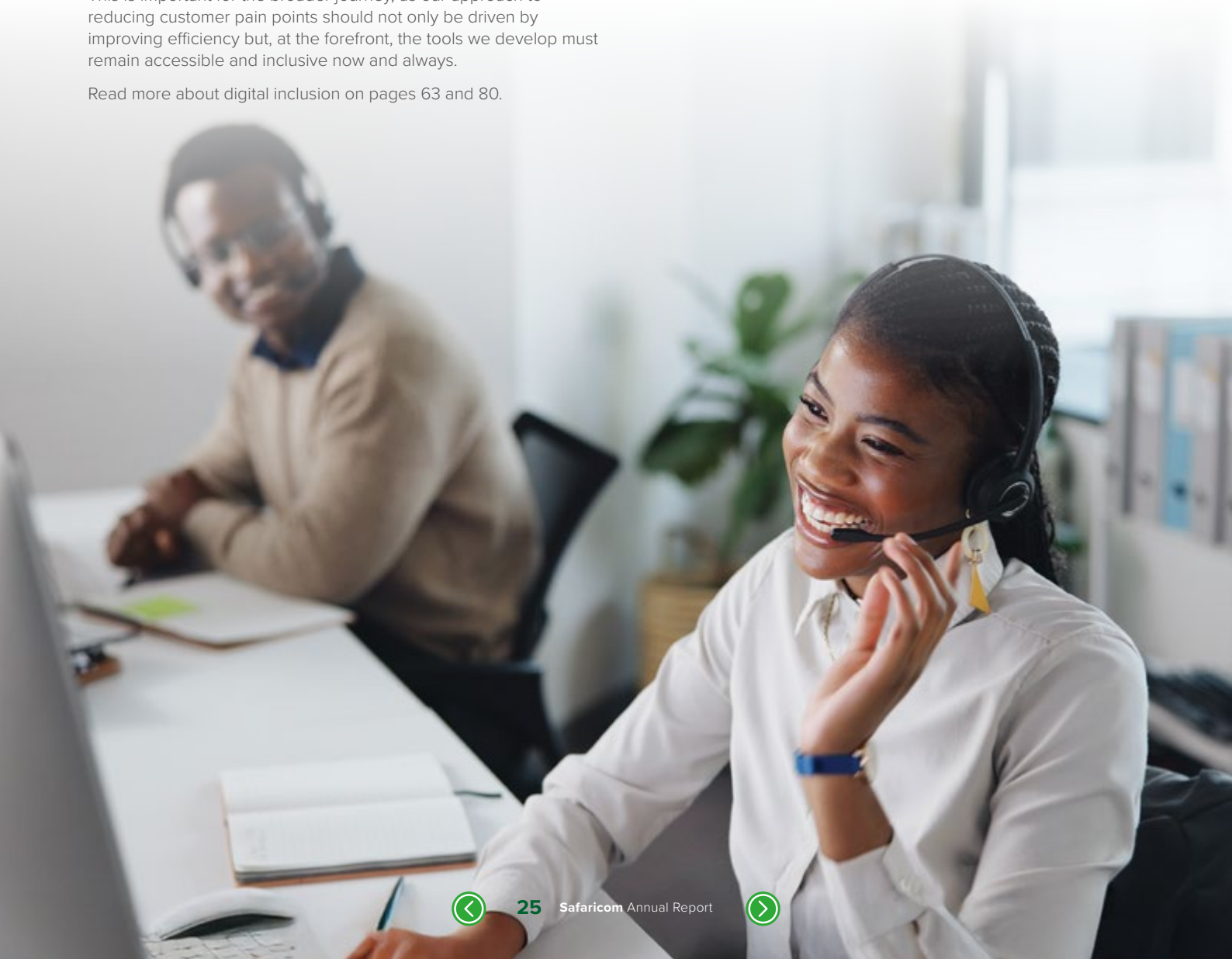
Digital opportunities and roadmap

Looking ahead, Safaricom plans to scale and deepen the digital foundations established over the past year, with a targeted focus on personalisation and intelligent service delivery.

- o OneApp, targeting approximately 12 million users, will evolve into a fully integrated digital platform, consolidating Safaricom's core services, including GSM, M-PESA, wealth, entertainment and customer care, into a highly personalised environment. This will be enabled by advanced AI capabilities to drive intelligent product discovery and contextual customer engagement
- o To support broader digital inclusion, Safaricom Lite (Progressive Web App) will extend a OneApp-like experience to customers using entry-level devices, particularly 3G smartphones, ensuring equitable access to digital services

In addition, we will prioritise the following strategic initiatives:

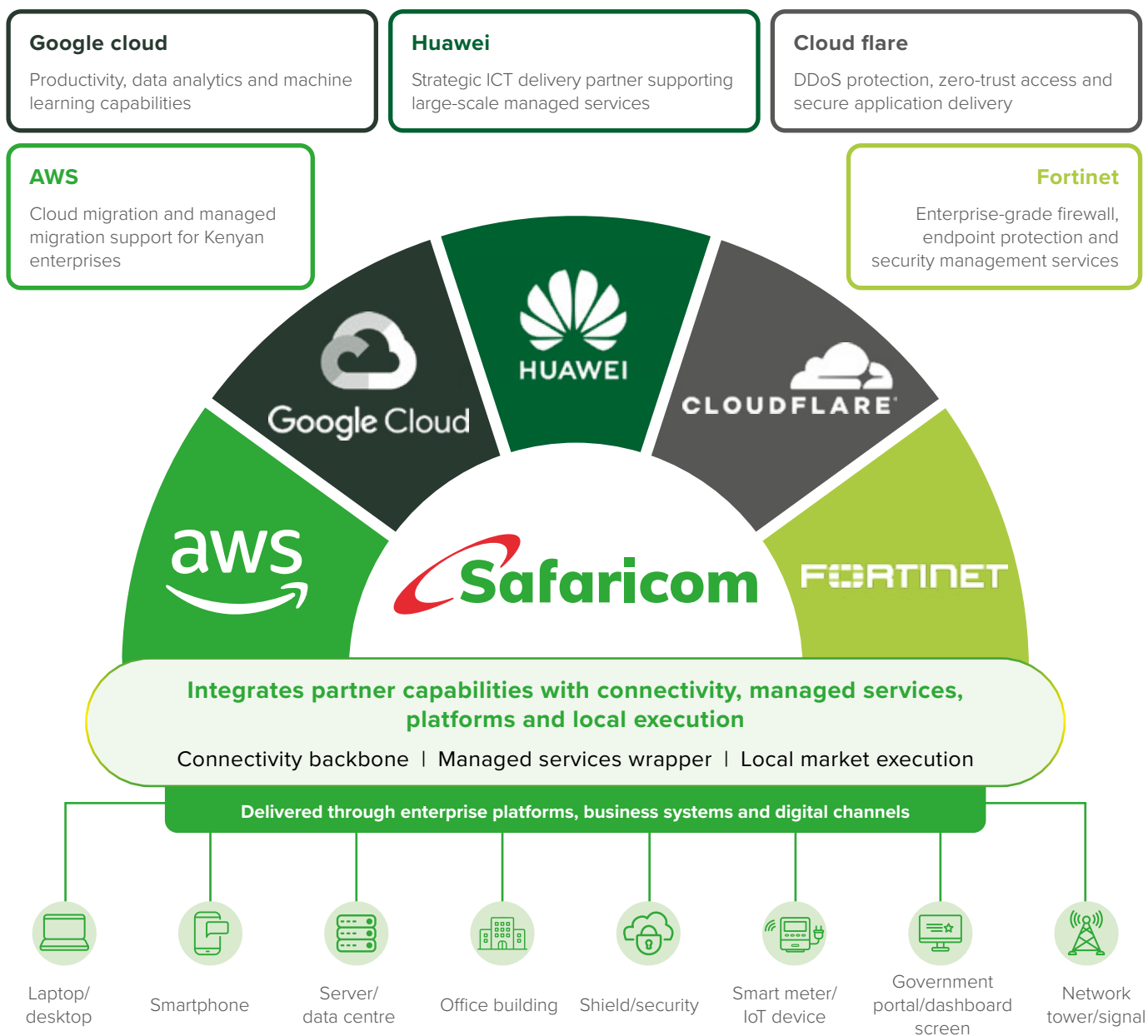
- o Scaling the use of AI to support Lipa na M-PESA and PayBill reversal processes at the enterprise level, improving turnaround times and customer experience
- o Deploying biometric authentication across frontline SIM swap and know your client (KYC) journeys to enhance security and fraud mitigation
- o Enhancing partner enablement capabilities to reduce manual intervention in onboarding and customer support processes
- o Simplifying key customer journeys, informed by customer feedback and operational insights, to improve usability and efficiency



Our strategic partnerships in action

Safaricom's enterprise partnerships in the year under review reflected a clear direction in how our business is creating value.

Our customer needs are becoming more complex, particularly in cloud, cybersecurity and sector-specific digital platforms. Safaricom's collaboration with specialist partners helped us expand our capabilities and deliver more integrated, targeted solutions for our stakeholders.



Rather than positioning partnerships as standalone initiatives, we use them to strengthen delivery in practical, high-impact areas. Working with global technology partners enhanced our ability to support cloud adoption, improve cyber resilience and expand our managed services offering. These relationships also supported internal capability building through technical training, certifications and knowledge transfer.

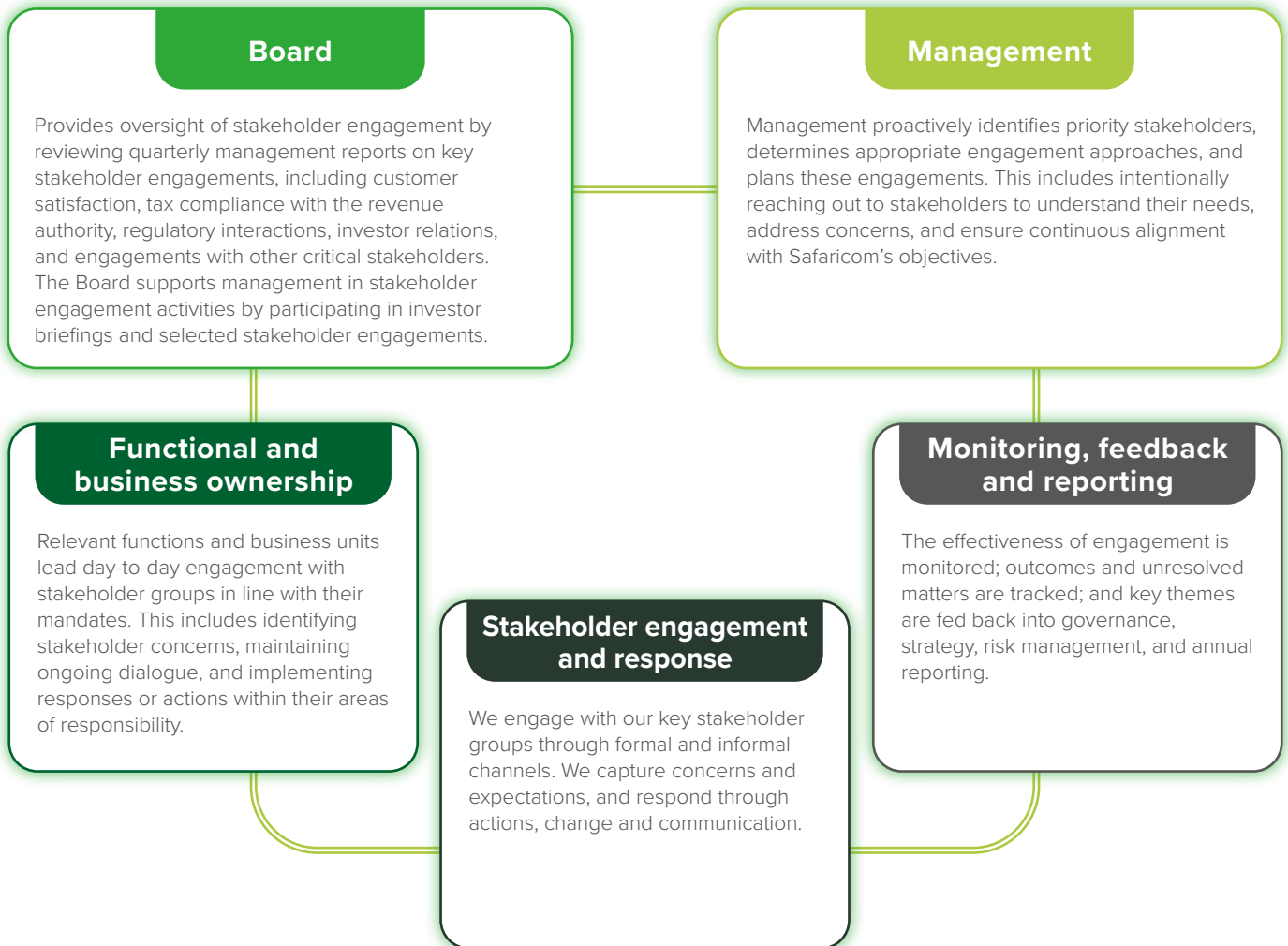
The value of this approach was also evident in customer-facing solutions. Platforms such as MySACCO and MyCounty, together with digital transformation work undertaken for Kenya Power, illustrate how Safaricom combined connectivity, platforms, payments and systems integration to respond to real operational needs. In doing so, partnerships helped the business move beyond traditional connectivity into a broader digital enablement role.

This collaborative model is becoming increasingly important as enterprise customers look for solutions that are locally relevant, technically robust and easier to implement at scale. By bringing together partner expertise with our own infrastructure, market presence and execution capability, Safaricom is better positioned to support digital transformation across both the private and public sectors.

OUR STAKEHOLDERS

We recognise that the quality of our relationships with stakeholders is crucial to fulfilling our purpose of Transforming Lives and achieving our vision of becoming Africa's leading purpose-led technology company by 2030. Therefore, engaging with stakeholders and gaining insights from these interactions has a vital impact on our human, intellectual, social, and relationship capital outcomes.

Our ability to create sustainable value depends on meaningful engagements with our stakeholders, rooted in mutual trust, respect, and transparency. Therefore, our engagement approach can be understood as a continuous cycle of listening, responding and refining, and can be best understood through this tiered approach:



Safaricom PLC (Kenya) and Safaricom Telecommunications Ethiopia (STE) are separate legal entities, and stakeholder engagement is conducted in accordance with the applicable laws, regulations, Codes of Conduct, and governance requirements in each market.

In accordance with our Stakeholder Relations policy, we identified the following stakeholder groups as most material to Safaricom's day-to-day operations. They represent the relationships that most directly shape our operating environment, how we engage across the business to understand priorities, respond to concerns and strengthen mutual value.



Investors and shareholders

We engage with a wide range of investors and analysts, including fund managers from various regions such as Kenya, East Africa, the United States, South Africa, the United Kingdom and the Middle East. We have seen an increase in both local participation from retail investors and high-net-worth investors. We profile our shareholders on pages 14 and 15 and provide details about our principal shareholders on page 242 of the Annual Financial Statements.

Investors and shareholders provide sustainable financial capital required for Safaricom to grow and share feedback that shapes our governance, management and reporting practices.

Material interests

Kenya

- Sound investment to ensure sustainable growth and risk management, and to ensure that we take advantage of any opportunities that arise
- Responsible allocation of capital and sustainable investment
- Sound corporate governance practice
- Transparent executive remuneration
- Stable dividend policy

Additional material interests and needs in FY26:

- New growth areas such as Ziidi Trader
- Safaricom Corporate Bond
- Ethiopia investment, returns, parental corporate guarantees, breakeven, spectrum, mobile money and FX reforms
- Kenyan macro-economic outlook
- Updated strategy and outlook
- 5G coverage and rollout
- Competitive environment
- Regulatory environment in terms of the mobile termination rate (MTR) impact
- Dividend policy
- Capex intensity and guidance
- M-PESA Africa
- Vodacom's proposed acquisition and shareholding structure

Ethiopia

- Returns and growth
- Risk management
- ESG performance
- Governance

How we engaged

Kenya

- Maintained active engagement with investors and shareholders through post-earnings engagements, including investor roadshows and briefings
- Held various investor meeting requests with the executive management team, including some market visits
- Adherence to statutory reporting guidelines
- Held the AGM for Safaricom shareholders on 25 July 2025
- Investors were kept informed of performance through timely financial disclosures, including quarterly update reports and half-year/full-year results
- Continuous communication via the investor relations section of the Company website

Ethiopia

- Board reviews provided oversight into governance, risk and strategic direction
- Financial reports communicated business performance and growth
- Quarterly investor communications and disclosures

Value created or preserved for the stakeholder group

- Sustained profitability and revenue growth, improving shareholder value
- Dividend payout to all bona fide shareholders at 80% of Group net income excluding minority interest (Distributable profits)
- The total dividend for the year was KShs 80.13 billion (FY25: KShs 48.08 billion), which represents KShs 2.00 per share for the year ended 31 March 2026 (FY25: KShs 1.20 per share)
- Losses in Ethiopia have halved year-on-year as we approach EBITDA breakeven in FY27



Customers

Our customers include individuals, families, small businesses, large enterprises and government departments.

To serve all our customers better, we drive a Customer Obsessed culture at the forefront of our ways of working.

We have a customer experience-ready gate for all products and platforms. We continuously invest in tools and products that are designed to give our customers variety and control.

Material interests

Kenya

- Relevant, value offerings
- Permanent bandwidth and system availability
- Data privacy
- Simpler and quicker access to Care Centre
- Easy to use, intuitive DIY and self-care services
- Managing the challenge of data-usage transparency by using tools like My Data Manager and Subscription Manager
- Visibility and control of subscribed services
- Secure and trusted digital solutions to enable worry-free transactions
- Privacy of information and content, protecting loved ones through parental control and anti-malware protection
- Feedback on service-related issues via CARE in line with our Customer Obsession agenda

Additional material interests and needs in FY26:

- Customers across segments expressed their desire to get consistent value from Safaricom

Ethiopia

- Network quality
- Affordability
- Service reliability
- Innovation
- Data/privacy protection

How we engaged

Kenya

- Digitised and simplified customer journeys on Zuri, App and Web
- Retail and franchise outlets
- Digital channels such as MySafaricom App, Web (myaccount.safaricom.co.ke), Zuri ChatBot, SMS, IVR and USSD channels
- Online via Facebook and X platforms
- Safaricom PLC website www.safaricom.co.ke
- Franchise automation and additional M-PESA tills
- Development of key journeys on the revamped Partner App
- Enabled customers to access SIM swap services at our franchise outlets without the need to visit a Safaricom shop or Care Centre

We measure our relationship through:

- Journey NPS
- Benchmark NPS
- Touchpoint NPS
- Journey Management Maturity Index
- Information Technology for customers

Ethiopia

- Customer experience surveys and NPS tracking were used to capture feedback on network quality, affordability and service reliability
- Call centres and retail shops supported issue resolution and direct service communication
- Digital channels and social media enabled targeted campaigns, product awareness and real-time customer updates

Value created or preserved for the stakeholder group

Kenya

- Digitised converged solutions, new products and services launched to improve everyday life
- Additional coverage and increased transaction speed
- A growing merchant network and reach
- Enhanced customer experiences
- Reduced voice and data rates

Ethiopia

- More for More offers for mass market (BESH campaign)
- Loyalty programme for high-value customers
- Reliable network experience and quality with 59.2% population coverage
- Customer care in all local dialects
- Advancing internet access across all of Ethiopia

Delivering value for our customers in the public sector

Safaricom continues to play a pivotal role in Kenya's digital transformation by providing the connectivity, digital payments, identity, and technology infrastructure that underpin critical public services. Through M-PESA and its broader digital ecosystem, Safaricom enables secure, transparent, and inclusive service delivery at scale, supporting government-to-citizen programmes such as Inua Jamii and NYOTA, while expanding access to financial services and driving greater economic participation across the country.

Our innovation extends into sectors that are critical to social and economic development, including healthcare, agriculture, and digital connectivity. The Digital Health Program has over 30 million registered citizens, enabled biometric verification for over 2.9 million beneficiaries, and strengthened service delivery through a national digital health infrastructure. In agriculture, the e-Subsidy platform supports over 6.3 million farmers, enabling efficient subsidy distribution and financing solutions to farmers. Meanwhile, Inua Jamii disbursements exceeded KShs 50 billion to 1.6 million beneficiaries, while the NYOTA programme has disbursed KShs 1.9 billion to over 100,000 youth through secure digital onboarding and direct M-PESA payments, improving transparency, auditability, and financial inclusion.

As Kenya advances its digital public infrastructure agenda, Safaricom remains the trusted partner enabling secure, identity-aware payments, interoperable platforms, and API-driven government services. By expanding our scope in digital identity, health, tax administration, social protection, and public sector integrations, we create a cohesive national digital ecosystem, enabling both central government and devolved units to deliver efficient, transparent, and citizen-centric services.





Government and regulators

Government, policymakers and regulators in Kenya and Ethiopia include the Central Bank of Kenya, Communications Authority of Kenya, CMA of Kenya, National Bank of Ethiopia and Ethiopian Communications Authority (ECA). These stakeholders ensure a trusted financial system and access to spectrum and operating licences. They impose regulatory requirements with potential cost implications.

In the year under review, the profile of this stakeholder group became more diverse. In Kenya, Safaricom continued to engage an established mix of sector, competition, financial and capital markets regulators. At the same time, in Ethiopia, the regulatory environment remained newer and more fluid, requiring engagement across a developing telecommunications and mobile financial services landscape.

Material interests

Kenya

- Ensuring a wide spectrum of interests is managed as a strategic resource, contributing to national broadband access and the digital economy, especially in underserved rural markets
- Protecting customer interests on service quality, costs and privacy
- Regulatory compliance on issues such as MTRs, price, returns, security, safety, health, and environmental sustainability
- Contribution to the tax base
- Promoting opportunities for job creation and socioeconomic development

Additional material interests and needs in FY26:

- Government and regulators continued to expect full compliance, transparent engagement and support for national development priorities
- Stronger emphasis on issues such as consumer protection, affordability, service quality, privacy, cybersecurity, licensing certainty and the resilience of critical digital infrastructure
- Regulatory focus in Ethiopia remained closely linked to market development, including pricing, infrastructure sharing, spectrum access and enabling a more level competitive environment
- In Kenya, the stakeholder group also remained interested in Safaricom's contribution to the tax base, job creation, digital inclusion and service delivery in underserved areas

Ethiopia

- Implementation of regulatory decisions and approvals
- Compliance
- Economic contribution
- Digital inclusion
- National development alignment,
- Effective partnership and regulatory competition monitoring

How we engaged

Kenya

- Proactively advocated for an enabling regulatory environment through the submission of outlooks and comments during public participation exercises
- Implemented effective internal policies and procedures to ensure compliance with regulatory obligations
- A successful engagement with the regulator led to the approval of various products and services
- Participated in the first African Preparatory meeting for World Radiocommunication Conference 2027 in Maseru, Lesotho, to discuss the allocation of spectrum for various technologies, while ensuring efficiency and equitable access for all
- We continued to implement USF infrastructure projects that aim to provide mobile network coverage in unserved and underserved areas across the country
- Participation in consultations and public forums
- Submission and engagement on draft regulations and bills
- Publication of policies and research engagement papers
- Partnering on key areas, including education, health, and gender-based programmes

Ethiopia

- Written submissions
- Regular engagements with ECA
- Pertinent ministries and government authorities
- Compliance reporting
- Participation in stakeholder consultations and workshops, engagement for resource allocation

Value created or preserved for the stakeholder group

Kenya

- Remitted KShs 163.06 billion in duties, taxes and licence fees in the year, increasing total duties, taxes and fees since inception to KShs 1.54 trillion
- Invested in connectivity, inclusion, and innovation, aligning with national development goals
- Our API-driven public infrastructure integrations enabled secure data exchange among government and agencies
- Strengthened controls to help remove Kenya from the Financial Action Task Force (FATF) grey list
- Positive collaboration with the regulator in Ethiopia in securing new and previously reserved spectrum, supporting industry stability

Ethiopia

- The integration of M-PESA with EthSwitch advanced national interoperability by enabling connectivity with over 30 banks and digital wallets
- KShs 273.6 million paid in corporate tax



Employees

Our 6,616 Group permanent employees are the driving force behind our purpose. Their engagement, determination and skills drive our performance outcomes and customer experiences. We remain committed to female inclusion, women in technology, and the increased representation of PwDs in the Group.

Furthermore, we have dedicated inclusion programmes for women in leadership and women in tech with a 50:50 gender representation target at all levels from Board, executive leadership, senior leadership and all levels of the workforce.

How we engaged

Kenya

- Continuous communication, education and awareness forums to support personal and financial development
- Internal website
- Newsletters, internal magazine and electronic platform communication
- Employee hotline
- Leadership coaching and mentorship forums
- CEO mailbox

Additional engagements in FY26:

- Flagship events, including Safarilympics, the Lewa Marathon and the CEO's Karura Run event
- Tustawi Pamoja strengthened and supported mental health through counselling, awareness, and peer-based interventions
- Mpesa@18: Various staff engagement activities were curated to foster enthusiasm and participation, with 180 staff members awarded KShs 18,000 seed capital on Ziidi over the period
- Safaricom@25: Human Resources (HR) facilitated employee participation in the celebrations, ensuring staff were actively recognised. Initiatives included a cash reward for all employees, the launch of the Safaricom Mortgage Scheme, recognition of employees with 25 years of service, Green Box surprises for selected employees, participation in market visits, and involvement in customer recognition activities during the nationwide consumer promotion Shangwe@25 campaign

We measure our relationship through:

- Spirit of Safaricom Index
- Health, safety and well-being maturity
- Employee Engagement Index
- Top Employer status in Kenya and Africa

Ethiopia

- Internal communications and town halls were used to share business updates, culture priorities and organisational direction
- Performance reviews supported dialogue on expectations, development and career growth
- Engagement surveys captured employee feedback, leadership programmes, graduate trainee rotations, and zero-harm initiatives reinforced capability building, safety and employee well-being

Material interests

- Clear career paths through individual development plans and performance reviews
- Improved mobility and knowledge sharing across the Group
- Simplicity, agility and engagement
- Building the coaching and mentoring capability of leaders
- Better understanding of reward structures and competitive remuneration
- Well-being programmes
- Inclusive culture

Value created or preserved for the stakeholder group

- Continued investment in talent development
- Offering a stable, mission-driven environment that supports engagement
- Our well-being programmes were expanded to address physical, emotional, mental, spiritual, and financial needs holistically
- The Money Made Personal series equipped employees with practical education around financial literacy and resilience
- Investment in local skills and talent with 98% Ethiopian employees and 2% expats employed



Suppliers and business partners

Our suppliers and business partners are essential in delivering value to customers and driving sustainable impact. Our interactions are built on a foundation of transparency, accountability, and shared values.

They are vital enablers of scale and innovation. As a key interface with our customers, they are custodians of our brand and reputation and critical to the quality of customer experiences.

Suppliers and business partners impact our ability to offer quality and cost-effective products and services and to provide cutting-edge technology.

How we engaged

Kenya

- Online performance evaluations
- Online and in-person Sourcing Team engagements
- Supplier Day/supplier forum and Special Interest Group forums
- Occupational Safety and Health (OSH) quarterly forums for high-risk suppliers
- One-on-one and virtual business meetings
- Training sessions on new products and services
- Market visits

How we measure our relationship:

- Annual Supplier NPS
- Quarterly Supplier performance feedback sessions

Ethiopia

- Procurement processes communicated sourcing requirements, fairness and compliance expectations
- Contract reviews clarified commercial terms, performance obligations and payment arrangements
- Partner meetings supported dialogue on service delivery, collaboration and issue resolution
- SLAs set expectations for service standards and accountability
- Onboarding of new partners strengthened local supplier participation

Material interests

Kenya

- Timely communication on various activity outcomes, such as tender processes
- Remain accessible to partners for feedback on their performance
- Closer relations and frequent engagements with the sourcing team to know the opportunities available, to prepare concise tender documents and submit these on time
- Support in getting good rates from the banks to enable delivery on contractual obligations and ensure working capital to run their businesses

Ethiopia

- Fair procurement
- Timely payments
- Long-term partnerships
- Compliance

Value created or preserved for the stakeholder group

Kenya

- Our operations, revenue and network expansion support stable demand for supplier goods and services, including network equipment, infrastructure and distribution
- We strengthened relationships by creating opportunities for senior leadership to engage directly with current suppliers and business partners
- KShs 6.0 billion (5%) was spent through Special Interest Groups (Women and Youth owned businesses)
- The Corporate Security Supplier webinar in September 2025 was attended by 291 suppliers, focusing on data privacy, Code of Conduct and partner risk assessments
- A Supplier NPS was conducted between June and July 2025 to rate the level of supplier satisfaction

Ethiopia

- Onboarding of new partners and strengthening local supplier participation



Communities

Our communities are both the beneficiaries and co-creators of our impact. We partner with them to advance education, health, environment, and economic empowerment, ensuring that growth is inclusive and no one is left behind.

We aim to transform their lives through sustainable development initiatives that strengthen the socioeconomic context in which we operate.

How we engaged

Kenya

- Safaricom Foundation and M-PESA Foundation are partnering with communities
- Public participation in projects and initiatives that give back to society
- Our Foundations initiated implementation across 591 projects funded through distinct streams, including:
 - 37 strategic regional projects tailored to address regional priorities
 - 27 community-driven initiatives under the Pamoja Framework
 - 301 grassroots projects as part of the Ndoto Zetu Phase VII campaign

Read more about our community projects in the Sustainable Business Report.

Ethiopia

- CSR projects communicated the Company's contribution to digital financial inclusion, education, health, agriculture, disaster relief and solidarity
- Community outreach and stakeholder forums enabled dialogue on local needs, shared value and social impact
- Inclusive and accessible design for products, services, facilities and work culture

Material interests

Kenya

- Access to basic services such as finance, health, education, water and environmental conservation
- Investment in infrastructure

Ethiopia

- Economic empowerment (financial inclusion)
- Connectivity
- Education
- Health
- Agriculture
- Disaster relief and solidarity
- Environmental stewardship
- Accessibility and inclusivity for marginalised and disadvantaged groups, e.g. people with disabilities

Value created or preserved for the stakeholder group

Kenya

- We invested KShs 6.8 billion in 47 counties, impacting 4.4 million lives
- Collectively, our community projects contributed to improving access to essential services, creating sustainable livelihoods, and fostering resilience in underserved communities

Ethiopia

- 5,700+ youth enrolled in Talent Cloud programmes
- 10 connected youth centres across six cities
- 224 farmers funded in a pilot digital agriculture finance programme
- 2,500+ families supported through health insurance
- USD 4.1 million mobilised through grants and donations through our partners
- Safaricom Ethiopia Foundation registered in July 2025





Media

The media are critical partners in shaping narratives, fostering transparency, and amplifying our impact. Through trusted communication and collaboration, they help us demonstrate accountability and share our journey with society. They play a critical role as the point of contact for external stakeholders and in keeping them informed of Safaricom facts, business developments, new products and services, and the impact of our business operations.

Changes to the media stakeholder group profile in the year under review:

- Growth of beat-specific journalists (e.g. tech, business, community media), requiring more tailored engagement approaches
- Increased influence of community radio stations and regional media as trusted voices at the local level
- Emergence of digital media players (creators and influencers), including independent content creators, bloggers, and influencers as key narrative shapers, often reaching highly engaged niche audiences
- Shift from institutional media primacy to a more decentralised, personality-driven media landscape
- Faster content cycles and more direct audience engagement compared to traditional media
- Journalists and creators alike are producing content across print, digital, video, and social platforms, blurring traditional media boundaries
- Journalists are increasingly positioning themselves as subject-matter experts, not just reporters, evidenced by roles in moderation, training, and advisory
- Informal networks and peer associations within media are becoming more influential in shaping narratives

How we engaged

Kenya

- Media releases and product-related publicity
- Roundtables
- Product launches
- Face-to-face and telephonic engagements
- Interviews with the CEO and key executives

Additional engagements in the year under review:

- Press briefings, media immersions, thought leadership articles and high-level executive media interviews
- Informal, relationship-based engagements
- Crisis containment and media responses to queries, to clarify issues and provide position statements
- We engaged 37 regional and community radio stations, helping to strengthen local media capacity, building both our relationships with communities who are their fan base and amplifying stories that matter to communities
- Engaging journalists as experts in their professional capacities
- Directly sponsoring media society events

Ethiopia

- Maintain proactive and transparent engagement through regular media briefings, journalist breakfasts, interviews, press releases, stakeholder meeting invitations, thought leadership platforms, and timely information sharing
- Story placements, campaigns and thought leadership platforms to amplify brand visibility, advocacy messages and reputation

Material interests

Kenya

- Updates on key activities and offerings by the business
- Transparency
- Change communication and new products and services

Additional changes to stakeholder interests in the year under review:

- Content creators are increasingly anchoring their work within purpose-driven communities. While we currently support these groups, we have a strategic opportunity to deepen our engagement by empowering their content creation and providing essential connectivity tools, such as smartphones and airtime

Ethiopia

- Access to timely information, executive insights, newsworthy content, and strategic collaboration opportunities

Value created or preserved for the stakeholder group

- Overall, Safaricom has actively engaged more content creators to drive content syndication across new media channels. While our brand advocacy programme has successfully activated nano- and micro-influencers, we are witnessing a significant shift in audience behaviour toward dynamic video content. The rise of new media creators has transformed the news cycle, with breaking updates now surfacing first on video platforms like Instagram and TikTok, followed closely by X and Facebook
- We deepened our segmented engagement strategy with tailored engagement for key media clusters
- We scaled informal, high-touch engagements that build trust and loyalty
- We increased high-impact executive visibility and insights on key national and industry topics and expanded media capacity-building initiatives
- We leveraged the media as strategic partners by co-creating content and collaborating on storytelling and advocacy
- We provided richer multimedia content, data-driven insights, and faster access to information aligned with evolving newsroom needs

OUR OPERATING CONTEXT

We consider our operating contexts in Kenya and Ethiopia as input into our strategy review process, when we identify our material matters and determine risks or opportunities. These contexts remain dynamic, with a mix of potential short-term impacts and long-term trends shaping our responses.



OUR CONTEXT IN KENYA

Kenya remained a resilient operating environment in FY26. Macro-economic stability, supported by moderate inflation, steady economic growth and a stable currency, continued to support affordability and investor confidence. This stable backdrop contributed to sustained economic activity and supported the adoption of digital services.

Even so, demand for digital services remained strong, underlining the extent to which connectivity, payments and digital platforms are now embedded in economic activity and service delivery. Key features of this year's operating context included:

- Increased regulatory scrutiny following Kenya's placement on the FATF grey list, with greater focus on anti-money laundering, KYC requirements and consumer protection
- A more competitive market, with additional digital lenders entering the sector
- Increasing regulatory attention on data privacy
- Emerging policy attention on virtual assets, reflecting a financial services sector evolving beyond traditional mobile money

Regulatory dynamics

In Kenya, Safaricom operates within a more mature and increasingly integrated regulatory environment, where telecommunications and financial services operate within established policy and regulatory frameworks across both sectors.

On the telecommunications side, the regulatory landscape continues to evolve, with the implementation of the MTR glide path reductions forming part of the evolving telecommunications regulatory landscape, alongside developments in quality-of-service requirements relating to network performance, coverage and customer experience.

These developments are complemented by a stable spectrum allocation regime and the successful renewal of Safaricom's operating licence for a further 25-year period, reinforcing long-term regulatory certainty and supporting continued investment in network infrastructure and technology.

The financial services environment also continues to evolve alongside the growth of digital financial services. Regulatory and industry developments relating to digital payments infrastructure, interoperability and mobile money services continue to shape the operating environment.

Macro-economic factors

Kenya's economy grew by 4.6% in 2025, slightly lower than the 4.7% recorded in 2024, largely due to slower growth in the agriculture sector (3.1% vs 4.4% in 2024) due to erratic rainfall resulting in mixed crop performance and slower manufacturing activity (2.0% vs 3.0% in 2024). The Central Bank of Kenya projects GDP growth of 4.9% in 2026, revised down from a previous estimate of 5.3%, largely reflecting increased geopolitical risks and associated volatility in global energy prices, which are expected to weigh on economic activity in some sectors.

The CEOs Survey and Market Perceptions Survey, conducted in March 2026, revealed sustained optimism about business activity and economic growth prospects over the next 12 months. The optimism was attributed to a stable macro-economic environment with low inflation and a stable exchange rate, lower interest rates, expected favourable weather conditions which are expected to support agriculture, increased infrastructure spending and digital innovations, and improved private sector credit growth.¹

The new Finance Act 2025 imposed a 10% excise duty on fees charged by virtual asset service providers (VASPs) on virtual asset transactions. This will expand the tax base and integrate digital assets into the formal tax system.

State of digital inclusion and connectivity

Among adults in Kenya:²

90%

have a financial account

93%

own a mobile phone

89%

have made or received a digital payment

60%

used the internet in the past three months

Our competitive landscape

Kenya's telecommunications and digital services market remained highly competitive. Competition continued across voice, mobile data, home broadband, financial services and digital ecosystems, with pressure coming from pricing, promotions, bundle innovation, device accessibility and customer experience.

- Mobile:** The market continued to be shaped by rising data demand, broader smartphone adoption and ongoing migration toward 4G- and 5G-enabled experiences
- Fixed connectivity:** Growth opportunities remained in fibre and fixed wireless access, while the competitive landscape was also influenced by newer alternatives such as satellite broadband and other home connectivity options

This means market leadership is no longer defined by scale alone. Network quality, coverage, ecosystem relevance, digital service capability and the strength of customer propositions all increasingly shape competitiveness.

Overall, Kenya's operating context remained one of opportunity and complexity. Economic conditions, affordability dynamics, competitive pressures, shifting customer expectations, and regulatory developments all influence how value is created in the market.

¹ Central Bank of Kenya Monetary Policy Committee meeting 10 February 2026.

² World Bank Group The Global Findex Database 2025: Connectivity and Financial Inclusion in the Digital Economy.

OUR CONTEXT IN ETHIOPIA

The Ethiopian market in FY26 was shaped by a combination of interventions, infrastructure rollout demands, and the realities of building scale in a relatively underpenetrated two-player market.

In December 2025, the Ethiopian Communications Authority (ECA) approved Ethio Telecom's Reference Infrastructure Sharing Offer (RISO) and Reference Interconnection Offer (RIO), effective 1 January 2026, covering passive infrastructure sharing and interconnection services under transparent terms.

Together with Safaricom's approved RISO, these frameworks harmonise Ethiopia's telecom regulatory environment, promote efficient infrastructure utilisation, reduce duplication, and strengthen competition and network expansion across the sector.

Regulatory dynamics

Safaricom Ethiopia operates within a structurally dual regulatory environment, with separate frameworks governing telecommunications and mobile financial services. This requires the business to scale connectivity and financial services in parallel, while maintaining compliance across two distinct and evolving regulatory regimes.

GSM regulatory landscape

- Unified telecommunications services licence at USD 850 million
- Industry-led regulations to build sustainable industry regulatory guidelines, including the Reference Infrastructure Sharing Offer (RISO) and cost-of-service frameworks for voice and mobile data
- Spectrum allocation and network coverage remain important elements of the operating framework, with 4G population coverage reaching 59.2% by March 2026
- Coverage obligations have been supported through ongoing site rollout, reaching 3,504 sites by March 2026

Mobile financial services regulatory landscape

- In October 2025, M-PESA integrated with EthSwitch, strengthening interoperability across banks and wallets
- In May of 2025, federal public bodies were directed to accept payments from all licensed payment service providers
- In December 2025, Ethiopia launched its National Digital Payments Strategy 2026-2030 and Instant Payment System

Inflationary pressures in Ethiopia eased significantly during the period, supported by improving macro-economic conditions, greater currency stability and fiscal discipline. The IMF reported a three-year cumulative inflation rate of 109% as at December 2024 and projected a decline to 80% in 2025 and 54% in 2026. Official statistics reported a three-year cumulative inflation rate of 92% and a 12-month inflation rate of 14% as at May 2025. These trends indicate that Ethiopia is expected to fall below the IAS 29 hyperinflationary accounting thresholds by 30 June 2025.

On the telecommunications side, the operating environment in FY26 was shaped by a series of regulatory interventions aimed at improving market structure and long-term sustainability. The introduction of the RISO established regulated wholesale pricing for access to EthioTel's infrastructure, reducing cost uncertainty, lowering US dollar exposure and improving the overall cost base.

For mobile financial services, the regulatory environment remains in a formative stage, with Safaricom operating under a distinct licensing regime overseen by the National Bank of Ethiopia. The progressive opening of the financial services sector, alongside steps toward creating a more level playing field for mobile money operators, is supporting the gradual expansion of M-PESA use cases and ecosystem participation.

Macro-economic factors

Ethiopia is the second most populous country in Africa and one of the fastest-growing economies in the region. The country maintained a robust growth trajectory, with real GDP growing by 9.2% in 2024/25, higher than the 7.5% average growth rate over the last eight years.

Inflation has been decelerating since August 2023 to a low of 9.4% in March 2026, driven by the government's sustained tight monetary stance, fiscal discipline, and positive supply-side measures. Geopolitical tensions in the Middle East are expected to exert upward pressure on global oil prices and will create disruptions in supply chains, thereby posing increased upside risks to the domestic inflation outlook.¹

Securities trading was officially launched on the Ethiopian Securities Exchange (ESX) in July 2025, marking a historic milestone as the country's first regulated capital market platform for equities and government securities. This landmark development is a key pillar of Ethiopia's reform agenda, aimed at fostering inclusive growth, enhancing transparency, and unlocking new investment opportunities across the economy.

State of digital inclusion and connectivity

Among adults in Ethiopia²:

49%

have a financial account

58%

own a mobile phone

21%

have made or received a digital payment

14%

used the internet in the past three months

The National Bank of Ethiopia published a draft National Digital Payments Strategy 2026-2030 to drive active digital usage, based on trusted infrastructure. The strategy aims to bridge the digital divide between urban and rural communities, narrow the gender gap in financial inclusion, and ensure that digital payments serve as a secure gateway to broader economic opportunities.

Competitive landscape

Ethiopia's telecommunications sector continued its transformation from a monopoly to a more competitive and dynamic market. Major policy and regulatory reforms were bolstered by substantial investments in digital infrastructure and by increased competition following Safaricom Ethiopia's entry. Digital transformation has become a national priority.

Ethiopia's average revenue per user (ARPU) remains among the lowest in Africa, at around USD 1 per month. Compared to other African countries, Ethiopia still lags in 4G coverage, broadband speed, and fixed internet penetration, particularly in rural and remote areas.

The liberalisation of Ethiopia's telecommunications sector has supported increased investment in network infrastructure, service innovation and digital connectivity. These developments have contributed to broader access to digital services and increased broadband adoption, with an additional 18.4 million unique mobile broadband subscribers since 2018. As the market continues to evolve, ongoing investments and regulatory developments are expected to further support the growth of Ethiopia's digital economy.

¹ https://nbe.gov.et/nbe_news/press-release-monetary-policy-committee-meeting-no-6/.

² World Bank Group The Global Findex Database 2025: Connectivity and Financial Inclusion in the Digital Economy.

OUR STRATEGIC RISKS AND OPPORTUNITIES

Risk management is an integral part of creating and preserving value. Safaricom faces a broad range of risks and opportunities in its business operations. While it may not be possible to eliminate all risks as we implement our strategy, we recognise that accepting some risks is necessary to foster innovation, ensure sustainability and maximise shareholder value.

We govern and manage risks through the mechanisms below, which are explained in detail in our Risk Report from page 121.

Enterprise Risk Management (ERM) Framework

Risk Appetite and Tolerance Framework



Integrated Risk Management (IRM) policy

Risk management process

Our approach to risks and opportunities

We monitor and review risks by continuously considering the risk landscape (horizon scanning), including prevailing and forward-looking trends. This includes assessing whether a risk is increasing or decreasing over time and using a five-level scale (extremely serious/very serious/serious/minor/not significant) to determine its potential impact and likelihood.

Our monitoring process ensures that appropriate and timely corrective measures are taken. We track key risk indicators through our risk registers. These indicators determine whether:

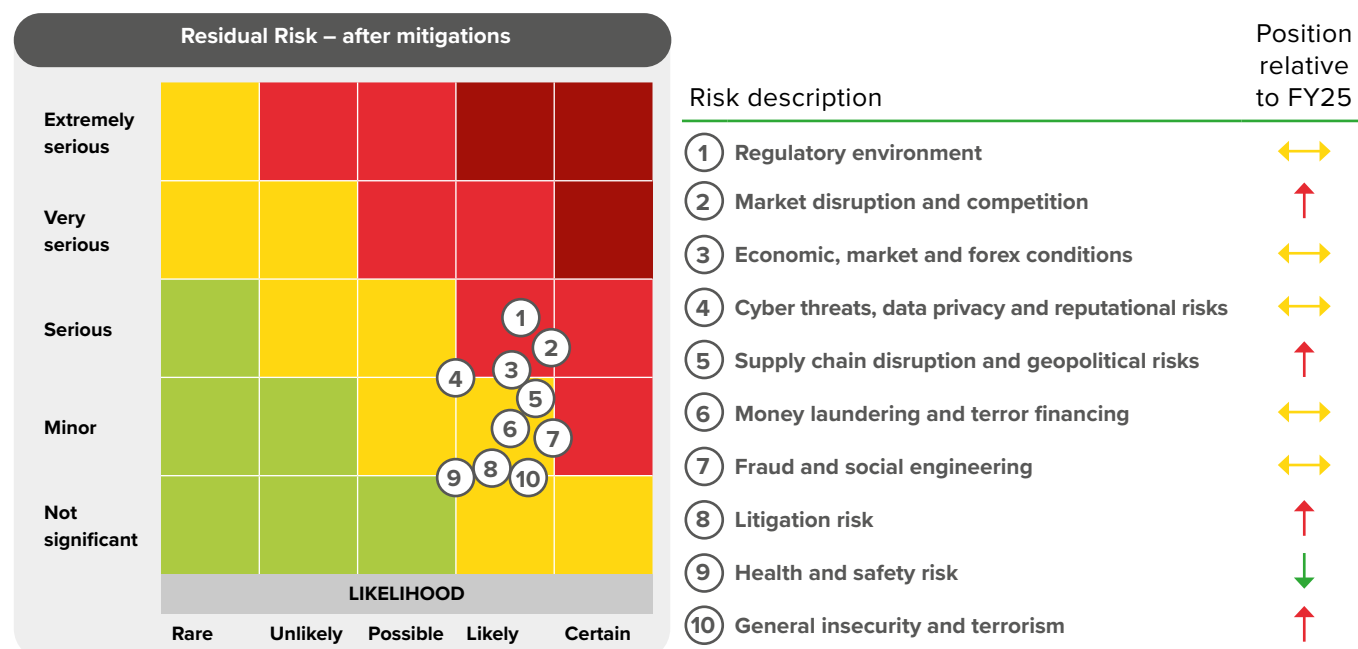
- Risk measures delivered the intended results
- Procedures and information gathered were appropriate
- Improved knowledge would have helped to reach better decisions
- There are lessons learned for future assessments and the management of risks

When classifying risks, we determine whether these are strategic or operational, based on both internal and external contexts.

While we focus on our key risks, we track emerging risks as part of our strategy review process. Read more about emerging trends, risks and opportunities from page 47.

Our key risks

We use a risk heat map to depict the residual risk rating for our key risks after mitigating controls are in place. The rating is calculated as the ratio between the probability of the risk and its impact. The table illustrates the movement in key risks since FY25. Find detailed descriptions about our key risks, opportunities and mitigating actions in the Annual Financial Statements from page 132.



MATERIAL MATTERS

Our material matters are the issues that can substantively affect Safaricom's ability to create and sustain value over the short, medium, and long term. These matters include risks, opportunities, and strategic themes that can impact our six capital resources and relationships.

We consider external factors from our operating context (see previous section) as well as internal themes to inform our material matters. We apply an ongoing assessment of our ability to create and preserve value by drawing on:

- Engagement with stakeholders and the concerns and insights raised through these interactions
- Developments in the broader operating environment, including economic, regulatory, market and societal trends
- Alignment to relevant global priorities, including the SDGs

Our material matters are identified and prioritised by management and approved by the Board. In determining and assessing these matters, we consider our operating context, stakeholder priorities and relevant local and regional development priorities, including the National Development Plans. This process is key to shaping both our strategic approach and its implementation. Read more about our materiality approach on page 2.

Based on this year's engagement outcomes, no new material matters were identified, and none were removed. The material matters, therefore, remain unchanged from the prior year.



Our platforms

Our digital platforms rely on physical network infrastructure to deliver innovative solutions, enable transactions and enhance high-capacity connectivity. We have to meet rapidly growing demand by ensuring long-term bandwidth capacity to support cloud computing, AI workloads and data use.

We own a significant portion of our tower sites, which are strategically important for capital efficiency and growth opportunities. In FY26, we also co-invested in a new 8,200 km 2Africa cable system that will significantly enhance Kenya's international bandwidth capacity, while providing additional route diversity and resilience against regional connectivity disruptions.

We monitor the quality, availability, and coverage of critical network components to ensure we provide our customers with the best overall experience. As such, we fulfil our responsibility as an enabler of digital inclusion, economic empowerment, and sustainable development in the region.

Our network enables platforms such as M-PESA and DigiFarm, which we refine and enhance through new functionalities and security capabilities.

Alignment with key risks

- Market disruption and competition
- Cyber threats, data privacy and reputational risks
- Supply chain disruption and geopolitical risks

Strategic response

- Protect and grow the core
- Accelerate the transition to TechCo
- Unlock value through innovative delivery models

SDG contribution

SDG 8 | SDG 9 | SDG 10 | SDG 17



Environmental stewardship

As one of the major players in Kenya's economy and with a growing presence in Ethiopia, we have a responsibility to manage and minimise our environmental impact and achieve our net-zero target.

We respond proactively to regulatory changes, ensuring full compliance with updated air quality, waste, and carbon trading frameworks. Our environmental audits, e-waste recycling and waste diversion rate demonstrate our commitment to data-driven accountability and going beyond compliance.

We identify and manage environmental and climate risks and opportunities, integrating them into strategic decisions related to capital expenditure and operational efficiency. We also endeavour to provide solutions to help other sectors reduce their emissions through digitisation.

We track greenhouse gas emissions, energy efficiency, consumption and cost, waste and e-waste, and emission reductions, using environmental impact assessments and audits, together with international third-party standards such as ISO 14001 for environmental management and ISO 50001 for energy management.

Alignment with key risks

- Regulatory environment
- Market disruption and competition
- Supply chain disruption and geopolitical risks
- Health and safety risk

Strategic response

- Accelerate the transition to TechCo
- Developing climate-tech solutions as a key performance priority
- Unlock value through innovative delivery models

SDG contribution

SDG 7 **SDG 12** **SDG 17**



Innovation and partnerships

AI is driving the need for innovation and partnership in areas such as predictive customer care, AI-driven decision-making, and optimised network investments. These initiatives aim to translate AI capabilities into practical solutions that enhance customers' daily digital experiences and meet data privacy requirements.

As a purpose-led technology company, we consider innovation central to achieving our strategic objectives, retaining our competitive edge, and ensuring we continue to grow. We also recognise that the digital economy demands that we solve societal challenges while connecting individuals and businesses in new, impactful ways.

Guided by our Innovation Framework, internal specialists, and external partnerships, we apply a system-led, co-creative approach to innovation.

We collaborate with global technology leaders such as Google and AWS and have strategic partnerships with governments, universities, and NGOs to develop solutions in health, education, agriculture and humanitarian responses. We also entered into a partnership for embedded SME payments and data-driven lending, and to expand ecosystem-based lending models leveraging transaction data to provide working capital financing.

Alignment with key risks

- Regulatory environment
- Market disruption and competition
- Cyber threats, data privacy and reputational risks
- Fraud and social engineering

Strategic response

- Protect and grow the core
- Accelerate the transition to TechCo
- Unlock value through innovative delivery models

SDG contribution

SDG 3 **SDG 4** **SDG 8** **SDG 9** **SDG 10** **SDG 17**



Governance, business ethics and risk

We operate in highly regulated telecom and financial sectors, where governance integrity is paramount. Kenya's FATF grey listing means that international partners will apply stricter scrutiny to financial transactions, requiring more regulatory focus on our mobile money services and cross-border transactions to prevent illicit flows.

Robust governance frameworks, compliance and responsible business practices are essential across operations and supply chains. We have to allocate adequate resources to build an ethical culture and mitigate risks.

We have a mature governance framework to manage risks across infrastructure, platforms, partnerships, and public sector contracting. The Safaricom Code of Business Conduct guides the Group on ethical leadership, behaviour and decision-making that promote corporate social responsibility, fair business practices and sustainability.

All employees are required to declare conflicts annually, adhere to a zero-tolerance policy on bribery, and record all gifts and hospitality in a centralised register. Third-party partners undergo enhanced due diligence, sanctions screening, and compliance validation before onboarding. At the same time, tender governance is safeguarded through clear separation of duties, audit-trailed digital procurement workflows, and structured evaluation criteria to prevent undue influence.

Alignment with key risks

- Regulatory environment
- Cyber threats, data privacy and reputational risks
- Money laundering and terror financing
- Fraud and social engineering
- Litigation risk

Strategic response

- Protect and grow the core

SDG contribution

SDG 8 **SDG 16** **SDG 17**



Regulatory environment

Safaricom operates in a complex and evolving regulatory environment across multiple jurisdictions, including Kenya and Ethiopia.

Safaricom has responded by strengthening governance, enhancing customer safeguards, and actively engaging with regulators and policymakers to support balanced regulation that protects consumers while fostering innovation and financial inclusion.

We maintain rigorous oversight of our products and services to ensure ongoing compliance with applicable laws and regulations.

Both Kenya and Ethiopia have evolving regulatory frameworks designed to balance industry growth, consumer protection, and market competition, while responding to shifts in the socioeconomic landscapes. The regulatory environment in Ethiopia remains dynamic amid ongoing liberalisation reforms.

East African regulators are exploring frameworks that could allow fintech firms to operate across markets with a single licence, facilitating regional expansion.

Alignment with key risks

- Regulatory environment
- Market disruption and competition
- Litigation risk

Strategic response

- Protect and grow the core
- Boost and evolve Ethiopia

SDG contribution

SDG 9 **SDG 16** **SDG 17**

OUR STRATEGY AND BUSINESS MODEL

Our vision is to become Africa's leading purpose-led technology company by 2030.



STRATEGY REFLECTION

Safaricom concluded the previous strategy cycle by advancing the transition from a traditional telecommunications operator to a fully-fledged technology company. FY25 centred on strengthening customer-first technology capabilities, while FY26 focused on scaling these solutions to accelerate progress.

During the past cycle, we achieved significant milestones in generating value for our customers, consumers, stakeholders and shareholders, as we celebrated 25 years of Transforming Lives and 18 years of providing seamless mobile money solutions.

Some of our major achievements for the period include:

- We reached 71.6 million three-month active customers at Group level as of FY26, comprising 57.9 million customers in Kenya and 13.6 million customers in Ethiopia
- We developed market solutions to support our customers beyond payments and connectivity. Wealth solutions like Ziidi Invest and Save, and Ziidi Trader transform the way millions of Kenyans access money and capital markets. Shiriki Pay allows for controlled shared spending across users from a single wallet, whereas privacy enhancements for payments protect our customers' sensitive information
- We were recognised by the Top Employers Institute as a Top Employer in Kenya, Ethiopia, and Africa for 2026, our fifth consecutive certification in Kenya and third in Ethiopia
- We have transformed over 15 million lives through our solutions and transformational programmes touching on maternal health, digital education, agri-tech solutions, and social safety nets (e-wallet fertiliser subsidies), alongside ongoing funding through the Safaricom and M-PESA Foundations in education, health, environment, and economic empowerment

Our strategic challenges

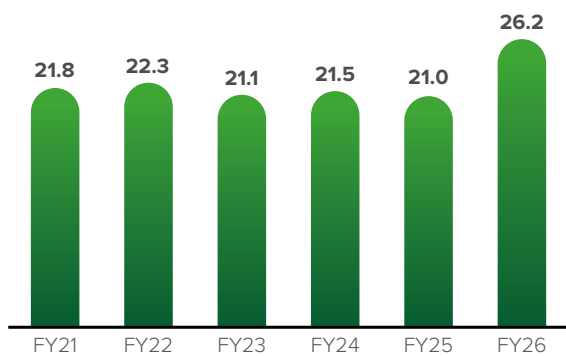
We also experienced headwinds during the past cycle that affected strategy execution. These included:

- Inflationary pressure, especially around food, mounted pressure on non-food commodity spend and increased price sensitivity to our core and advanced offerings
- In Kenya, increased fiscal pressures and foreign exchange volatility, particularly relating to the EUR/KES exchange rate, continued to influence the operating environment and cost base
- Increased taxation and levies continued to place pressure on household disposable incomes, affecting consumer spending patterns and increasing affordability considerations across the market
- Cybersecurity and data privacy risks remained critical considerations as digital adoption accelerated. Any industry incidents pointing to lapses in cybersecurity and data compromises erode our customers' trust
- In Ethiopia, market maturity constraints and high infrastructure rollout costs continued to shape the pace of growth
- Ongoing FX regime reforms and exchange-rate realignment in Ethiopia continued to shape the operating environment, contributing to currency volatility and cost pressures as the market adjusts to a more liberalised foreign exchange framework

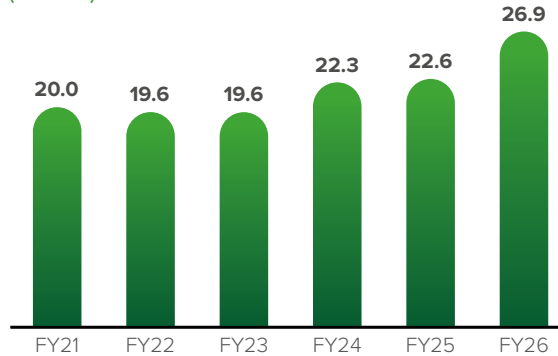
Overall, while the operating context presented notable challenges, Safaricom delivered meaningful progress during the strategic cycle, strengthening our six capital outcomes as set out on page 56.

Safaricom has been empowering communities through an expanding reach and by integrating services into the fabric of society. We continued our strategic trajectory, evolving from a traditional communications provider to an innovative technology company with an entrenched brand and an unparalleled distribution network.

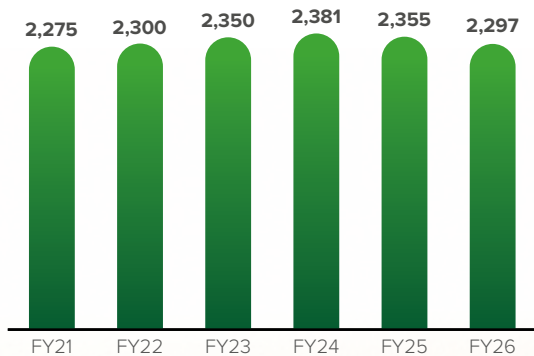
Distinct messaging users (Kenya) (million)



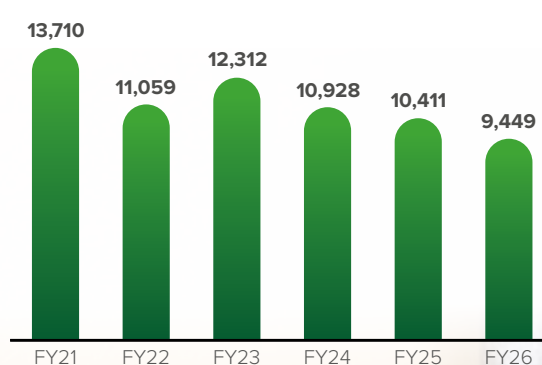
Distinct mobile data customers (chargeable) (Kenya) (million)



Fibre to the Home (Kenya) (average ARPU in KShs)



Fixed enterprise (Kenya) (average ARPU in KShs)



OUR STRATEGY DEVELOPMENT PROCESS

Our interactive five-year strategy development exercise involved internal and external environment reviews, as well as cross-functional employee and stakeholder consultations, including interviews and focus group discussions. Exco participated via reviews and co-creation in build-and-challenge sessions, whereas Board Committees and the Board provided final approval.



Annual mission planning

This is an interactive annual mission-setting exercise that draws on the five-year strategy and lessons from the past year of implementation.

Annual mission planning covers challenge, build and cascading sessions from the CEO to Exco and senior leadership, with involvement from direct teams where relevant.

Monthly mission status review

Monthly mission status reviews track progress against key measures of success, the status of main task deliveries, and new market developments that warrant changes to strategy or tactical plans.

Sessions are conducted at Group, cluster, tribe and Centre of Excellence (CoE) levels.

Quarterly Board strategy review

Quarterly Board submissions cover implementation status and include clear asks for the Board where necessary.

Quarterly business/mission review

Quarterly mission execution status reviews evaluate performance against set targets and tasks. Monthly course corrective or market-shaping actions are tracked with a longer-term view. Detailed financial and market performance reviews across geographical regions are also considered.

Situation room

Situation rooms are structured deep-dive sessions within the Quarterly review process, convened when strategic priorities are off-track, execution efforts are misaligned, or changing market conditions require a reassessment of plans.

A targeted group of cross-functional leaders and decision-makers review a shared performance picture, restate the intended outcomes, and challenge existing approaches to ensure actions remain aligned to Group objectives rather than individual functional priorities.

The sessions focus on identifying root causes, stress-testing current execution plans, and defining corrective actions. Clear owners, timelines, and accountability mechanisms are established, with progress monitored through subsequent monthly and quarterly performance review cycles.

STRATEGY STEWARDSHIP

How we set, steward and refresh our strategy

Evidence-led development

Vision 2030 was developed through a structured process that combined deep external insight, macro-economic, regulatory, technology and customer trends across Kenya and Ethiopia, supported by internal expertise across the Group.

A living framework

Our strategy is reviewed annually to remain responsive to evolving market realities, including macro-economic conditions, regulatory developments, competitive dynamics, technology disruption and shifting customer expectations across a combined addressable population of more than 190 million people.

Disciplined execution and Board oversight

Execution is anchored on four strategic pillars:

- Protect and grow the core
- Accelerate the transition to TechCo
- Boost and evolve Ethiopia
- Unlock value through innovative delivery models

The Board, supported by its Committees, monitors our strategic progress, ensures capital, capabilities and culture remain aligned, and approves the annual budget, Long-Range Plan and key investments.

Trends, risks and opportunities that shaped our Vision 2030 Strategy

Safaricom faced a wide range of exogenous factors that required us to tweak our strategy to drive business resilience and impact in the markets where we operate.

We respond to emerging trends

The AI interface shift

AI has moved from an operational enabler to becoming the primary interface through which customers discover, transact and engage with digital services. Global technology leaders are advancing agentic AI capabilities that transact on behalf of users, with implications for how Super App strategies, app-store economics and customer ownership will evolve over the Vision 2030 horizon.

At the same time, sovereign AI infrastructure is emerging as a strategic priority for governments across Africa, with expectations that AI workloads for regulated sectors, public services and critical data will increasingly need to be hosted, trained and inferred in-country. Our investment in the NBOX1 Nairobi Campus data centre, together with the transition of M-PESA to a cloud-native, AI-enabled Fintech 2.0 platform capable of 6,000 transactions per second and scalable to 12,000, positions Safaricom to participate in both the customer-facing and infrastructure layers of this shift. Our focus in FY27 and beyond will be to establish clear positions on AI-agent orchestration, third-party AI integrations into the M-PESA and connectivity ecosystems, and sovereign AI infrastructure partnerships.

FY26 track record

+11.5%

Group service revenue growth

KShs 146.3 billion

Group EBIT (+40.6%)

KShs 95.6 billion

Net income (+37.0%)

KShs 2.00

Dividend per share (+66.7%)

The value chain shift in financial services

Kenya's financial services landscape is being reshaped by three converging forces: the emergence of stablecoins and digital assets as viable cross-border settlement rails; deeper interoperability requirements through the proposed National Payment Switch, the Draft National Payment Bill, and the VASPs regulations; and intensifying competition from digitally native fintech entrants, banks strengthening merchant acquiring, and pan-African players extending into Kenya.

For M-PESA, this shift creates both risk and opportunity. Global Payments revenue grew by 22.3% to KShs 4.8 billion in FY26, and continued integration with players such as Yellow Card, Binance and Bybit positions the platform at the intersection of fiat and digital-asset rails. Interoperability requirements will require us to defend value through experience, distribution and trust rather than through network exclusivity alone. Our response is centred on Fintech 2.0's capacity for open APIs and modular product deployment, deeper merchant enablement through Lipa na M-PESA and Pochi, and expansion of wealth, credit and insurance propositions where customer stickiness is anchored in ecosystem depth rather than pricing.

The demographic and behavioural shift

Kenya's Gen-Z, now the country's dominant economic force, is projected to spend KShs 4.4 trillion in 2025, with Nairobi ranking among the top African cities in Gen-Z spending at USD 10.1 billion. Highly digital, educated, and impact-driven, they are shifting spending toward essentials and digital services while pushing businesses to strengthen customer experience, smooth proposition journeys, ESG mandates and data protection.

Looking further into the Vision 2030 horizon, Generation Alpha — born between 2013 and 2025 — has already become more populous than Gen-Z in Kenya and will begin entering the addressable customer base from FY28 onward. Alpha customers will be fully digitally native, engage through AI-first interfaces, and expect embedded finance, creator monetisation and gaming-adjacent financial products as default. Our propositions, distribution model and brand architecture will continue to evolve in response, including through OneApp personalisation, Safaricom Lite for entry-level device users, expansion of wealth solutions such as Ziidi Invest, Save and Trader, and deeper engagement of youth-led and creator ecosystems.

The connectivity and infrastructure shift

The connectivity landscape is being redefined by three parallel developments: the emergence of low-earth-orbit satellite direct-to-cell services, with Airtel Africa's Starlink partnership targeting rollout across 14 African markets from 2026; the growing importance of edge and in-country cloud infrastructure to support AI, gaming and regulated workloads; and rising expectations around network quality, coverage, and resilience as connectivity becomes essential infrastructure for economic participation.

Safaricom's response is grounded in the resilience of our terrestrial network, with 4G population coverage at 97.9% in Kenya, 5G coverage expanding to 30%, and a 21,000 km fibre footprint further reinforced by our co-investment in the 2Africa subsea cable system. We are also positioning our tower, fibre and data centre assets — including NBOX1 — as strategic infrastructure for the AI, cloud and edge era. Our engagement with regulators on satellite licensing frameworks, spectrum policy and quality-of-service standards will remain a priority to ensure a level competitive environment.

Positioning Safaricom for the horizon

These four shifts do not displace our Vision 2030 strategy — they reinforce the logic of our four pillars while sharpening where we invest, partner, and build capability. Our FY27 focus will include: establishing clear positions on AI-agent readiness and sovereign AI participation; defending and deepening the M-PESA value proposition through platform-led differentiation; refreshing our customer proposition architecture for the Gen-Z-to-Alpha transition; and reinforcing the strategic role of our infrastructure assets in an increasingly hybrid connectivity environment.

We manage current and emerging risks

Cybersecurity

Kenya recorded more than 4.5 billion cyber threat events between April and June 2025, amounting to estimated losses of KShs 29.9 billion. Mobile banking fraud cases surged 87%, driven by social engineering, credential compromise, and SIM swap schemes. Healthcare ransomware incidents jumped by 95%. Kenya accounts for 68% of the region's attack surface, with 200,980 exposed systems, yet has only 0.3% of confirmed breaches.¹

Geopolitical tensions and regional instability

Heightened geopolitical tensions, including ongoing wars in Ukraine and the Middle East, continued to exert pressure on African economies, affecting supply chains, energy prices, and investor sentiment throughout the review period. For Safaricom, this reinforced the importance of local supply chain resilience, energy diversification, and managing currency risk in its operations in Ethiopia, where foreign exchange constraints remained acute.

Ethiopia operational and structural risk

Safaricom's Ethiopia venture remains a long-term growth opportunity, with near-term execution risks. These include higher-than-average network rollout costs, reliance on third-party backbone and site infrastructure, and a regulatory environment that continues to evolve across licensing, infrastructure sharing, and mobile financial services. The business is therefore managed through disciplined capital allocation and a phased approach to investment and growth.

We are attuned to emerging opportunities

Structural tailwinds in Kenya and Ethiopia

Kenya continues to present a stable operating base supported by the successful renewal of Safaricom's operating licence for another 25 years along with a stable spectrum allocation regime, which supports continued investment in both GSM and digital infrastructure.

Safaricom Ethiopia is firmly established in a high-growth, market-entry phase characterised by rapid customer acquisition and foundational ecosystem development. The business continued to scale, reaching 10.7 million one-month active customers, reflecting strong demand for affordable connectivity and successful market penetration within just four years of operation.

Deepening financial services for a young, aspirational population

Gen-Z Kenyans, with higher spending aspirations than previous generations and as the largest economic bloc with disposable income, present a significant opportunity for Safaricom to expand M-PESA offerings across micro-credit, savings, insurance, and wealth management. With 77-82% of consumers already using mobile loans and wallet payments, and the sector projected to reach KShs 12.7 trillion by 2028, the opportunity to deepen financial services penetration remains substantial.

Enterprise cybersecurity as a revenue stream

Rising cyber risk across the region has increased demand for managed security services. Safaricom's Managed Security Operations Centre provides 24/7 monitoring and real-time threat detection and response capabilities for enterprise customers. Early deployments have supported improved incident prevention and faster response times, strengthening our enterprise value proposition and creating potential for a scalable, recurring revenue stream beyond traditional connectivity.

Ethiopia's demographic and digital dividend

Ethiopia represents a significant long-term growth opportunity, underpinned by a population of more than 120 million people, a youthful and increasingly digital population, expanding network coverage and rising digital adoption. With 4G coverage reaching 59.2% and continued improvements in connectivity and affordability, the market provides a strong foundation for accelerating financial inclusion, expanding participation in the digital economy and creating long-term value.

Diversification of our financial services solutions

Safaricom has continued to pivot beyond payments into new growth areas, leveraging strong market positioning in credit through key bank partnerships, while gaining solid traction in wealth management following the launch of Ziidi Invest and Save and Ziidi Trader.

¹ Smartcomply AI & the Cyber frontier: Securing East Africa's Digital Future.

VISION 2030 STRATEGY

Our 2030 Strategy sets out our vision to become Africa's leading purpose-led technology company by 2030. This strategic evolution underscores Safaricom's commitment to innovation, regional expansion, and the delivery of sustainable, technology-driven solutions that address societal and economic challenges across the continent.

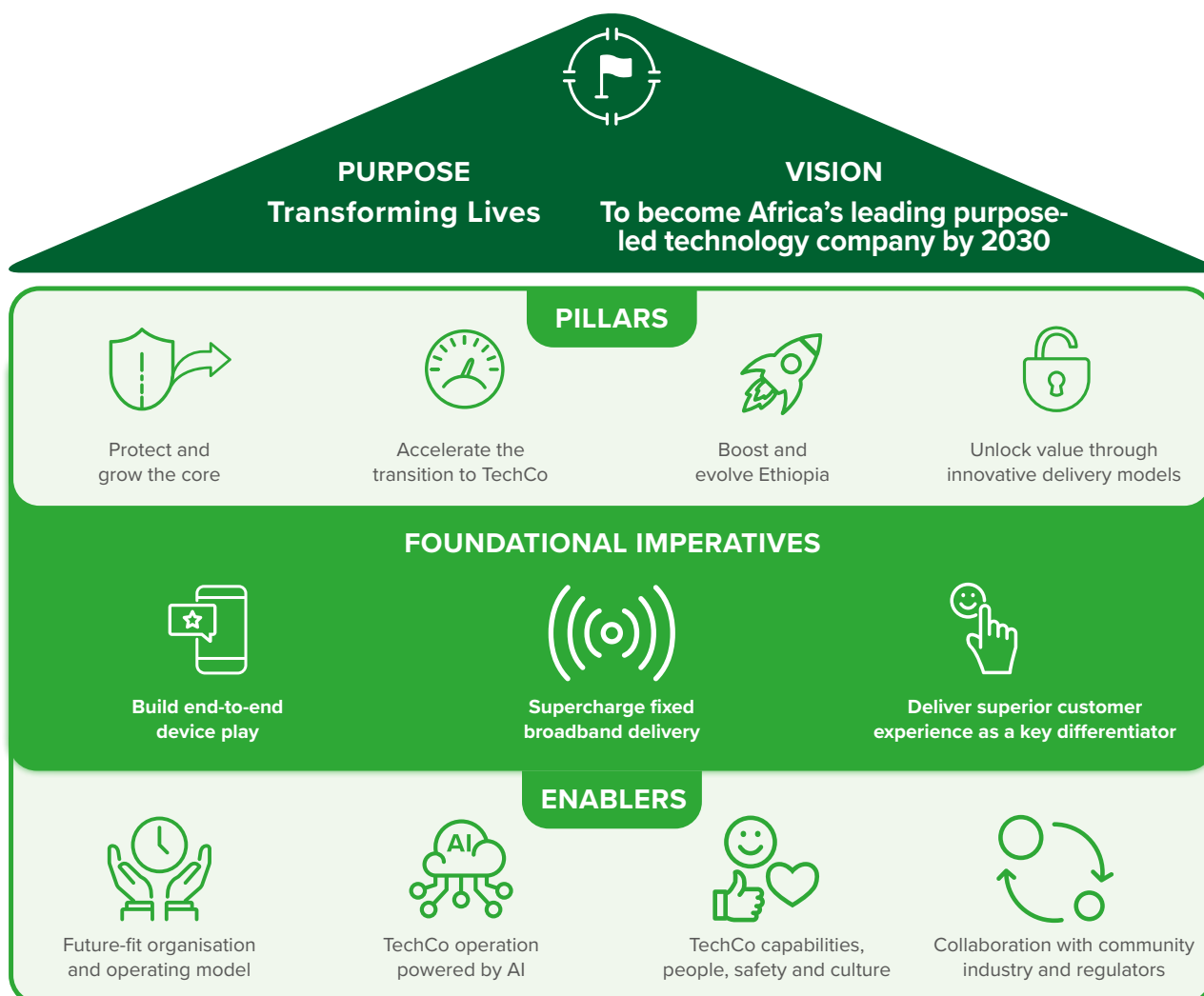
We have set an ambitious vision clearly articulating what we will be known for in FY30:

Deliver value-added and personalised digital services enabled by big data and AI that simplify and improve the daily lives of customers and society



Become the digitisation and financial services partner of choice for enterprises and the public sector through cutting-edge and secure technology solutions

Our Purpose Strategy, structured around the planet and people pillars, is fully integrated with the Vision 2030 Strategy, creating strong alignment between our business objectives and sustainability ambitions. By sharing common targets, the two strategies drive cohesive and meaningful growth. Read more about the Purpose Strategy from page 60 and in our Sustainable Business Report.



Progress against the six big bets for Vision 2030 Strategy

Priorities		Progress
Consumer	- Accelerate 4G+ device adoption and penetration - Always-on, safe and secure network - Grow segmented and converged propositions - Scale content and digital platforms	
Financial Services/ M-PESA	- Enhance wealth management and insurance propositions - Innovative payment use cases - Scaling credit platform for growth - Super App acceleration – intuitive AI-driven - Converged merchant solutions	
Fixed	1.5+ million homes and businesses connected - Always-on broadband (fibre, wireless, satellite) - Scale converged fix solutions - Scale low-cost fixed solutions	
Enterprise	- Go beyond connectivity to managed and professional services - Segment-led execution embedded with loyalty - Enabling SMEs	
Public sector	- Digitalisation partner of choice for the public sector 3-4 large sectors fully digitalised - Create a scale business	
Safaricom Ethiopia	- Scale business – customers, network coverage - Sustainable funding - Positive EBITDA by FY27	

Positive/creating value

Neutral/preserving value

Negative/eroding value

The increasing scale and complexity of digital platforms is driving continued investment in integration capabilities, API ecosystems, and advanced data and analytics expertise. Additionally, evolving cybersecurity requirements, legacy system dependencies within government, and the need to accelerate county-level digitisation create opportunities for both technical and change-management resources, especially for our public sector and enterprise offerings.

Read more about our strategic progress in the CEO report from page 70.

To monitor implementation progress, we measure a set of KPIs per pillar. These KPIs are further broken down into relevant clusters, tribes, squads, or CoEs and tracked monthly, quarterly, and annually.

FY26 STRATEGIC PROGRESS

Building the foundations for Vision 2030



Protect and grow the core

Deepening relevance in Kenya through integrated propositions, a stronger M-PESA ecosystem, and reinforced network leadership.

- Kenya service revenue KShs 400 billion (+10.0%), recording the third consecutive year of double-digit growth
- M-PESA revenue KShs 182.7 billion (+13.4%)
 - 3.1 million businesses accepting payments
- Mobile data revenue KShs 83.4 billion (+14.4%)
 - 30.8 million 4G+ devices
 - 5G coverage at 30%
- Renewed 25-year unified operating licence in Kenya



Boost and evolve Ethiopia

Scaling commercially and operationally, with improving unit economics and a clear pathway to EBITDA breakeven in FY27.

- Service revenue KShs 14.1 billion (+86.6%)
- 13.6 million customers (+54.2%)
 - 59.2% population coverage
- 3,504 sites in service
 - M-PESA integration with EthSwitch
- RISO approval and floor-pricing framework improved structural economics



Accelerate the transition to TechCo

Embedding AI across customer experience, financial services and operations and scaling digital platforms as engines of long-term value.

- Fintech 2.0 live at 6,000 TPS scalable to over 10,000 TPS
- Ziidi AUM grew to KShs 18.7 billion
 - Over two million customers entered structured savings and investments
- 18 million active credit customers
 - UHC platform reaching 29 million members
- Enterprise platforms, including MySACCO and MyCounty, reinforce digitisation leadership

Aligning with Ethiopia's market realities

Our strategic approach in Ethiopia reflects the realities of the market. Beyond mobile data, we are building a fully-fledged Telco with diversified revenue streams across voice, SMS, mobile money and enterprise services.

Ethiopia's scale and structure have further shaped our approach. With 12 regional states and two chartered cities, creating 14 administrative divisions, we established dedicated verticals for commercial, technical, external affairs, and regulatory engagement to support effective execution.

Ethiopia's large, diverse and youthful population underpins the long-term opportunity in the market. With approximately 2.5 million Ethiopians turning 18 each year, we continue to position the brand and its customer proposition to resonate with a young, increasingly connected population.



Unlock value through innovative delivery models

Diversifying delivery and funding through partnerships, sustainable finance and innovative go-to-market models.

- Sustainable Financing
 - Debut green Bond which was oversubscribed by 175.7%
- Energy modernisation
 - Over 2,000 sites on solar PVs, 35.7% green energy powering our network
- Group capex KShs 74.5 billion disciplined allocation to resilience, fibre and platforms
- 21,000 km fibre footprint and new 4,108 km subsea cable system
- KShs 25.96 billion invested through Safaricom and M-PESA Foundations

Progress against our strategic initiatives and enablers

Build an end-to-end device play	47.2% of our 4G+ users consume more than 1 GB of data monthly 910,481 own devices sold 4G+ attached devices increased to 30.8 million
Supercharge fixed broadband delivery	- Achieved KShs 16.1 billion of revenue on fixed broadband, up 12.0% 739,383 homes connected, up 45.9% 2,086,456 small and micro-businesses connected, up 81.5% 1,042,206 medium to large enterprises connected, up 54.2% 21,000 km fibre coverage, up 14.8%
Deliver superior customer experience as a key differentiator	- Grew brand love to 74% - Grew the brand reputation score to 79% - Delivered innovations to protect data privacy by introducing a privacy feature limiting personal details displayed to recipients when making payments, reducing exposure of sensitive information - Sustained emphasis on Customer Obsession as a core value, human-centred design for all innovations and presented a unified approach to market
Future-fit organisation and operating model	- Achieved an Employee Engagement Index of 87% - Achieved Agile level 3 maturity level - On track to deliver a future-fit operational structure and culture 43.9% female representation in leadership
TechCo operations powered by AI	- We accelerated the use of AI to enhance customer experiences - The Fintech 2.0 launch embedded advanced AI to boost security, speed, and personalisation
TechCo capabilities, people and culture	- We continued upskilling employees on AI capabilities through the 2+1 TechCo capabilities and the AI agents programme - Sustained progress in embedding agile at Safaricom - Maintained a 94% tech skills retention
Collaboration with the community, industry and regulators	- We successfully secured our 25 year operating licence - Over 4.4 million lives improved or transformed through the Safaricom and M-PESA Foundations - On target to realise the Group's operating free cash flow



As a large and diversified Group, delivering on our transformation agenda requires deliberate change management to ensure our people, processes, and capabilities remain aligned with our long-term ambition.

Linking strategy implementation to remuneration

Safaricom's Remuneration Framework combines fixed and variable pay to reinforce accountability and alignment with our strategic objectives. The variable component is directly linked to the delivery of our strategy at the enterprise, functional, and individual levels.

To support disciplined execution, our performance management approach integrates both business and individual performance measures. Business performance is monitored through structured monthly, quarterly, and annual mission status reviews, where progress against key KPIs and strategic initiatives is assessed. Achievement of critical business KPIs enables the release of variable pay for eligible teams.

At the individual level, performance is evaluated through continuous performance discussions and formal mid-year and year-end reviews. Assessment focuses on impact goals derived from the strategy, as well as personal development goals that strengthen capability. Individual outcomes determine the portion of variable pay allocated from the bonus pool, calibrated to the employee's level of responsibility.

This holistic approach ensures that remuneration remains closely tied to strategic execution, fosters a performance-driven culture, and supports long-term value creation.



OUR BUSINESS MODEL

Over the past 25 years, Safaricom's business model has evolved from that of a mobile operator to a multi-national Group facilitating communication, finance, trade, and digital access. Key capabilities developed over this period were driven by visionary leadership that encouraged innovation and partnerships.

We use the six capitals to create and preserve value, for example, by sustaining growth through high-margin, tech-driven solutions and strategic financial capital investments. We use our manufactured capital-based networks and platforms to drive digital connectivity, which creates value and opportunities for our customers. Our Safaricom brand and people are critical intellectual and human capital value drivers, complemented by partnerships throughout our value chain. Our business model provides the detail of these capital resources and relationships at the heart of our value creation process.



Our purpose: *Transforming Lives*

Our four strategic pillars shape and provide direction for our business model.



Protect and grow
the core



Accelerate the
transition to TechCo



Boost and evolve
Ethiopia



Unlock value through
innovative delivery models

Our business activities

Safaricom provides telecommunication services to a variety of individual, business, corporate and public customers. We offer mobile services, financial services, business solutions, value-added services and devices. Read more on page 16.

Our inputs

The resources and relationships (seen through the lens of six capitals) that we use, transform, preserve and replenish through our business activities.

Three key initiatives focus our resources and relationships

- Build an end-to-end device play
- Supercharge fixed broadband delivery
- Deliver superior customer experience as a key differentiator

Our enablers define the key capabilities to implement our strategy

- Future-fit organisation and operating model
- TechCo operation powered by AI
- TechCo capabilities, people, safety and culture
- Collaboration with the community, industry and regulators

Our outputs

Our products and services include:

- M-PESA mobile money transaction services
- Integrated bundles
- Data offerings
- Voice and SMS offerings
- Payment products and services
- Remittance products and services
- Global payment products and services
- Digital financial services
- Super Apps, Mini Apps and APIs
- Fibre to the Home (FTTH) and Fibre to the Building (FTTB) services
- Byproducts and waste include emissions, solid waste and e-waste (including discarded, broken, or obsolete electrical and electronic devices)

Our outcomes

The effect of our business activities is set out below per capital. We create and preserve value for each stakeholder:

For customers

- We enabled meaningful connections, tailored experiences and personalised propositions
- We enhanced our integrated propositions and expanded our coverage, driving financial inclusion

For investors and shareholders

- The Safaricom share price increased by 50.3% over the year
- We delivered an increase of 39.2% in total shareholder returns¹ since listing
- Safaricom holds 39.27% of the total NSE market capitalisation²
- Dividends for FY26 increased by 66.7%

For employees

- Strong leadership focused on identifying, growing and retaining talent
- Career growth and development opportunities based on training investments in Technology and Commercial
- Equal opportunities and access for everyone as we close the gender gap
- Remuneration in the form of pay and benefits that are competitive and fair, including incentive plans based on performance

For governments and regulators, suppliers, society and communities, business partners and media

- We supported the continued digital transformation of the communications sector
- Safaricom is the top corporate taxpayer in Kenya
- Our products, services and social investment through the Safaricom and M-PESA Foundations deepened financial inclusion
- We enhanced connectivity and services in inclusive finance, education and health
- We continued contributing to achieving the SDGs

¹ Total shareholder returns = (End-of-FY Price (IPO + Dividends)) ÷ Purchase Price (IPO).

² Closing price of KShs 27.50 as at 31 March 2026.

Our inputs



Financial capital is our pool of funds and assets

- KShs 1.10 trillion market capitalisation (FY25: KShs 0.73 trillion)
- KShs 173.6 billion free cash flow (Kenya) (FY25: KShs 148.9 billion)
- KShs 21.0 billion AUM (FY25: KShs 9.6 billion)
- KShs 20.0 billion raised via a DMTN programme



Intellectual capital encompasses our policies, procedures, intellectual property, knowledge and expertise, as well as brand, reputation and purpose

- Roaming agreements with partners
- A deliberately shaped Agile culture
- Marketing campaigns and initiatives
- IT systems and enterprise architecture
- Strong balance sheet, diversified portfolio
- Market and data analysis
- Investment in training and development
- Strong corporate governance
- A new AI-assisted product design, configuration and recommendation tool



Human capital constitutes our employees, including their abilities, experience and expertise

- 6,616 employees (Group) (FY25: 6,777)
- 49.5% women in the workforce (Kenya) (FY25: 49%)
- 3.9% employees with disabilities (FY25: 3.6%)
- KShs 117 million invested in employee training (FY25: KShs 332 million)
- An experienced and ethical leadership team
- Digital operating model and agile ways of working
- Enhanced Employee Value Proposition (EVP) and unique reward proposition
- Commitment to equal opportunities, safety and well-being
- Digital leadership upskilling and reskilling



Social and relationship capital consists of the partnerships and stakeholder relationships that we build and maintain

- 71.56 million three-month active Group customers (FY25: 57.08 million)
- 50.66 million one-month active Group customers (FY25: 44.36 million)
- 57.93 million three-month active Safaricom Kenya customers (FY25: 48.24 million)
- 39.92 million one-month active Safaricom Kenya customers (FY25: 37.11 million)
- 13.63 million three-month active Safaricom Ethiopia customers (FY25: 8.84 million)
- 40.99 million one-month active M-PESA customers (Kenya) (FY25: 35.82 million)
- 333,011 M-PESA agents (FY25: 298,890)
- 2.06 million Wealth Management customers (FY25: 631.3k)
- 407,080 fixed home customers (FY25: 301,451)
- 3,128,662 total merchants – Lipa na M-PESA (LNM) and Pochi tills (FY25: 1,825,446)
- 83,611 enterprise fixed business customers (FY25: 69,874)
- Constructive engagements with regulators
- Investor confidence
- Long-standing supplier partnerships
- A trustworthy brand that resonates with consumers



Manufactured capital forms the basis of our infrastructure, products and services

- Fintech 2.0 M-PESA platform with capacity for 6,000+ transactions per second
- 21,000 km fibre-optic footprint (FY25: 18,300 km)
- 80% of sites on fibre
- 807,016 homes passed (FY25: 694,289)
- 97.9% of the Kenyan population covered by 4G (FY25: 97.9%)
- 30% 5G coverage (FY25: 30%)
- 30.8 million 4G+ devices (FY25: 23.4 million)
- KShs 74.5 billion capex (Group) (FY25: KShs 91.3 billion)
- 7,540 2G base stations (FY25: 6,973) of which:
 - 7,536 are 3G base stations (FY25: 6,970)
 - 7,524 are 4G base stations (FY25: 6,937)

Spectrum (Kenya):

- 2,300, 2,600 and 3,500 Time Division Duplexing (TDD)
- 700, 800, 900, 1,800 and 2,100 Frequency Division Duplexing (FDD)



Natural capital encompasses the environmental resources that we use to operate

- 230 tonnes of network waste generated and recycled in Kenya (FY25: 190.75 tonnes e-waste)
- 183,388 kg of total waste collected (FY25: 177,446 kg)
- 99% of waste recycled (FY25: 98%)
- 2,000 sites using solar and hybrid clean power (FY25: 1,432)

Our outcomes



Financial capital

We leveraged financial capital to invest in our business and grow our competitive market position.

- Market capitalisation at KShs 1.10 trillion as at 31 March 2026 (FY25: KShs 0.73 trillion)
- 3.13 million businesses accepting payments via M-PESA (FY25: 1.83 million)
- 1.04 million Lipa na M-PESA active tills (FY25: 0.68 million)
- 2.09 million Pochi la Biashara tills onboarded (FY25: 1.15 million)
- 1.72 million Business App downloads (FY25: 1.3 million)
- KShs 400.79 billion service revenue (FY25: KShs 364.28 billion)
- KShs 233.89 billion EBITDA (FY25: KShs 205.78 billion)
- KShs 80.13 billion dividend (FY25: KShs 48.08 billion)
- 0.5% growth in total Group assets to KShs 518.05 billion



Intellectual capital

We leveraged intellectual capital to enhance our competitive strengths and long-term sustainability.

- Leading TechCo brand
- Accelerated deployment of new technologies
- Effective controls, processes and risk management
- Improved business practices
- Demonstrated thought leadership



Human capital

We leveraged human capital to ensure meaningful connections, tailored experiences and personalised propositions for customers and employees.

- Fair and transparent pay and benefits
- Employee Engagement Index achieved 87% (FY25: 85%)
- Agile level 3 maturity
- On track to deliver a future-fit operational structure and culture
- 149,834 developers supported the digital economy (FY25: 106,000)
- 1 fatality (FY25: 4)
- 120% increase in employee training investment (FY25: 196.4%)



Social and relationship capital

We leveraged social and relationship capital to retain and grow our customer base while supporting all stakeholders in creating shared value.

- 100% operating licences and resources secured
- 7.6% growth in one-month active customers
- 14.5% growth in one-month M-PESA customers
- 11.4% expansion in our agent network
- 3 counties on the My County app
- 31 million bags of fertiliser distributed to 5.5 million farmers via M-PESA fertiliser distribution
- 67% of procurement spend with local suppliers (FY25: 73%)
- 1.1 million beneficiaries supported under the Inua Jamii social welfare programme



Manufactured capital

We leveraged manufactured capital to expand our network, facilitate transactions and offer more consistent and higher-speed connections.

- 97.9% of the Kenyan population is covered by our 4G network
- 45.9% growth in FTTH connections
- 19.7% growth in FTTB connections
- 21.2% growth in smartphone devices on our network
- 33.3% growth in transactions/seconds on M-PESA



Natural capital

We preserved natural capital by integrating nature into business decision-making while implementing our Purpose Strategy.

- Expanded renewable energy infrastructure to 2,002 solar-powered sites
- Improved energy mix and site performance
- Restored ecosystems and biodiversity by planting trees and expanding school greening programmes
- Applied AI for energy forecasting, fault detection, and regional comparisons

Our trade-offs

In executing our strategy, we face strategic trade-offs between cost, sustainability, and resilience. These competing priorities require deliberate decision-making to ensure we allocate resources optimally and with a long-term view.

We rely on people and their capabilities to implement our strategy and deliver on the performance targets we set. As such, we make significant people-related investments to develop and acquire skills, particularly related to digital transformation and AI.

Capitals impacted in the short term



Financial capital

Capitals positively impacted in the long term



Manufactured capital



Human capital



Social and relationship capital



Natural capital

To augment business capacity and maintain our leadership position, we invest in network infrastructure, data centres, distribution capabilities, AI and software applications. These are our main sources of competitive differentiation, enabling us to gain market share and continue innovating.

Capitals impacted in the short term



Financial capital



Natural capital

Capitals positively impacted in the long term



Financial capital



Manufactured capital



Social and relationship capital

As we expand our physical infrastructure, we increase energy, fuel, and water use while generating more waste and e-waste. We manage our environmental impact through investments in alternative energy sources, AI and digital technologies and carbon offset initiatives.

Capitals impacted in the short term



Financial capital



Natural capital

Capitals positively impacted in the long term



Financial capital



Manufactured capital

On our decarbonisation journey, we required significant investment to transition to solar and other renewable energy sources, which we have now addressed by issuing a green bond, thereby eliminating the need for extensive short-term capital expenditure.

Capitals impacted in the short term



Natural capital

Capitals positively impacted in the long term



Financial capital



Natural capital

Short-, medium- and long-term outlook

Our operational priorities for the short term are:

- We will expand our merchant operating system beyond payments to empower merchants and SMEs with tools for collections, financial services, and digital commerce through the M-PESA ecosystem
- We are pursuing strategic partnerships and acquisitions to accelerate innovation and unlock new value pools in fintech and digital commerce
- We will be unlocking lending capacity by leveraging big data to expand responsible digital credit access for consumers and SMEs
- Our investment in AI and advanced analytics will enhance customer experience, risk management, fraud detection, and personalised financial services
- By supporting initiatives that enable seamless transactions across mobile money, banks, and fintech platforms, we will be creating improved payment interoperability
- We are developing a multi-sided loyalty programme to drive customer engagement, merchant adoption, and platform stickiness

Our acceleration priorities for Ethiopia in the short and medium term are:

- Streamline pricing led by the ECA
- Data monetisation via premium data and network quality experience will drive revenue growth
- The open policy model for devices will push smartphone penetration via retail activation
- Value-added services will continue scaling, with new users creating a platform for broader digital services
- Loyalty initiatives have started to grow customer stickiness and deepen retention

Our brand and customer experience initiatives will build on what customers already appreciate, for example, our data experience, voice, responsive service and market position as a progressive brand for the young and young at heart.

Proposed regulations that will impact Safaricom in FY27 and beyond include:

- The proposed National Payment Bill and Regulations seek to modernise Kenya's payments framework by enhancing interoperability, strengthening consumer protection, and clarifying the responsibilities of payment service providers, while supporting the continued development of a secure and inclusive digital payments ecosystem
- The proposed VASPs Regulations aimed at operationalising the Virtual Asset Service Providers Act – the Regulations could pave the way for the increased uptake of virtual assets such as stablecoins and cryptocurrencies. This is likely to result in enhanced compliance expectations when dealing with VASPs and end users, but also provides opportunity for partnerships in areas such as cross-border remittances and payments
- Review of Central Bank Act and the Banking Act – the Central Bank of Kenya has initiated a review of the two laws to provide greater regulatory clarity for fintech companies and digital financial services providers. Legislative changes in the banking sector could impact the business in the long term
- The National Financial Inclusion Strategy sets out Kenya's roadmap for deepening financial inclusion further and strengthening the digital financial ecosystem. While the strategy does not have the same effect as Regulations, its contents signal the policy direction of the government in the sector. Some of the proposals envisaged under the strategy include the proposed capping of transaction charges by 2028, the introduction of the national switch and potentially increased liability of service providers in respect of consumer protection issues

TRANSFORMING LIVES IN ACTION

Safaricom's purpose of Transforming Lives is expressed in our performance and measured by the value we create and preserve for people, planet, and the broader economy.



Our commitment to sustainability and shared prosperity, championing climate action, advancing the circular economy, protecting biodiversity, and investing in communities, is central to our Vision 2030 Strategy. These commitments are captured in our Purpose Strategy, ensuring that we deliver lasting impact through structured, measured interventions.

Read more about our Purpose Strategy and sustainability performance in the Sustainable Business Report.

Our Purpose Strategy



Through planet, we work to manage environmental impacts more responsibly while supporting long-term sustainability. Through people, we transform lives across our ecosystem by strengthening access, inclusion, well-being and opportunity for all our stakeholders.

PLANET

Safaricom’s planet agenda reflects the understanding that long-term growth must be supported by responsible environmental stewardship. As we transition from a Telco to TechCo, environmental priorities remain closely linked to how Safaricom expands its infrastructure, manages resources and responds to the broader realities of climate and environmental risk.

Climate action

Climate action is a key component of Safaricom’s planet agenda, considering the scale of the business and the energy intensity of network operations. As network demand grows and infrastructure expands, the challenge is not simply to reduce emissions in isolation, but to ensure that growth is managed with as light an environmental footprint as possible. This is one of the defining tensions in Safaricom’s climate story: how to continue expanding access and strengthening connectivity while keeping emissions under control.

During FY26, we strengthened the strategic foundations of our climate response. Safaricom developed a comprehensive 2035 Decarbonisation Strategy with a detailed Climate Transition Plan aligned to its SBTi pathway and the 1.5°C trajectory.

We also reviewed our climate risks and opportunities, revisited our net-zero ambition, and began developing a more structured approach to managing climate-related financial and operational risks.

Key climate priorities

- Operationally, solarisation remains a key lever in reducing reliance on diesel-powered generation, while network modernisation continues to support greater efficiency across infrastructure
- We are working on the understanding of our Scope 3 emissions, including emissions linked to suppliers, freight and travel
- We are extending the climate agenda beyond internal operations and into the wider value chain, with supplier engagement becoming an increasingly important area of focus

Our climate action journey has come a long way, but we still have a long way to go. In the past year, our challenges included shortfalls, as not all targets are fully aligned with ambition, particularly where network growth places pressure on emissions performance, and some interventions have progressed more slowly than anticipated.

Planet

Catalysing a net positive future

- Climate action
- Circular economy
- Conservation and restoration of biodiversity and ecosystems

570

new sites on solar PVs, bringing the total to 2,002 against a 5,000 target

681,000

for FY26, cumulatively, three million trees grown

35%

green energy powering the network against a 95% target

Stakeholders impacted	SDG contribution	Six capital impacts
- Suppliers - Business partners - Society and communities	SDG 7SDG 12SDG 17	Financial capital Manufactured capital Natural capital

Circular economy

We focus on reducing waste, increasing recovery and recycling, eliminating unnecessary plastics and building more circular practices into everyday operations. This includes stronger management of electronic and network waste, improved waste segregation, more recyclable packaging solutions, and internal capability building to better measure and manage circularity performance.

Key areas of progress

- We exceeded our annual recycling target by 99%, supported by regular measurement of network waste volumes and recovery mechanisms such as take-back schemes
- A total of 230 tonnes of waste collected and recycled, creating green jobs across the country
- We embedded circularity requirements into contracts, helping to strengthen accountability across the waste value chain
- Circularity champions were trained in line with ISO 59004 to help establish systems for measuring and assessing circularity performance and to deepen internal understanding of circular economy principles
- We advanced the elimination of single-use plastics as part of a broader zero single-use plastic ambition
- We tested more recyclable packaging options for shops and other customer-facing applications, to reduce landfill waste and close material loops
- Unnecessary SIM card packaging was reduced, removing multiple plastic layers and simplifying how products are distributed to customers, leading to reduced waste and cost savings
- We strengthened waste segregation practices, including the separation of paper and other waste streams to support recycling and recovery
- We encouraged behaviour change internally through paper shredding and responsible disposal practices to support circularity through day-to-day employee actions

Stakeholders impacted

- Customers
- Employees
- Suppliers
- Business partners

SDG contribution

SDG 12 **SDG 17**

Six capital impacts

- Financial capital
- Manufactured capital
- Human capital
- Social and relationship capital
- Natural capital

We are targeting 100% recycling of waste, with particular focus on electronic and network waste.

Conservation and restoration of biodiversity and ecosystems

Our biodiversity restoration efforts support our commitment to environmental stewardship. We focus on conversation, planetary protection and supporting thriving ecosystems.

Safaricom launched a KShs 15 million investment in a Biodiversity Restoration project to mitigate the environmental impact of our network expansion to grow 250,000 indigenous and fruit trees by partnering with public and private institutions. The two-year initiative seeks to balance the growing demand for digital connectivity with a commitment to environmental responsibility. As at the end of the financial year, we engaged 21 universities, planted 60,195 trees and involved 3,528 university students and staff in the project across the country. This project is more than tree-growing; it is about inculcating the spirit of environmental stewardship among the students, empowering institutions to meet their green objectives, as well as improving livelihoods.

Our investment in biodiversity restoration is a testament to our belief that technology and sustainability can co-exist.

In addition to the Biodiversity Restoration project, Safaricom has an ongoing tree-growing initiative in partnership with the Kenya Forest Service that aims to plant five million trees by 2030 through the reforestation of at least 5,000 hectares of degraded forests. To date, we have planted over three million trees across Kenya, covering more than 3,000 hectares.

Stakeholders impacted

- Society and communities
- Business partners

SDG contribution

SDG 12 **SDG 17**

Six capital impacts

- Financial capital
- Social and relationship capital
- Natural capital

PEOPLE

The people in our value chain include our employees, customers, agents, dealers, suppliers, partners and communities. They all contribute to and share in our success. Guided by a purpose-led, data-informed, and community-driven approach, we invest in initiatives that address pressing social needs while fostering inclusivity and resilience.

People

Investing in/transforming society

- Digital inclusion
- Financial inclusion and health
- Diversity, equity and inclusion in our ecosystem
- Employee engagement
- Sustainable community investments

30.8

million lives connected to 4G+

M:F

50.5%:49.5%

gender representation at all levels

Social impact through our foundations

Safaricom's commitment to social transformation is anchored in the work of the Safaricom Foundation, established in 2003, and the M-PESA Foundation, registered as a charitable trust in 2010. Together, these foundations focus on delivering high-impact, sustainable programmes across health, education, and economic empowerment.

More than 4.4 million Kenyans have benefited from community projects delivered through the Safaricom and M-PESA Foundations. As at 31 March 2026, the cumulative economic value delivered to communities through Safaricom's social and economic initiatives is estimated at approximately KShs 10.2 billion.

Digital inclusion

We design solutions that prioritise inclusivity, affordability, and ease of use. Services such as social protection payouts, and citizen-facing digital channels are built to operate across all device types, including basic feature phones, via USSD, SMS, and low-bandwidth applications. We also maintain nationwide network coverage, partner with community touchpoints, and embed accessibility standards in rural communities and low-income households. This approach ensures that no citizen is excluded from essential digital public services due to geography, income level, or technology limitations.

Key digital inclusion initiatives included:

- We are the technology partner for the NYOTA project, a digital upskilling programme that creates more employment opportunities for young people by providing the platform used to process programme applications
- We rolled out the NYOTA Fund across all 47 counties, which included in-person training for beneficiaries. Training extended from onboarding to fund utilisation alongside financial literacy guidance on savings and the use of the Pochi la Biashara wallet. These county-level training sessions significantly reduced digital barriers and empowered first-time beneficiaries to navigate public sector digital services confidently. For young entrepreneurs, the programme assists in expanding distribution channels and enhancing credit scoring models
- In agriculture, subsidy automation has been enhanced through comprehensive farmer registration, e-voucher issuance, and real-time disbursement tracking, ensuring that subsidies efficiently reach the intended beneficiaries
- Safaricom is a key partner in Kenya for Giga, a global initiative led by UNICEF and the International Telecommunication Union aimed at connecting every school in the world to the internet
- In FY26, we scaled digital public infrastructure by targeting 52 new schools across Nairobi and Kajiado. We also progressed teacher digital upskilling discussions via the Digital Skills Factory partnership as part of Safaricom's technology for development (T4D) agenda
- Expanding digital inclusion through connectivity and more affordable devices, including EADAK's local device assembly initiative

Stakeholders impacted

- Governments and regulators
- Customers
- Society and communities

SDG contribution

SDG 4 SDG 8 SDG 9 SDG 10 SDG 17

Six capital impacts

- Financial capital
- Human capital
- Intellectual capital
- Social and relationship capital

Financial inclusion and health

We are advancing financial inclusion and health through M-PESA by expanding access to savings, investment, insurance, and wealth creation solutions that empower customers to build financial resilience and long-term economic security. Products such as Ziidi Money Market Fund, Ziidi Trader, and M-PESA Go empower customers to manage their finances effectively, build financial resilience, and participate more actively in the economy.

Key financial inclusion and health initiatives included:

- We are developing AI solutions that can expand access to microloans for underserved groups by using alternative data from M-PESA and device usage. In social protection, new technology is enhancing beneficiary verification, identifying duplicates, and predicting vulnerable households. These solutions significantly increase efficiency, transparency, and service delivery, supporting our Vision 2030 Strategy by strengthening accountability, promoting data-driven governance, and ensuring equitable access to digital public services across the nation
- Project Fadhili unlocked services for refugees through regulatory reforms recognising Refugee IDs as a valid document for KYC identification. As refugee numbers grow, there are opportunities for innovation to serve forcibly displaced communities

Stakeholders impacted

- Governments and regulators
- Customers
- Society and communities

SDG contribution

SDG 8 **SDG 9** **SDG 10** **SDG 17**

Six capital impacts

- Financial capital
- Human capital
- Social and relationship capital

Diversity, equity and inclusion in our ecosystem

Diversity, equity and inclusion enable stronger decision-making, deeper talent pools, greater innovation and broader access to opportunity. How we strengthen inclusion across our employee lifecycle is with a focus on gender representation, disability inclusion and equal access to opportunities. This further includes diversity in leadership, technology roles, Board and supply chain spend. Our supply chain spend measures the spend on local vs foreign suppliers and also the spend on special interest groups (women, youth and PwDs). Beyond our workforce, we also promote diversity in our supply chain through procurement spend with women, youth and PwDs, supported by capacity-building initiatives for these special interest groups.

Indicator	FY26	FY25
Women in the workforce/Female F+	49.5%	49%
Women in leadership	43.9%	45%
Women in technology	25.9%	27.1%
Employees with disabilities	3.9%	3.6%

Protecting and safeguarding our people

In FY26, we launched the Safety Reset Plan following four reported fatalities in the previous year and one fatality in the current year. These tragedies culminated in the declaration of a Safety Crisis on 18 March 2025, leading to a Company-wide stand-down and a full re-engineering of how we think about, lead, govern, and operationalise safety across our operations, our partner ecosystem, and the communities we serve.

A cross-functional crisis management team was mobilised to drive rapid and coordinated action across 16 pillars, spanning leadership, people and culture, occupational road risk, supply chain, high-risk work, and other critical domains.

As part of the Safety Reset, we formally embedded the zero-harm mission into Safaricom's Spirit, Exco and cluster missions, as well as in job descriptions and individual goals.

We radically transformed our safety control environment, starting with occupational road risk, our greatest accident risk, introducing AI-enabled in-vehicle cameras, replacing legacy platforms, and integrating all driver-behaviour data points into a 360-degree view of a driver's behaviour on the road.

We replicated this approach and enhancements across all the other 16 pillars. Employees were empowered with the Stop Work Authority, giving them the mandate to halt any task where imminent danger is identified. We extended this culture by establishing structured forums with suppliers and dealers. We reviewed and updated OSH schedules within partner contracts and refreshed and relaunched our standards, policies, and procedures.

Complementing these systemic improvements, we elevated employee well-being and mental health. Our well-being programmes were expanded to holistically address physical, emotional, mental, spiritual, and financial needs. The Money Made Personal series equipped employees with practical financial literacy and resilience, while Tustawi Pamoja strengthened mental health support through counselling, awareness, and peer-based interventions.

The Reset also extended to the external ecosystem through a formal collaborative partnership agreement with Kenya National Highways Authority and expanded joint programmes with NTSA to address rising road-safety-related incidents and risks in Kenya.

Stakeholders impacted

- Employees
- Suppliers
- Society and communities
- Business partners

SDG contribution

SDG 3 **SDG 9** **SDG 17**

Six capital impacts

- Financial capital
- Manufactured capital
- Human capital
- Social and relationship capital

Employee engagement and commitment

Our FY27 mission is to deliver a growth-centric organisation in order to scale innovative converged solutions. Our focus areas are as follows:

- Gearing for Growth is a transformation programme focused on establishing the structural, governance, and change foundations needed to sharpen our commercial focus, elevate innovation discipline, and realign operating structures to facilitate our mission to operate as a leading customer-centric, innovative, agile TechCo
- Delivering Gearing for Growth outcomes through a fit-for-purpose Group structure, culture interventions that foster an innovation-centred mindset, and a reward and recognition framework that supports development and disciplined execution
- Advancing Next-Gen Agile to drive speed and scale across the organisation
- Deepen fit-for-future tech, leadership and commercial capabilities through AI fluency pathways, targeted academies for tech and commercial skills, and leadership interventions for Next-Gen leadership
- Deliver an AI-first, digital and safe work ecosystem by embedding zero-harm safety standards across our partner community and implementing AI-enabled, behaviour-based safety practices (including elevating our approach to occupational health and employee well-being)
- Deliver consistent AI-first, digital employee delight by scaling digital-first intelligent employee experiences. This will include, but will not be limited to:
 - Operationalising a digital-first Group people services hub and implementing the second phase of our Benefit Hyper-Personalisation Strategy
 - Institutionalising Ethiopia and subsidiary enablement

In FY26, we enhanced the Safaricom EVP to build brand trust and reignited employee commitment to accelerate the delivery of scalable technology solutions.

What is the Safaricom Employee Value Proposition?

"I Am Safaricom: A force for good, creating what's next" is designed to be a powerful and inclusive declaration. It celebrates every employee as an active shaper of Safaricom's impact. This strategically shifts the narrative from "what the Company does" to "what we do together," fostering a sense of shared ownership and collective achievement.

"I Am Safaricom" recognises that every individual contributes to our success and embodies our spirit.

"A force for good" because our work extends far beyond business, driven by a purpose to transform lives.

And by "creating what's next," we embrace our commitment to pioneering new solutions, pushing technological boundaries, and continuously shaping the future of digital possibilities, in line with our Vision 2030 Strategy.

Our EVP promise serves as a bold, inclusive call to action, uniting past, present, and future talent around a common purpose, shared pride, and collective progress.

Grow unlimited

Your career isn't a ladder, it's a launchpad.

Build skills, learn, lead boldly, receive competitive rewards and succeed.

Reimagine what's possible

Be nimble, use the latest tech to solve real problems and create the future.

Come as you are and rise

Safaricom IS Kenya – diverse, vibrant and united.

Your voice matters, your difference is valued and welcomed.

Protect your power

Wellness, safety and trust are sacred.

Protecting people is our priority.



THE FIVE PILLARS OF "I AM SAFARICOM"



1. Make an impact, every day

This pillar highlights that our employees' work at Safaricom directly contributes to transforming millions of lives, fostering a positive impact on customers, communities, and the environment. Employees are positioned as active agents of change.



2. Reimagine what's possible

This emphasises a culture of agility and innovation. Employees are encouraged to be nimble, leverage the latest technology to solve real-world problems, and actively participate in creating the future of connectivity and beyond.



3. Grow unlimited

This pillar focuses on career development and competitive rewards. It positions a career at Safaricom as a launchpad for building new skills, continuous learning, bold leadership, and achieving competitive compensation and career success.



4. Come as you are and rise

This speaks to Safaricom's commitment to diversity and inclusion. It asserts that Safaricom is a reflection of Kenya's diverse, vibrant, and united spirit, where every employee's voice matters and their unique differences are valued and welcomed.



5. Protect your power

This pillar underscores the Company's commitment to employee well-being. It stresses that wellness, safety, and trust are paramount, and Safaricom prioritises the protection and holistic well-being of its people.

Our FY26 people investment reached KShs 117 million, building stronger technical and leadership capabilities and enhancing employee engagement, growth opportunities, and overall readiness for the future.

Measure	Target	Actual	Achievement
Focus area: Enhance EVP to build internal brand trust			
Spirit of Safaricom Index	90% (+5 points)	85%	- Launched our revamped EVP and brought to life the “I Am Safaricom” value proposition through visual office branding, revamped HR communication and culture activations - Enhanced benefits through partnership with third parties such as Safaricom Kikao (Staff Mortgage Scheme) - Embedded Employee Super App as a tool for daily convenience through enhanced features, leading to uptake by over 4,000 staff members. Feature enhancements include centralised approvals, simplified airtime top-up, tracking and leave management - Implementing the first iteration of an Intelligent HR through the introduction of our Kazuri chatbot, AI-assisted performance management and recruitment journeys, including a revamped AI-enabled onboarding journey for new joiners - Reimagined our THRIVE approach to financial well-being and mental wealth
Engagement Index	85% (+3 points)	87%	
Maintain #1 best place to work	#1	#1	
Focus area: “Tech IT to the next level” by deepening tech, leadership, commercial skills, and readiness to enable our TechCo ambition			
TechCo skills readiness	2.7 (+0.3 points)	Not yet measured	- Strengthened Senior Leadership capability by embedding leadership shifts, coaching and growth actions with a focus on collaboration and customer obsession - For the extended leadership team, we continued to embed mindset and behaviour change, bringing to life the four behaviours through the launch of E2Connect sessions and eShift forums - The four behaviours were crafted by the extended leadership team as part of a broader leadership transformation initiative - Launched Inua, a talent accelerator and leadership development programme for mid-career talent to build a leadership pipeline - Advanced our future-fit tech skills capabilities journey through innovation labs, where 40% of colleagues got to experiment with the AI and tech skills acquired through 2+1 future skills - Commenced ambitious aspiration to create AI skills at scale by training 500 AI Evangelists
Leadership Index	75% (+5 points)	77%	
Tech talent attrition	<10%	5.4%	
Women in leadership	47%	43.9%	
Female successors on Senior Leadership Teams/business area	30%	33%	
25% Telecommunications and Advanced technology promotions by end of FY27	10%	11.1%	
Focus area: Deliver a fit-for-future organisation and culture through fixed broadband business unit, Group structure and shared service operating model			
Collaboration Index for Kenya and Ethiopia	+5 points	Not yet measured	Operationalised the converged fixed operating model and completed the design of the HR Group people hub towards the implementation of a best-in-class HR shared services for Safaricom and subsidiaries
Focus area: Radically transform our safety environment towards zero-harm across all operations			
Zero reportable fatalities	0	1	Safety Reset delivered ahead of plan at 73% completion vs 70% target. Strong executive sponsorship enabled organisation-wide execution Read more about the Safety Reset Plan on page 65.

Stakeholders impacted	SDG contribution	Six capital impacts
- Employees - Society and communities	SDG 8 SDG 10 SDG 17	Financial capital Manufactured capital Human capital Intellectual capital Social and relationship capital

Sustainable community investments

Safaricom's impact extends beyond our workforce to the customers, communities and broader society we serve. This is reinforced by targeted social investment through the Safaricom and M-PESA Foundations. Read more about the Foundations' projects in the Sustainable Business Report.

The Safaricom Foundation's focus areas:

FOUNDATION

Health

Our investment in health aims to promote healthy lives and the well-being of Kenyans, focusing on improving access to and use of reproductive, maternal, newborn, adolescent, and child health services, supported by investments in healthcare infrastructure, to reduce the maternal and neonatal mortality rate in Kenya.

Education

Our investments in education aim to ensure inclusive, equitable, quality education and to promote lifelong learning opportunities for Kenyans. We focus on improving teachers' capacity to enhance learning outcomes and on promoting access to technical and vocational education for young people infrastructural investment.

Integrated conservation, water and Economic Empowerment

Our investments in economic empowerment aim to ensure full and productive employment and decent work for young Kenyans. We focus on addressing unemployment among Kenya's youth by partnering for enterprise development, value-adding and innovative agriculture, as well as agribusiness and Ecopreneurship.

The M-PESA Foundation's focus areas:

FOUNDATION

Health

Our investment in health includes projects for maternal and newborn health, healthcare infrastructure development, and training for community health volunteers.

Education

Our investment in education supports children from economically disadvantaged backgrounds through the M-PESA Foundation Academy, TVET scholarships and the Starehe Girls Centre.

Integrated conservation, water and Economic Empowerment

Our investment in environmental conservation focuses on a fencing project for the Mau Eburu forest to curb recurring human-wildlife conflict and on conserving the Nairobi National Park through the Nairobi Greenline project, supported by investments in conservation infrastructure that strengthen ecosystem protection and sustainability.

Both Foundations continue to implement large-scale and highly impactful community projects across their pillars. All our projects are partner-implemented.

In FY26, Safaricom's broader contribution included enabling 965 youth to secure employment and self-employment opportunities through the Wezesha Vijana TVET and Wezesha Agri III programmes, through induced economic impact. Through Group social investment activities, the Safaricom and M-PESA Foundations continued to support communities by investing KShs 10.2 billion across 47 counties, impacting 4.4 million lives.

Stakeholders impacted

- Society and communities

SDG contribution

SDG 3 **SDG 4** **SDG 8** **SDG 10** **SDG 17**

Six capital impacts

- Financial capital
- Human capital
- Social and relationship capital
- Natural capital

OUR PERFORMANCE

FY26 was a landmark year for Safaricom. Beyond delivering strong commercial performance, the year carried deep symbolic and strategic significance, marking 25 years of how our network, platforms, products and services have transformed lives and continue to improve everyday life for millions of Kenyans.



GROUP CEO REPORT



Over the past 25 years, Safaricom has played a foundational role in expanding access to connectivity, financial services and digital public infrastructure in Kenya. The Group continues to demonstrate disciplined execution and capital allocation across its markets.

Safaricom@25

FY26 was a landmark year for Safaricom – beyond delivering a strong set of results, the year carried deep symbolic and strategic significance, marking 25 years of how our network, platforms, products and services have transformed lives and continue to improve everyday life for millions of Kenyans. At the same time, we continued to scale our operations in Ethiopia, expanding connectivity, digital services and financial inclusion to support meaningful socioeconomic impact and contribute to the country's digital future.

Kenya delivered an outstanding performance during the year, demonstrating the business's resilience and underlying strength despite a number of market and competitive disruptions. Meanwhile, Ethiopia has begun making a meaningful contribution to the Group and is steadily progressing towards scale. The operating environment in Ethiopia is also becoming more sustainable, supported by regulatory interventions that have improved industry structure and pricing visibility. These developments are beginning to shift broader stakeholder and investor sentiment around the market's long-term viability and growth potential, reinforcing confidence in Ethiopia's path towards sustainable profitability.

We remain deeply grateful to our customers, partners and communities who co-created impact with us, not just by using our services, but by helping us shape solutions that reflect real needs. Their voices reaffirmed our purpose of Transforming Lives and strengthened our responsibility to serve Kenya and Ethiopia as their most trusted technology and financial services partners.

Impact through our Purpose Strategy

We have integrated nine UN SDGs into our business model, aligning commercial priorities with sustainable development outcomes. This integration is meant to strengthen our mission to create shared value by improving livelihoods, driving innovation, and delivering long-term responsible growth. On planet, we are committed to a net positive future. We are actively transitioning our energy sources to greener and more sustainable alternatives. On people, we continue to expand digital and financial inclusion and continue to make progress on diversity and inclusion outcomes. This is all to ensure that sustainability remains embedded in our long-term value creation strategy and in our commitment to building a net positive future.

We launched our flagship Citizens of the Future programme in financial year 2026 to make a bold, long-term commitment to investing in and improving access to quality learning, digital skills, and safe learning environments. Over the next five years, the programme aims to build and refurbish 500 schools, award 10,000 scholarships to senior secondary and tertiary level learners and equip between 56,000 teachers with digital skills. Read more about the Citizens of the Future programme on www.citizenofthefuture.org and on page 5 in our FY26 Annual Report.

Additionally, over two million customers took their first step into structured savings and investments through Ziidi Money Market Fund, while more than half a million retail investors are now accessing the stock market via Ziidi Trader as of end of the financial year 2026. At the same time, investments in data, AI and automation are helping us personalise customer experiences, improve efficiency, and provide more converged solutions.

Safaricom has always been about purpose – it is why our business exists. We bring our purpose to life through accessible products and services and through the two Foundations' support to our communities.

Delivering on Vision 2030

Safaricom is firmly on track against its Vision 2030 ambitions, supported by strong Group performance and encouraging progress across its strategic priorities. In FY26, we continued laying the foundations to become Africa's leading purpose-led technology company, supported by investments in connectivity, digital platforms, AI, enterprise digitisation and next-generation financial services.

The strategy review process during the year yielded several refinements in approach and focus. These include strengthening connectivity as the foundation for everything we do, accelerating digitisation across our markets, and embedding AI into customer experiences and business operations. We also increased our focus on technology-led efficiency, cost leadership, and building the partnerships and operating models required to support our market-leading innovations.

Key priorities included:

- Delivering end-to-end customer experiences that are intuitive, personalised and frictionless

- Accelerating AI-enabled customer engagement, decision-making and operational efficiency
- Scaling broadband and connectivity through continued investment in 4G, 5G and fibre infrastructure
- Monetising our core technology capabilities through digital platforms, APIs and enterprise solutions
- Effectively driving customer activity and monetising our fixed infrastructure
- Scaling Fintech 2.0 and broader digital ecosystem capabilities to support innovation and future growth
- Strengthening our technology stack and digital platforms to accelerate product development and service delivery
- Getting an additional four million-plus affordable devices into the hands of our customers

FY26 also marked important progress in strengthening the technology foundations required for future growth. We successfully launched Fintech 2.0, creating a more resilient, scalable and secure platform capable of supporting the next generation of digital financial services and merchant solutions. Read more about the Fintech 2.0 transformation on page 72.

Nurturing employees with spirit

Our employees are at the core of Safaricom's transformation journey and long-term success. We continued investing in building a future-ready organisation capable of supporting our Vision 2030 ambition. While we continue embedding greater commercial intensity across the business, we remain equally committed to fostering a culture of innovation, accountability and Customer Obsession throughout the Group.

We continued prioritising employee well-being, learning and development, growth and career opportunities, and diversity and inclusion because we recognise that our people remain at the heart of Safaricom's long-term success. As we continue evolving into a more technology-led organisation, building future-ready capabilities and investing in new skills will become increasingly important, and this remains a key area of focus for the Group.

During the year, Safaricom continued to strengthen its people practices, reward structures, and organisational design to better support growth, deepen employee engagement, and empower our teams across Kenya and Ethiopia to thrive in a rapidly changing environment. Read more about these initiatives from page 65.

Operational achievements and challenges

We have strengthened the foundations of our financial services ecosystem through the rollout of Fintech 2.0, a next-generation platform designed to improve scale and customer experience across M-PESA. The upgraded platform provides increased transaction processing capacity to 6,000 transactions per second and introduces enhanced AI-driven security capabilities, open APIs, and improved integration functionality to support a growing ecosystem of developers, merchants, and partners.

Fintech 2.0 is a completely new platform rather than an upgrade of the existing system. The architecture allows us to launch new capabilities such as tap-to-pay, shared wallets and enhanced fraud management tools, while reducing the risk of widespread service disruption through a more modular infrastructure design.

Safaricom believes the investment positions M-PESA to compete more effectively against increasing pressure from fintechs, banks, and alternative digital payment providers, while supporting our long-term transition to AI-enabled technology. Read more about our new Fintech 2.0 platform on page 72.

The launch of our OneApp offering in FY26 presented some challenges in terms of customer experience and usability. However, we view these early setbacks as an important learning process, providing valuable customer feedback that is helping refine the platform and strengthen its AI-enabled capabilities.

Fintech 2.0 brings next-level capabilities

M-PESA's continued growth has placed Safaricom's financial services platform under increasing pressure to do more and do it better. Higher transaction volumes, more complex use cases, rising customer expectations and a tougher regulatory environment all pointed to the same reality: the business needed a stronger digital foundation for the next phase of growth.

M-PESA plays such a central role in the economy that resilience, stability and security have become strategic requirements. The platform also needed to support faster innovation, new product development and stronger compliance readiness, without increasing systemic risk as scale deepened.

This is the context in which Fintech 2.0 was introduced. Rolled out as Safaricom's largest financial services technology investment of the year, the upgraded platform marked a significant shift in the architecture supporting the M-PESA ecosystem. A microservices-led design replaced a more concentrated legacy environment, enabling issues to be isolated more effectively and reducing the likelihood of broader disruption.

Fintech 2.0 is also AI-enabled and supported by a hybrid cloud-and-on-premises environment, giving the business greater flexibility and a more scalable foundation for innovation. The benefits are already evident. Fintech 2.0 increased transaction processing capacity from about 4,500 to about 6,000 uninterrupted transactions per second, with room to scale to 10,000 transactions per second.

The expanded capacity gives Safaricom a stronger platform from which to grow payments, credit, savings, insurance and merchant solutions, while also reducing operational risk and improving responsiveness.

Equally important is what this means for the future. As expectations around customer protection, data privacy, compliance, and system integrity continue to rise, Fintech 2.0 gives Safaricom a better platform to respond.



AI-led growth opportunities

AI now runs at scale across the Group. It has powered personalised offerings, enhanced fraud-prevention capabilities, improved network reliability through predictive analytics, and supported more accurate credit decisioning. This also meant that our customer care functions are increasingly AI-assisted. The developer and Mini Apps ecosystem continues to expand, with strong traction in SME workflows, including reconciliation, payroll, and inventory management.

Our AI models undergo continuous monitoring for accuracy, including the detection of model drift and performance tracking via alerting systems. Auditability is maintained through detailed logs of model decisions and version histories, enabling traceability.

Our AI governance model is designed to promote safe, transparent, and accountable use of AI, fostering trust in our platforms and peace of mind for our customers.

We are applying AI across the business to improve customer experience, support smarter growth and build a more intelligent network. Our current use cases include:

Customer experience: Always-on conversational support across Telegram, Web, Facebook and the M-PESA app, supported by AI-driven fraud prevention

Segmentation and growth: Real-time recommendations that support targeted bundle adoption and AI-enabled cross-sell campaigns for credit services

Enterprise solutions: AI as a Service solutions that support business customers with smarter tools and insights

Intelligent network: Predictive maintenance and intelligent automation that improve network efficiency and reduce cost to serve

These use cases are supported by foundational capabilities in data centres, responsible AI governance, talent, tools, processes and platforms.

Outlook

As we enter FY27, we will remain focused on deepening customer value through more personalised, affordable and converged propositions while accelerating innovation across connectivity, fintech, AI and digital services. We will continue to strengthen Safaricom Ethiopia, scale the next phase of M-PESA growth, and reinforce our position as a trusted technology and financial services partner across our markets.

The progress achieved in FY26 reinforces our confidence in the opportunities ahead. Through disciplined execution, responsible innovation and purpose-led leadership, we remain committed to Transforming Lives and creating sustainable long-term value for all our stakeholders.

RIPOTI YA AFISA MKUU MTENDAJI WA KUNDI LA SAFARICOM



Kwa miaka 25 iliyopita, Safaricom imetekeleza mchango muhimu katika kuweka msingi wa mawasiliano ya simu na data, huduma za kifedha na miundo mbinu ya umma ya kidijitali nchini Kenya. Kundi linaendelea kudhihirisha nidhamu katika utekelezaji na matumizi ya mtaji katika masoko yote ambayo linahudumu.

Safaricom@25

Mwaka wa Kifedha wa 2026 ulikuwa mwaka wa kipekee kwa Safaricom – kando na kupata matokeo mazuri sana, mwaka huo ulikuwa na ishara ya maana sana na umuhimu kimkakati. Tuliadhimisha miaka 25 ya jinsi mtandao wetu, majukwaa yetu, bidhaa na huduma vimebadilisha maisha na vinaendelea kuboresha maisha ya mamilioni ya watu Kenya. Wakati huo huo, tuliendelea kupanua shughuli zetu Ethiopia, kwa kupanua upatikanaji wa mtandao wetu, huduma za kidijitali na ujumuishaji wa kifedha ili kusaidia manufaa ya maana ya kijamii na kiuchumi na kuchangia siku za baadaye za kidijitali za taifa hilo.

Kenya iliandikisha matokeo mazuri katika mwaka huo, jambo linalodhihirisha ukakamavu na nguvu ya biashara yetu licha ya kuwa na changamoto kadhaa sokoni na kwenye ushindani. Haya yakijiri, Ethiopia imeanza kuwa na mchango wa maana katika Kundi na inaendelea vyema. Mazingira ya uendeshaji shughuli Ethiopia yameanza kuwa mazuri na endelevu, yakisaidiwa na hatua za kisheria ambazo zimeimarisha muundo wa sekta na pia kuweka uwazi kwenye maamuzi ya bei za huduma na bidhaa. Matukio haya yameanza kubadilisha hisia na mtazamo pana wa wadau na wawekezaji kuhusu manufaa ya kipindi kirefu ya soko hilo na uwezo wa ukuaji, na kuongeza imani kwenye safari ya biashara yetu Ethiopia kuelekea kuanza kuunda faida endelevu.

Tunawashukuru sana wateja wetu, washirika na jamii ambao wameshiriki nasi katika kutimiza haya, na sio tu kwa kutumia huduma zetu bali pia kwa kutusaidia kuboresha na kuandaa huduma zinazokidhi mahitaji yao halisi. Sauti zao zilikariri lengo letu la Kubadilisha Maisha na kuongeza nguvu wajibu wetu wa kuzihudumia Kenya na Ethiopia kama mshirika mtoa huduma za teknolojia na kifedha wa kuaminika zaidi.

Matokeo kupitia mkakati wetu wa Lengo

Tumefungamanisha Malengo tisa ya Maendeleo Endelevu ya Umoja wa Mataifa (UN SDGs) kwenye muundo wetu wa biashara, na hivyo basi kuambatanisha vipaumbele vya biashara yetu na maendeleo endelevu. Lengo ni kuongeza nguvu azma yetu ya kuunda thamani ya pamoja kwa kuboresha maisha ya watu, kuchochea uvumbuzi, na kuhakikisha ukuaji wa kupindi kirefu wa kuwajibika. Kuhusu sayari yetu, tumejitolea kufikia kiwango cha kutoharibu mazingira. Tumekuwa tukihamisha vyanzo vyetu vya kawi na kutumia nishati mbadala safi na endelevu. Kuhusu watu, tunaendelea kupanua ujumuishaji wa kidijitali na kifedha na kupiga hatua katika kujumuisha na kushirikisha watu wa sifa na asili mbalimbali. Haya yote ni kuhakikisha kuwa uendelevu unaendelea kufungamanishwa kwenye mkakati wetu wa kuunda thamani katika kipindi kirefu na katika ahadi yetu ya kufikia hali ambapo hatuchangii uchafuzi wa mazingira.

Tulizindua mpango wetu wa Raia wa Siku za Baadaye katika mwaka wa kifedha wa 2026 ili kutoa ahadi jasiri na ya kipindi kirefu ya kuwekeza na kuboresha kupatikana kwa elimu bora, ujuzi wa kidijitali na mazingira salama ya elimu. Katika miaka mitano ijayo, mpango huu unalenga kujenga na kukarabati shule 500, kutoa ufadhili wa masomo 10,000 kwa wanafunzi wa elimu ya sekondari ya juu na elimu ya juu, na kuwawezesha walimu 56,000 kwa kuwapatia ujuzi wa kidijitali ili kuboresha matokeo ya ujifunzaji na ufundishaji.

Soma zaidi kuhusu mpango wa Raia wa Siku za Baadaye katika www.citizenofthefuture.org na katika ukurasa wa 5 kwenye Ripoti ya Kila Mwaka ya Mwaka wa Kifedha wa 2026.

Safaricom daima imekuwa kuhusu lengo – ndio sababu ya uwepo wa biashara yetu. Tunatekeleza lengo hili kupitia bidhaa na huduma zinazopatikana kwa urahisi na kupitia taasisi zetu mbili za Wakfu tunazozitumia kusaidia jamii zetu.

Kadhalika, wateja zaidi ya milioni mbili walichukua hatua zao za kwanza katika kuwa na akiba na uwekezaji wenye mpangilio kupitia mfuko wa uwekezaji kwenye hati za dhamana wa Ziidi Money Market Fund. Pia, zaidi ya wawekezaji wa rejareja nusu milioni sasa wanaweza kushiriki biashara kwenye soko la hisa kupitia Ziidi Trader, idadi ya kufikia mwisho wa mwaka wa kifedha wa 2026. Wakati uo huo, uwekezaji katika data, Akili Mnemba (AI) na matumizi ya mfumo ya mitambo na mashine unatusaidia kuboresha huduma zetu kwa wateja, kuimarisha utoaji wetu wa huduma, na kuwa na bidhaa na huduma bora zaidi.

Kutimiza Ruwaza ya 2030

Safaricom inaendelea vyema kuelekea kutimiza malengo kwenye Ruwaza yake ya 2030, ikisaidiwa na matokeo mazuri ya Kundi na hatua za kuridhisha kwenye vipaumbele vyake vya kimkakati. Katika Mwaka wa Kifedha wa 2026, tuliendelea kuweka msingi wa kuwa kampuni ya kiteknolojia inayoongozwa na malengo inayoongoza Afrika, tukisaidiwa na uwekezaji katika mawasiliano na data, majukwaa ya kidijitali, akili mnemba, kufanywa dijitali kwa shughuli kwenye biashara yetu na kutoa huduma bora za kifedha.

Shughuli ya utathmini wa mkakati wetu iliyofanyika katika mwaka huo ilizalisha maboresho kadha kwenye mtazamo wetu na mambo tunayoyaangazia. Hii ni pamoja na kuimarisha mawasiliano ya simu na data kama msingi wa kila jambo tulifanyalo, kuongeza kasi ya ufanyaji dijitali wa shughuli zetu katika masoko yote, na kufungamanisha akili mnemba katika huduma kwa wateja na shughuli zetu za kibiashara. Tumeongeza pia uangazaji wetu kwenye utendaji bora wa shughuli kwa kuongozwa na teknolojia, udhibiti wa gharama, na kujenga ushirikiano na miundo ya uendeshaji shughuli inayohitajika kusaidia uvumbuzi wetu unaongoza sokoni.

Vipaumbele vilikuwa ni pamoja na:

- Kutoa huduma bora kwa mteja kwa njia inayofahamu anachokihitaji, inamlenga binafsi na haina changamoto
- Kuongeza kasi matumizi ya Akili Mnemba katika kuhusiana na wateja, uafanyaji wa maamuzi na kuimarisha utendaji wa shughuli zetu
- Kupanua upatikanaji wa huduma ya kasi ya mtandao na data na mawasiliano kupitia kuendelea kuwekeza katika miundo mbinu ya 4G, 5G na nyaya za intaneti
- Kutoza fedha kutoka kwa uwezo wetu kiini wa kiteknolojia kupitia majukwaa ya kidijitali, viungo vya kutumiwa kwenye tovuti au programu tumishi (APIs) na huduma za kutumiwa kwenye biashara
- Kuongoza shughuli za wateja na kutoza pesa kutokana na miundo mbinu yetu
- Kupanua Fintech 2.0 na uwezo wa mfumo ikolojia mpana wa dijitali ili kusaidia uvumbuzi na ukuaji wa siku za usoni
- Kuimarisha mseto wa huduma zetu za kiteknolojia na majukwaa ya kidijitali ili kuongeza kasi maandalizi na uendelezaji wa bidhaa na huduma mpya, na pia utoaji huduma
- Kufikisha vifaa vingine zaidi ya milioni nne vya bei nafuu mikononi mwa wateja wetu

Mwaka wa Kifedha wa 2026 ulikuwa pia mwaka wa hatua kubwa katika kuimarisha msingi wa kiteknolojia unaohitajika kwa ajili ya ukuaji wa siku za baadaye. Tulizindua Fintech 2.0, ambayo inaunda jukwaa thabiti, kubwa na salama linaloweza kusaidia huduma za kifedha za kidijitali za kizazi kipya na huduma za kutumiwa na wafanyabiashara.

Soma zaidi kuhusu mabadiliko ya Fintech 2.0 katika ukurasa wa 73 na 81.

Kuwatunza wafanyakazi kwa moyo

Wafanyakazi wetu wamo katika kitovu cha safari ya mabadiliko ya Safaricom na ufanisi wa kipindi kirefu. Tuliendelea kuwekeza katika kuwa shirika lililo tayari kwa siku za baadaye na lenye uwezo wa kusaidia kutimiza ndoto yetu ya Ruwaza ya 2030. Tunapoendelea kufungamanisha kasi ya biashara zaidi kwenye shirika letu, bado tumejitolea kukuza na kuendeleza utamaduni wa uvumbuzi, uwajibikaji na uangazaji wa mteja kote katika Kundi.

Tuliendelea kupatia kipaumbele maslahi ya wafanyakazi, mafunzo yao na ustawi, ukuaji, fursa za kazi, utofauti na ujumuishaji. Hii ni kwa sababu tunatambua kuwa wafanyakazi wetu wamo kwenye kiini cha mafanikio ya kipindi kirefu ya Safaricom. Tunapoendelea kubadilika na kuwa shirika linaloongozwa na teknolojia, kujenga uwezo wa kuwa tayari kwa siku za baadaye na kuwekeza katika ujuzi mpya yataendelea kuwa mambo muhimu zaidi, na hili linasalia kuwa jambo tunaloliangazia sana kama Kundi.

Katika mwaka huo, Safaricom iliendelea kuimarisha desturi na utamaduni wake kuhusu wafanyakazi, malipo na muundo wa shirika ili kusaidia vyema ukuaji, kuhakikisha ushiriki wa wafanyakazi, na kuwezesha wafanyakazi wetu kote Kenya na Ethiopia kunawiri katika mazingira yanayobadilika haraka.

Soma zaidi kuhusu mikakati hii kwenye ukurasa wa 66.

Mafanikio na changamoto katika uendeshaji shughuli

Tumeimarisha msingi wa mfumo ikolojia wa huduma zetu za kifedha kupitia uzinduzi wa Fintech 2.0, jukwaa la kizazi kijacho lililoandaliwa kuboresha upanuzi na huduma kwa wateja kwenye M-PESA. Jukwaa hili lililoboreshwa linawezesha kuongezwa kwa uwezo wa kukamilisha miamala ya pesa kufikia hadi miamala 6,000 kwa sekunde na pia linaleta viungo vya usalama vinavyotumia Akili Mnemba (AI), lina viungo vya kutumiwa kwenye tovuti au programu tumishi (APIs) zilizo wazi, na pia uwezo wa kufungamanisha na huduma nyingine umeongezeka. Hii inawezesha kusaidia mfumo ikolojia unaoendelea kukua wa waandaaji wa programu za kutumiwa kwenye simu na kompyuta, wafanyabiashara, na washirika.

Fintech 2.0 ni mfumo mpya kabisa tofauti na kuboreshwa kwa mfumo ambao umekuwapo. Muundo wake unatuwezesha kuzindua huduma na uwezo mpya kama vile kugusisha ili kulipa, vipochi vya pamoja, na viungo vya kisasa vya kugundua ulaghai, huku

ukipunguza hatari ya kutatizika kwa huduma kupitia muundo wenye viungo vinavyoweza kujisimamia. Safaricom inaamini kwamba uwekezaji huu unaiweka M-PESA katika nafasi nzuri ya kushindana vilivyo dhidi ya shinikizo zinazoongezeka kutoka kwa kampuni za fedha na teknolojia, benki, na watoaji wa huduma za njia mbadala za malipo, na pia utasaidia katika mpango wetu wa kipindi kirefu wa kuhamia kwenye teknolojia inayotumia Akili Mnemba.

Soma zaidi kuhusu mfumo wetu mpya wa Fintech 2.0 katika ukurasa wa 73 na 81.

Uzinduzi wa OneApp katika Mwaka wa Kifedha wa 2026 ulikumbana na changamoto katika kutumiwa kwake na wateja. Hata hivyo, tunazitazama changamoto hizo za awali kama funzo muhimu, ambapo tulipokea maoni muhimu kutoka kwa wateja ambayo yanatusaidia kuiboresha na kuimarisha uwezo wake wa Akili Mnemba (AI).

Fintech 2.0 inaleta uwezo wa ngazi nyingine

Ukuaji wa M-PESA ambao umeendelea umeweka shinikizo kwenye mfumo wa huduma za kifedha wa Safaricom kufanya zaidi na vyema zaidi. Idadi ya juu ya miamala, matumizi changamano zaidi, kupanda kwa matarajio ya wateja na mazingira magumu ya kisheria vyote vinaashiria jambo moja: kwamba biashara yetu inahitaji msingi imara zaidi wa kidijitali kwa ajili ya awamu ifuatayo ya ukuaji.

M-PESA hutekeleza mchango mkuu sana katika uchumi na ukakamavu, uthabiti na usalama wake vimekuwa mahitaji ya kimkakati. Mfumo wake pia ulihitaji kuwezesha uvumbuzi wa haraka, urahisi wa kuanzisha huduma na bidhaa mpya, na uwezo zaidi katika kutimiza mahitaji ya kisheria bila kuongeza hatari kwenye mfumo huo.

Huu ndio muktadha ambao Fintech 2.0 inaingilia. Mfumo huu ulizinduliwa kama uwekezaji mkubwa zaidi katika teknolojia ya huduma za kifedha wa Safaricom wa mwaka. Mfumo huu unaleta mabadiliko makubwa katika muundo wa teknolojia inayosaidia mfumo ikolojia wa M-PESA. Muundo unaoongozwa na huduma ndogo ndogo ulichukua nafasi ya mfumo wa awali uliokuwa na mazingira yaliyokolea sehemu moja. Hii inawezesha hitilafu kuathiri sehemu tu ya mfumo na hivyo kupunguza hatari ya kuwa na hitilafu zinazoathiri mfumo wote.

Fintech 2.0 pia ina uwezo wa kutumia AI na inasaidiwa na mfumo mseto wa uhifadhi wa data kwenye sava za mbali na pia sava za ndani. Hii inaipa biashara yetu wepesi zaidi na pia msingi wa kuwezesha uvumbuzi. Manufaa yake tayari yameanza kuonekana. Fintech 2.0 iliongeza uwezo wa kushughulikia na kukamilisha miamala kutoka 4,500 hadi 6,000 kila sekunde, na kuna fursa ya kuongeza uwezo huo hadi miamala 10,000 kila sekunde.

Uwezo huu uliopanuliwa unaipa Safaricom jukwaa thabiti zaidi la kukuza idadi ya malipo yanayokamilishwa, mikopo, akiba, bima na huduma za kutumiwa na wafanya biashara, huku ikipunguza hatari na kuimarisha uwezo wa kujibu mahitaji.

Muhimu pia ni maana ya hili kwa siku zetu za baadaye. Kadiri matarajio kuhusu ulinzi wa wateja, ufaragha wa data, utimizwaji wa mahitaji ya kisheria, na umuhimu wa uthabiti wa mfumo yanavyoendelea kupanda, Fintech 2.0 inaipa Safaricom mfumo imara zaidi wa kujibu mahitaji haya.



Fursa za ukuaji zinazoongozwa na Akili Mnemba

Akili Mnemba au Akili Bandia (AI) sasa inatumika pakubwa katika Kundi. Imekuwa ikitumika kuambatanisha mahitaji ya mteja na huduma, kuzuia ulaghai, kuongeza utegemezi wa mtandao wetu kupitia kuangazia data, na pia kusaidia maamuzi kuhusu mikopo. Hii ina maana kwamba baadhi ya shughuli za mawasiliano na huduma kwa wateja zinaendelea zaidi na zaidi kusaidiwa na Akili Mnemba (AI). Mfumo ikolojia wa waundaji wa programu, programu tumishi na tovuti pia unaendelea kupanuka, na kutumika sana kwenye shughuli za Biashara Ndogo na za Wastani (SME) ikiwa ni pamoja na usawazishaji wa hesabu kwenye biashara, malipo ya mishahara na usimamizi wa orodha ya vitu na bidhaa kwenye biashara.

Mifumo yetu ya Akili Mnemba hufanyiwa uangalizi wa kila wakati kuhakikisha ni sahihi, ikiwa ni pamoja na utambuzi wa mfumo unapoenda kombo na pia kufuatilia matokeo yake kupitia mifumo ya kutoa tahadhari. Uwezo wa kufanya ukaguzi pia unadumishwa kupitia rekodi ya kina ya kila maamuzi yanayofanywa na mfumo na pia historia ya aina ya mifumo, na hivyo kuifanya rahisi kutambua chanzo cha kila tukio.

Tunatumia Akili Mnemba kote katika biashara kuimarisha huduma tunayotoa kwa wateja, kusaidia ukuaji janja na kuunda mtandao ambao una kiwango cha juu cha uwezo wa kufikiria na kufanya maamuzi. Maeneo ambayo tunaitumia teknolojia hiyo kwa sasa ni pamoja na:

Huduma kwa wateja: Usaidizi unaopatikana kila wakati na wenye uwezo wa kuwasiliana katika Telegram, mtandao, Facebook na programu tumishi au app ya M-PESA, ukisaidiwa na uziujaji wa ulaghai kwa kutumia Akili Mnemba

Kuweka vitengo na ukuaji: Mapendekezo ya papo hapo ambayo yanasaidia kulenga wateja kwa vitengo na pia kuuza bidhaa na huduma za mikopo kwa wateja waliopo kupitia Akili Mnemba

Suluhu kwa wafanyabiashara: Suluhu ya Akili Mnemba kama huduma ambayo inasaidia wateja wafanyabiashara kupitia viungo na vifaa janja na takwimu pia

Mtandao janja: Kutabiri hitaji la ukarabati kwenye mtandao wetu na matumizi ya mfumo wa mitambo na mashine ili kuimarisha upatikanaji wa mtandao wetu. Hii inapunguza gharama ya utoaji huduma

Mifano hii inasaidiwa na uwezo msingi katika vituo vya data, utawala wa matumizi ya Akili Mnemba kwa kuwajibika, wafanyakazi wetu, vifaa, shughuli na majukwaa.

Mustakabali

Tunapoingia katika Mwaka wa Kifedha wa 2027, tutasaidia kuangazia na kukoleza uundaji wa thamani kwa mteja kupitia huduma mahususi za kufaa zaidi mteja husika, nafuu na zilizofungamanishwa huku tukiongeza kasi katika uvumbuzi kwenye mawasiliano na data, teknolojia ya kifedha, Akili Mnemba na huduma za kidijitali. Tutaendelea kuiimarisha Safaricom Ethiopia, kuwekeza katika awamu inayofuata ya ukuaji wa M-PESA, na kuimarisha zaidi nafasi yetu kama mshirika wa kuaminika wa huduma za kiteknolojia na kifedha katika masoko mbalimbali ambapo tunahudumu.

Hatua tulizozipiga Mwaka wa Kifedha wa 2026 zinaongeza nguvu imani yetu katika fursa zilizopo mbele yetu. Kupitia nidhamu katika utekelezaji, uvumbuzi wa kuwajibika, na uongozi unaoongozwa na malengo, tunakariri kujitolea kwetu kubadilisha maisha na kuunda thamani endelevu na ya kipindi kirefu kwa wadau wetu.

SAFARICOM KENYA

PERFORMANCE REVIEW

Safaricom's Kenya operations delivered a resilient and diversified performance in FY26, underpinned by the strength of its scaled connectivity and financial services ecosystem, as well as continued progress in its transition toward a technology-led business.

Performance snapshot

KShs 400.8 billion service revenue (FY25: KShs 364.3 billion) +10% ●	KShs 233.9 billion EBITDA (FY25: KShs 205.8 billion) +13.7% ●	KShs 182.3 billion EBIT (FY25: KShs 158.1 billion) +15.3% ●
KShs 119.1 billion net income (FY25: KShs 95.5 billion) +24.7% ●	KShs 173.6 billion operating free cash flow (FY25: KShs 148.8 billion) +16.7% ●	KShs 182.7 billion M-PESA revenue (FY25: KShs 161.1 billion) +13.4% ●
KShs 197.9 billion connectivity revenue (FY25: KShs 185.2 billion) +6.9% ●	KShs 83.4 billion mobile data revenue (FY25: KShs 72.9 billion) +14.4% ●	KShs 20.2 billion fixed service and IoT revenue (FY25: KShs 18.0 billion) +12.2% ●

- Positive/creating value
- Neutral/preserving value
- Negative/eroding value

Read more about Kenya's financial performance in the CFIO report from page 86.

Kenya's macro-economic environment remained stable and supportive, with inflation contained below 5%, while GDP grew by 4.6% (2025), and the Kenyan shilling remained broadly stable at approximately 129/USD. This stability continued to support customer usage, affordability and overall investor confidence. Against this backdrop, Safaricom Kenya maintained a 66.8% GSM customer market share as at December 2025, according to the Communications Authority of Kenya.

Performance reflects sustained demand for data and continued expansion of the M-PESA ecosystem, partially offset by macro-economic pressures, including constrained consumer spending and fiscal tightening in the public sector. The effects were felt most acutely in the public sector, where budget constraints slowed procurement cycles and delayed digitisation rollouts. Despite this, the Kenya business maintained its position as a strong cash-generative core, supporting both shareholder returns and continued investment in growth areas. Read more about Kenya's operating context and regulatory developments on page 37.

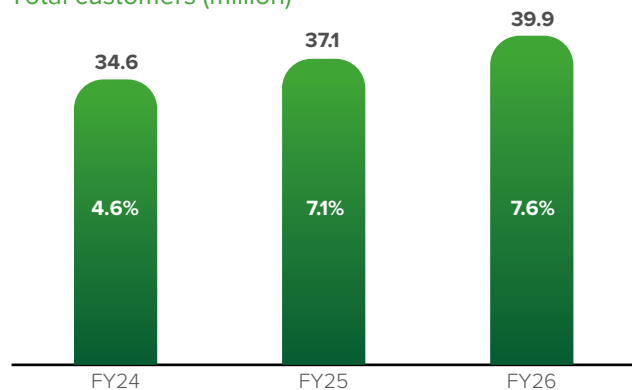
In this context, enterprise demand for digital solutions accelerated, as organisations across all sectors recognised that technology is now a prerequisite for efficiency, competitiveness, and service delivery, not an optional investment.

Customer growth

We refined our customer growth strategy during FY26 through a more deliberate customer cluster segmentation model within Consumer business. This included strengthening the role of development representatives to drive deeper engagement at the community level, improve customer support and enable more targeted, segment-led propositions tailored to the needs of different customer groups across the market.

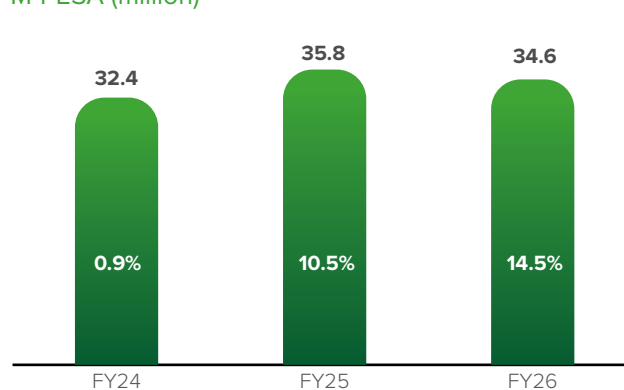
The model moved beyond a broad mass-market approach toward more personalised and insight-led engagement, enabling Safaricom to design more relevant propositions, improve retention, and strengthen adoption.

Total customers (million)*



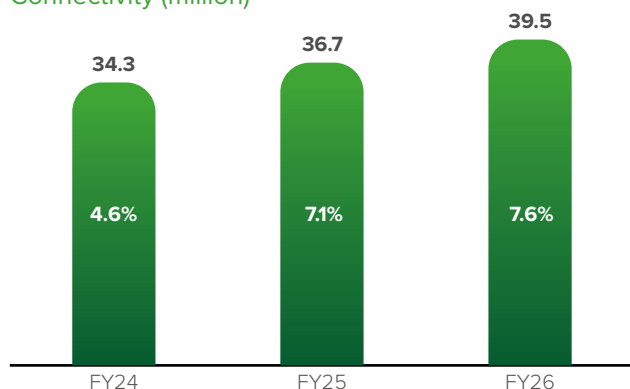
● Customers

M-PESA (million)*



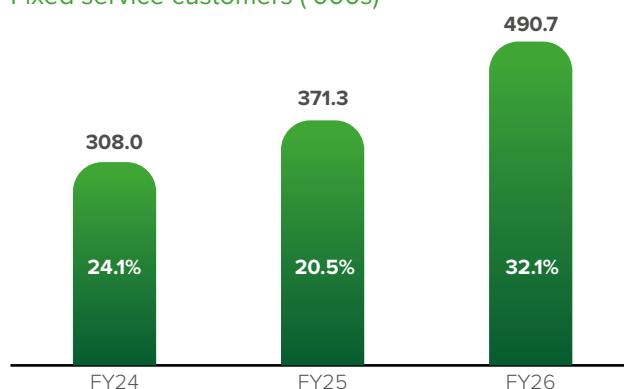
● Customers

Connectivity (million)



● Customers

Fixed service customers ('000s)



● Fixed service customers

* One-month active customers

Customer growth in Kenya remained strong in FY26, supported by continued expansion in active users and deeper engagement across the ecosystem:

- The market recorded 57.9 million 90-day active customers, representing 20.1% growth
- 30-day active customers increased to 39.9 million, up 7.6%, reflecting both continued acquisition and improved customer activity levels
- Connectivity customers increased to 39.5 million, 7.6% more than in the previous year, supported by rising smartphone penetration and sustained demand for data services
- M-PESA continued to scale, reaching 41.0 million customers, an increase of 14.5%, reinforcing its role as a core driver of customer acquisition, engagement and retention
- Fixed services saw strong momentum, growing to 490,691 customers, an increase of 32.1%, reflecting increasing demand for home and business connectivity

Overall, customer growth in Kenya reflected a combination of scale expansion and deeper engagement, with strong net additions and increasing participation across connectivity, financial services and fixed offerings.

Enterprise and public sector customer milestones

Our national impact is best demonstrated through the rapid three-month development of the Emergency Response platform with over 150 ambulances onboarded and integrated with fleet management for real-time tracking and improved emergency coordination. This is poised to provide coordinated evacuation and ambulance services nationwide, with a fully operational call centre, supporting millions of citizens interacting with Taifa Care services. The programme has now progressed to clinical decision support AI models providing frontline health workers with data-driven tools to improve quality, safety, and efficiency in healthcare delivery.

Milestones:

- On the UHC platform, we surpassed the 25 million registered-member target, reaching 29 million and demonstrating rapid national uptake
- At scale, Taifa Care registration has made significant gains with 29.6 million clients, including 12 million dependants, enrolled nationally
- Biometric patient validation has achieved an 80% success rate and has materially improved fraud prevention within the framework of the Social Health Insurance Fund by ensuring accurate patient verification
- The Lipa Pole Pole model continues to enhance the affordability of premium payments, with over 450,000 opt-ins
- On the Universal Disbursement platform, we supported 1.7 million beneficiaries against a target of 1.8 million, maintaining high levels of service reach and reliability for social protection programmes
- Performance on biometric enrolment had 31 million biometric-ready citizens, more than triple the initial 10 million user enrolment target
- Our active enterprise customer base grew from approximately 69,000 in FY25 to 83,611 in FY26 – a 19.7% increase, representing net customer growth despite competitive intensity

New products and solutions

Safaricom's innovation approach in FY26 increasingly reflected its shift from a product-led to a segment-led operating model, with new platforms and solutions designed to meet the specific needs of consumers, merchants, SMEs, enterprises, and public sector institutions. Below are some of the key products, platforms and digital solutions introduced or scaled during the year under review across Safaricom's consumer, financial services, enterprise and public sector businesses.

- Fintech 2.0:** Safaricom launched its next-generation M-PESA platform to improve scalability, AI-enabled security, resilience and innovation capacity, increasing transaction capability to 6,000 transactions per second. Read more about Fintech 2.0 on page 72
- MySACCO platform:** Kenya's first TechCo-built, full back- and front-office banking platform for SACCOs. Read more about the MySACCO platform on page 81
- Shiriki pay:** Shared wallet functionality introduced on Fintech 2.0, enabling collaborative wallet usage

- AI Contact Centre as a Service (CCaaS):** AI-powered, omnichannel contact centre platform integrated with M-PESA and Safaricom connectivity – live at three SACCOs, with more in the pipeline
- MyCounty revenue management system:** An integrated digitised platform designed to standardise and streamline how citizens and businesses pay for county services and improve revenue collection efficiency
- Real-time transaction fraud prevention** for banks and financial institutions
- Business as a Service (BaaS):** SME business essentials, automated bookkeeping, invoicing, payroll, and tax filing for micro- and small enterprises
- Ziidi Trader:** New investment platform launched in partnership with the NSE, enabling customers to buy and sell shares directly through M-PESA
- Managed Security Operations Centre (SOC-aaS):** Expanding managed cybersecurity beyond point solutions to a fully managed SOC capability, monitoring, detection, and response
- Edge Computing Solutions:** Leveraging our tower and fibre infrastructure for latency-sensitive enterprise applications in manufacturing, logistics, and healthcare
- Affordable fibre lite packages:** Lower-cost fibre propositions introduced to expand broadband accessibility and penetration into lower-income segments
- Tokenised Wi-Fi Solutions:** Affordable Wi-Fi access propositions introduced to broaden connectivity inclusion

FY27 will be a landmark year for customer-facing digital capabilities, anchored by OneApp, Safaricom's unified digital experience platform. OneApp will deliver full hyper-personalisation across GSM, M-PESA, wealth, entertainment, and care journeys, leveraging data and AI to surface relevant products at the right moment. To extend OneApp's experience to customers on entry-level smartphones and 3G devices, we are also launching Safaricom Lite, a Progressive Web App that replicates the core OneApp experience on lower capacity devices, ensuring no digital divide in access to our services.

Supporting digital inclusion through device adoption

Safaricom's Consumer business device strategy is centred on accelerating smartphone and 4G+ adoption to deepen digital inclusion and expand access to digital services. Under our Vision 2030 Strategy, device penetration is viewed as a foundational enabler of the organisation's transition into a technology company, with "4G+ device acceleration" identified as one of the six strategic priorities.

First, our strategy focuses on improving smartphone affordability and accessibility across customer segments. We are expanding device-financing partnerships and targeted affordability initiatives to help more customers migrate from basic and legacy handsets to 4G- and 5G-enabled devices. The approach is closely linked to Safaricom's broader data growth strategy. As smartphone penetration increases, customers are consuming more digital content, using more financial services, and using more online platforms.

We will continue to develop targeted propositions for customer groups such as youth, SMEs and boda-boda riders, combining connectivity, devices and digital services into more integrated offerings. This, in turn, will support the Group's ambition to deliver more personalised and value-driven customer experiences while increasing digital participation across our markets.

A cooperative digital solution

Kenya's Savings and Credit Cooperative Organisations (SACCOs) are an important part of the financial landscape, extending access to savings and credit to millions of members across the country. As customer expectations evolve and digital financial services become more embedded in everyday life, many SACCOs are under growing pressure to modernise their operations.

Legacy systems, fragmented processes and slow turnaround times made it hard for members to access services and funds.

Against this backdrop, Safaricom introduced MySACCO, a digital banking platform to help SACCOs strengthen their operational and service capabilities. Launched in February 2026 at the Annual SACCO Forum, the platform is Kenya's first comprehensive SACCO digital banking platform built by a Telco.

MySACCO brings together both back-office savings and accounting (BOSA) and front-office service activity functionality in a single integrated platform. Its features include loan origination, deposit management, member portal access and M-PESA transaction integration, enabling SACCOs to manage core processes more efficiently while improving convenience and accessibility for members.

The significance of the platform lies not only in digitising individual processes but in helping SACCOs move towards a more integrated operating model. By bringing together core banking functionality, MySACCO is intended to reduce friction and improve processing efficiency. The platform is designed to help digitise 30% of SACCO loan processing, to reduce approval times and make it easier for members to access credit.

For Safaricom, MySACCO reflects a significant shift in the enterprise business from basic connectivity towards deeper, platform-enabled customer relationships.



Service delivery and operational efficiency

Safaricom intensified network monitoring and adopted a more proactive approach to site management during FY26 to support reliability and customer experience. All sites are now 4G-enabled, and approximately 30% have been upgraded to 5G, further improving network quality and connectivity for customers.

We further increased our focus on indoor coverage, particularly in urban areas where rapid infrastructure development and changing skylines can interfere with existing network coverage. Nairobi is a key priority in this regard, contributing approximately 38% to 40% of consumer business revenue. As a result, Safaricom continues to invest deliberately in improving network resilience, minimising site downtime and strengthening power redundancy across its infrastructure through mainstream power, solar solutions and backup generators. Because more and more customers rely on our network to work, study, communicate and run their businesses, maintaining reliable connectivity has become increasingly critical, and it is our mission to deliver these services as seamlessly as possible.

Client-centric assistance solutions

As part of monitoring customer satisfaction, we received feedback that a proportion of customers continue to prefer human-assisted channels due to device limitations, digital literacy, and language barriers, as reflected in lower uptake of some digital journeys (e.g., Tunukiwa penetration below 45%). Safaricom is addressing this through:

- More intuitive, voice-led journeys
- Simplified, context-aware user-interfaces
- Expanded customer education
- Targeted segmentation
- Automated escalation to assisted channels

The focus for FY27 is to deliver a “no wrong door” experience. Whether a customer starts on Zuri, USSD, shop, franchise or Partner App, they all receive the right level of support.

Managing complexity

The rollout of the UHC digital platform and health biometrics system experienced intermittent downtime due to rapid onboarding and integration complexity. While short-lived, this highlighted the need for stronger scaling, failover capability and monitoring. Safaricom responded by enhancing our network and security operations centres, deploying advanced observability tools and establishing a site reliability engineering function, improving uptime and incident response.

Driving digital inclusion through handsets

EADAK Limited, a Safaricom partnership, operates Kenya's first smartphone assembly plant, focused on producing affordable 4G devices to accelerate digital inclusion.

During FY26, throughput moderated as the business shifted from the credit-led Lipa Mdogo Mdogo model to product-led device propositions, improving offtake quality and reducing credit risk. Public sector demand, including Ministry of Health tablet deployments, supported utilisation during the transition. Working capital constraints, driven by delays in duty remission, also affected the production cadence. As product-led offers scale, demand and portfolio quality are improving.

Exports of devices to Ethiopia have not yet commenced, as the market sits outside the East African Community duty remission framework. Pending regulatory alignment, devices are supplied directly from original equipment manufacturers in China to support early market entry.

Partner App transformation

We continued to modernise trade operations through the Partner App and Partner Portal. The Partner App serves as the primary frontline tool across GSM, M-PESA and enterprise acquisition, consolidating onboarding, activation and service processes into a single interface across 1,200 franchise outlets.

The Partner Portal has evolved into a comprehensive partner management platform, enabling self-service operations, stock management, performance tracking and workflow automation. Active users increased from 2,600 to approximately 3,900 during FY26.

Our Partner App supported approximately 1.7 million customer acquisitions per month across multiple onboarding journeys, reinforcing its role as a key digital distribution channel.

Digitising SIM swap to enhance security and customer experience

SIM swap remained one of the highest-demand customer services, with approximately 50,000 daily requests. Safaricom processed about 54% of these requests, achieving a success rate of approximately 54%, with most failures attributable to incomplete KYC documentation.

The rollout also formed part of Safaricom's broader customer experience transformation agenda, which prioritised the simplification and digitisation of high-volume customer journeys. By embedding automated verification and intelligence-led decisioning into the SIM swap process, the business reduced dependence on manual frontline intervention while improving turnaround times and consistency of service delivery. This was particularly important given the scale of daily activity across Safaricom's care ecosystem.

A major leap came with the rollout of the Single View (View360) SIM swap platform, which introduced enterprise-level security. The platform runs 18 automated pre-checks, covering roaming status, fraud location patterns, device activity, and more, handing decision-making to the system rather than frontline agents.

The initiative also supported Safaricom's wider focus on strengthening fraud mitigation and data protection capabilities. Customer security and identity verification have become increasingly important as more services migrate to digital channels, with the business continuing to invest in intelligent systems, biometric authentication and integrated customer data capabilities to improve both protection and service quality.

Due to adoption of Single View, fraudulent swaps have dropped by 65% and this will drop further due to the enhancements that are in the pipeline. Approximately 1.1 million SIM swaps have been completed through the new system, with adoption sitting at 70% and expected to reach 100%, enabling the full decommissioning of legacy Customer Relationship Management (CRM)-based SIM swaps.

Future opportunities

Safaricom continued to strengthen our broadband and fixed connectivity business, as this segment is positioned as one of the Group's most significant long-term growth opportunities. The business delivered double-digit growth of approximately 12% year-on-year, supported by continued customer acquisition, network expansion and increasing demand for reliable home and business connectivity. Kenya's fixed broadband market remains significantly underpenetrated, with approximately 10 million homes connected to electricity but only a fraction currently served by internet providers.

We continued refining our broadband strategy to better align with changing patterns of customer affordability and usage behaviour. While higher-income segments continued to show relatively strong fibre penetration, we are increasingly focused on lower-cost, more flexible propositions for middle- and lower-income households.

SAFARICOM ETHIOPIA

PERFORMANCE REVIEW

Our Ethiopia market continued to make steady progress in FY26, advancing from early-stage rollout toward a more scaled and operationally established market. Our key focus areas remain on network expansion, customer acquisition, and building the foundations for long-term value creation in this large, underpenetrated market.

Performance snapshot

KShs 14.1 billion service revenue (FY25: KShs 7.5 billion) +86.6% ●	KShs (15.1) billion EBITDA (FY25: KShs (33.7) billion) +54.4% ●	KShs (37.7) billion EBIT (FY25: KShs (54.2) billion) +30.4% ●
KShs (25.2) billion net income (excluding minority interest) (FY25: KShs (25.7) billion) +2.0% ●	KShs (44.2) billion operating free cash (FY25: KShs (56.1) billion) +21.3% ●	KShs 9.6 billion mobile data (FY25: KShs 5.7 billion) +69.0% ●
KShs 3.0 billion voice (FY25: KShs 1.2 billion) +156.3% ●	KShs 0.7 billion mobile incoming (FY25: KShs 0.4 billion) +94.8% ●	KShs 0.8 billion others* (FY25: KShs 0.3 billion) +127.9% ●

* Others – M-PESA revenue, Messaging revenue, Fixed Line and Wholesale Transit revenue and other Mobile Service revenue.

All numbers include IAS 29 Impact.

- Positive/creating value
- Neutral/preserving value
- Negative/eroding value

Read more about Ethiopia's financial performance in the CFIO report from page 90.

Ethiopian inflation eased to a single digit, 9.4%, as of March 2026. However, the birr depreciated by 23.7% against the US dollar in FY26 as at 31 March 2026, while it weakened by 39.6% against the Euro in the same period. This foreign exchange (FX) impact has been reflected in our consolidated financial statements.

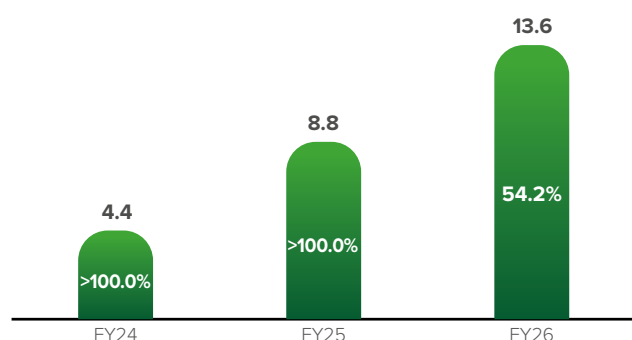
Additionally, Ethiopia is moving into a more stable, scaling business phase with clearer regulation (cost-of-service pricing and RISO approvals), improved security, a growing customer base, and early signs that revenue per user is improving relative to costs. Performance in the year was shaped by a combination of these macro-developments, infrastructure rollout and evolving market dynamics. Read more about Ethiopia's operating context on page 38.

Customer growth

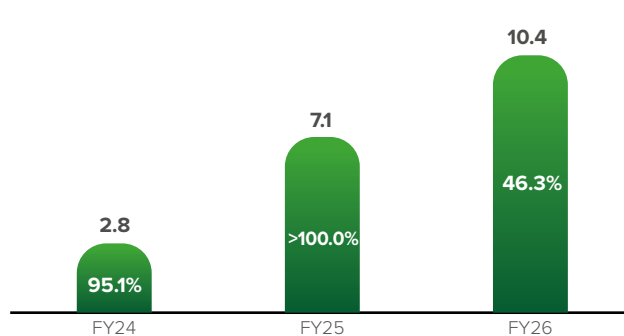
Population coverage increased to 59.2% as we continued prioritising rollout in high-demand urban and strategic growth areas. Investment is increasingly focused on optimising capacity, improving service quality and strengthening customer density across existing infrastructure rather than pursuing aggressive footprint expansion alone.

Customer growth accelerated sharply due to rising demand for high-quality data services.

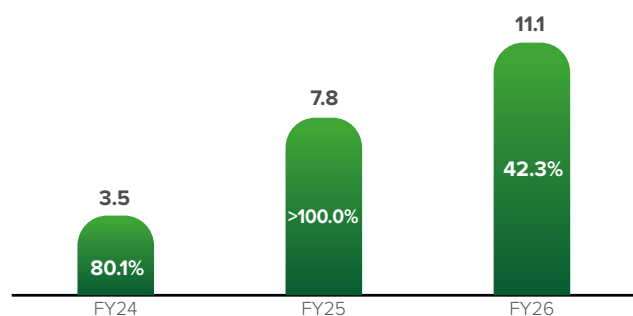
Total 90-day active customers (million)



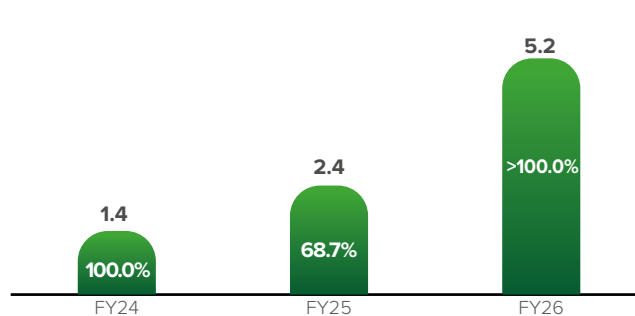
Mobile data 90-day active customers (million)



Voice 90-day active customers (million)



M-PESA 90-day active customers (million)



Rapid growth in customers highlights strong market traction as coverage expands and more customers are onboarded.

As we scale, voice services are becoming an increasingly important part of the business model. Having initially entered the market as a data-led operator focused on delivering superior connectivity, the market is now seeing stronger adoption of voice services as its customer base expands and network scale improves. Voice supports customer stickiness, improving network economics and is expected to become a more meaningful contributor to revenue over time.

With a population of more than 120 million people and relatively low telecom services penetration, Ethiopia presents substantial headroom for continued customer growth as coverage expands and service adoption deepens.

M-PESA adoption

M-PESA in Ethiopia operates within a fundamentally different ecosystem shaped by EthSwitch, the national payment system that enforces interoperability across financial institutions. As a result, the model is more merchant-centric, with QR payments driving usage, rather than peer-to-peer (P2P) and wallet float growth as seen in Kenya.

M-PESA reached 25% penetration among 30-day active Telco users, with steadily increasing usage. However, revenue remains modest due to the early-stage ecosystem, and as such, performance should not be directly compared with that of the more mature Kenyan market.

Customer growth remained strong in FY26, with 4.8 million net additions (FY25: 4.5 million), reflecting sustained brand momentum and customer trust. Usage remained stable despite tariff increases, indicating continued value delivery. M-PESA Ethiopia processed KShs 28.6 billion in transaction value in FY26, with transaction volumes reaching 442.2 million.

Enterprise performance

Enterprise performance also strengthened, with over 1,000 air-fibre customers and growing Fibre to the Home adoption through ISP partnerships, supporting revenue diversification.

New products and solutions

Safaricom Ethiopia continued to diversify and modernise its product portfolio. We introduced Gise Plus, a time-based data bundle system allowing customers to buy hourly data passes.

Additionally, location-based pricing was introduced, applying variable bundle rates supporting localised congestion management.

Collectively, these innovations reflect greater commercial maturity, consistent with Safaricom's goal of differentiating itself through digital-first offerings and personalised value propositions. Ethiopia, which is starting fresh, can leapfrog legacy models and go directly into AI-driven, app-first commercial experiences.

Operational efficiency

Ethiopia continued to expand and strengthen its network footprint during FY26 as the business focused on scaling and improving the customer experience. The market grew to 3,504 operational sites, split between 2,076 own-built sites and 1,428 collocated sites.

As the rollout progresses, the strategic focus is shifting from aggressive greenfield expansion to capacity enhancement, maximising value from the existing network footprint by adding capacity layers rather than building new towers.

This pivot reflects both capital allocation discipline at Group level and the need to optimise returns on invested infrastructure. It also reduces foreign currency exposure, as new site builds require significant dollar-denominated equipment.

To support this shift, the business has localised a substantial portion of its cost base, insourced selected operational functions, and leveraged the RISO Framework to reduce reliance on USD-denominated leases. These interventions have collectively reduced dollar-denominated operating expenditure, thereby improving cost efficiency and financial resilience.

We also reduced diesel reliance across the network footprint and increased solar-based energy solutions.

Ethiopian leadership representation and operational effectiveness

Safaricom Ethiopia's increasing localisation of leadership is delivering significant benefits:

- Providing Ethiopians the opportunity to contribute to building a digital company designed around the needs and potential of their market
- The shift reduces dependency on expatriate roles, lowering costs while boosting credibility and trust with local stakeholders, regulators, regional authorities, community leaders, and partners
- Local leadership has enhanced the Company's ability to navigate Ethiopia's regulatory landscape, regional diversity, and evolving commercial environment

Planned activities to deepen local leadership capabilities:

- Continued skills localisation and insourcing, with a focus on technical and operational roles, to build a sustainable Ethiopian talent pipeline
- Expansion of leadership development programmes aligned with Digital Ethiopia 2030's human capital priorities, including digital literacy, advanced technical skills, and innovation capabilities
- Structured partnerships with government, universities, and the private sector to accelerate capacity building in areas such as energy, digital services, and data-driven innovation
- Gradual reduction in secondees' presence, supported by upskilling and stronger bench strength among Ethiopian leaders

GROUP CHIEF FINANCE & INNOVATION OFFICER'S REPORT



Group performance reflected resilient customer demand, sustained growth across core businesses and accelerating operational momentum in Ethiopia.

Profitability improved in line with revenue growth, supported by disciplined cost management and operational efficiencies, enabling strong cash generation to support ongoing investment and shareholder returns. Our customer base also expanded significantly, with total Group three-month active customers rising by 25.4% to 71.56 million, and one-month active customers increasing by 14.2% to 50.66 million.

Key financial highlights

We are pleased to report strong growth performance, reflecting resilience and strategic focus in a dynamic operating environment, delivering on the Group's FY26 guidance.

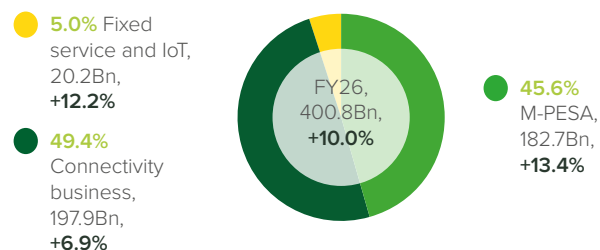
- Group service revenue grew by 11.5% to KShs 414.1 billion, driven by double-digit growth in Kenya and accelerated growth in Ethiopia
- Group EBITDA rose by 27.9% to KShs 220.3 billion, lifting the EBITDA margin to 51.5% from 44.3% in FY25, reflecting operating leverage and tighter cost control
- Group EBIT rose by 40.6% to KShs 146.3 billion, meeting the guidance of KShs 144-150 billion
- Net income attributable to shareholders increased by 37.0% to KShs 95.6 billion, reflecting operating leverage, disciplined cost management, and narrowing start-up losses in Ethiopia
- Operating cash generation remained strong, with cash generated from operations of KShs 223.4 billion, supporting capex of KShs 74.5 billion and dividends of KShs 80.1 billion
- Group capex stood at KShs 74.5 billion and is on a declining trend for the four-year period FY23 to FY26, driven by lower capex from Ethiopia, against the guidance of KShs 72-78 billion

Our investment in network infrastructure has enabled us not only to increase capacity but also to improve the customer experience, a goal that lies at the heart of our purpose of Transforming Lives.

Sustaining momentum in Kenya

Service revenue

Contribution to service revenue profile FY26 (KShs billion)



● Contribution (%)
● Growth (%)

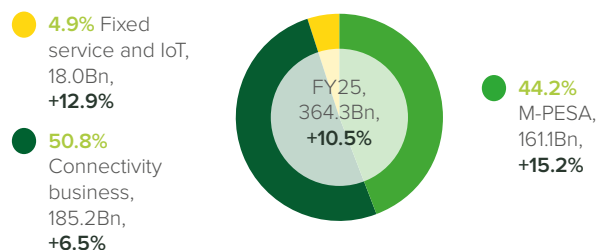
Service revenue increased by 10.0% to KShs 400.8 billion, successfully crossing the KShs 400.0 billion milestone. Overall growth was stronger in the second half of the year (10.7%) than in the first (9.3%), reflecting sustained momentum across our core revenue lines, except for messaging. This performance was further boosted by heightened customer activity tied to our 25-year milestone celebrations, which drove greater engagement and usage across key services.

M-PESA remained our primary growth engine, raising its contribution to service revenue to 45.6%, up from 44.2% in FY25. Of the total service revenue growth, M-PESA contributed 59.2%, connectivity 34.8% (with mobile data contributing 28.7%), and fixed data and IoT 6.0%, underscoring our continued shift toward digital and data-led services.

M-PESA

M-PESA continues to demonstrate strong performance, with revenue growing by 13.4% to KShs 182.7 billion, supported by continued investment in the platform and the strength of the ecosystem we have built. The M-PESA revenue profile continues to

Contribution to service revenue profile FY25 (KShs billion)



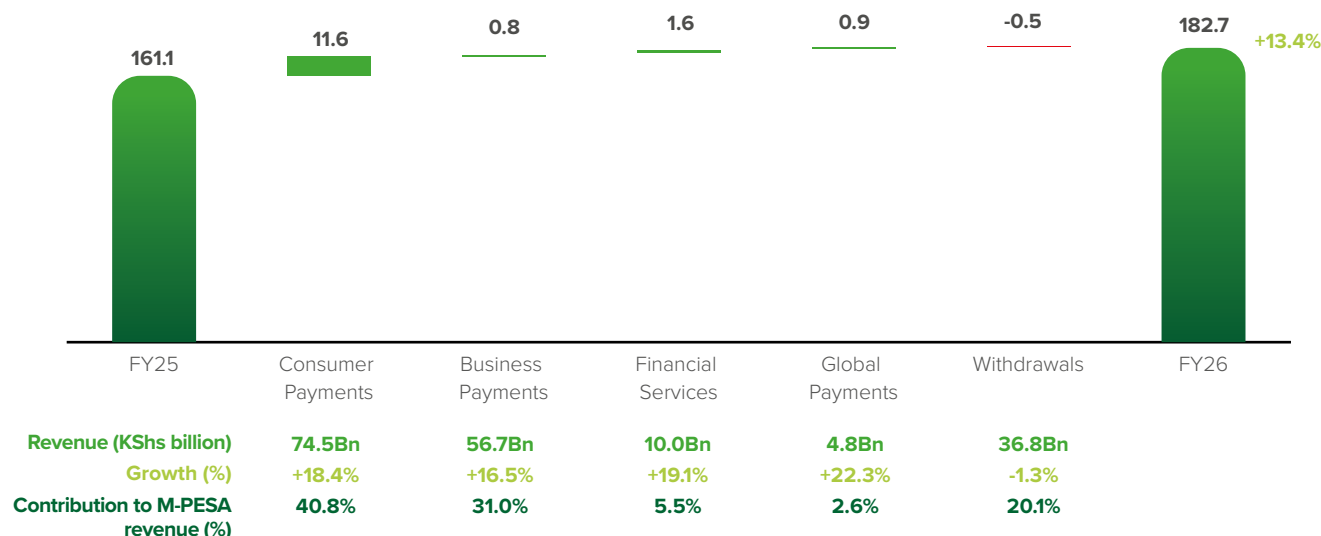
● Contribution (%)
● Growth (%)

evolve, with increasing contributions from new verticals.

Growth was primarily driven by Consumer Payments, which contributed 53.6% to M-PESA revenue growth, followed by Business Payments at 37.2%, Financial Services at 7.4%, and Global Payments at 4.0%. Withdrawals partially offset growth by 2.2%, consistent with the continued shift away from cash-out towards digital payments. Consumer Payments revenue grew by 18.4% year-on-year to KShs 74.5 billion, supported by higher transaction frequency and sustained growth in digital usage. Business Payments revenue increased by 16.5% year-on-year to KShs 56.7 billion, driven by strong performance across C2B, B2C, Lipa na M-PESA, and Pochi.

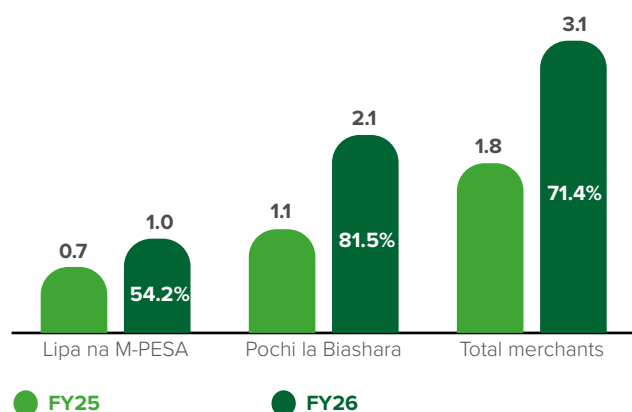
Global Payments revenue grew by 22.3% year-on-year to KShs 4.8 billion, supported by robust growth in international money transfers (IMTs), virtual cards, and Google Play Store payments, as customers increasingly adopted cross-border and digital commerce use cases. Financial Services, which includes credit, wealth and insurance, continued to scale strongly, growing by 19.1% year-on-year, the fastest growth recorded in the last three years, with revenue increasing to KShs 10.0 billion. Withdrawal revenue declined by 1.3% year-on-year to KShs 36.8 billion, reflecting the ongoing transition from cash-based transactions towards digital payments.

Contribution to M-PESA revenue profile FY26 (KShs billion)

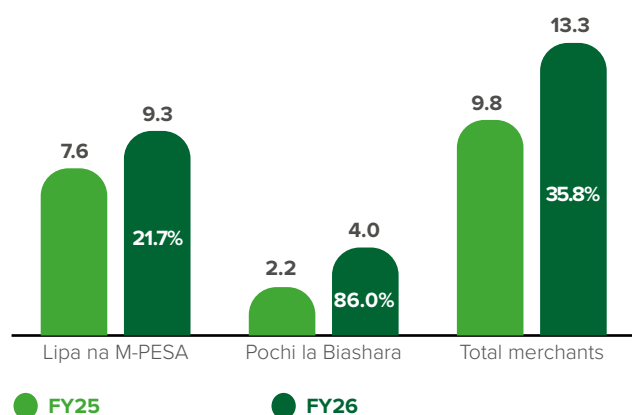


The merchant ecosystem continued to scale strongly, with the combined base of formal merchants, Lipa na M-PESA and informal merchants, Pochi la Biashara, reaching 3.1 million, representing growth of 71.4% year-on-year. This expansion was driven by strong uptake across both segments, with Lipa na M-PESA merchants growing by 54.2% to surpass the 1.0 million mark, while Pochi la Biashara merchants increased by 81.5% to over 2.1 million. Total merchant payments revenue grew by 35.8% year-on-year to KShs 13.3 billion, accounting for 43.6% of growth in total Business Payments revenue. Growth was underpinned by continued momentum in both segments, with Lipa na M-PESA revenues increasing by 21.7% to KShs 9.3 billion, while Pochi la Biashara revenue nearly doubled, rising by 86.0% to KShs 4.0 billion.

Number of merchants (million)

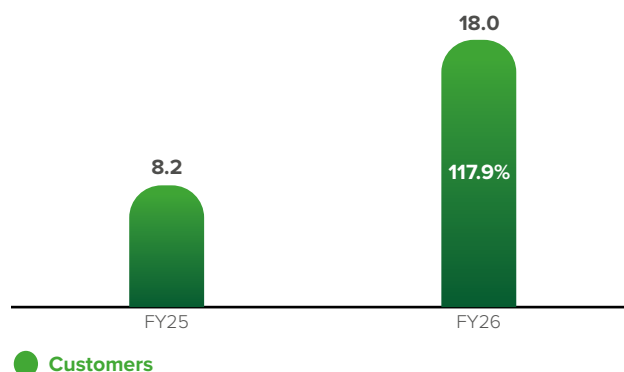


Merchants revenue (KShs billion)

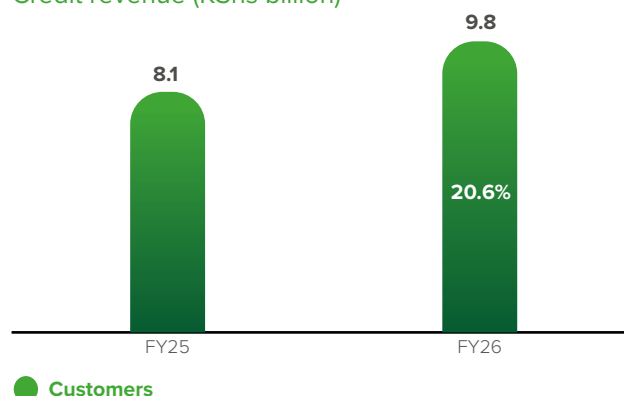


Within Financial Services, credit continued to scale strongly, with the total number of distinct credit customers more than doubling year-on-year to 18 million. Growth accelerated in the second half of the year, driven by partner credit limit enhancements that allowed more customers to access these products. This reflects expanded access and the ongoing recovery of the credit portfolio following repricing to enhance affordability. Revenue increased by 20.6% year-on-year to KShs 9.8 billion, driven by Fuliza, which continues to scale strongly, with revenue increasing by 46.0% to KShs 6.0 billion.

Credit customers (million)

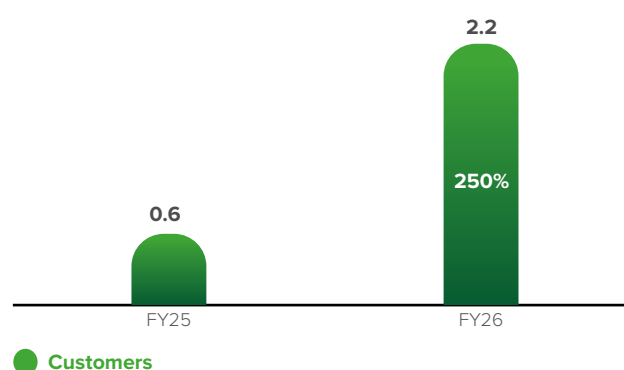


Credit revenue (KShs billion)

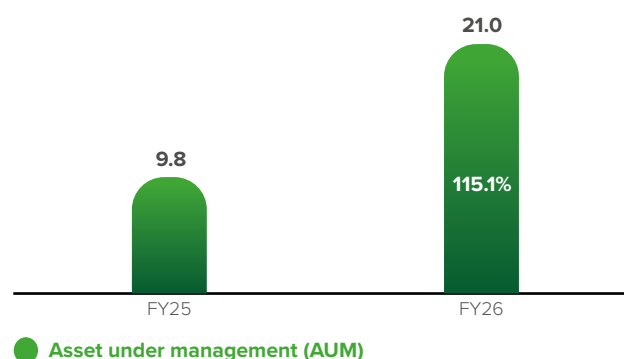


Wealth Management also maintained strong momentum, driven by increasing customer appetite for savings and investment products, particularly money market funds. AUM grew by 117.9% year-on-year to KShs 21.0 billion, supported by a customer base of 2.2 million, reflecting growth of 250.0%. This performance was led by Ziidi, whose AUM increased by 150.7% to KShs 18.7 billion, highlighting accelerating customer adoption.

Active Wealth Management customers (million)



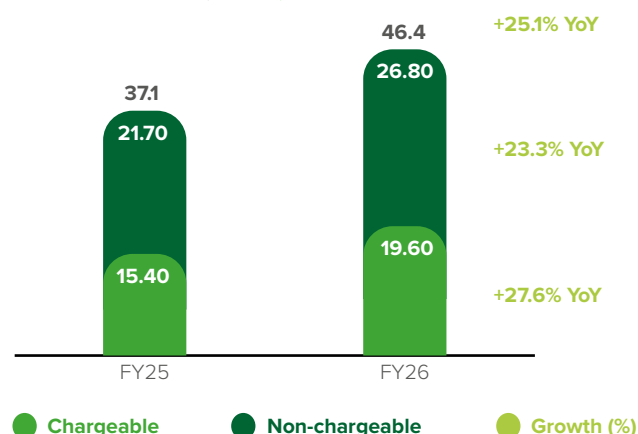
AUM (KShs billion)



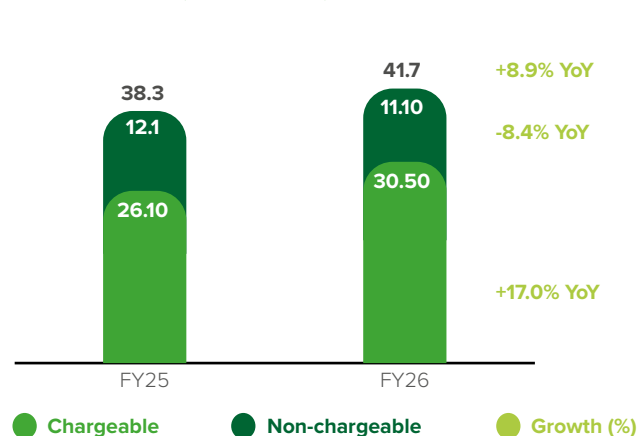
Asset under management (AUM)

Transaction activity remained strong, with usage continuing to scale as total transactions grew by 25.1% year-on-year to 46.4 billion, with non-chargeable transactions accounting for 57.8% of total volumes, anchoring our focus on affordability. Total value transacted expanded by 8.9% year-on-year to KShs 41.7 trillion, while monetisation remained healthy, with chargeable transactions per customer increasing by 11.5% year-on-year to 42.3 transactions per month. Free micro-transactions (Kadogo) continued to scale rapidly, with volumes increasing by 34.4% year-on-year to 17.1 billion, with growth driven primarily by P2P transfers (44.2%), followed by Lipa na M-PESA (27.3%) and Pochi (20.0%), reflecting deeper adoption among consumers and merchants. Kadogo transactions accounted for 63.7% of total non-chargeable M-PESA volumes and 36.8% of total M-PESA volumes, reinforcing our focus on affordability, inclusion, and ecosystem engagement.

M-PESA volume (billion)



M-PESA value (KShs trillion)



Expanding access through free M-PESA transactions

Safaricom continued to deepen financial inclusion through M-PESA Kadogo, its low-value transaction initiative designed to make everyday digital payments more affordable and accessible. The initiative applies to transactions of KShs 100 and below for person-to-person (P2P) transfers and KShs 200 and below for merchant payments, enabling customers to transact at no cost for daily purchases and transfers.

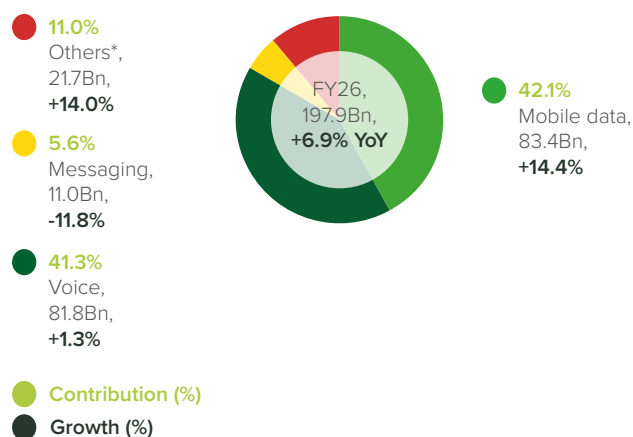
Safaricom recorded 26.8 billion non-chargeable transactions, representing 57.8% of total M-PESA volumes. Of these, 17.1 billion were micro-transactions (Kadogo), contributing 36.8% to overall M-PESA activity. The initiative primarily supports lower-income customers, informal traders and small businesses that rely on mobile money for routine economic activity, while also encouraging broader participation in the digital economy.

By reducing transaction friction for low-value payments, Safaricom continues to strengthen ecosystem usage, expand financial inclusion and support more affordable access to digital financial services across Kenya.

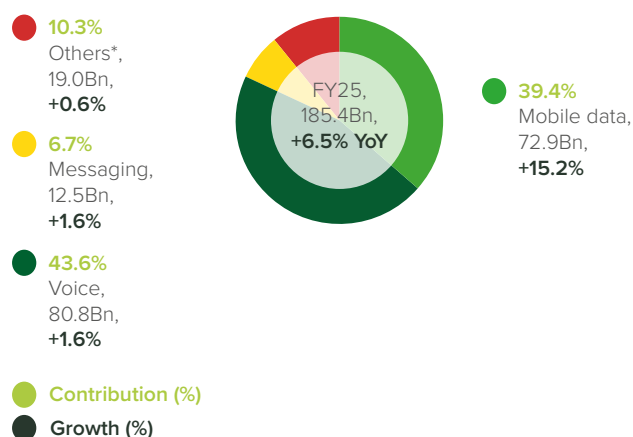
Connectivity business

The connectivity business remained a critical foundation of performance, supported by continued investment in network quality, coverage and capacity, delivering revenue growth of 6.9% to KShs 197.9 billion.

Contribution to connectivity revenue profile FY26 (KShs billion)



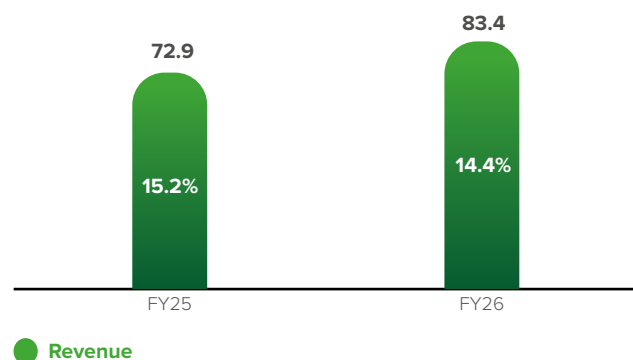
Contribution to connectivity revenue profile FY25 (KShs billion)



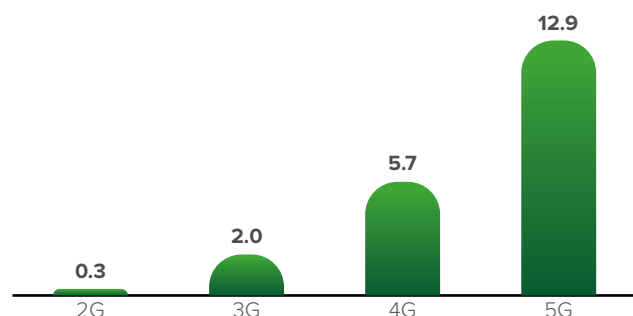
* Others – Voice incoming, visitor, content and airtime credit (Okoka Jahazi).

Mobile data revenue increased by 14.4% to KShs 83.4 billion, strengthening in the second half of the year (+15.3%) compared to 13.4% in the first half. Data revenue growth continued to outpace traditional services, driven by higher data consumption from increased smartphone penetration and the expansion of our fibre infrastructure and 4G and 5G networks. Mobile data became the largest contributor to connectivity revenue, overtaking voice and reflecting the continued shift in customer consumption patterns towards digital services.

Mobile data revenue (KShs billion)



Monthly GBs per user



Further developments in the year included:

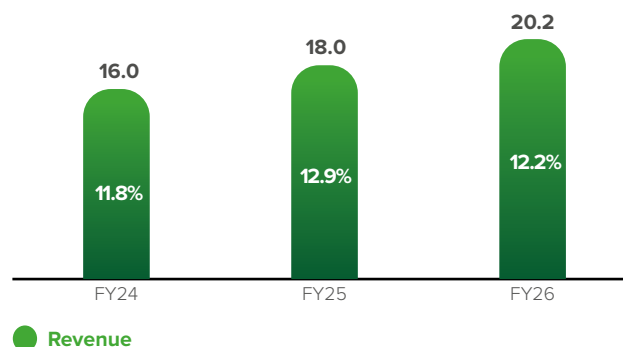
- One-month active chargeable data increased by 19.1% to 26.9 million, while customers consuming more than 1 GB per month grew by 22.4% to 14.5 million, signalling deeper engagement
- Average usage per customer rose by 16.6% to 4.9 GBs, while mobile data ARPU increased by 2.6%
- Affordability improved further, with the rate per MB declining by 12.1% to 5.4 cents
- Active 4G+ devices grew by 31.8% to 30.8 million, supported by growth of 30.6% in 4G devices to 29.2 million and 5G device growth of 55.5% to 1.6 million, while 3G devices declined by 28.5% to 3.3 million, reflecting accelerated migration to higher-speed technologies

Voice and messaging revenues remained stable, reflecting the maturity of these services, while continued optimisation of pricing, customer value management and AI-driven personalisation supported customer engagement and usage. Voice revenue rose marginally by 1.3% to KShs 81.8 billion, supported by a 4.7% increase in one-month active voice customers to 31.6 million and a 5.4% rise in outgoing minutes of use per subscriber. However, voice ARPU declined by 4.7%, reflecting a lower effective rate-per-minute, driven by aggressive customer value management initiatives aimed at traffic recovery.

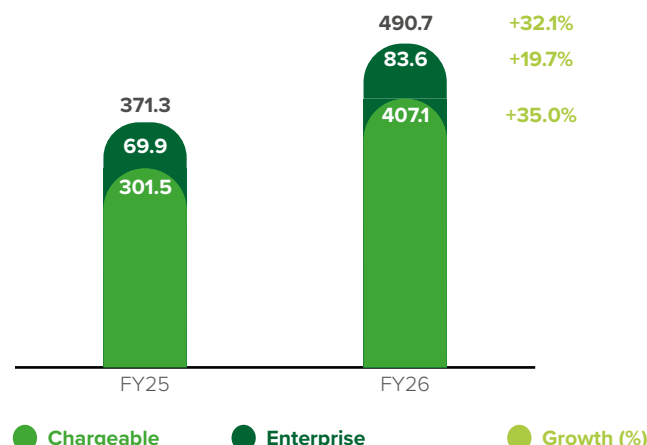
Messaging revenue declined by 11.8% to KShs 11.0 billion, reflecting a 24.0% decline in messages per subscriber as customers increasingly shifted to over-the-top messaging platforms. Despite this, one-month active messaging customers increased by 24.7% to 26.2 million, indicating usage dilution rather than customer loss, while ARPU declined by 22.2% despite a 4.5% increase in the per-SMS rate.

Other connectivity services increased revenue by 14.0% to KShs 21.7 billion, supported by contributions from roaming, SMS wholesale, and digital services, reflecting continued diversification within the connectivity portfolio.

Fixed service and IoT revenue (KShs billion)



Fixed service customers ('000)



Fixed service and IoT revenue grew by 12.2% to KShs 20.2 billion, supported by improved momentum in the second half of the year, driven by robust customer acquisition, increased connections, and rising demand for high-speed and enterprise-grade connectivity solutions.

Performance was anchored by FTTH, which grew by 19.5% to KShs 9.0 billion, contributing 67.1% of overall fixed services growth, reflecting continued expansion of fibre coverage and strong consumer demand for high-speed internet.

FTTB revenue grew by 4.0% to KShs 8.6 billion, contributing 14.8%, while wholesale revenue increased by 15.8% to KShs 1.5 billion, contributing 9.2% to growth. IoT revenue grew by 20.8% to KShs 1.1 billion, contributing 8.9%, supported by growing adoption of connected solutions across key sectors.

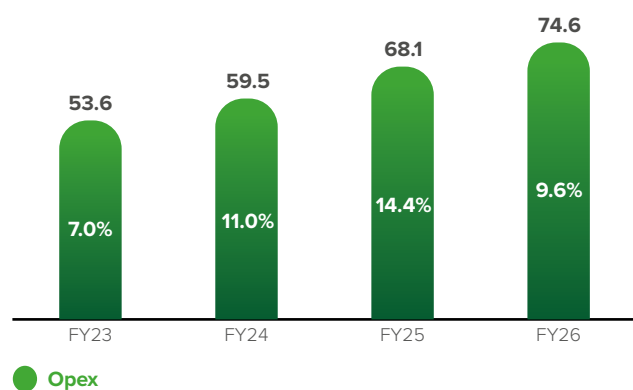
Cost management

Safaricom Kenya's operating costs grew by 9.6% to KShs 74.6 billion, mainly driven by the 7.3% depreciation of the KES to EUR, an increase in advertising and promotional costs for milestone celebrations of both Safaricom@25 and M-PESA@18 and network and operating costs. This growth in network operating costs was driven by higher energy consumption resulting from an increase in the number of sites.

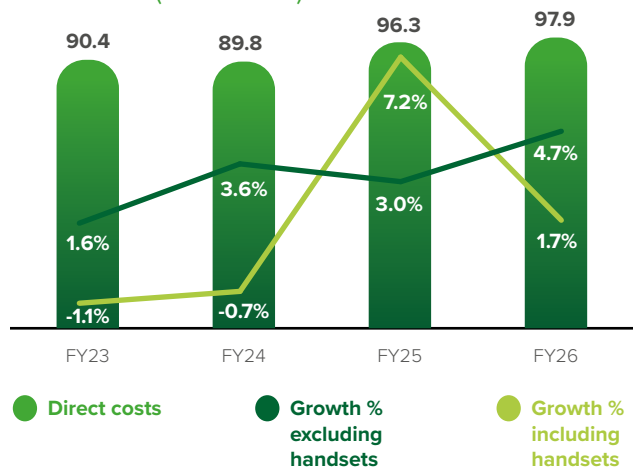
Direct costs grew marginally by 1.7% to KShs 97.9 billion, driven by decreased handset sales and a reduction in our bad debts provision in the year. Our opex intensity remained stable at 18.1%, down from 18.2% in FY20. Our contribution margin remained healthy at 74.9%.

We continue to look for opportunities to create efficiencies through sustainable initiatives that will lock in value for the future as we invest in revenue-generating initiatives.

Operating costs (KShs billion)



Direct costs (KShs billion)



Ethiopia: strengthening the path to profitability

Safaricom Ethiopia continued to scale rapidly during the year, with improving operational efficiency translating into a significant reduction in losses. Net losses, excluding IAS 29, declined from KShs 36.0 billion in FY25 to KShs 21.2 billion in FY26, materially reducing the drag on Group profitability and cash flows.

Our Ethiopia FY26 milestones

We are making progress in reaching commercial scale with **13.63 million** three-month active customers

We are reaching infrastructure scale with **3,504 sites** that cover 59.2% of the population

We are set to achieve our EBITDA breakeven target in FY27, with EBIT currently at a **KShs (30.1) billion** loss, **which is half of what was reported in FY25 of KShs (61.1) billion**

We invested **KShs 18.7 billion** in Ethiopia, compared with the **guidance of KShs 18-21 billion**

Service revenue

Ethiopia delivered strong topline momentum, with service revenue increasing by 58.3% to KShs 14.1 billion, underpinned by rapid customer growth, increased adoption, and deeper market penetration across all revenue lines. Growth accelerated meaningfully throughout the year, supported by scale benefits, rising usage, and improved monetisation following price adjustments implemented in December 2025.

The revenue mix continued to evolve, with voice contribution increasing from 15.1% in FY25 to 21.4% in FY26, reflecting accelerating traction in voice services, while mobile data remained the dominant revenue stream at 67.9%, down from 75.4%, signalling a progressively more balanced revenue structure as the business scales.

Mobile data revenue increased by 42.5% to KShs 9.6 billion, with growth accelerating sharply in the second half of the year. Growth reflected continued customer acquisition, sustained usage growth, and the positive impact of December 2025 price uplifts, which improved monetisation without materially dampening demand.

Voice revenue surged by 123.9% to KShs 3.0 billion, supported by the continued expansion of the customer base and rising usage. Importantly, December 2025 price adjustments provided additional uplift in the second half of the year, reinforcing revenue growth alongside improving traffic trends.

Messaging revenue grew by 82.3% to KShs 169.4 million, with growth moderating between halves as the base expanded, but remaining robust. Growth was supported by customer expansion, with one-month active SMS customers increasing by 22.1% and 90-day active SMS customers growing by 27.7%, alongside improving usage, with messages per subscriber rising by 38.4%.

Fixed service and wholesale transit revenue rose sharply by 185.6% to KShs 200.9 million, driven by increased connections and early traction in enterprise and wholesale connectivity. This performance highlights early success in network monetisation beyond mobile services as the Ethiopian operation continues to scale and diversify.

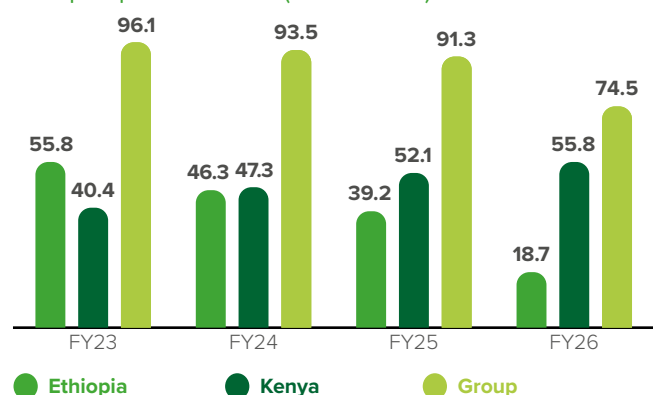
* Year-on-year growth rates for Safaricom Ethiopia are calculated excluding IAS 29 Impact.

Capital allocation and investment discipline

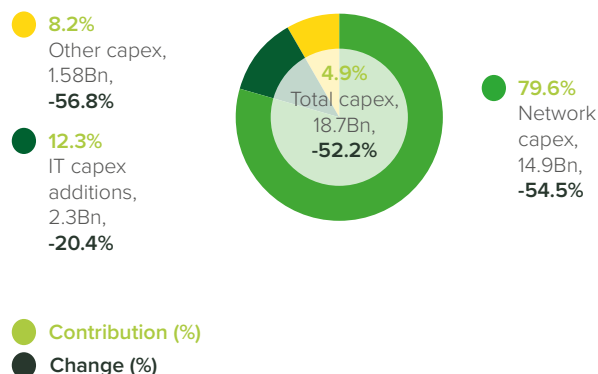
We continued to allocate capital with discipline, prioritising long-term value creation, sustaining service quality, and maintaining financial flexibility within our stated ranges. Group capex declined by 18.4% to KShs 74.5 billion, continuing a downward trend driven mainly by lower capex in Ethiopia as the business transitioned from heavy rollout to scale. Ethiopia's capex more than halved to KShs 18.7 billion, while Kenya's capex increased moderately by 7.1% to KShs 55.8 billion, focused on network resilience, fibre expansion and technology modernisation.

Importantly, several of the Group's major platform investments have already been made, particularly across fintech and digital infrastructure. These investments now position the business to scale revenue growth at a lower marginal cost while supporting stronger platform resilience, operational efficiency and long-term margin sustainability.

Group capex evolution (KShs billion)



Ethiopia capex (KShs billion)



We continue to put additional investments into IT capex in line with our ambition to transform into a tech company. The Ethiopia business rolled out an additional 543 sites, bringing total sites to 3,504. Kenya increased the number of sites to 7,540 2G, 7,536 3G, 7,524 4G, and 1,879 5G base stations.

Group capex intensity of 17.5% is well within our target for this year.

Against the guidance range, our performance reflects a balance of resilience in the Kenya core and disciplined investment to support strategic priorities, particularly network resilience and the Ethiopia scale-up. We remained focused on protecting operating momentum through active cost management and strong commercial execution, while keeping capital investment targeted on capacity, coverage, reliability and technology modernisation.

As Safaricom Ethiopia progresses towards commercial scale, Group capital intensity is expected to moderate.

Sustainable financing and long-term capital resilience

Safaricom strengthened our funding strategy through the successful launch of a KShs 40 billion DMTN programme, marking our return to the domestic debt capital market after nearly two decades.

The programme included a KShs 15 billion inaugural tranche of Green Notes, which was oversubscribed by 175.7%. Due to the overwhelming demand, Safaricom exercised a "greenshoe option," taking up an additional KShs 5 billion. We received high retail interest, with roughly 2,453 individual investors accounting for 96% of total applications, enabling broad participation. Many of these were processed via USSD and M-PESA.

The market response reflected high confidence in the Group's financial strength, governance and long-term strategy.

Proceeds from the Green Notes will support eligible green projects, including renewable energy, energy-efficient network infrastructure and broader sustainability-linked investments. The programme also supports Safaricom's long-term climate commitments, including network solarisation, energy modernisation, and the Group's ambition to achieve net-zero emissions by 2050.

The DMTN programme further strengthened the Group's funding flexibility by extending debt maturities and diversifying funding sources.

Outlook and growth priorities for FY27

FY27 growth is expected to be supported by continued strength in Kenya, improving operating leverage in Ethiopia and disciplined capital and cost management across the Group. The Group's focus remains centred on protecting earnings quality, scaling platform-led growth and improving operational efficiency as:

Kenya: platform-led growth with margin resilience

Kenya is expected to remain the Group's primary source of revenue, margin and cash flow growth in FY27. M-PESA will continue to serve as a key growth engine. Future growth is expected to come increasingly from deeper customer usage, merchant monetisation, and the expansion of credit, savings, and wealth solutions, rather than from customer acquisition alone.

Mobile data also remains a structurally strong growth driver. Continued expansion in 4G and 5G device penetration, together with higher customer usage, is expected to support sustained data monetisation and attractive incremental margins, driven by network scale and operating leverage.

Fixed services and enterprise solutions are also expected to continue contributing steady, margin-accretive growth as fibre connectivity and 5G fixed wireless access scale further across consumer and enterprise segments.

Ethiopia: improving operating leverage and reducing losses

In FY27, Ethiopia is expected to contribute increasingly through margin improvement and loss reduction as the business transitions from network rollout towards greater infrastructure utilisation and commercial scale – supported by strong customer growth, improving monetisation and the dependency on further price increases as per regulator published cost of service.

While revenue growth is expected to continue, the more material contribution to Group performance is expected to come from a further narrowing of losses. FY27 EBIT losses are guided to reduce to between KShs 12 billion and KShs 15 billion, compared to KShs 30.1 billion in FY26, excluding IAS 29 impacts.

Margin improvement is expected to be supported by stronger pricing discipline following cost-of-service reforms, higher customer density across an already-deployed network, and lower incremental operating and capital costs as the business shifts from infrastructure rollout to utilisation and efficiency optimisation.

FY27 guidance

	FY26 guidance	FY26 actual	FY27 guidance
Group			
EBIT	KShs 144 – 150 billion	KShs 153.9 billion	KShs 180 – 187 billion
Capex	KShs 72 – 78 billion	KShs 74.5 billion	KShs 64 – 70 billion
Kenya			
EBIT	KShs 170 – 173 billion	KShs 182.3 billion	KShs 195 – 199 billion
Capex	KShs 54 – 57 billion	KShs 55.8 billion	KShs 58 – 61 billion
Ethiopia			
EBIT	KShs (26) – (23) billion	KShs (30.1) billion	KShs (12) – (15) billion
Capex	KShs 18 – 21 billion	KShs 18.7 billion	KShs 6 – 9 billion

All numbers exclude IAS 29 Impact.

Margin expansion in FY27 will be supported by structural cost and capital efficiency, rather than topline growth alone. Completed platform investments in fintech and digital infrastructure will enable revenue growth at a lower marginal cost, reinforcing margin sustainability.

FIVE-YEAR GROUP FINANCIAL HIGHLIGHTS

KShs'Mn	FY26	FY25	FY24	FY23	FY22
Connectivity	211,387.5	192,549.8	179,548.7	164,279.3	161,699.3
Voice revenue	84,824.8	81,958.9	80,541.1	81,053.9	83,211.8
Messaging revenue	11,170.1	12,559.4	12,319.2	11,375.6	10,876.7
Mobile data revenue	92,912.9	78,521.4	67,404.3	53,952.4	48,441.0
Mobile incoming revenue	9,475.2	8,136.7	8,567.6	8,109.5	9,848.2
Other mobile service revenue	13,004.5	11,373.4	10,716.5	9,787.9	9,321.6
M-PESA revenue	182,741.9	161,131.2	140,006.7	117,192.2	107,691.8
Mobile service revenue	394,129.4	353,681.0	319,555.4	281,471.5	269,391.1
Fixed service and IoT revenue	20,008.0	17,734.4	15,797.8	14,220.8	11,716.2
Fixed line and wholesale transit revenue	18,877.4	16,798.7	14,962.2	13,457.9	11,242.5
IoT revenue	1,130.6	935.7	835.5	762.9	473.7
Service revenue	414,137.4	371,415.4	335,353.1	295,692.3	281,107.3
Handset revenue and other revenue	6,854.7	13,018.0	10,540.3	11,449.8	14,334.0
Other income	6,567.0	4,255.5	3,553.8	3,762.7	2,636.6
Total revenue	427,559.1	388,688.9	349,447.2	310,904.8	298,077.9
Direct costs	(104,419.6)	(101,081.3)	(97,046.9)	(92,232.1)	(91,467.8)
Expected credit losses on financial assets	(4,013.1)	(11,146.0)	(5,807.4)	(4,725.3)	(2,361.2)
Construction costs	—	—	—	—	—
Contribution margin	319,126.4	276,461.6	246,592.9	213,947.4	204,248.9
Other operating expenses	(98,864.4)	(104,310.7)	(83,300.3)	(74,085.0)	(55,187.0)
Earnings Before Interest, Tax, Depreciation and Amortisation (EBITDA)	220,262.0	172,150.9	163,292.6	139,862.4	149,061.9
Depreciation, impairment & amortisation	(73,940.1)	(68,100.8)	(82,947.8)	(54,865.0)	(39,933.3)
Operating profit (EBIT)	146,321.9	104,050.1	80,344.8	84,997.4	109,128.6
Net finance cost	(19,685.0)	(20,909.4)	(16,641.5)	(7,087.1)	(6,439.2)
Share of associate & joint venture profit/(loss)	271.0	(1,177.5)	(1,379.1)	(38.2)	(476.0)
Fair value adjustment to investment properties	(90.0)	25.0	—	90.0	—
Hyperinflationary monetary gain	—	11,222.3	22,363.2	10,383.1	—
Profit before income tax	126,817.9	93,210.5	84,687.4	88,345.2	102,213.4
Income tax expense	(53,141.9)	(47,453.3)	(42,029.0)	(35,862.4)	(34,717.3)
Profit after tax	73,676.0	45,757.2	42,658.4	52,482.8	67,496.1
Attributable to:					
Equity holders of the parent	95,608.6	69,798.7	62,991.7	62,268.9	69,648.1
Non-controlling interests	(21,932.6)	(24,041.5)	(20,333.3)	(9,786.1)	(2,152.0)
Profit for the year	73,676.0	45,757.2	42,658.4	52,482.8	67,496.1
Basic and diluted earnings per share (EPS)*	2.40	1.74	1.57	1.55	1.74
Profit for the year	73,676.0	45,757.2	42,658.4	52,482.8	67,496.1
Other comprehensive income/(loss) for the year:					
Exchange differences on translating foreign operations**	(17,667.3)	(153,790.2)	(7,278.1)	10,260.0	(9,536.3)
Total comprehensive income for the year	56,008.7	(108,033.0)	35,380.3	62,742.8	57,959.8
Attributable to:					
Equity holders of the parent	86,037.4	(9,668.2)	59,230.9	67,984.7	64,335.4
Non-controlling interests	(30,028.7)	(98,364.8)	(23,850.6)	(5,241.9)	(6,375.6)
Total comprehensive income/(loss) for the year	56,008.7	(108,033.0)	35,380.3	62,742.8	57,959.8
Free cash flow	64,653.4	31,519.7	19,867.3	23,853.0	63,669.7
Ordinary dividend (paid/proposed) (KShs Mn)	80,130.8	48,078.5	48,078.5	48,078.4	55,691.0
Ordinary dividend per share (KShs)	2.00	1.20	1.20	1.20	1.39

* EPS is calculated by dividing the profit attributable to equity holders of the parent, by the weighted average number of ordinary shares issued in the year.

** These components of other comprehensive income do not attract any tax.

SAFARICOM KENYA FIVE-YEAR FINANCIAL HIGHLIGHTS

KShs'Mn	FY26	FY25	FY24	FY23	FY22
Connectivity	197,867.5	185,163.4	173,944.0	163,729.7	161,699.3
Voice revenue	81,815.2	80,784.7	79,511.7	80,918.2	83,211.8
Messaging revenue	11,000.7	12,477.4	12,277.0	11,371.7	10,876.7
Mobile data revenue	83,350.1	72,863.2	63,236.2	53,596.0	48,441.0
Mobile incoming revenue	9,070.9	7,856.5	8,252.6	8,055.9	9,848.2
Other mobile service revenue	12,630.6	11,181.6	10,666.5	9,787.9	9,321.6
M-PESA revenue	182,727.5	161,118.6	139,914.8	117,192.2	107,691.8
Mobile service revenue	380,595.0	346,282.0	313,858.8	280,921.9	269,391.1
Fixed service and IoT revenue	20,199.5	18,000.7	15,946.8	14,259.5	11,716.2
Fixed line and wholesale transit revenue	19,068.9	17,065.0	15,111.3	13,496.6	11,242.5
IoT revenue	1,130.6	935.7	835.5	762.9	473.7
Service revenue	400,794.6	364,282.7	329,805.5	295,181.4	281,107.3
Handset revenue and other revenue	6,457.6	12,635.2	8,766.3	10,773.0	14,334.0
Other income	4,836.9	4,278.9	3,526.2	3,167.4	2,636.6
Total revenue	412,089.0	381,196.8	342,098.0	309,121.8	298,077.9
Direct costs	(97,906.0)	(96,266.9)	(89,824.9)	(90,441.6)	(91,467.8)
Expected credit losses on financial assets	(5,663.8)	(11,059.0)	(5,775.7)	(4,720.2)	(2,361.2)
Construction costs	—	—	—	—	—
Contribution margin	308,519.2	273,870.9	246,497.4	213,960.0	204,248.9
Other operating expenses	(74,633.5)	(68,088.3)	(59,515.8)	(53,608.0)	(50,077.8)
Earnings Before Interest, Tax, Depreciation and Amortisation (EBITDA)	233,885.7	205,782.6	186,981.6	160,352.0	154,171.1
Depreciation, impairment & amortisation	(51,581.8)	(47,636.8)	(47,051.8)	(44,097.6)	(39,919.0)
Operating profit (EBIT)	182,303.9	158,145.8	139,929.8	116,254.4	114,252.1
Net finance cost	(10,520.8)	(14,069.1)	(11,782.2)	(5,942.6)	(6,703.9)
Share of associate & joint venture profit/(loss)	271.0	(1,177.5)	(1,379.1)	(38.2)	(476.0)
Fair value adjustment to investment properties	(90.0)	25.0	—	90.0	—
Profit before income tax	171,964.1	142,924.2	126,768.5	110,363.6	107,072.2
Income tax expense	(52,868.4)	(47,453.3)	(42,029.0)	(35,862.4)	(34,717.3)
Profit after tax	119,095.7	95,470.9	84,739.5	74,501.2	72,354.9
Attributable to:					
Equity holders of the parent	119,095.7	95,470.9	84,739.5	74,501.2	72,354.9
Non-controlling interests	—	—	—	—	—
Profit for the year	119,095.7	95,470.9	84,739.5	74,501.2	72,354.9
Basic and diluted earnings per share (EPS)	2.97	2.38	2.12	1.86	1.81
Free cash flow	112,549.2	89,944.2	76,127.1	65,819.7	74,880.7

GOVERNANCE, RISK AND REMUNERATION

Good corporate governance is a vital component to support management in delivering excellent performance by directing strategy, ensuring appropriate controls and safeguarding Safaricom as a sustainable business that creates value for all stakeholders.



BOARD PROFILES

We have a stable, highly qualified and deeply committed Board that leads effectively and sets an ethical tone from the top, guiding Safaricom to fulfil our purpose. The Non-Executive Directors come from broad industry and professional backgrounds, with varied experience and expertise aligned to the needs of the business.



Adil Arshed Khawaja, MGH, MBS, SC

BOARD CHAIRMAN AND NON-EXECUTIVE DIRECTOR

Nationality: Kenyan

Appointed: 22 December 2022

Adil Arshed Khawaja is a Senior Counsel and Advocate of the High Court of Kenya with over three decades of legal and commercial experience across banking, mergers and acquisitions, telecommunications and infrastructure. He is a partner at Dentons Hamilton Harrison & Mathews, where he served as Managing Partner from 2013 to 2024 and led the firm's combination with Dentons. He holds an LLB (Hons) from the University of Sheffield. He previously served as a non-executive director of KCB Group PLC and as the inaugural Chairman of KCB Bank Kenya Limited. He has been recognised by Chambers Global and The Legal 500 and was conferred Senior Counsel (SC) in 2025. He was awarded the MBS (2022) and MGH (2023) national honours.



Dr. Peter Ndegwa, CBS

GROUP CHIEF EXECUTIVE OFFICER AND EXECUTIVE DIRECTOR

Nationality: Kenyan

Appointed: 1 April 2020

Dr. Peter Ndegwa has over 30 years of leadership experience across telecommunications, financial services and consumer goods in Africa and Europe. He joined Safaricom in 2020 and has led its transformation into a purpose-led technology company, overseeing its expansion into Ethiopia. He previously held senior executive roles at Diageo, served as CEO of Guinness Nigeria and Guinness Ghana Breweries, and was CFO of East African Breweries. He holds an MBA from the London Business School and is a Certified Public Accountant. He sits on the Vodacom Group Executive Committee and is the founder of the Safaricom Foundation. He was awarded the CBS national honour.



Dilip Pal

GROUP CHIEF FINANCE AND INNOVATION OFFICER AND ALTERNATE DIRECTOR TO THE CEO

Nationality: Indian

Appointed: 1 November 2020

Dilip Pal serves as Group Chief Finance and Innovation Officer and brings over 35 years of experience across telecommunications, financial services and FMCG. He joined Safaricom as Chief Finance Officer in 2020 and leads the Group's value creation, capital allocation and financial governance agenda. He previously served as CFO at Telenor's DTAC Thailand and Grameenphone Bangladesh and held senior finance roles at Vodafone India and Hindustan Coca-Cola Beverages. He holds a Master of Commerce from the University of Calcutta and is a Fellow Chartered Accountant of India. In 2025, he was recognised at the CFO East Africa Awards, receiving the prestigious Honors of CFO of the Year – East Africa, CFO of the Year – Kenya, and the Strategy Execution Award.

Full biographies of our Board members are available at <https://www.safaricom.co.ke/about/who-we-are/leadership/board-of-directors>.

NON-EXECUTIVE DIRECTORS



Mohamed Shameel Aziz Joosub

Nationality: South African
Appointed: 31 August 2017

Mohamed Shameel Aziz Joosub has served as Chief Executive Officer of Vodacom Group Limited since 2012 and is an Exco member of Vodafone PLC responsible for its African operations. He joined Vodacom/Vodafone in 1994 and has held CEO/MD roles across the group, including at Vodafone Spain. He serves on the Vodacom Group Board and Business Leadership South Africa and chairs the Association of Comms and Technology NPC. He holds an Honours degree in Accounting Science, an MBA, and an Honorary Doctorate in Management Sciences.



Raisibe Morathi

Nationality: South African
Appointed: 22 December 2022

Raisibe Morathi has served as Chief Financial Officer and Executive Director of Vodacom Group Limited since 2020 and brings over 30 years of experience in financial services and ICT. She previously served as Group CFO of Nedbank Group and held senior roles at Sanlam Group and the Industrial Development Corporation of South Africa. She serves on several Vodacom boards and sponsors its Women's Network Forum. She is a Chartered Accountant (South Africa) and holds an Advanced Management Programme qualification from INSEAD and a Master of Philosophy in Corporate Strategy from GIBS.



Murielle Lorilloux

Nationality: French
Appointed: 23 August 2023

Murielle Lorilloux serves as Chief Strategy and Commercial Officer of Vodacom Group and is a member of its Group Executive Committee, bringing over 25 years of telecommunications leadership experience across Africa and Europe. She previously served as CEO and President of the Board of Vodafone Romania and as Managing Director of Vodacom DRC, and held senior roles at Vodafone Group, Orascom Telecom Algeria and Capgemini. She holds a master's degree in economics from Paris Nanterre University and a master's degree in business management and Strategy from ESCP Business School.



Dr. (Eng.) John Kipnetich Mosonik, CBS, EBS

Nationality: Kenyan
Appointed: 24 February 2023

Dr. John Kipnetich Mosonik brings over 35 years of executive experience spanning telecommunications, infrastructure, public administration and governance. He previously served as Principal Secretary in Kenya's State Department for Infrastructure and as Chief Administrative Secretary in the Ministry of Petroleum and Mining. He holds a Doctor of Business Administration from Northcentral University and a PhD in Business Administration from Moi University, as well as a Bachelor of Science in Electrical Engineering (Telecommunications) from the University of Nairobi. He is a Fellow of the Institution of Engineers of Kenya. He was awarded the EBS and CBS national honour.



Lawrence Kibet, EBS

ALTERNATE DIRECTOR TO THE CABINET SECRETARY, NATIONAL TREASURY AND ECONOMIC PLANNING

Nationality: Kenyan
Appointed: 4 April 2025

Lawrence Kibet serves as the Director General, Public Investments and Portfolio Management, at the National Treasury, where he provides strategic leadership over Government investments, public enterprises and pension portfolios. He brings extensive experience in public sector finance, governance, capital markets and investor relations. He holds a Bachelor of Commerce (Finance), an LLB, and an MBA, all from the University of Nairobi. He is a member of ICPAK, ICPSK, the Law Society of Kenya, and the Investor Relations Society (United Kingdom). He was awarded the EBS national honour.



James Ludlow

Nationality: British
Appointed: 28 August 2024

James Ludlow has served as Group Reward and Policy Director at Vodafone Group since 2021 and is responsible for the design and governance of Vodafone's executive remuneration framework. He joined Vodafone in 2006 and serves on the Vodacom Group Remuneration and Nomination Committees as a Main Board Designate Non-Executive Director. He holds a BSc (Hons) in Pure Mathematics from the University of Wales, Swansea, and is a member of the Institute of Chartered Accountants in England and Wales.

INDEPENDENT NON-EXECUTIVE DIRECTORS



Edward Okaro

Nationality: Kenyan

Appointed: 15 January 2025

Edward Okaro is an audit, risk and governance professional with over 30 years of experience in financial management and internal controls. He spent 26 years at Ernst & Young, rising to partner in EY Africa Risk Services, where he led major risk advisory and internal audit engagements. His board and audit committee experience includes Cimerwa PPC and the South African Health Products Regulatory Authority. He holds an MBA from Manchester Business School and is a Chartered Accountant, CA(SA), and a Fellow Certified Public Accountant, FCPA(K).



Rita Kavashe, MBS

Nationality: Kenyan

Appointed: 4 April 2025

Rita Kavashe is Chair of the Board and Managing Director of Isuzu East Africa Limited. She joined the organisation, then General Motors East Africa, in 1995, became its first Kenyan Managing Director in 2011, and led its transition to Isuzu East Africa in 2017. She serves on the KEPSA Advisory Council and as Trustee of the University of Eldoret Endowment Trust, and is currently the Chairperson of BAT Kenya PLC. She holds a Bachelor of Education degree from Moi University and an MBA from the University of Nairobi. She was awarded the MBS national honour.



James Wambugu

Nationality: Kenyan

Appointed: 4 April 2025

James Wambugu brings over three decades of leadership experience in audit, financial management, governance and risk across insurance, financial services and consulting. He previously served as Group Managing Director, General Insurance, at UAP Old Mutual Group, and earlier held senior roles at PwC in Kenya and the United Kingdom. He co-founded Solvit Limited, a digital insurance solutions company, and chaired the Health Financing Reforms Expert Panel supporting Kenya's National Hospital Insurance Fund transformation. He holds an MBA and a Bachelor of Commerce from the University of Nairobi and is a Certified Public Accountant.



Linda Mesa Wambani

COMPANY SECRETARY

Nationality: Kenyan

Appointed: 29 September 2023

Linda Mesa Wambani is a legal, regulatory and corporate governance professional with over two decades of experience in telecommunications, technology and corporate law. As Company Secretary, she provides governance leadership to the Safaricom Plc Board and the Safaricom Plc subsidiaries. She previously served as Senior Counsel – Technology and Governance Lead at the M-PESA Foundation, supporting Safaricom's expansion into Ethiopia, Essar infrastructure acquisition, and earlier practised in the commercial and litigation departments at Dentons Hamilton Harrison & Mathews. She holds an LLB, an LLM and an MBA, and is a qualified Advocate Certified Public Secretary (CPS-K), Commissioner for Oaths and Notary Public. In recognition of her contribution to the governance profession, she received an award of Commendation from the Institute of Certified Secretaries in 2022.

Safaricom Telecommunication Ethiopia PLC Board



Ermias Eshetu

BOARD CHAIRMAN

Ermias is a seasoned executive and thought leader with over 25 years of technical and leadership experience across Africa, with a focus on finance, capital markets, and institutional transformation. He has held prominent executive roles and board positions, including serving as CEO of the Ethiopia Commodity Exchange (ECX), where he spearheaded the launch of a national e-Trade platform, significantly modernising agricultural trade and improving market access for rural communities.

Ermias was part of the founding team of Zemen Bank and served as its Vice President, later becoming Chairman of the Board. He has also served as CEO of FSD Ethiopia and held board directorships at Zemen Bank S.C., the American Chamber of Commerce in Ethiopia (AmCham), the Accounting and Auditing Board of Ethiopia (AABE), and Grant Thornton Ethiopia.



Mohamed Shameel Aziz Joosub

BOARD MEMBER

Mohamed Shameel Aziz Joosub has served as Chief Executive Officer of Vodacom Group Limited since 2012 and is an Exco member of Vodafone PLC responsible for its African operations. He joined Vodacom/Vodafone in 1994 and has held CEO/MD roles across the group, including at Vodafone Spain. He serves on the Vodacom Group Board and Business Leadership South Africa and chairs the Association of Comms and Technology NPC. He holds an Honours degree in Accounting Science, an MBA, and an Honorary Doctorate in Management Sciences.



Dr. Peter Ndegwa, CBS

BOARD MEMBER

Dr. Peter Ndegwa has over 30 years of leadership experience across telecommunications, financial services and consumer goods in Africa and Europe. He joined Safaricom in 2020 and has led its transformation into a purpose-led technology company, overseeing its expansion into Ethiopia. He previously held senior executive roles at Diageo, served as CEO of Guinness Nigeria and Guinness Ghana Breweries, and was CFO of East African Breweries. He holds an MBA from the London Business School and is a Certified Public Accountant. He sits on the Vodacom Group Executive Committee and is the founder of the Safaricom Foundation. He was awarded the CBS national honour.



Wim Vanhelleputte

CEO OF SAFARICOM ETHIOPIA

Wim Vanhelleputte is the CEO of Safaricom Telecommunications Ethiopia PLC, a purpose-led technology and communication company committed to contributing to Ethiopia's digital transformation and inclusion objectives.

Since taking the helm on 1 September 2023, Wim is responsible for steering the Safaricom Ethiopia team towards a profound mission – the transformation of lives through a digital future for all Ethiopians.

Wim has gained deep industry knowledge through his extensive leadership experience over the past 25 years in the telecommunications industry, serving in multiple markets across Sub-Saharan Africa.



Dilip Pal

BOARD MEMBER

Dilip Pal serves as Group Chief Finance and Innovation Officer and brings over 35 years of experience across telecommunications, financial services and FMCG. He joined Safaricom as Chief Finance Officer in 2020 and leads the Group's value creation, capital allocation and financial governance agenda. He previously served as CFO at Telenor's DTAC Thailand and Grameenphone Bangladesh and held senior finance roles at Vodafone India and Hindustan Coca-Cola Beverages. He holds a Master of Commerce from the University of Calcutta and is a Fellow Chartered Accountant of India. In 2025, he was recognised at the CFO East Africa Awards, receiving the prestigious Honors of CFO of the Year – East Africa, CFO of the Year – Kenya, and the Strategy Execution Award.



Muhammad Ziaullah Siddiqui

BOARD MEMBER

Mohammad Siddiqui is a seasoned executive leader with more than 36 years of experience across finance, telecommunications, and emerging markets. Over the past 28 years, he has held senior leadership roles with leading telecom operators, where he has been recognised for driving operational excellence, business transformation, performance turnaround, and sustainable growth.

He is a Fellow Member of the Institute of Chartered Accountants of Pakistan and has completed executive education programmes at renowned global institutions, including Harvard, IMD, and the Darden School of Business.



Abhinav Sinha

BOARD MEMBER

Abhinav leads manufacturing and ICT equity investing for British International Investment, and looks at impact investments in Africa and South Asia in areas such as telecoms, technology, pharmaceuticals and light engineering. He serves on the Boards of 14 Trees – a joint venture between British International Investment and Lafarge Holcim – and Liquid Telecom.

Prior to this role, he was a Partner at Fidelity Growth Partners, where he was responsible for building the industrial and telecom portfolio.



Michael Turner

BOARD MEMBER

Mr. Turner holds a first class degree in Civil Engineering. He is a Fellow of the Institute of Chartered Accountants in England & Wales.

He is a former Partner and Managing Director of Actis, responsible for Actis’s portfolio of investments in energy, private equity and real estate in East Africa. He has extensive experience in private equity, having served as the Manager of the Actis Africa Agribusiness Fund and the founder manager of Acacia Fund, the first Private Equity fund in East Africa.

Mr. Turner has deep understanding of Private Equity investment in agribusiness, financial services, real estate and infrastructure throughout Sub-Saharan Africa. Prior to joining Actis, Michael worked in investment banking in London for Lehman Brothers and Kleinwort Benson, having started his career with Price Waterhouse.



Eisuke Takenaka

BOARD MEMBER

Since joining Sumitomo Corporation in 1993, Eisuke Takenaka has built extensive experience over three decades in the development, financing, and governance of large-scale infrastructure businesses in emerging markets, including Vietnam and Indonesia. From 2022 to 2024, he led the Corporate Planning & Coordination Department, overseeing corporate-wide strategy, capital allocation, and ESG-related initiatives.

In addition to his executive responsibilities, he is currently serving as a Board Member of multiple overseas operating companies, as well as global CVC and private equity funds. He brings a strong commitment to sustainable growth, aligning business development with long-term social and economic value creation.

SAFARICOM KENYA LEADERSHIP



Dr. Peter Ndegwa (CBS)

**GROUP CHIEF
EXECUTIVE OFFICER**



Dilip Pal

**GROUP CHIEF FINANCE AND
INNOVATION OFFICER**



Stephen Chege

**GROUP CHIEF CORPORATE
AND EXTERNAL AFFAIRS
OFFICER**



Fawzia Ali Kimanthi

**CHIEF CONSUMER
BUSINESS OFFICER**



Florence Nyokabi

**GROUP CHIEF
PEOPLE OFFICER**



Nicholas Mulila

**GROUP CHIEF
RISK OFFICER**



Amgad Nafie

**CHIEF ENTERPRISE
OFFICER**



Esther Masese Waititu

**CHIEF FINANCIAL
SERVICES OFFICER**



James Maitai

**GROUP CHIEF
TECHNOLOGY AND
INFORMATION OFFICER**

Detailed biographies are available at: <https://www.safaricom.co.ke/about/who-we-are/leadership/senior-management>.

SAFARICOM ETHIOPIA LEADERSHIP



Wim Vanhelleputte

**CHIEF EXECUTIVE
OFFICER**



Jacques Marais

CHIEF FINANCE OFFICER



Andualem Admassie (PhD)

**CHIEF EXTERNAL
AFFAIRS OFFICER**



Katsuya Kashiki

**CHIEF STRATEGY
OFFICER**



Aatif Jamal

**ACTING CHIEF
TECHNOLOGY
AND IT OFFICER**



Getachew Mengeste

**CHIEF LEGAL, REGULATORY
AND CORPORATE OFFICER**



Amit Chandiramani

**CHIEF SALES AND
DISTRIBUTION OFFICER**



David Umoh

**CHIEF CONSUMER
BUSINESS UNIT OFFICER**



Ken Kaberia

**CHIEF RISK AND
COMPLIANCE OFFICER**



Tsedale Tesfaye

**CHIEF HUMAN
RESOURCE OFFICER**



Arjun Dhillon

**CHIEF ENTERPRISE
BUSINESS OFFICER**



Ismail Kumbul

**CHIEF CAPEX PROGRAMME
MANAGEMENT OFFICER**

Detailed biographies are available at: <https://www.safaricom.et/en/about/our-leadership>.

OUR CORPORATE GOVERNANCE STATEMENT

Safaricom, through its Board of Directors, is committed to implementing and adhering to good corporate governance and responsible corporate citizenship. We believe in ethical and effective leadership that entrenches an ethical culture, delivers good performance, ensures appropriate controls and promotes legitimacy.

The Board applies a stakeholder inclusive approach in setting the strategic direction for the Group over the short, medium and long term, focusing on creating sustainable, shared value. Our governance approach and practices align with the values captured in the Spirit of Safaricom, which sets out beliefs and behaviours related to Customer Obsession, collaboration, innovation and purpose. Read more about our culture on page 11.

The Board regards corporate governance as vital, given Safaricom's market leadership. Consequently, the Board strives to observe high standards of moral behaviour, make timely and balanced disclosures, promote a corporate culture which celebrates diversity and inclusion, and lay a solid foundation for management and oversight.

Our Director responsibility statement

Safaricom Directors are required to act in good faith, to promote Safaricom's success for the benefit of our stakeholders, to avoid conflicts of interest and to act in the best interest of the Group. Further, according to the Companies Act, No. 17 of 2015 (the Companies Act), Directors must have due regard to the long-term consequences of their decisions, the legitimate interests of employees, and the need to foster effective business relationships with suppliers, customers and various stakeholders. They must also consider Safaricom's impact on the community and the environment to ensure we maintain a reputation for high standards of business conduct.

The Board is committed to complying with the following governance requirements:

- Capital Markets Act (CAP 485A)
- The Capital Markets (Public Offers, Listings and Disclosures) Regulations, 2023
- Capital Markets Authority (CMA) Code of Corporate Governance Practices for Issuers of Securities to the Public 2015 (the CG Code)
- The Stewardship Code for Institutional Investors, 2017
- The Nairobi Securities Exchange (NSE) Listings Requirements

These corporate governance standards and guidelines provide Safaricom with the structures for setting objectives and the means of attaining those objectives while monitoring performance.

Ethics at Safaricom

Ethical conduct and standards are at the core of Safaricom's operations and culture, making them essential in building a resilient and trusted organisation. The Board demonstrates ethical leadership by setting a clear tone at the top, ensuring that integrity, transparency and accountability guide how we operate as reflected in its decision-making and management oversight. It ensures that ethics are part of everyday business practices by implementing the Safaricom Code of Business Conduct, Conflict of Interest and Whistle Blowing policies that are adhered to by itself, management and employees in their day-to-day operations. These policies promote a transparent and safe operating environment, ensuring that ethical values are consistently lived across the business.

At the core of managing ethical conduct in the business is the Ethics and Compliance Department that supports the Board in integrating ethical leadership and standards at all levels of the Company. This promotes sustainable long-term performance and product delivery, strengthening stakeholder confidence and customer trust, therefore serving as an industry benchmark in the region.

The Safaricom Code of Business Conduct

Through this policy, we:

- Confirm our dedication to the principles of ethics and lawful business conduct
- Communicate expectations regarding standards of business conduct
- Help our Board members, employees and business partners to recognise and deal with ethical dilemmas or situations that may arise during business

We expect all Board members, employees, and business partners to observe and comply with this fundamental policy. Employees are provided with the Safaricom Code of Business Conduct during their onboarding process and sign a declaration to abide by its requirements as part of their employment contract. Regular webinars and staff engagements are also undertaken when updates are made to the standards. The Code includes the following standards:

Anti-Bribery and Anti-Corruption Standard

We prohibit our employees and agents from giving or receiving bribes. Any attempts to influence or induce favours by way of bribes are reported to the Group Chief Corporate Security Officer or Head of Ethics and Compliance by email to reportfraud@safaricom.co.ke.

Gift and Entertainment Standard

Safaricom has established a Gift policy to ensure that all staff dealings are conducted fairly, equitably and that staff are not influenced by friendship or association in meeting stakeholders' requirements. The Gift policy aims to ensure that employees maintain the ethical and professional standards expected of them when dealing with all stakeholders. This is aimed at ensuring that staff remain impartial in their day-to-day activities and promote the success of the business without this interest being undermined by personal interests.

Inside Information and Corporate Opportunity Standard

Safaricom ensures that all material sensitive information is disclosed in a timely manner to the CMA, the NSE, shareholders and stakeholders. In compliance with the NSE Listings Requirements and our Insider Trading policy, employees and the Board are prohibited from disclosing any insider information and using such information for their own, friends' or relatives' financial or economic advantage.

Closed trading periods are enforced, prohibiting trading in Safaricom shares by the Board, senior management and staff to ensure that they do not unjustly enrich themselves by being privy to material non-public information. To the best of the Company's knowledge, there was no insider dealing in the financial year under review.

Conflict of Interest Standard

Safaricom has established a Conflict of Interest policy that is published on the Company's website. The policy ensures that all Board members, employees and business partners recognise and deal with situations that may give rise to or be perceived to be a conflict of interest. We have a dedicated email (integrity@safaricom.co.ke) where employees make their business and family conflict declarations.

Anti-Money Laundering (AML) and Combating the Financing of Terrorism (CFT) Standard

We prohibit employees from engaging in transactions suspected to involve proceeds of criminal activity or from getting involved directly or indirectly in money laundering activity. Our employees are also expected to read and be familiar with our AML policy. To ensure that our employees keep up to date with trends in the detection of money laundering and terrorism financing, all staff attend mandatory formal training. This ensures that staff, as critical gatekeepers, can mitigate these risks in the operations of the Company while also ensuring business efficiency.

Duty to Report – Whistle Blowing Standard

We encourage our employees to report any suspected wrongdoing at work as per our Whistle Blowing policy published on our Company's website. To enhance reporting, we have an independently managed and anonymous 24/7 toll-free ethics hotline managed by Deloitte South Africa or via email to safaricom@ethics-line.com.

Charitable Contributions Standard

We recognise our role in creating impact in society and strive to contribute to charitable causes through the Safaricom and M-PESA Foundations. Our participation in community development is aimed at creating empowered communities by assisting them to reach their full potential, including through our projects on education, health, environmental conservation, and integrated livelihood development.

Managing conflicts of interest

Safaricom's Conflict of Interest policy applies to Board members, employees and all suppliers, consultants and other business partners. The policy provides an independent and confidential whistle blowing mechanism to report conflicts of interest.

Employees annually sign and declare their conflicts of interest through a process managed by the Ethics and Compliance Department. Further, Board members and employees are expected to submit a declaration at any other time within the year as soon as they become aware of a possible conflict of interest.

Directors fully disclose any real or potential, direct or indirect conflicts of interest to the Board. All business transactions with all parties, Directors or their related parties, are carried out at arm's length. Where there are such potential conflicts of interest, the Director(s) concerned recuse themselves from any discussion or decision over the matter in question.

Directors who are conflicted are excluded from the quorum and vote in respect of any matters in which they have an interest. The affected Directors reported various conflicts of interest on related-party transactions in the year under review.

To avoid conflicts of interest with business partners, Safaricom requires partners to put in place policies to ensure that the conduct of their employees does not violate their obligations under the Conflict of Interest policy.

The Conflict of Interest policy also guides us on insider trading. Directors, employees and business partners are obligated not to use information relating to their customers, opportunities and strategy or use information that is not publicly available, for their personal benefit, including for the benefit of a business interest, a friend or family member, or induce, advise or direct others to do so.

Find the policy here: <https://www.safaricom.co.ke/about/who-we-are/our-governance-policies>

Safaricom adheres to regulations promulgated by the CMA and the NSE. As a law-abiding corporate citizen, Safaricom abides by the tenets of the Constitution of Kenya, 2010, and all other applicable laws.

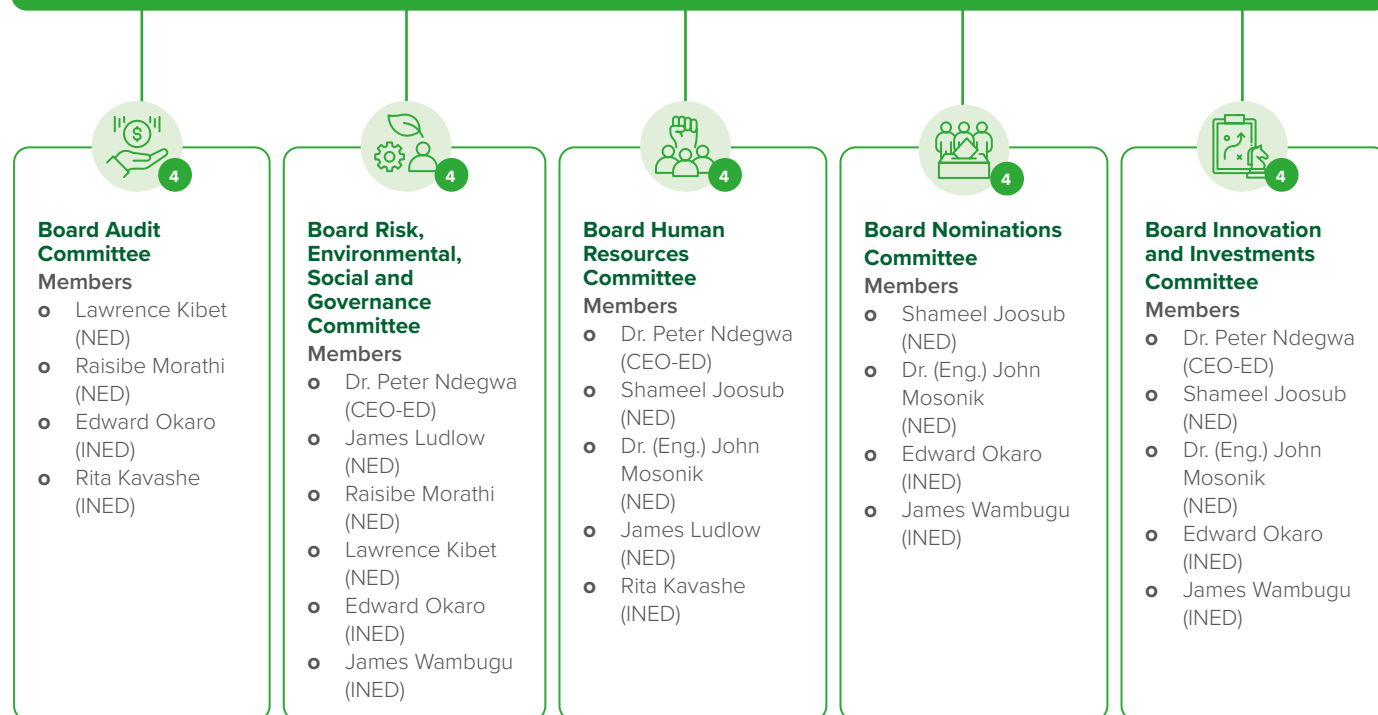
Read more about Safaricom's regulatory environment on page 42.

Our governance structure

The Safaricom Board is supported by five Board Committees. The Committees' roles and responsibilities are set out in their Terms of Reference, which are available on the website at <https://www.safaricom.co.ke/about/who-we-are/leadership/board-of-directors>.

Board of Directors

The Safaricom Board is comprised of 11 Directors, of whom one is an Executive Director (ED), and 10 are Non-Executive Directors (NEDs). Three of the NEDs are designated as Independent Non-Executive Directors (INEDs).



Number of meetings held

Read more about each Committee's mandate, activities and outcomes for the year from page 114. The Board and Committee Charters are available at <https://www.safaricom.co.ke/about/who-we-are/leadership/board-of-directors>.

The Board devotes considerable attention to matters relating to Safaricom's internal controls and compliance activities. It receives updates from the respective Chairpersons of each Committee at the subsequent Board meetings.

Sustainability governance at Safaricom

The Board recognises Safaricom's leadership role in providing converged communication solutions in Kenya and the region and strives to ensure that we act as a responsible social citizen. We are mindful of the short- and long-term impacts of our decisions on all our stakeholders.

As such, sustainability is not a siloed function, but integrated into governance, risk management, investment and operational planning. The Board provides guidance on sustainability through policies, including:

- Environment, Social and Governance policy
- Sustainable Waste Management policy
- Environment policy statement
- Fire Safety policy
- ISO Integrated Management policy
- Energy Management policy statement
- Health and Safety policy statement
- Anti-Corruption and Anti-Bribery policy
- Standards of Business Conduct
- Conflict of Interest policy
- Corporate Social Responsibility policy
- Whistle Blowing policy
- Child Rights policy and Framework

During FY26, the Board Risk, Environmental, Social and Governance Committee considered Safaricom's climate action initiatives, including renewable energy expansion, reforestation, and biogas adoption, alongside circular economy measures such as e-waste recovery and waste diversion. Biodiversity efforts included tree-growing programmes, environmental impact assessments, and ecosystem risk mapping to mitigate and manage social and environmental impacts effectively.

Read more about sustainability governance in the Safaricom Sustainable Business Report:
<https://www.safaricom.co.ke/about/sustainability/sustainable-business-reports>.

Our Board

The Board serves as the focal point and custodian of corporate governance at Safaricom. The Board is responsible for establishing and maintaining a well-functioning governance system consisting of the appropriate structures, processes, controls and oversight mechanisms.

We recognise that good corporate governance is a vital component to support management in the delivery of Safaricom's strategic objectives and to operate a sustainable business for the benefit of all stakeholders. Maintaining good governance is an ongoing and dynamic process that considers changes in the Group and our business, the composition of the Board and developments in corporate governance.

The Board is collectively accountable and responsible for Safaricom's purpose, vision and strategic direction. The responsibility for implementing strategy and day-to-day operations has been delegated by the Board to the CEO and his Senior Leadership Team.

The Board is accountable to Safaricom's shareholders for the performance of the business.

The Board's role includes ensuring:

- Sustainable long-term success through the exercise of objective and informed judgement in determining Safaricom's strategy
- Having the right team in place to execute the strategy through effective succession planning
- Appropriate governance structures for the management of operations
- Business performance is monitored, and an effective control framework to mitigate risks is maintained
- Ethical behaviour and compliance with the laws and regulations

The key responsibilities of the Board include:

- Providing effective leadership in collaboration with the Senior Leadership Team
- Approving Safaricom's purpose, vision, strategy, goals, risk policy, plans and objectives
- Approving the strategy and ensuring the necessary financial and human resources are available to meet the agreed objectives
- Approving budgets as proposed by the Senior Leadership Team
- Establishing and agreeing on an appropriate governance framework
- Reviewing the sufficiency, effectiveness, and integrity of risk management and internal control systems
- Approving performance objectives and monitoring their achievements
- Reviewing and agreeing Board succession plans and approving Non-Executive Director appointments
- Reviewing periodic financial and governance reports
- Approving the Annual Report, results and public announcements
- Declaring an interim and recommending a final dividend
- Approving policies and monitoring compliance with the Standards of Business Conduct
- Ensuring that the relevant audits, e.g., financial, governance or legal and compliance, are conducted

The Board Charter guides the Board on matters, including:

- The separation of the roles, functions, responsibilities and powers of the Board and its individual members
- Powers delegated to the Board Committees
- Matters reserved for final decision-making and approval by the Board
- Policies and practices related to Directors' declarations, conflicts of interest, conduct of Board and Board Committee meetings
- Nomination, appointment, induction, ongoing training and performance evaluation of the Board and its Committees

The Board Charter is not a substitute or a replacement for any laws and regulations that govern the running of the Group.

Board composition

The Board's composition is stipulated by our Articles of Association, which recommends 11 Directors. The Board currently has one Executive and 10 Non-Executive Directors. Three of the Non-Executive Directors are appointed by the Government of Kenya, and four of the Non-Executive Directors are appointed by Vodafone Kenya Limited. Three Independent Non-Executive Directors are appointed to the Board to represent minority shareholder interests.

The Board Appointment policy sets out the Board's commitment to have Directors with diverse skills and competencies which add value to the overall Safaricom strategy and sustainability. The Board has delegated the identification and selection of potential Board members to the Board Nominations Committee, which makes recommendations to the Board for appointment.

The Board Nominations Committee develops suitable selection criteria for potential candidates, and screens and interviews them before they are formally appointed. The Committee can also engage the services of a qualified external consultant to identify prospective candidates for the role of Independent Director.

Safaricom is in the process of identifying and evaluating a suitable candidate for appointment as an Independent Non-Executive Director, in accordance with the CG Code and the applicable listing and regulatory requirements. The assessment process ensures that any proposed appointment meets the prescribed independence criteria, requisite skills and experience, and governance expectations, and that at least one third of the Board members are Independent Non-Executive Directors. The Company continues to engage the Authority and industry stakeholders on compliance with governance requirements as a listed company on the NSE.

All Board appointments consider our Diversity policy and the Board's Skills Matrix.

The Board is of the view that its current size and composition are appropriate and enable it to deliver on its mandate.

Board member rotation and election

Safaricom's Articles of Association require that the Non-Executive Directors, other than those appointed by the Government of Kenya and Vodafone Kenya Limited, are subject to retirement by rotation and can seek re-election by shareholders.

In between AGMs, in the event of any vacancy, the Board may appoint a Director to serve until the next AGM. Any such appointment is brought to the attention of the shareholders through the notice of the AGM, and the Director, if they opt to seek re-election, is subjected to an election process by the shareholders at the next AGM following their appointment.

- At the AGM that will take place on 31 July 2026, Mr. Edward Okaro will be eligible for re-appointment upon retiring at the AGM.

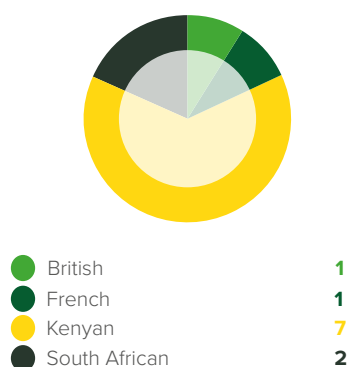
Board diversity and skills

The Board recognises that diversity of skills, experience, background, relevant knowledge, thought, and culture strengthens its ability to carry out its duties and deliver value effectively.

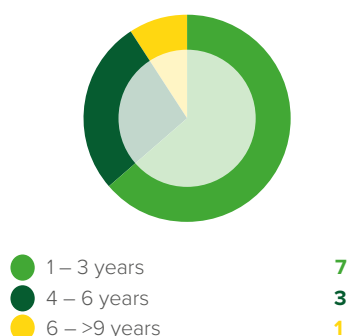
Safaricom's Board Diversity policy¹ outlines our practices towards achieving, maintaining and promoting diversity on the Board. The Board Nominations Committee maintains and monitors the Board's diversity matrix and identifies gaps. The Committee considers and recommends a set of diversity targets which the Board approves and which form part of the annual Board effectiveness evaluation.

There were no changes to the Board composition in FY26.

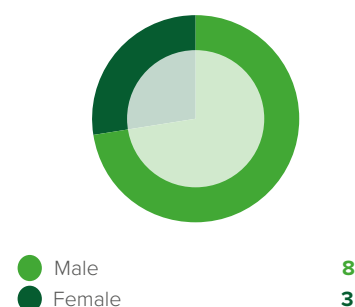
Nationality



Tenure



Gender



¹<https://www.safaricom.co.ke/images/Downloads/Safaricom-Plc-Board-Diversity-Policy.pdf>.

Board induction and training

On joining the Board, all new Directors receive a detailed Induction programme, initiated by the Chairman and implemented by the CEO, members of the Senior Leadership Team and the Company Secretary.

The Board Induction policy guides the programme, which includes a series of meetings and tours to enable new Directors to familiarise themselves with the business. As part of the induction training, detailed presentations by management ensure that the Directors gain a good sense of Safaricom's operations and central functions. All new Directors appointed to the Board have undergone a Board Induction process.

All Directors are expected to maintain the skills required to carry out their duties and obligations. Board members undergo regular training and education to enable them to fulfil their responsibilities. During the past year, the Directors engaged in the following facilitator-led and online training:

- AML, CPT and CFT training by PricewaterhouseCoopers
- Board Masterclass on Capital Market Compliance and Governance by the CMA and NSE
- Mergers and acquisitions structuring, stakeholder engagement, and oversight for a listed issuer by the CMA and NSE

In the year under review, each of the Directors was able to secure at least 12 hours of training as prescribed by the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public 2015.

Leadership succession planning

The Board Nominations Committee is responsible for reviewing succession planning and identifying and nominating suitable candidates to fill vacancies on the Board, Board Committees and the subsidiary boards.

The Board and Board Nominations Committee identify and regularly update the qualities and characteristics necessary for Senior Leadership Team members. To this end, the Board periodically monitors and reviews the development and progression of potential internal candidates against these standards. The Board works closely with the CEO to ensure that there are plans in place for contingencies or unexpected vacancies in the CEO or Senior Leadership Team roles.

The Board has a succession plan for the Chairman and CEO to manage any unplanned or sudden departures, which could undermine Safaricom's sustainability and shareholders' interests. The Board also consults with the two key shareholders (Vodafone Kenya Limited and the Cabinet Secretary to the National Treasury) in reviewing succession plans for the position of Board Chairman. The Board regularly considers the succession plan for the position of CEO.

Board evaluation

In line with the provisions of the CG Code, the Board conducts an independent annual Board performance evaluation. The evaluation assesses the performance of the Board as a whole, the Chairman, the CEO and Company Secretary, ensuring that the Board is held to account for ethical and effective leadership. The evaluations enable the Board, Committees, and their respective members to gauge their performance and identify areas of improvement. The latest independent evaluation was concluded in the financial year ended March 2025, and the next evaluation will take place in FY27.

The Board acknowledges that the evaluation process is a critical mechanism for enhancing its performance, identifying areas of excellence, and addressing opportunities for improvement. The Board is satisfied that the evaluation process is contributing positively to its effectiveness.

Directors' shareholding

The breakdown of the shareholding of the CEO and CFO in Safaricom as at 31 March 2026 was as follows:

Director	2026	2025
Dr. Peter Ndegwa	12,097,881	8,740,477
Dilip Pal	2,356,517	2,220,207

Delegation of authority and separation of powers and duties

Safaricom's Delegation of Authority (DoA) Framework provides a structured and effective approach to financial approvals. The DoA Framework primarily governs financial and purchasing approvals, with specific provisions for certain categories, including:

- General financial commitments
- Capital expenditure on non-network assets
- Sponsorship spend
- Employee expenses
- Employee cash advances
- Charitable donations

The Chairman and CEO have distinct and clearly defined duties and responsibilities. This separation supports and ensures the independence of the Board and management. A balance of power, increased accountability, a clear definition of responsibilities and improved decision-making are attained through a clear distinction between the Non-Executive and Executive Director roles.

The Chairman is a Non-Executive Director as per the requirements of the CG Code and exercises independent and objective judgement in the execution of his roles, which include:

- Leading the Board, setting each meeting agenda and ensuring the Board receives accurate, timely and clear information to monitor, challenge, guide and take sound decisions
- Promoting a culture of open debate between the Non-Executive Directors and Executive Directors, and holding meetings with the Non-Executive Directors without the Executive Directors present
- Regularly meeting with the CEO and Senior Leadership Team to stay informed
- Ensuring effective communication on developments in the Group
- Promoting high standards of corporate governance
- Promoting and safeguarding the interests and reputation of Safaricom
- Representing Safaricom to government, shareholders, regulators, financial institutions, the media, the community, and the public

The CEO:

- Is responsible for the day-to-day management of the business of Safaricom and oversees the implementation of strategy and policies approved by the Board, while serving as the official spokesperson for the Group
- Provides coherent leadership, including representing Safaricom to customers, suppliers, governments, shareholders, financial institutions, employees, the media, the community and the public and enhances the Group's reputation
- Leads the Executive Directors and Senior Leadership Team in running Safaricom's business, including chairing the Senior Leadership Team
- Develops and implements strategic objectives having regard to shareholders and other stakeholders

- Manages Safaricom's risk profile and ensures appropriate internal controls are in place
- Ensures compliance with legal, regulatory, corporate governance, social, ethical, and environmental requirements, and best practices
- Ensures that there are effective processes for engaging with, communicating with, and listening to employees and others working for the Group

The Senior Leadership Team:

- Develops the strategy for review and approval by the Board
- Manages business functions and ensures that functional strategies are effective and aligned with the Group's priorities and objectives
- Monitors operating performance
- Reviews functional budgets and activities to ensure these are adequate to achieve their targets
- Develops guidelines for the functional business units
- Oversees the management and development of talent
- Ensures that collective effort and resources are balanced, effective and properly focused
- Makes recommendations on matters reserved for Board approval

The Company Secretary:

- Provides guidance on the Board's duties and responsibilities and on other matters of governance
- Ensures the timely preparation and circulation of the Board and Committee minutes and other relevant papers
- Assists the Board with its evaluation
- Coordinates the governance audit process
- Maintains and updates the register of conflicts of interest
- Facilitates effective communication between Safaricom and shareholders
- Provides the Board and Directors individually with guidance on how their responsibilities should be discharged in the best interests of Safaricom
- Facilitates the training of new Directors and assists with identifying and facilitating Directors' professional development and continuous Board education
- Ensures effective flow of information within the Board and its Committees and between the Senior Leadership Team and Non-Executive Directors in consultation with the CEO and the Chairman
- Keeps formal records of Board discussions and follows up on the timely execution of agreed actions

Safaricom is assisted by a qualified Company Secretary who is a member of the Institute of Certified Public Secretaries of Kenya in good standing and an Advocate of the High Court of Kenya with over 22 years' experience. The Board regularly consults the Company Secretary on procedural and regulatory matters to ensure adherence to Board policies and processes.

The Board confirms that arrangements are in place for accessing professional corporate governance services. Support is provided through the Company Secretary and supplemented by external expertise as required.

Access to independent advice

The Board recognises that there may be occasions when one or more Directors consider it necessary to take independent advice on matters such as legal or financial advice, at the Group's expense. Directors are entitled to obtain independent legal, accounting, or other professional advice to assist them in discharging their duties and responsibilities and make informed decisions.

The Board may conduct or direct any investigation to fulfil its responsibilities. It can retain, at the Company's expense, any legal, accounting, or other services that it considers necessary from time to time to fulfil its duties.

This is provided for in the Board Charter, the Terms of Reference of each Committee, and the letter of appointment for each Director.

The notification period may be waived should any urgent and critical matters arise. The notification period may be waived should any urgent and critical matters arise.

Directors are entitled to request additional information where they consider further information is necessary to support informed decision-making.

Where Directors are unable to attend a meeting, they are advised on the matters to be discussed and given the opportunity to make their views known to the Chairman or the CEO prior to the meeting. The members of the Senior Leadership Team may be invited to attend the Board and/or Committee meetings, if deemed necessary and as appropriate, to make presentations on their areas of responsibility. This serves as an opportunity to give the Directors greater insights into their business areas.

The Chairman ensures that the Directors receive accurate, timely, and clear information on Safaricom's current performance to enable the Board to make sound decisions, effectively monitor progress and provide advice.

Board work plan and meeting attendance

The Safaricom Board meets at least four times a year, and the meetings are structured in a way that allows for open discussions. The Chairman, Company Secretary and CEO develop the annual Board work plan and the agenda for Board meetings. The work plan is designed to enable effective leadership and oversight. The Board approved the Board work plan for FY26/27 at its meeting held on 4 November 2025.

The notice, agenda and comprehensive Board papers are prepared and circulated to all Directors prior to the meetings with due notice in line with the Board Charter. This allows time for the Directors to undertake an appropriate review of the Board papers to facilitate full and effective discussions at the meetings.

The Chairman manages Board meetings to allow enough time for discussion of complex or contentious issues. To ensure productive meetings and an effective decision-making process, the Chairman ensures appropriate consideration of critical matters, questions or concerns.

Meeting attendance

Board meetings

	Adil Khawaja (C)	Dr. Peter Ndegwa	Shameel Joosub	Edward Okwaro	James Ludlow	Raisibe Morathi	Rita Kavashe	Lawrence Kibet	James Wambugu	Dr. (Eng) John Mosonik	Murielle Lorilloux
4 April 2025 Special Board meeting	✓	✓	✓	✓	✓	✓	Appointed at this Board Meeting	Appointed at this Board Meeting	Appointed at this Board Meeting	✓	✓
7 May 2025 (Main Board session)	✓	✓	✓	✓	✓	✓	By Invitation	By Invitation	By Invitation	✓	✓
22 July 2025 (Main Board session)	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
4 November 2025 (Main Board session)	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
3 December 2025 Special Board meeting	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
11 September 2025 Board training	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
18 February 2026 (Main Board session)	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓

Board Audit Committee meetings

	Edward Okaro (C)	Rita Kavashe	Lawrence Kibet	Raisibe Morathi
2 May 2025	✓	By Invitation	By Invitation	✓
15 July 2025	✓	✓	✓	✓
28 October 2025	✓	✓	✓	✓
3 February 2026	✓	✓	✓	✓

Board Nominations Committee meetings

	Shameel Joosub	Dr. (Eng) John Mosonik	Edward Okaro	James Wambugu (C)
4 April 2025	✓	✓	✓	Recommended for Appointment
15 April 2025	✓	✓	✓	By Invitation
1 July 2025	✓	✓	✓	✓
1 August 2025 (Special meeting)	✓	✓	✓	✓
21 October 2025	✓	✓	✓	✓
20 January 2026	✓	✓	✓	✓

Board Committees reconstituted on 1 August 2025

	Shameel Joosub	Dr. (Eng) John Mosonik	Edward Okaro	James Wambugu (C)
21 October 2025	✓	✓	✓	✓
20 January 2026	✓	✓	✓	✓

Board Risk and ESG Committee meetings

	James Ludlow	Raisibe Morathi	Edward Okaro	Lawrence Kibet	James Wambugu (C)	Rita Kavashe
10 April 2025	✓	✓	✓	By Invitation	By Invitation	By Invitation
10 July, 2025	✓	✓	✓	✓	✓	✓
14 October 2025	✓	✓	✓	✓	✓	BRESG Reconstituted on 1 August 2025 – No Longer Member
22 January 2026	✓	✓	✓	✓	✓	BRESG Reconstituted on 1 August 2025 – No Longer Member

Board Risk and ESG Committee reconstituted on 1 August, 2025

	James Ludlow	Raisibe Morathi	Edward Okaro	James Wambugu (C)	Lawrence Kibet
14 October 2025	✓	✓	✓	✓	✓
22 January 2026	✓	✓	✓	✓	✓

Board Human Resources Committee meetings

	Shameel Joosub	Dr. (Eng.) John Mosonik	James Ludlow	Rita Kavashe (C)	Edward Okaro	James Wambugu
23 April 2025	✓	✓	✓	By Invitation	✓	By Invitation
17 July 2025	✓	✓	✓	✓	✓	✓
23 October 2025	✓	✓	✓	✓	BHRC Reconstituted on 1 August 2025 – No Longer Member	BHRC Reconstituted on 1 August 2025 – No Longer Member
28 October 2025 (SM)	✓	✓	✓	✓	BHRC Reconstituted on 1 August 2025 – No Longer Member	BHRC Reconstituted on 1 August 2025 – No Longer Member
29 January 2026	✓	✓	✓	✓	BHRC Reconstituted on 1 August 2025 – No Longer Member	BHRC Reconstituted on 1 August 2025 – No Longer Member

Board Human Resources Committee reconstituted on 1 August 2025



Navigating
this report

	Shameel Joosub	Dr. (Eng.) John Mosonik	James Ludlow	Rita Kavashe (C)
23 October 2025	✓	✓	✓	✓
28 October 2025 (SM)	✓	✓	✓	✓
29 January 2026	✓	✓	✓	✓

Board Innovation and Investments Committee meetings

	Shameel Joosub	Murielle Lorilloux	Dr. (Eng.) John Mosonik (C)	Raisibe Morathi	James Wambugu
2 April 2025	✓	Apologies	✓	✓	Not Yet a Member
3 July 2025	✓	✓	✓	✓	✓
29 October 2025	✓	✓	✓	✓	✓
28 January 2026	✓	✓	✓	✓	✓

Board Innovation and Investments Committee reconstituted on 1 August 2025

	Shameel Joosub	Raisibe Morathi	Murielle Lorilloux	James Wambugu	Dr. (Eng.) John Mosonik (C)
29 October 2025	✓	✓	✓	✓	✓
28 January 2026	✓	✓	✓	✓	✓

Key Board focus areas for FY26

Key focus area	Board decisions and value created or preserved	Stakeholders impacted	Six capitals impacted
Policy and framework reviews	The Board reviews policies based on regulatory and strategy changes, and to align with global best practices. Policies reviewed and amended include the Data Retention and Disposal policy, Stakeholder Relations policy, Anti-Money Laundering policy and the Policy Governance Framework ¹ .	Regulators Employees Business partners	Intellectual capital
Reviews and approvals	- The Board approved the audited financial statements for the year ended 31 March 2025, the unaudited interim results to 30 September 2025, as well as the related guidance, press release and commentary - The final dividend for the year ended 31 March 2025 and interim dividend for the year ended 31 March 2026 - Audit fees for the External Auditor	Regulators Investors and shareholders	Financial capital
Strategy	The Board provided strategic direction by monitoring strategy relevance, progress and resource allocation, including the FY27 budget, Long-Range Plan and funding for Ethiopia. This ensured long-term sustainability and delivering on our purpose.	Customers Investors and shareholders Employees Business partners	Manufactured capital Human capital Intellectual capital Natural capital
External trends and risks	The Board monitored political and regulatory trends and developments and their implications for the business, as well as key risks and mitigation, including material litigation cases and their liability. Effective risk management protects Safaricom and ensures business continuity.	Regulators Customers Investors and shareholders Communities Media	Financial capital Intellectual capital

¹ Find our governance policies here: <https://www.safaricom.co.ke/about/who-we-are/our-governance-policies>.

The Board confirms that it conducted its activities in accordance with the Board Charter and is satisfied that all matters were executed in compliance with the Charter and Safaricom's governance policies.

Key governance-related engagements

Pursuant to the Stewardship Code for Institutional Investors, 2017, Safaricom undertook the following:

- Held investor briefings to appraise institutional investors of the Group's performance and respond to questions and comments
- Engaged institutional investors through its robust and active Investor Relations function, such as investor roadshows and forums and via the Safaricom website
- Made sufficient business and sustainability performance disclosures through our Annual Report, website, social media, AGM and other forums
- Facilitated effective voting by poll during the Company's 2025 AGM
- Coordinated with Image Registrars, the Company's Registrars, to facilitate the efficient flow of information and voting instructions

Key Board focus areas FY27

The Board will focus on:

- Reviewing and approving the audited financial statements for the year ended 31 March 2027, together with the guidance, press release, and commentary
- Considering and approving the unaudited half-year financial statements
- Reviewing proposals for the interim dividend for the year ending 31 March 2027, and will recommend to shareholders the approval of the final dividend for the year under review
- Approving the audit fees for the External Auditor
- Reviewing and agreeing on Safaricom's strategy and will ensure that the necessary financial and human resources are in place to meet agreed objectives
- Reviewing the strategic initiatives and financial plans for the year under review, and will specifically discuss funding for Ethiopia
- Approving the FY27 budget and Long-Range Plan, and will monitor performance against the approved budget
- Monitoring political, regulatory, and market development trends
- Discussing and enhancing its understanding of key risks facing the business in Ethiopia
- Discussing key risks and mitigation measures, including geopolitical risks, cybersecurity threats, regulatory changes, and reputational risks
- Reviewing and monitoring material litigation cases, including associated liability and reputational risks
- Receiving regular reports on the deliberations of its Committees

Board Committees

The Board has delegated authority to various Board Committees to deliver effectively and efficiently on its mandate. The Committees are provided with all necessary resources to enable them to undertake their duties effectively. The Board periodically reviews the composition and mandates of the Committees to ensure that they remain relevant. Consequently, the Board Committees were reconstituted as of 1 August 2025.



Board Audit Committee

The Committee was chaired by an Independent Non-Executive Director, with at least one Committee member holding a professional qualification in audit or accounting and in good standing with the relevant professional body.

Members as at 31 March 2026

- Edward Okaro (Chairperson)
- Raisibe Morathi
- Lawrence Kibet
- Rita Kavashe

Secretary of the Committee: Linda Mesa Wambani

Permanent invitees

- Dr. Peter Ndegwa (CBS) (Group Chief Executive Officer)
- Dilip Pal (Group Chief Finance and Innovation Officer)
- Nicholas Mulila (Chief Corporate Security Officer)
- Denish Osodo (Director, Internal Audit)
- Ernst & Young (External Auditor)

Functions of the Audit Committee

The roles and responsibilities of the Audit Committee include:

- Reviewing the published financial statements and recommending their approval to the Board
- Monitoring the integrity of the financial statements and reporting any significant financial reporting issues and judgements by the External Auditor to the Board
- Reviewing and discussing any significant events or transactions affecting Safaricom's financial reporting with management and the External Auditor
- Discussing problems and reservations arising from the interim and final audits, including related-party transactions and any material weaknesses in the accounting and financial control systems
- Reviewing the adequacy, scope, functions and resources of the Internal Audit function to ensure that it has the necessary authority to carry out its work
- Considering the appointment, replacement or dismissal of the Director of Internal Audit, as well as evaluating their performance and making recommendations to the Board, including on their compensation
- Being informed of Internal Audit resignations and, if deemed appropriate, providing the resigning staff members an opportunity to submit reasons
- Developing and overseeing the selection procedure for the appointment of the External Auditor
- Reviewing the independence, objectivity and effectiveness of the External Auditor, assessing any threats to their independence and safeguards applied to mitigate threats

Key Audit Committee activities

During the financial year, the Committee substantively discussed and reviewed:

- The half- and full-year results, audited accounts, interim and final dividend recommendations
- The External Auditors Management Letter, Interim Findings Report and Service Plan for the year ending 31 March 2026, including assessing their effectiveness and independence
- The Internal Audit Charter and plan for the year ended 31 March 2026, quarterly reports and status against the approved Internal Audit plan, including their assessment
- The Committee's work plan and Terms of Reference

Made recommendations to the Board on:

- The approval of the External Auditor's fees and re-appointment
- Related-party transactions

In-camera sessions were held with the External and Internal Auditors without members of management being present.

Key future focus areas

- Review the Safaricom and subsidiary budgets for approval
- In-camera sessions with the External and Internal Auditors
- Review the External Auditors' Management Letter, fees and service plan for the year ending 31 March 2026
- Review the Internal Audit Charter
- Review the Internal Audit Report
- Review the half-year results press release and commentary



Board Risk, Environmental, Social and Governance Committee

Members as at 31 March 2026

- James Wambugu -Chairperson (INED)
- Lawrence Kibet (NED)
- Raisibe Morathi (NED)
- James Ludlow (NED)
- Edward Okaro (INED)
- Dr. Peter Ndegwa (Group CEO)

Permanent invitees

- Dilip Pal (Group Chief Finance and Innovation Officer)
- Nicholas Mulila (Chief Corporate Security Officer)
- Denish Osodo (Director Internal Audit)
- Karen Basiye (Director Sustainable Business and Social Impact)

Secretary of the Committee: Linda Mesa Wambani

Functions of the Risk, Environmental, Social and Governance Committee

The roles and responsibilities of the Risk, Environmental, Social and Governance Committee include:

- Evaluating Safaricom's procedures to safeguard assets, prevent and detect fraud and bribery incidents
- Reviewing quarterly reports on Anti-Money Laundering programmes, systems and controls
- Providing oversight, guidance, and strategic direction on technology and IT governance
- Reviewing reports and updates on the cybersecurity threats landscape, breaches, privacy incidents, and responses to ensure the adequacy of controls
- Reviewing and monitoring the effectiveness of Safaricom's resilience and business continuity arrangements, and testing these from time to time
- Reviewing and approving the Safaricom Code of Business Conduct, including systems, controls and processes for the prevention of bribery, promoting accountability, ethical conduct and transparency and receiving reports on any non-compliance
- Reviewing measures for revenue and margin protection
- Ensuring that ESG-related policies and programmes are appropriate to implement the Purpose Strategy
- Monitoring and assessing the activities relating to the United Nations Global Compact's (UNGC) 10 Principles covering human rights, labour, environment, responsible supply chain and anti-corruption
- Reviewing and monitoring policies and procedures to assess compliance with applicable health, safety and environmental laws and regulatory requirements
- Overseeing timely ESG Disclosures in accordance with best governance practices

Key Risk, Environmental, Social and Governance Committee activities

- Reviewed ESG initiatives
- Reviewed the content of various policies and recommended these for Board approval
- Discussed business risk updates, including changes in the heat map
- Discussed quarterly reports covering cybersecurity, AML and CFT, internal controls transformation, data privacy, business ethics and compliance
- Discussed significant litigation cases and liabilities

Key future focus areas

- Providing oversight of ERM, ethics management, regulatory compliance, fraud management, privacy, data governance, AML and CFT, business assurance, cybersecurity, technology risks, and policy governance and compliance through regular quarterly updates
- Supporting the continued maturation of the internal control environment and the second line of defence by overseeing the Internal Controls Transformation programme, considering the outcomes of an independent external review, reviewing the annual compliance risk assessment, and approving the FY27/28 compliance plan
- Prioritising capability building, undertaking training on risk, compliance, internal controls, and governance, alongside Board-level ESG training
- Continuously strengthen its capability and oversight effectiveness through a structured corporate governance training programme facilitated by the CMA and NSE
- Receiving quarterly ESG updates and overseeing the review and launch of the Sustainable Business Report
- Strengthening its effectiveness through a self-evaluation to identify opportunities for continuous improvement and a review of its FY27/28 annual work plan

Risk management and internal control

The Board is responsible for maintaining sound risk management and internal control systems and determining the nature and extent of the risks that Safaricom is willing to take to achieve its strategic objectives. With the support of the Risk, Environmental, Social and Governance Committee, the Board carries out a regular review of the effectiveness of its Risk Management Framework and internal control systems, covering all material controls, including financial, operational and compliance controls.

The Board, with advice from the Risk, Environmental, Social and Governance Committee, completed its annual review of the effectiveness of the Risk Management Framework and internal controls.

Read more about risk management in the Risk Report from page 121.



Board Human Resources Committee

Members as at 31 March 2026

- Rita Kavashe-Chairperson (INED)
- Dr. (Eng) John Mosonik (NED)
- Shameel Joosub (NED)
- James Ludlow (NED)
- Dr. Peter Ndegwa (Group CEO)

Secretary of the Committee: Linda Mesa Wambani

Permanent invitees

- Florence Nyokabi (Chief Human Resources Officer)

Functions of the Human Resources Committee

The roles and responsibilities of the Human Resources Committee include:

- Reviewing and recommending HR policies and benefits, delegation with respect to performance management, compensation, delegations of authority and learning and development to the Board while ensuring Safaricom complies with relevant standards
- Reviewing the organisational culture
- Reviewing staffing policies for the CEO and the Senior Leadership Team, succession planning and capacity-building systems and policies, and periodically discussing key strategic staffing issues with management
- Overseeing the development and implementation of key human resource strategies
- Reviewing the content and implementation of the action plans resulting from the annual Staff and Pulse surveys
- Reviewing recommendations from management on health, retirement and other related employee benefit programmes, including new plans or substantive changes to existing programmes
- Reviewing the adequacy and diversity of employee welfare through pension and medical schemes
- Monitoring employee relations and the implementation of the Safaricom Code of Business Conduct
- Reviewing, at least once annually, Safaricom's organisational structure and, where appropriate, recommending changes to the Board
- Reviewing, advising and recommending benefits for the Chairman and the Non-Executive Directors
- Reviewing remuneration trends and various benchmarks, and making recommendations in respect of remuneration practices

Human Resources Committee activities

The Committee substantively discussed the following matters:

- Implementation of the recommendations from the Governance Audit
- Reviewed the Committee's Terms of Reference
- Reviewed the employee salary survey, including a report on compensation trends and budget expectations
- Reviewed Senior Leadership Team performance
- Discussed employee compensation and bonuses for 2025/2026, as well as changes to the bonus framework, and made recommendations to the Board
- Reviewed the succession plan for the Senior Leadership Team
- Approved the Long-Term Incentive Plan and Share Grants Proposal for FY25
- Reviewed Mission FY25 and CEO KPIs and measures
- Reviewed the Fair Pay Report
- Reviewed the CEO remuneration survey planning

Key future focus areas

- Review the CEO's performance and performance targets for FY26 and FY27
- Discuss and make recommendations to the Board on employee compensation and bonus review
- Discuss changes to the bonus framework
- Discuss and approve the share grants proposal for FY26 and FY27
- Review and discuss succession planning for the Senior Leadership Team and Exco
- Review the results of the employee opinion survey
- Discuss various HR thematic areas, including leadership succession planning, culture and talent, diversity and retention, and Gearing for Growth
- Review and approve the Committee's FY26/27 HR annual calendar and work plan for implementation



Board Nominations Committee

Members as at 31 March 2026

- James Wambugu-Chairperson (INED)
- Shameel Joosub (NED)
- Dr. (Eng) John Mosonik (NED)
- Edward Okaro (INED)

Secretary of the Committee: Linda Mesa Wambani

Permanent invitees

- Dr. Peter Ndegwa (Group CEO)
- Florence Nyokabi (Chief Human Resources Officer)

Functions of the Nominations Committee

The purpose of the Nominations Committee is to assist the Board in:

- Considering succession planning for Directors, including what future skills and expertise are needed on the Board
- Reviewing the structure, size and composition (including the skills, knowledge, experience, diversity and independence) of the Board and making recommendations to the Board about changes
- Reviewing Executive and Non-Executive leadership needs to ensure Safaricom's competitiveness
- Reviewing the time required and performance of Non-Executive Directors in effectively fulfilling their duties
- Reviewing Committee membership in consultation with the respective Committee Chairpersons
- Determining the re-election and re-appointment of Non-Executive Directors based on their performance and contribution, given the Board's knowledge, skills, experience and independence requirements
- Evaluating the Board's and Directors' effectiveness in the discharging of their responsibilities
- Reviewing executive appointments, succession and development plans for the Senior Leadership Team
- Monitoring compliance with the Code of Corporate Governance, as well as any relevant laws and current or emerging governance best practices with respect to remuneration and human resources
- Ensuring that all Directors, on joining the Board, undergo an appropriate Induction programme and considering any training requirements for the Board as a whole
- Undertaking any other exercise referred to the Committee by the Board
- Supporting the Board as a high-performing Committee, and responsible for regular Board evaluation

Key discussions by the Nominations Committee

The Committee substantively discussed the following matters:

- Reconstituted the Board Committees
- Reviewed Directors' training
- Reviewed the Directors' Skills Matrix, succession planning and developed Board KPIs post the Board evaluation report
- Talent pool development for the Board
- Assessment of good standing of the Directors in professional bodies
- Assessment of Directors' independence
- Receipt of Annual Directors' Conflict of Interest Declarations
- Commissioned Safaricom's next Board evaluation
- Reviewed external Board candidates and considered alternate Board Directors

Key future focus areas

- Directors' Skills Matrix and development of the Board KPIs post the Board evaluation report
- Succession planning and talent pool development for the Board
- Assessment of Directors' independence
- Directors' Conflict of Interest Declarations
- Safaricom PLC and Subsidiaries Board Evaluation
- Review of external Board candidates and consideration of alternate Board Directors



Board Innovation and Investments Committee

Members as at 31 March 2026

- Dr. (Eng) John Mosonik Chairperson (NED)
- Shameel Joosub (NED)
- Raisibe Morathi (NED)
- Murielle Lorilloux (NED)
- James Wambugu (INED)
- Dr. Peter Ndegwa (Group CEO)

Secretary of the Committee: Linda Mesa Wambani

Permanent invitees

- Dilip Pal (Group Chief Finance and Innovation Officer)

Functions of the Innovation and Investments Committee

The roles and responsibilities of the Innovation and Investments Committee include:

- Reviewing and recommending contemplated investments to the Board, and regularly reviewing the performance of these investments
- Reviewing investment plans, policies and strategies aligned to Safaricom's financial needs and circumstances
- Undertaking periodic reviews and monitoring of Safaricom's strategic plans, capital adequacy and performance
- Approving all equity investments and term funding, and making recommendations to the Board
- Monitoring key investment projects, reviewing any contracts or other transactions or consulting arrangements and making recommendations to the Board
- Setting policy and grant authority for short-, mid- and long-term investments and financial decisions
- Defining, monitoring and reviewing the innovation strategy, roadmap, policies and procedures and recommending these to the Board for approval
- Aligning innovation strategies and goals to Safaricom's Vision 2030 Strategy
- Promoting a culture that encourages and maintains innovation, allowing measured and informed risk-taking
- Recommending a budget intended to promote innovation and provide oversight of management's implementation of the allocated resources to the Board for approval
- Conducting periodic reviews of innovation initiatives and developing a framework of what success will look like, lessons learned and recommending changes for adoption to ensure future success

Innovation and Investments Committee activities

The Committee substantively discussed the following matters:

- Performance of subsidiaries and related companies
- Mergers and acquisitions
- Updates on various projects

Key future focus areas

The Committee does not operate within pre-determined focus areas; rather, it considers investments and emerging opportunities from time to time in line with the Company's strategic objectives.

COMBINED ASSURANCE

The Group applies a Combined Assurance Framework, providing a structured and coordinated approach to risk management, control, and assurance.

In line with evolving global practices, our combined assurance approach continues to mature through enhanced risk-based integration, data-driven assurance, and closer alignment to ERM. We are increasing our focus on end-to-end risk coverage, real-time insights, and assurance mapping against key risks. This includes strengthening coordination across assurance providers, improving visibility of assurance gaps and overlaps, and enhancing Board reporting through a more holistic and forward-looking view of risk and control effectiveness.

Combined assurance model

Board and Board Audit Committee

Accountable for oversight based on their roles, responsibilities and commitment to integrity, leadership and transparency.

Management owns and manages risks and controls

Risk and compliance oversight functions provide guidance, monitoring, and challenge

Internal Audit delivers independent assurance to both management and the Board through its dual reporting lines

1

First line roles

- Product and service offering to clients
- Risk management

2

Second line roles

- Expertise, support, monitoring and challenge on risk-related matters

3

Third line roles

- Independent and objective assurance
- Advising on all matters related to achieving objectives

External assurance providers, including regulators and independent reviewers, complement this framework where required.

Combined assurance pillars

Integrated planning

Ensuring risk-based alignment and coordination of assurance activities across functions to minimise duplication and address key enterprise risks.

Integrated execution

Assurance activities are increasingly aligned to principal risks, with shared insights and coordinated reporting.

Governance and oversight

Providing transparency to management and the Board through consolidated assurance reporting while preserving the independence of each assurance provider.

Internal Audit

The Group Internal Audit team provides independent, risk-based assurance, advice, and insights to strengthen governance, risk management, and control processes. Its mandate is defined in a Board-approved Charter, granting full independence, direct reporting to the Board, and unrestricted access to information across the Group. Operating in line with the Institute of Internal Auditors' Global Internal Audit Standards, the function adopts a risk-aligned, data-driven operating model. Audit reviews, advisory engagements, and forward-looking insights underpin a combined assurance approach that benefits from collaboration with other risk and compliance functions. In FY26, Group Internal Audit delivered 38 audit engagements and ten advisory engagements, providing substantial assurance over systemic processes across the M-PESA system.

External Auditor

Ernst & Young was appointed by shareholders as External Auditors in 2020 and has been re-appointed by shareholders in subsequent AGMs to act as such in accordance with Safaricom's policy, Central Bank of Kenya's Prudential Guidelines and the CG Code.

As guided by the External Auditor Management policy, the Committee and management undertook an appraisal of the External Auditor's performance based on their quality-of-service delivery and Auditor independence, among other aspects. Based on the evaluation results, the Committee was satisfied with the performance of the External Auditor, and this position was endorsed by the Board.

The Audit Committee is satisfied that the Group Combined Assurance Framework is effective in providing coordinated, risk-based, and comprehensive oversight. The Committee notes that the integrated three-line model, supported by both internal and external assurance providers, facilitates clear accountability, minimises duplication, and strengthens transparency on risk management and control effectiveness. The Committee further acknowledges that combined assurance is continuously evolving in line with global best practices, including enhanced risk-based integration, real-time insights, and a coordinated reporting approach, providing the Board and management with a reliable and forward-looking view of Safaricom's risk and control environment.

COMPLIANCE

Corporate Governance Assessment Report

The CMA reviewed and assessed Safaricom’s corporate governance practices for the financial year ended 31 March 2025. Safaricom was awarded leadership ratings in all categories, with the following scores:

90%	88%
Commitment to Good Corporate Governance	Board Operations and Control
86%	80%
Rights of Shareholders	Stakeholder Relations
96%	86%
Ethics and Social Responsibility	Transparency and Disclosure
96%	
Accountability, Risk Management and Internal Controls	

Safaricom achieved an overall strong corporate governance performance, recording a weighted average score of 89%, which was a 5% improvement from the 2024 assessment of 84%.

The Company outperformed the all-issuer average score of 78.88% and the Commercial Services and Telecommunications Sector average of 70.41%.

We recognise that good corporate governance is a continuous improvement process and will continue to engage with the CMA to explore strategies that enhance compliance while also maintaining operational efficiency.

Legal and compliance audit

The CG Code requires that listed companies undertake an external and independent legal and compliance audit once every two years to establish the level of adherence to applicable laws, regulations and standards. Further, the CG Code provides that for the years for which an external legal and compliance audit has not been carried out, listed companies shall carry out an internal legal and compliance audit.

Rachier & Amollo LLP conducted an external legal and compliance audit for Safaricom PLC dated 10 December 2024, where Safaricom PLC was judged to be largely in compliance with the highlighted recommendations adopted to be resolved.

During FY26, an internal legal and compliance audit was carried out to assess compliance with the various regulatory frameworks. The audit confirmed that internal processes are progressively maturing to better support legal and regulatory compliance. The findings indicated strengthened compliance practices, with ongoing actions to address any identified gaps in line with regulatory expectations.

Governance audit

The CG Code provides that the Board shall subject the Company to an annual governance audit by a competent and recognised professional accredited for that purpose by the Institute of Certified Public Secretaries of Kenya, in order to check on the level of compliance with sound governance practices.

The governance audit has commenced and is ongoing in compliance with the CG Code requirements, and to check the level of compliance with sound governance practices. The findings and recommendations from the governance audit will be tracked for implementation and improvement of the governance process, noting that corporate governance is a continuous improvement process.

RISK REPORT

Risk management is essential to protect Safaricom's sustainability and to ensure our continued ability to create and preserve value for stakeholders. Risk management structures and processes have been designed to support the successful implementation of our Vision 2030 Strategy.

We apply the following mechanisms across all governance layers:

- Integrating risk with strategy and performance
- Setting and monitoring risk appetite and tolerance
- Ensuring clear accountability and structured governance
- Maintaining disciplined escalation and reporting
- Applying combined assurance and independent oversight

Our risk governance structure

The Board is responsible for maintaining sound risk management and internal control systems and determining the nature and extent of the risks that Safaricom is willing to take to achieve its strategic objectives. With the support of the Risk, Environmental, Social and Governance Committee, the Board carries out a regular review of the effectiveness of its ERM Framework and internal control systems, covering all material controls, including financial, operational and compliance controls.

Board

The Board holds the highest level of accountability for risk oversight. It:

- Approves the risk policies and frameworks, including the Risk Appetite and Tolerance Framework
- Ensures risk management is integrated into strategy and operations
- Reviews and approves Safaricom's principal and emerging risks, as well as risk appetite and tolerance
- Ensures the risk management system improves our risk culture and drives strategic alignment

Board Risk, Environmental, Social and Governance Committee

The Committee supports the Board by providing specialised oversight over all financial and non-financial risks. It:

- Reviews and approves the IRM policy, frameworks, methodologies and processes
- Ensures governance practices are aligned with the Risk Appetite and Tolerance Framework
- Reviews the risk profile, significant changes in exposure, and adequacy of risk responses
- Ensures risk oversight remains aligned with strategic priorities and regulatory expectations

Executive Committee (Exco)

Exco ensures that ERM is embedded in daily operations. It:

- Reviews principal, operational and emerging risks through the Risk Management Committee (RMC)
- Ensures that strategy execution stays within the approved risk appetite and tolerance levels
- Oversees the effective implementation of risk mitigation and internal control measures across the Group

Chief Executive Officer (CEO)

The CEO is accountable to the Risk, Environmental, Social and Governance Committee and the Board for driving an effective IRM system. The CEO:

- Provides leadership and sets expectations for risk culture and capabilities
- Ensures strategy evaluation and execution remain within risk appetite
- Guides the development and performance of the risk process across Safaricom

Risk Management Committee

Operating under Exco, the RMC provides management level governance for risk oversight. It:

- Monitors top risks, appetite breaches, and execution of risk response plans
- Ensures timely escalation of risks that exceed appetite levels, in accordance with the Risk Appetite Tolerance Framework escalation rules

Chief Risk Officer (CRO)

The CRO is the owner and custodian of the IRM policy and Framework. The CRO:

- Ensures implementation of IRM across the business
- Oversees risk acceptance processes and approves risk acceptance cases
- Ensures adequate resources, controls, and escalation mechanisms are in place

Head of Enterprise Risk Management and Enterprise Risk Management function

The ERM team:

- Provides tools, processes, training, and quality assurance of risk information
- Consolidates enterprise-wide risk reporting for Exco, RMC, the Risk, Environmental, Social and Governance Committee and the Board
- Champions risk culture, risk awareness, and adherence to the IRM Framework

Internal Audit

Internal Audit provides independent assurance by:

- Reviewing the adequacy and effectiveness of the risk management process
- Adjusting audit plans based on emerging risks

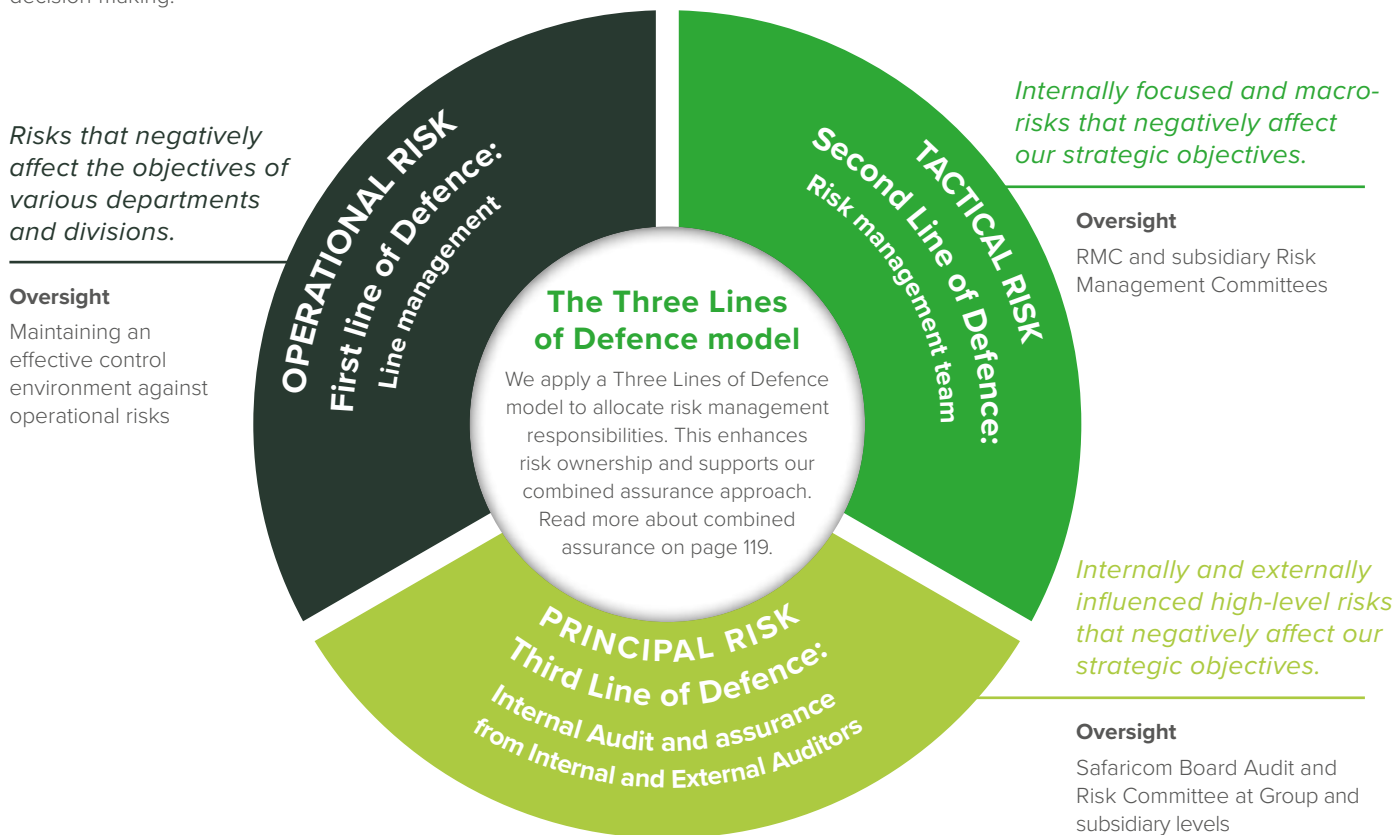
Read more about the Risk, Environmental, Social and Governance Committee's role, responsibilities, members and activities for FY26 on page 115.

Our Enterprise Risk Management Framework

Safaricom is committed to robust risk management practices as an integral part of sound governance. We have both a top-down and bottom-up approach to ensure the appropriate handling of risks and opportunities across the Group, thereby driving a positive risk culture that promotes risk ownership.

Safaricom's ERM Framework is aligned to the ISO 31000 International Risk Management Standard and the Committee of Sponsoring Organizations Framework to ensure the best practice in the governance of risk.

The ERM Framework is applied across all subsidiaries, thus providing management with a clear line-of-sight over risk to enable informed decision-making.



Safaricom has a low appetite for risks that could damage brand equity, reputation, or stakeholder trust. Our Risk Appetite Statement specifies acceptable and unacceptable levels of exposure. This ensures any deterioration in public sentiment, media narrative, or brand trust is treated as a priority risk requiring swift intervention.

Our risk management process

The Board has overall responsibility and oversight of our ERM process in a dynamic market environment. Read more about our operating context on pages 37 and 38.

Establishing our risk context and scope

We define the external and internal parameters to be taken into account when managing risk and setting the scope and risk criteria for the risk management policy. We consider all stakeholders in establishing our risk context.

1 Identifying risks We conduct formal risk assessment twice a year in conjunction with the business units and other stakeholders.	2 Measuring risks We apply standardised risk scoring and categorisation in line with the Board-approved risk appetite. We take both the probability of risk occurrence and potential impact into account.	3 Managing risks We manage risk by implementing appropriate mitigations and controls to eliminate the risk or reduce the impact or likelihood of the risk. We test the effectiveness of control and oversight across the Three Lines of Defence.	4 Monitoring and reporting risks We have a continual and iterative process to monitor risks and test the effectiveness of controls. The Board and Senior Leadership Team receive regular reports on risk management.
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Our risk culture

Promoting a strong, enterprise-wide risk culture is a central pillar of the Safaricom IRM policy and the Risk Appetite and Tolerance Framework. We promote a risk culture by:

	Embedding risk into strategy, planning, and decision-making through operational execution and performance management.
	Strengthening ownership through a defined governance structure.
	Driving a centre-led but decentralised risk operating model with the following accountabilities: - Executives, Tribe and CoE Leads, and senior managers are accountable for risk identification, assessment, and treatment - The ERM team enables, trains, quality-assures and provides tools, but ownership stays with the business
	Building risk awareness and capability through training and guidance.
	Ensuring clear communication, consultation, and transparency involving all stakeholders.
	Ensuring regular monitoring, reporting and escalation through: - Regular risk reporting to the Senior Leadership Team, Risk Management Committee, Board Risk, Environmental, Social and Governance Committee, and the Board - Monitoring key risk indicators to detect shifts in exposure early - Ensuring timely escalation of breaches
	We promote a risk culture by ensuring - Leaders actively demonstrate and communicate expectations around risk - Risk Champions embed risk practices locally - Employees understand their responsibility to identify, escalate, and report risks

Our third-party risk approach

Partnership-related risks such as vendor dependency, supply chain threats, and external party vulnerabilities are explicitly captured in multiple risk categories, including:

Risk category	
Operational risk	Vendor and third-party risk, which includes risks from third-party failures, contractual gaps, supply chain disruptions, and outsourced services dependencies. Supply chain continuity that ensures the assessment and management of partner-related disruptions that may threaten network resilience.
Technology risk	Cyber governance and ecosystem risk, as well as system integration failures, cover external ecosystem exposures, system interoperability risks, and cyber-physical linkages with partners. This includes: • Cybersecurity exposures through vendor systems • Integration and application programming interface (API) risks • Infrastructure dependency on third-party operators • Potential regulatory breaches by partners • Data privacy and KYC risks for outsourced channels Partnerships that affect the network are assessed through Safaricom's Business Continuity and Resilience policy, which is embedded into the IRM policy to: • Ensure suppliers and partners have adequate continuity capabilities • Evaluate the resilience of external infrastructure powering Safaricom's network • Test interoperability and redundancy • Ensure external parties' cyber posture meets Safaricom's security requirements

This taxonomy ensures partnership risks are systematically identified and assessed during all risk assessments. Risks exceeding tolerance are escalated and require immediate mitigation. Our third-party risk management aims to ensure that partners cannot become single points of failure.

Sustainability risks and opportunities

Material sustainability topics are embedded in our risk management processes, ensuring they influence strategy, planning, decision-making, and resilience. Sustainability is structurally integrated across the ERM Framework, IRM policy, risk taxonomy, and the Risk Appetite and Tolerance Framework.

Sustainability risks are included as one of the Group's Level 1 risk categories in the risk taxonomy, ensuring that these are systemically identified, assessed, aggregated, and reported. We also have an environmental and social impact category within our risk appetite statements. We use sustainability risks as leading key risk indicators.

We evaluate sustainability-related risks and opportunities by balancing the need for environmental and social responsibility with operational performance, resilience, and strategic growth. On one hand, Safaricom maintains a low appetite for environmental and social harm, meaning management must minimise ecological impact, community disruption, regulatory exposure, and threats to stakeholder trust. This often requires investing in more robust controls, compliance processes, or environmentally responsible technologies, even when these may increase short-term costs or slow implementation of initiatives.

At the same time, sustainability presents clear opportunities such as strengthening brand reputation, supporting long-term operational resilience, meeting stakeholder expectations, and unlocking efficiencies through lower emissions, safer operations, and responsible supply chain practices.

Decision-making, therefore, requires trade-offs. Management weighs the potential for innovation, market leadership, and long-term value creation against the risks of environmental damage, regulatory sanctions, community backlash, or reputational harm. This balance is guided by the Risk Appetite and Tolerance Framework, which defines strict thresholds for environmental and social impacts.

Ultimately, management prioritises choices that reduce long-term sustainability risk while enabling responsible growth, ensuring that opportunities are pursued only when they remain within acceptable environmental and social boundaries.

Future focus areas for risk

The key risk focus areas for FY27 are those that could fundamentally impair progress toward our Vision 2030 Strategy. These are risks that threaten Safaricom's ability to remain resilient, competitive, trusted, compliant, and future-ready. They include strategic, technology, operational, regulatory, financial, sustainability, and reputational exposures that, if not managed, could materially disrupt Safaricom's capacity to achieve sustained growth and purpose-led transformation.

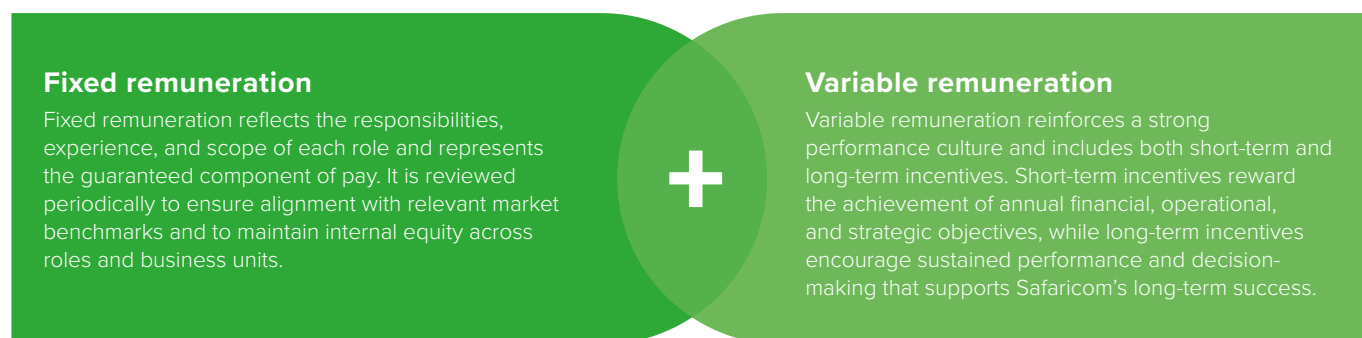
Safaricom will prioritise macro-economic, geopolitical, and competitive strategic risks, as these can undermine market expansion, innovation pipelines, pricing strategy, and customer retention, which are core pillars of Vision 2030's growth ambitions.

REMUNERATION REPORT

Safaricom's remuneration philosophy is designed to support the delivery of our strategy while attracting, motivating and retaining talented employees. We recognise that Safaricom's long-term success depends on the performance, leadership, and engagement of our people. Remuneration is therefore structured to reward individual contribution, overall Company performance, and the sustainable creation of value for shareholders and other stakeholders.

Our remuneration philosophy

Safaricom's remuneration approach is guided by the principles of fairness, market competitiveness, and alignment with both short-term performance and long-term strategic priorities. Safaricom maintains a balanced remuneration structure that combines fixed remuneration with performance-based incentives.



Performance measurement incorporates financial and non-financial indicators, including ESG considerations such as environmental sustainability, employee engagement, diversity and inclusion, and strong governance practices. Supported by appropriate governance and regular market benchmarking, Safaricom's Remuneration Framework promotes transparency, accountability, and sustainable value creation.

Our remuneration principles and policy

Safaricom's remuneration principles provide specific rules and standards that guide remuneration decisions. They translate our philosophy into consistent, transparent, and actionable practices that ensure pay supports both strategic objectives and responsible business conduct.

A fundamental principle is that remuneration should align with both business performance and individual contribution. Employees are evaluated against objectives tied to the Vision 2030 priorities, including financial results, operational effectiveness, and long-term strategic initiatives.

Remuneration outcomes are informed by regular market benchmarking to maintain competitiveness and ensure internal equity. Robust governance reviews underpin all decisions, ensuring transparency, fairness, and accountability while aligning remuneration with Safaricom's long-term strategic ambitions.

Safaricom's Remuneration policy reflects a commitment to:

- Ensuring our policy and implementation drive the behaviours that support our strategy and business objectives
- Maintaining a "pay for performance" approach to remuneration, which ensures our incentive plans only deliver significant rewards when they are justified by business performance
- Aligning the interests of our Senior Leadership Team with those of shareholders by developing an approach to share ownership that helps to maintain commitment over the long term
- Offering competitive and fair rates of pay and benefits

Remuneration governance

Safaricom ensures that all remuneration decisions are subject to structured governance and independent oversight. The Board Human Resources Committee is responsible for reviewing remuneration policies, approving incentive plans, and validating outcomes to ensure compliance with internal standards and external regulatory requirements.

The Committee is also responsible for reviewing Board remuneration, considering the responsibilities, scope, and time commitment required of the Non-Executive Directors. Decisions on Board remuneration are approved by the full Board, with executive management excluded from deliberations affecting their own pay, ensuring independence and integrity.

The Board Human Resources Committee meets quarterly to assess remuneration decisions, evaluate the effectiveness of incentive programmes, and confirm that outcomes are consistent with established performance measures and strategic priorities. Remuneration outcomes are documented in detail, and the Committee ensures that processes are auditable, with a clear rationale recorded for all decisions.

External benchmarking and independent advisory input are used annually to validate competitiveness and alignment with best practices.

Remuneration consultants provide independent advice on market trends, pay structures, and incentive plan design. These consultants assist us in ensuring that remuneration practices remain competitive, fair, and aligned with strategic objectives. To maintain independence, the consultants operate under clearly defined terms of engagement, report directly to the Board Human Resources Committee, and do not have any decision-making authority over individual remuneration outcomes.

Their recommendations are evaluated by the Board Human Resources Committee in the context of internal policies, performance metrics, and market benchmarks, ensuring that final decisions reflect Safaricom's objectives and accountability standards. This approach safeguards the objectivity of external advice while supporting transparent, evidence-based remuneration decisions that are fully aligned with Safaricom's long-term strategic and financial goals.

We also do regular policy reviews to adapt to changes in market standards, regulatory expectations, and corporate governance guidance.

Through these measures, Safaricom maintains accountability and transparency in remuneration decision-making, ensuring that the process is rigorous, consistent, and resilient to potential risks.

Our rewards structure

Safaricom follows a Total Rewards approach, which is a holistic and differentiated reward proposition. We combine competitive base pay with performance-linked incentives, long-term reward plans, and recognition programmes that reinforce both individual and team contributions. In addition, Safaricom integrates non-financial elements into its total reward package, including career development opportunities, learning and upskilling programmes, wellness initiatives, and flexible working arrangements.

Our incentive model

	Definition	Key performance indicators
Short-Term Incentive Scheme	The Short-Term Incentive Scheme rewards employees for achieving annual performance objectives that directly support Safaricom's strategic priorities. Payouts are determined based on measurable performance parameters, which are weighted according to strategic importance. Performance is formally assessed at the end of the performance cycle. This approach ensures employees are incentivised to deliver tangible business results, maintain financial discipline, and enhance customer satisfaction.	- Revenue - Profit before tax - Cash flow management - Customer appreciation
Long-Term Incentive Scheme	Long-term incentives are delivered through equity-linked instruments that vest over a multi-year period. This approach encourages sustained performance and decision-making that supports long-term value creation while retaining and motivating critical talent.	- Cumulative financial outcomes - Shareholder returns 50:50 gender ratios - People with disabilities inclusion - Decarbonisation

By combining short-term cash incentives with long-term equity rewards, Safaricom ensures that remuneration outcomes are directly linked to performance management, strategy execution, and sustainable growth, reinforcing a high-performance culture.

Pay equity at Safaricom

Safaricom monitors pay equity by reviewing compensation data by role, level, gender, and other relevant factors to identify potential disparities and ensure decisions are free from bias. Where gaps are found during our review cycle, targeted adjustments are implemented to maintain internal equity. The Board Human Resources Committee provides oversight and is supported by recognised benchmarking methodologies and internal data analysis. By monitoring and addressing pay equity, Safaricom reinforces diversity and inclusion, strengthens employee engagement, and ensures remuneration practices support sustainable value creation.

Remuneration context for FY26

Safaricom's FY26 remuneration decisions in Kenya were influenced by rising living costs, inflationary pressures, and constrained real wage growth, which affected both employees' purchasing power and labour market competitiveness. In response, we revised our pay philosophy to enhance fairness, competitiveness, and employee well-being. A key adjustment was aligning entry-level pay across the Group with market benchmarks.

Our benchmarking includes leading local companies with a substantial presence in Kenya, as well as multi-national organisations operating across diverse sectors, including manufacturing, financial services, consumer goods, technology, and telecommunications.

This approach provides a holistic view of market pay levels, structures, and trends, enabling Safaricom to align its remuneration practices with both domestic and international best practices. Insights from the benchmarking inform decisions on fixed pay, incentive plans, and overall reward strategy, ensuring internal equity, fairness, and competitiveness.

Our decision to adjust entry-level pay was also informed by employee engagement insights, recognising that engagement directly influences both short-term performance and the achievement of long-term strategic objectives. The adjustment helped employees manage cost-of-living pressures, strengthened talent retention, and continued to attract high-quality individuals, while maintaining internal equity and supporting Safaricom's broader commitment to sustainable value creation.

Remuneration for Non-Executive Directors

Non-Executive Directors are compensated in the form of fees but are not entitled to any pension, bonus, or long-term incentives such as performance share plans. The package covers a Director's role in the Board, any Board Committee(s) and any other activities as identified in the approved compensation schedule and in line with the Non-Executive Directors' Remuneration policy.

Elements of the compensation schedule include the following:

- Annual retainer fee for the Chairman and other Non-Executive Directors, which is paid on a quarterly basis
- Sitting allowances for Board and Board Committee meetings
- Expenses incurred with respect to travel, accommodation, pre-approved consultancy fees or other expenses incurred because of carrying out duties as a Director are reimbursed at cost

Safaricom remunerates Non-Executive Directors at least at the 75th percentile of the market. This ensures that we are competitive in sourcing and retaining Directors.

The Non-Executive Directors' remuneration was last reviewed in 2025. The current compensation structure was determined following a benchmarking exercise with comparable entities that was undertaken in 2024 by PricewaterhouseCoopers (PwC) and which was discussed substantively by the Human Resources Committee on 3 February 2025. The Board approved the revised compensation package for the Non-Executive Directors on 12 February 2025.

Details of the fees for the Non-Executive Directors and remuneration of the Executive Directors paid in the financial year under review are set out in the Annual Financial Statements from page 141.

FINANCIAL STATEMENTS

The Annual Financial Statements include a report from Safaricom's Directors setting out FY26 performance, remuneration, risks and opportunities. The statements also include the Independent Auditor's report and opinion, and key audit matters.



REPORT OF THE DIRECTORS

for the year ended 31 March 2026

This Report of the Directors is submitted together with the audited financial statements for the year ended 31 March 2026, which disclose the state of affairs of Safaricom PLC (the “Company” or “Safaricom”) and its subsidiaries (together, the “Group”).

Incorporation

The Company is domiciled in Kenya, where it is incorporated as a private Company limited by shares under the Kenyan Companies Act. The address of the registered office is set out on page 257.

Directorate

The Directors who held office during the year and to the date of this report are set out on page 139.

Principal activities

The principal activities of the Group are the provision of telecommunication services, providing a comprehensive range of integrated telecommunication services including voice and data (both mobile and fixed), SMS, internet and M-PESA.

Business review

Operating environment

Safaricom continues to operate in a highly regulated environment, with evolving oversight across telecommunications, financial services, data protection, and digital platforms. FY26 benefited from a stable and more predictable macro-economic environment that enabled consistent execution and forward planning. In Kenya, inflation remained below 5% and GDP growth averaged around 5%. The Kenyan shilling held stable for most of the year, supporting business confidence and consumer spending.

For customers, this translated into continued access to affordable connectivity and financial services during a period of high living costs.

Safaricom Ethiopia

Our purpose in Ethiopia remains to transform lives for a digital future and our vision is to establish an innovative brand loved by our customers. We are building a world-class network focused on earning customer loyalty and are experimenting and learning from the lessons and the challenges as the business evolves, to create a digital future for our customers guided by strong values in Customer Obsession, trust and respect, speed and innovation and compliance and integrity. Our brand has been established as a data network and our customers appreciate the superior customer experience we offer, reliable connectivity and speeds, as well as secure access to the fastest data network in Ethiopia.

In Ethiopia, the operating environment remained stable, with GDP expanding 9.2% (2024/25) and inflation easing into single digits, driven by declining food inflation. This marked the lowest inflation levels since 2018 and reinforced the National Bank of Ethiopia's achievement of its single-digit inflation objective. ETB continued to depreciate against both the dollar and the Euro, with the second half of the year remaining stable compared to the first half. Industry-led regulations to build a sustainable industry on Reference Infrastructure Sharing Offer (RISO) and guidelines on cost of service for voice and mobile data provided improved pricing clarity and predictability in operating conditions. The combination of macro-stability, ongoing regulatory driven policy changes, and disciplined internal execution enabled the business to maintain momentum across our key segments.

Customer growth remained strong, underpinned by rising usage and increasing customer density, while network investment focused on optimising capacity and sweating existing assets in priority regions rather than aggressive footprint expansion. The business implemented price adjustments in December 2025 across key products, with further gradual adjustments expected as part of the phased implementation of the regulator mandated cost of service for voice and data. These pricing actions are supporting revenue repair while maintaining affordability in a market that continues to have among the lowest telecom prices in Africa, despite sustained inflationary pressures.

Key business updates

We successfully returned to the domestic bond market for the first time in over a decade, securing capital at competitive rates. The strong investor appetite reflected confidence in Safaricom's fundamentals, balance sheet strength, and long-term strategy. Together with our Sustainability Linked Loan, this funding further aligns our capital structure with our sustainability commitments, linking financing terms to measurable progress in carbon reduction, digital inclusion, and social impact.

Across FY26, we maintained sharp focus on delivering scalable technology platforms that meet the evolving needs of our customers. In Kenya, continued expansion of 4G+ adoption supported broadband usage and digital content growth. In Ethiopia, we sustained rollout in priority towns and strengthened distribution to enhance availability and customer experience. The successful rollout of Fintech 2.0 enhanced stability, capacity and fraud controls, materially improving resilience while unlocking new customer and merchant experiences. This upgrade lays the foundation for platform monetisation and advanced capabilities, including AI-driven reconciliation and ecosystem services. The launch of Ziidi Trader marked an important milestone, broadening access to capital markets and demonstrating early traction as a new driver of financial deepening and inclusion. We implemented data minimisation for person-to-person transactions, with recipients only seeing two names and a masked number. This reflects our ongoing commitment to embedding privacy across our financial ecosystem.

Vision 2030 Strategy

FY26 marked meaningful progress in advancing our Vision 2030 Strategy – to become Africa's leading purpose-led technology company, reaffirming our commitment to Transforming Lives and becoming a technology company that delivers inclusive digital and financial solutions across our markets. This progress was underpinned by the continued strength of our Kenya business and the steady scale-up of Safaricom Ethiopia, despite a more complex operating environment.

Our ambition remains centred on delivering personalised, value-adding services to our customers, while partnering with the public sector and stakeholders to accelerate digitisation. Connectivity and mobile financial services continue to form the backbone of this transformation. Through disciplined execution and sustained investment, we are strengthening the foundations for long-term growth, expanding digital inclusion, and unlocking new opportunities for individuals, businesses, and communities across the Group.

REPORT OF THE DIRECTORS (continued)

for the year ended 31 March 2026

Business review (continued)

Looking ahead

In FY27, we will accelerate growth by deepening customer value through more personalised, affordable, and integrated propositions, while scaling M-PESA's next frontier across merchant solutions, credit, savings, insurance, wealth, and cross-border payments. We will also advance AI-driven customer experience, network optimisation, and productivity across the business, strengthening our digital capabilities. At the same time, we will grow Safaricom Ethiopia sustainably as mobile financial services unlock new revenue pools, while reinforcing our sustainability, climate, and digital inclusion commitments.

Business review: Kenya

1. Financial Services/M-PESA

M-PESA delivered another strong performance, with revenue growing by 13.4% YoY to KShs 182.7Bn, driven by growth in both customer numbers and usage. The number of one-month active customers grew by 14.5% YoY to 40.99Mn. Transactional momentum remained robust, reflected by value growth of 8.9% to KShs 41.68Trn and volume growth of 25.1% to 46.41Bn, while chargeable transactions recorded even stronger expansion, with values up 17.0% and volumes increasing by 27.6%, reinforcing the resilience and depth of the M-PESA ecosystem. Chargeable transactions per active one-month customer rose by 11.5% YoY to 42.27.

The merchant base expanded by 71.0% to 3.1Mn, driven mainly by Pochi, which grew by 81.5% to 2.1Mn, while Lipa na M-PESA merchants increased by 54.2% to 1.0Mn. Wealth management also gained traction, with AUM more than doubling to KShs 21.0Bn, driven by Ziidi's strong uptake, with AUM growing >100% to KShs 18.7Bn. During the year, we launched Ziidi Trader, enabling customers to seamlessly trade listed securities directly from their mobile phones. The platform expands M-PESA's Wealth Management proposition beyond savings into active investing, supporting broader retail participation in capital markets. M-PESA now contributes 45.6% of total service revenue in Kenya from 44.2% in FY25.

2. Connectivity business

The Connectivity business delivered steady growth, with revenue increasing 6.9% YoY to KShs 197.9Bn, accounting for 49.4% of service revenue in Kenya, compared to 50.8% in the prior year. Mobile Data became the largest contributor to connectivity revenue, representing 42.1%, overtaking Voice at 41.3%, underscoring the continued shift in customer usage patterns. Messaging revenue declined by 11.8% YoY, driven by structural changes in customer behaviour as usage continues to migrate toward IP-based and over-the-top messaging platforms, in line with global industry trends. Mobile incoming revenue grew by 15.5% YoY to KShs 9.1Bn, while content revenue increased marginally by 0.5% YoY to KShs 2.4Bn.

3. Mobile data

Mobile Data recorded strong performance, with revenue increasing 14.4% YoY to KShs 83.35Bn, supported by continued customer growth, increased usage and device penetration. One-month active mobile data customers grew 11.2% YoY to 34.13Mn, while customers consuming more than 1 GB per month increased 22.4% to 14.52Mn, signalling stronger engagement. Average data consumption per chargeable subscriber rose 16.6% YoY to 4.92 GBs, while ARPU increased 2.6% YoY to KShs 274.00. We continue to enhance affordability through our targeted customer value management (CVM) initiatives. Rate per MB declined 12.1% YoY to 5.44 cents.

Growth was further underpinned by enhanced device penetration. The number of smartphones in our network grew 21.2% to 33.16Mn, expanding the addressable market for digital services. The migration toward higher capacity devices continued, with active 4G+ devices growing 31.8% to 30.78Mn, driven by 4G growth of 30.6% to 29.15Mn and 5G growth of 55.5% to 1.64Mn, supporting sustained growth in data consumption. Mobile Data now contributes 20.8% of total service revenue in Kenya, reinforcing its role as a core revenue growth pillar within the Connectivity portfolio.

4. Voice and messaging

Voice revenue grew 1.3% YoY to KShs 81.82Bn, supported by higher usage and a growth in customer base. Minutes of use per subscriber increased 5.4% YoY to 211.61 minutes, while one-month active voice customers grew 4.7% YoY to 31.55Mn, reflecting sustained engagement. This growth was partly offset by yield pressure, with the outgoing rate-per-minute declining 8.5% YoY to KShs 1.02, driven by targeted commercial offers focused on enhancing affordability and stimulating usage.

Messaging revenue declined 11.8% YoY to KShs 11.0Bn, as messages per subscriber fell 24.0% YoY to 121.45. The decline was partially mitigated by growth in the customer base, with one-month active messaging customers increasing 24.7% YoY to 26.24Mn.

5. Fixed service and IoT

Fixed service and IoT revenue grew 12.2% to KShs 20.20Bn, driven by increased connections and a strengthened value proposition. Growth was supported by a diversified portfolio across FTTH (Fibre to the Home), FTTB (Fibre to the Building), wholesale, and IoT solutions. Fixed service and wholesale transit revenue rose by 11.7% YoY to KShs 19.07Bn, supported by strong growth in Consumer revenue, which increased by 19.5% YoY to KShs 9.03Bn, and a 5.5% YoY uplift in Enterprise fixed revenue to KShs 10.04Bn. IoT revenue rose by 20.8% to KShs 1.13Bn.

Fixed connectivity continued to scale strongly, with FTTH customers increasing 35.0% YoY to 407.08k, driven by expanded fibre coverage and growing demand for high-speed internet. Network expansion remained robust, with homes connected growing 45.9% YoY to 739.38k (532.97k six months active) and homes passed increasing 16.2% YoY to 807.02k. Enterprise fixed customers grew 19.7% YoY to 83.61k, reflecting sustained uptake among SMEs and corporates seeking reliable connectivity solutions. Overall connection growth was significantly supported by 5G Fixed Wireless Access (FWA), which contributed 52.3% of total connection growth, with FWA customers increasing 53.0% YoY to 132.06k, while fibre customers grew 25.8% YoY to 358.64k.

REPORT OF THE DIRECTORS (continued)

for the year ended 31 March 2026

Business review (continued)

Business review: Kenya (continued)

Profitability

Earnings Before Interest Tax, Depreciation and Amortisation (EBITDA) rose by 13.7% YoY to KShs 233.89Bn, while Earnings Before Interest Tax (EBIT) grew by 15.3% YoY to KShs 182.30Bn during the period.

Net income increased by 24.7% YoY to KShs 119.10Bn, underpinned by strong contributions from M-PESA and Mobile Data. Performance was supported by continued expansion in the customer base, higher usage levels and effective monetisation.

Business review: Ethiopia

Service revenue

Service revenue recorded a strong growth of 58.3% YoY to KShs 14.08Bn, driven by customer growth across all revenue lines, as well as increased adoption and deeper market penetration. The revenue mix continued to evolve, with voice contribution rising to 21.4% of total service revenue, up from 15.1% in FY25, reflecting accelerating traction in voice services. Mobile Data remained the dominant revenue stream, accounting for 67.9% of total service revenue, compared to 75.4% in FY25, underscoring sustained demand while indicating a progressively more balanced revenue structure as the business scales.

Mobile incoming revenues contributed 5.1%, with the remaining 5.6% derived from Messaging, M-PESA and Fixed Services, supporting further diversification of revenue sources. Overall, Ethiopia contributed 12.5% to total Group service revenue growth, highlighting its growing strategic importance within the Group's medium term growth portfolio. Customer momentum remained strong, with 90-day active customers surging 54.2% YoY to 13.63Mn, while one-month active customers increased 48.3% YoY to 10.75Mn, reflecting accelerating adoption and deepening engagement across the market.

Voice and messaging

Voice revenue surged by 123.9% YoY to KShs 3.01Bn, driven by sustained growth in the customer base and rising usage levels. One-month active voice customers increased by 39.6% YoY to 8.50Mn, while 90-day active voice customers grew by 42.3% YoY to 11.13Mn, reflecting broad-based adoption and deepening engagement. Usage trends remained positive, with outgoing minutes of use per subscriber increasing 13.6% YoY to 144.64, supported by improved monetisation, as ARPU increased 21.2% YoY to KShs 34.46.

Messaging revenue rose strongly by 82.3% YoY to KShs 169.38Mn, driven by growth in customers and higher usage intensity. One-month active SMS customers grew 22.1% YoY to 3.64Mn, while 90-day active SMS customers increased 27.7% YoY to 6.17Mn, signalling expanding reach across the customer base. Usage also strengthened, with SMS usage per subscriber rising 38.4% YoY to 24.73.

Mobile data

Mobile Data revenue grew by 42.5% YoY to KShs 9.56Bn, driven by rapid customer acquisition and sustained increase in usage. One-month active mobile data customer base expanded by 48.5% YoY to 7.84Mn, while 90-day active data customers increased by 46.3% YoY to 10.40Mn, reflecting accelerating adoption and deepening customer engagement. Usage remained resilient, with average data consumption per subscriber rising 6.8% YoY to 6.90 GB, supported by improved affordability and expanding network availability.

Overall, Mobile Data accounted for 67.9% of total service revenue in Ethiopia, reaffirming its position as the primary revenue driver while supporting the broader scaling of the business. Performance was supported by targeted CVM initiatives, which enabled more personalised bundles and sustained customer engagement. These initiatives, alongside expanding network coverage and improved service quality, supported broader access, higher usage intensity and a more sustainable, diversified revenue base as the business continues to mature.

Fixed service and wholesale transit

Fixed service and wholesale transit revenue rose by 185.6% YoY to KShs 200.90Mn, supported by increased connections.

REPORT OF THE DIRECTORS (continued)

for the year ended 31 March 2026

Our Risk Management Framework

We remain committed to robust risk management practices as an integral part of good management. This is evident in our top-down approach, with the Board assuming overall responsibility for the management of risk.

From this level, appropriate support for risk management is disseminated throughout the Company, driving a positive risk culture across the organisation. Our Risk Management Framework is aligned to the ISO 31000 Enterprise Risk Management Standard, allowing us to identify, measure, manage and monitor strategic and operational risks across the business.

The framework provides the Company's management with a clear line-of-sight over risk and enables informed decision-making. Moreover, we continuously review our risk management framework to ensure the effective provision of the appropriate foundational and organisational arrangements for identifying, treating, reporting, monitoring, reviewing and continually improving the management of risk.

The risk management process includes:

1. Establishing the context
2. Identify risks
3. Measure risks
4. Manage risks
5. Monitor and report risks

ESTABLISHING THE CONTEXT

We begin by defining the external and internal parameters to be taken into account when managing risk and setting the scope and risk criteria for the Risk Management policy.

External context includes our external stakeholders, our local, national and international operating environment and other external factors that influence our objectives. Internal context includes our internal stakeholders, governance approach, contractual relationships and our capabilities, culture and standards.



IDENTIFY RISK

Risk assessment is conducted twice every year, in conjunction with the business units and other stakeholders.

We understand that ad hoc risk assessments are necessitated by the ever-changing environment we operate in.



MEASURE RISK

We have a standardised risk scoring and categorisation process that makes references to our risk appetite that had been set by the Board.

The measurement takes into account both the probability of occurrence and potential impact should the risk crystallise.



MANAGE RISK

We manage risk by implementing appropriate mitigations and controls to eliminate the risk or reduce the impact or likelihood of the risk.

Effectiveness of control and oversight is tested across the "Three Lines of Defence".



MONITOR AND REPORT RISK

We have adopted a continual and iterative process to monitor risks, test effectiveness of controls and provide continuous reporting to our Board and Executive Committee on how effectively risks are being managed.

We classify our risks into two categories – strategic risk and operational risk. We then proceed with defining the requisite external and internal parameters for managing risk and setting the scope and risk criteria for the risk management policy.

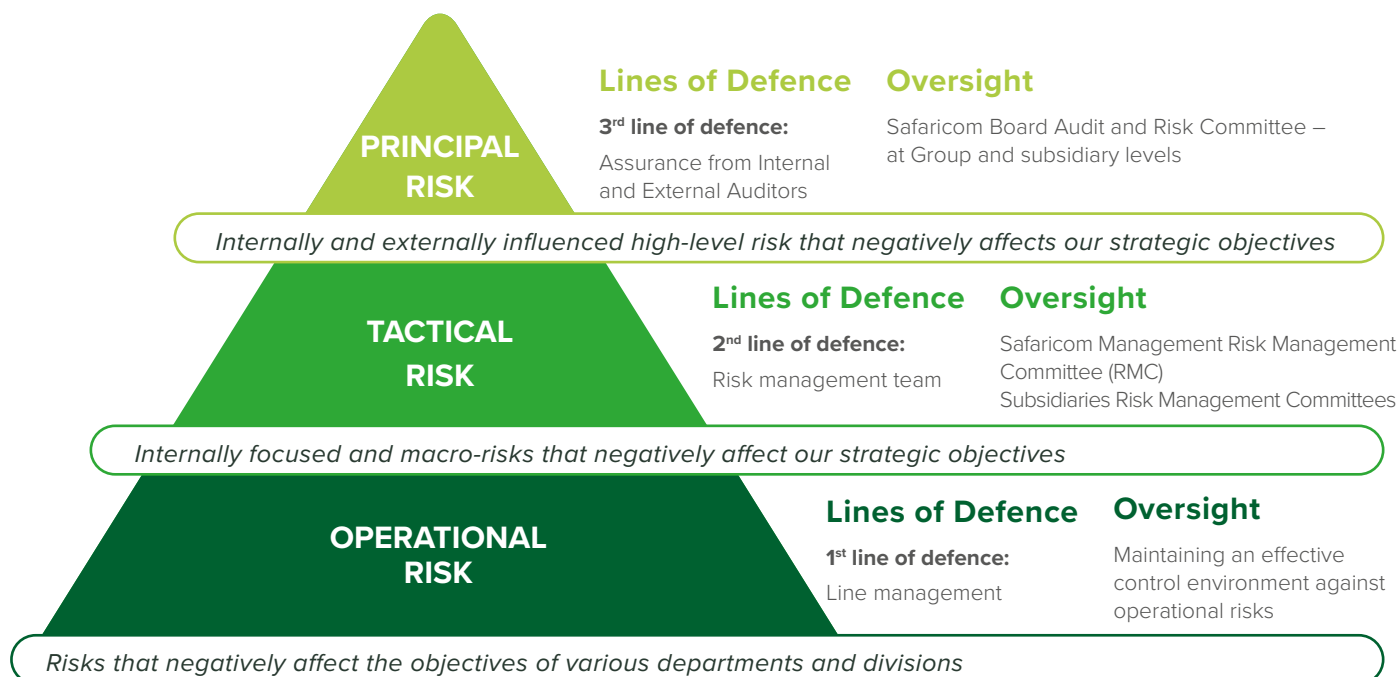
REPORT OF THE DIRECTORS (continued)

for the year ended 31 March 2026

Our Risk Management Framework (continued)

Our Three Lines of Defence

For effective risk management across the organisation, Safaricom has adopted the Three Lines of Defence (3LoD) model. 3LoD ensures distribution of risk management responsibilities across the organisation, enhances risk ownership, and ensures there are adequate checks and balances.



Our risk appetite statement

We view the management of risk as fundamental to the long-term sustainability of our business. The identification and prioritisation of the risks we face is therefore a key part of our intellectual and financial capitals.

Safaricom faces a broad range of risks while carrying out its business operations. We recognise that risk is an integral part of creating and preserving value; as such, we have developed detailed processes to ensure all critical and major risks are proactively managed.

We recognise that it is not possible to eliminate all the risks inherent in our operations and acceptance of some of the risks is necessary to foster innovation, development of a sustainable business and for maximising shareholders' value.

Our risk philosophy is aligned to best risk management practices and is aimed at supporting the attainment of our purpose, vision and mission by effectively balancing risk and reward.

Our principal risks and what we are doing about them

The monitoring and review of our principal risks are planned as part of the risk management process and involve regular checking and surveillance of the risk landscape. Responsibilities for monitoring and reviewing are clearly defined, and an elaborate monitoring and review regime is in place.

Our monitoring process ensures that appropriate and timely corrective measures are taken and weaknesses in the processes are addressed. The monitoring process involves regular review and update of the respective risk registers based on the existing Key Risk Indicators (KRIs).

The KRIs enable the organisation to respond to threats at an early stage and to take appropriate action. Monitoring and review determine whether:

- Risk measures adopted resulted in what was intended
- Procedures adopted and information gathered were appropriate
- Improved knowledge would have helped to reach better decisions
- There are lessons learned for future assessments and management of risks

An embedded ERM process supports the identification of these principal risks.

The risk appetite for each principal risk is reviewed and approved by the Board to enable informed risk-based decision-making.

REPORT OF THE DIRECTORS (continued)

for the year ended 31 March 2026

Our Risk Management Framework (continued)

Our principal risks and what we are doing about them (continued)

The following are the principal risks and related mitigation strategies that receive close management attention:

1. Regulatory environment

Opportunities

Enhanced collaboration with our regulators to ease some regulatory pressures while ensuring that satisfactory measures are taken to safeguard our customers and other stakeholders' interests.

Context

Safaricom operates within a highly regulated and rapidly evolving policy environment. Changes in laws, regulatory frameworks, licensing conditions, or compliance obligations may affect our ability to offer products and services efficiently and sustainably. Non-compliance with regulatory requirements can expose the Group to penalties, restrictions, or reputational harm.

Our expanding regional footprint through Safaricom Telecommunications Ethiopia PLC (STEP) introduces additional regulatory complexity and oversight obligations.

As the scope of our digital and financial services continues to grow, we remain subject to oversight from multiple regulators, each with increasing expectations on customer protection, market conduct, spectrum use, financial integrity, and data governance.

Mitigation

We continue to build and maintain proactive and constructive relationships with the regulators and governments, informed by a shared understanding of the need for inclusive economic development.

We participate in industry and other policy forums and contribute to discussions on emerging legislation and regulations as we prepare to comply with the same.

Our products and services are carefully and continuously monitored to ensure they do not contravene any laws and regulations.

We increase our focus on ensuring robust governance processes and strong regulatory compliance.

2. Market disruption and competition

Opportunities

The push for business reinvention to combat the dynamic economic environment has resulted in positive innovations that not only cushion against the economic shocks but also create value propositions that meet our customers' evolving needs.

Context

As we transition from a traditional telecommunications business to a fully-fledged technology company, we face intensifying competition from both the traditional front and new digital-first entrants. Emerging technologies, shifting customer behaviour, and an expanding ecosystem of fintech, content, cloud, and platform players continue to reshape competitive dynamics.

Our entry into Ethiopia as a challenger operator further elevates competitive pressures. Rapidly changing customer expectations, declining product differentiation, and heightened competition for digital talent and innovation capacity underscore the importance of strengthening our value proposition.

Mitigation

Our strategies to manage competition focus on growing and retaining our customers by:

- Continuing to deliver on our customer commitments through quality standards and governance integrated into product development and frictionless customer experience
- Focusing on new growth areas such as ICT, managed security services and markets (Ethiopia)
- Developing insights using big data into our customers' needs, wants and behaviours and providing a competitive proposition
- Adopting an agile way of working to drive faster innovation and efficiency
- Continuous investment in network rollout (5G and fibre)
- Offering quality services and leveraging strategic partnerships within different sectors to ensure we provide our customers with relevant products and services

REPORT OF THE DIRECTORS (continued)

for the year ended 31 March 2026

Our Risk Management Framework (continued)

Our principal risks and what we are doing about them (continued)

3. Economic, market and forex conditions

Opportunities

The push for business reinvention to combat the dynamic economic environment has resulted in positive innovations that not only cushion against the economic shocks but also create value propositions that meet our customers' evolving needs.

Context

Macro-economic conditions across our markets remain fluid. Although inflationary pressures have softened in some sectors, underlying economic challenges, including elevated cost of living, currency volatility, and constrained consumer spending power, continue to influence purchasing behaviour.

These dynamics are especially relevant for subscription-based and usage driven services, where customers face increasingly difficult choices in allocating shrinking disposable income. In addition, changes in taxation policies may impact on product pricing, affordability, and overall cost of delivery.

Mitigation

We continue to proactively monitor these factors, implement measures to mitigate the effects and cushion the business from adverse effects.

Enhanced value propositions and flexible pricing plans cater for reduced purchasing power and provide the customer with the ability to only spend what they have.

We include contingencies in our business plans to provide for the negative operational impacts that could arise from lower economic growth and changes in interest rates, inflation, and exchange rates.

We ensure compliance with tax obligations and proactive reviews of our product and services focusing on key tax exposures.

4. Cyber threats, data privacy and reputational risks

Opportunities

Protecting our customers' personal data, which is crucial to being a trusted provider, critical organisational information and supporting our enterprise customers by providing managed security services to safeguard their business operations.

Context

The threat landscape continues to evolve in frequency, sophistication, and impact. Global trends point to increased activity in ransomware, phishing, zero-day attacks, supply chain breaches, and targeted exploitation of vulnerabilities. These threats present heightened risk given our scale, interconnected platforms, and the critical role we play in national digital ecosystems.

Growing regulatory expectations, particularly under the Kenya Data Protection Act, GDPR, and other emerging data governance frameworks, require robust controls to safeguard personal data and uphold customer trust. Customers and partners increasingly expect transparency and assurance on how their information is protected.

Failure to effectively manage cyber and data privacy risks could lead to service disruptions, financial loss, regulatory sanctions, erosion of digital trust, and reputational damage.

Mitigation

We have implemented robust cybersecurity tools, systems and controls complemented by the 24/7 Cyber Defence Centre to ensure we safeguard the services that we offer.

We continue to invest in advanced security tools, systems, and technologies, such as AI-driven threat detection and multi-factor authentication, to bolster our defences against these risks.

A cyber-aware ecosystem is achieved through collaboration with various stakeholders.

Our networks and infrastructure are built with security in mind, with layers of security control applied to all applications and infrastructure.

Our ISO 27001 Information Security Certification, Payment Card Industry Data Security Standard (PCI DSS) Certification and Privacy Information system implementation is an independent confirmation to our customers that we have implemented appropriate processes and controls relating to products and services to protect the privacy of their information.

REPORT OF THE DIRECTORS (continued)

for the year ended 31 March 2026

Our Risk Management Framework (continued)

Our principal risks and what we are doing about them (continued)

5. Supply chain disruption and geopolitical risks

Opportunities

Supply chain disruptions create opportunities for us to develop more resilient supply chains, leverage disruptions to innovate and improve our products, thereby gaining a competitive advantage over the competition or disruptions.

Context

Our operations depend on a diverse ecosystem of strategic suppliers, technology partners, and infrastructure providers. Disruptions, whether arising from supplier performance challenges, global component shortages, shipping delays, or geopolitical tensions could impact on our ability to maintain network availability and deliver services to customers.

Ongoing global conflicts, logistical constraints, and trade restrictions continue to affect the availability and cost of critical network equipment, including chipsets and other core components.

Mitigation

We operate our supply chain with resilience in design by having dual supply partners, strong Service Level Agreement (SLA) and partnership framework while proactively monitoring the ongoing geopolitical activities/dynamics and adjusting our business strategies and controls accordingly.

6. Money laundering and terror financing

Opportunities

It is our social responsibility to ensure that the products and platforms we offer are not misused or involved in conducting illegal activities. We provide policies, procedures and tools that ensure screening of activities conducted on our platforms as a safety measure.

Context

The growth of IMTs, fintech innovation, and unregulated virtual asset activity has introduced heightened complexity to AML and CFT efforts. Weaknesses in due diligence, partner vetting, transaction monitoring, or sanctions screening could expose the business to regulatory breaches.

Non-compliance with AML or CFT obligations, including targeted financial sanctions, may result in severe penalties, restrictions on operations, or facilitation of illicit financial activity.

Mitigation

Real-time sanctions screening is in place for all IMT remittance transactions.

We have optimised the AML monitoring and screening platform and deployed machine learning models for detection and investigation of suspicious IMT transactions or activity.

We remain committed to ensuring compliance with the obligations on collection and verification of Ultimate Beneficial Ownership information for all our partners.

We conducted a comprehensive review of our database against the Office of Foreign Assets Control sanction list.

REPORT OF THE DIRECTORS (continued)

for the year ended 31 March 2026

Our Risk Management Framework (continued)

Our principal risks and what we are doing about them (continued)

7. Fraud and social engineering

Opportunities

Providing our customers with worry-free and safe services is crucial to being a trusted and reliable service provider while ensuring that the products, services, and platforms are not misused or involved in conducting illegal activities. We provide policies, procedures and tools that ensure screening of activities conducted on our platforms as a safety measure.

Context

Due to the wide use of M-PESA services across the country, our M-PESA customers and partners are exposed to M-PESA fraud due to social engineering, fraudulent SIM swaps, digital identity theft and Mobile Apps takeover.

This leads to reputational risk, which is compounded by transnational fraud and IMT partners-related fraud.

Mitigation

Worry-Free Insurance: We established an insurance scheme to help quickly refund customers for fraud caused by failure of our products or processes.

Our existent fraud programme is enhanced through continuous review and development of technical controls to minimise social engineering fraud, fraudulent SIM swaps and money laundering.

Always-on customer education and awareness is achieved through various platforms as well as continuous collaboration and engagement with financial institutions on fraud reduction/prevention initiatives to minimise instances of money laundering and terrorist financing.

8. Litigation risk

Opportunities

Continuous customer education through our customer handles and touchpoints.

Context

Due to the scale and complexity of our operations, Safaricom is exposed to a broad range of legal risks, including disputes related to intellectual property, customer data breaches, regulatory compliance, contractual obligations, and consumer protection.

Legal claims or adverse judgements could lead to financial costs, operational constraints, or reputational damage.

Mitigation

Safaricom seeks to keep the exposure to litigation to a minimum as we strive to comply with legal and regulatory requirements, provide safe and worry-free products and services for our clients.

REPORT OF THE DIRECTORS (continued)

for the year ended 31 March 2026

Our Risk Management Framework (continued)

Our principal risks and what we are doing about them (continued)

9. Health and safety risk

Opportunities

Our ongoing focus is to provide a safe working environment for everyone working for and on behalf of Safaricom and the communities in which we operate.

Context

Our employees and partners are exposed to health and safety risks due to the nature of our operations (driving, working at heights/underground, work with electricity and working in terror prone locations). We have a large ecosystem of partners working within our distribution and network rollout/maintenance and support who are exposed to health and safety risks while executing their duties across the country.

Mitigation

We are creating a health and safety aware culture by entrenching our zero-harm strategy across the business and to our partners, subsidiaries and the entire ecosystem.

Suppliers' safety management is strengthened through oversight and accelerating supplier maturity through enhanced onboarding and monitoring processes.

10. General insecurity and terrorism

Opportunities

Our existing community interactions have embedded our brand, creating a sense of ownership and protection. Our collaboration with governments and other agencies to combat crime and insecurity enables us to take part in creating a better environment for all.

Context

There has been an increase in general insecurity due to economic and opportunistic factors, along with ongoing terrorist activities occurring along borders with countries that have volatile security, with some of these threats targeting our Base Transmission Station assets.

Our expansion into Ethiopia has further exposed us to geopolitical tensions because of continued civil unrest experienced in some of the regions. While there has been relative calm, the political environment remains volatile as restoration of constitutional order is yet to be fully realised.

Mitigation

Security programme in place to support our business and partners in creating a safe and secure environment.

The Ethiopian market offers a great opportunity for us to offer differentiated products and services to markets that have for a long time operated under a closed market. Further, the support accorded by the Ethiopian government creates an enabling business environment.

REPORT OF THE DIRECTORS (continued)

for the year ended 31 March 2026

Directors

The Directors who held office during the year were:

Name	Position	Nationality	Date of appointment
Adil Arshed Khawaja (MGH)	Chairman and Non-Executive Director	Kenyan	22 December 2022
Dr. Peter Ndegwa (CBS)	Chief Executive Officer (CEO) and Executive Director	Kenyan	1 April 2020
Dilip Pal	Chief Finance Officer and alternate to the CEO	Indian	1 November 2020
Cabinet Secretary (CS), The National Treasury and Economic Planning	Non-Executive Director	Kenyan	5 November 2013
Mohamed Shameel Aziz Joosub	Non-Executive Director	South African	31 August 2017
Raisibe Morathi	Non-Executive Director	South African	1 November 2020
Murielle Lorilloux	Non-Executive Director	French	23 August 2023
Dr. (Eng.) John Kipngetich Mosonik	Non-Executive Director	Kenyan	23 August 2023
Winnie Ouko ¹	Independent Non-Executive Director	Kenyan	10 February 2021
Dr. Karen Kandie ²	Alternate Director to CS, the National Treasury and Economic Planning	Kenyan	24 February 2023
James Ludlow	Non-Executive Director	British	28 August 2024
Edward Okaro Omolo	Independent Non-Executive Director	Kenyan	15 January 2025
Lawrence Kibet (EBS) ³	Alternate Director to CS, the National Treasury and Economic Planning	Kenyan	4 April 2025
James Wambugu ⁴	Independent Non-Executive Director	Kenyan	4 April 2025
Rita Kavashe ⁵	Independent Non-Executive Director	Kenyan	4 April 2025

¹ Winnie Ouko ceased to be an Independent Non-Executive Director of the Board with effect from 4 April 2025.

² Dr. Karen Kandie ceased to be a Non-Executive Director of the Board with effect from 4 April 2025.

³ Lawrence Kibet (EBS) was appointed as a Non-Executive Director with effect from 4 April 2025.

⁴ James Wambugu was appointed as an Independent Non-Executive Director with effect from 4 April 2025.

⁵ Rita Kavashe was appointed as an Independent Non-Executive Director with effect from 4 April 2025.

Results and dividend

The Group's profit for the year is KShs 73,676.0 million (2025: KShs 45,757.2 million) and has been added to retained earnings.

During the year, an interim dividend of KShs 0.85 per ordinary share (2025: KShs 0.55) was declared. The Directors have proposed a final dividend in respect of the year ended 31 March 2026 of KShs 1.15 per ordinary share (2025: KShs 0.65) to be approved at the Annual General Meeting (AGM) to be held on 31 July 2026.

Statement as to disclosure to the Group's and Company's Auditor

With respect to each Director at the time this report was approved:

- a) there is, so far as the Director is aware, no relevant audit information of which the Group's and Company's Auditor is unaware; and
- b) the Director has taken all the steps that the Director ought to have taken as a Director to be aware of any relevant audit information and to establish that the Group's and Company's Auditor is aware of that information.

Terms of appointment of the Auditor

During the Annual General Meeting (AGM) of the Company that was held on 25 July 2025, the shareholders resolved to re-appoint Messrs Ernst and Young LLP as the Company's Independent Auditors in accordance with the provisions of section 721 of the Kenyan Companies Act.

The Directors monitor the effectiveness, objectivity and independence of the Auditor. The Directors also approve the annual audit engagement contract which sets out the terms of the Auditor's appointment and the related fees.

By order of the Board

Linda Mesa Wambani
Company Secretary

6 May 2026

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act requires the Directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the Group and Company as at the end of the financial year and of their profit or loss for that year. It also requires the Directors to ensure that the Group and Company keep proper accounting records that:

(a) show and explain the transactions of the Group and Company; (b) disclose, with reasonable accuracy, the financial position of the Group and Company; and (c) enable the Directors to ensure that every financial statement required to be prepared complies with the requirements of the Kenyan Companies Act. They are also responsible for safeguarding the assets of the Group and the Company, and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Directors accept responsibility for the preparation and presentation of these consolidated and separate financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and in the manner required by the Kenyan Companies Act. They also accept responsibility for:

- designing, implementing and maintaining internal controls that determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- selecting suitable accounting policies and then applying them consistently; and
- making judgements and accounting estimates that are reasonable in the circumstances.

Having made an assessment of the Group's and Company's ability to continue as a going concern, the Directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the Group's and Company's ability to continue as a going concern.

The Directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibility.

Approved by the Board of Directors on 6 May 2026 and signed on its behalf by:



Adil Arshed Khawaja (MGH)

Chairman and Non-Executive Director



Dr. Peter Ndegwa (CBS)

Chief Executive Officer

DIRECTORS' REMUNERATION REPORT

Information not subject to audit

The composition of the Company's Board for the financial year ended 31 March 2026 is outlined below:

Name	Position	Nationality	Date of appointment
Adil Arshed Khawaja (MGH)	Chairman and Non-Executive Director	Kenyan	22 December 2022
Dr. Peter Ndegwa (CBS)	Chief Executive Officer (CEO) and Executive Director	Kenyan	1 April 2020
Dilip Pal	Chief Finance Officer and alternate to the CEO	Indian	1 November 2020
Cabinet Secretary, The National Treasury and Economic Planning	Non-Executive Director	Kenyan	5 November 2013
Mohamed Shameel Aziz Joosub	Non-Executive Director	South African	31 August 2017
Raisibe Morathi	Non-Executive Director	South African	1 November 2020
Murielle Lorilloux	Non-Executive Director	French	23 August 2023
Dr. (Eng.) John Kipnetich Mosonik	Non-Executive Director	Kenyan	23 August 2023
Winnie Ouko	Independent Non-Executive Director	Kenyan	10 February 2021
Dr. Karen Kandie	Alternate Director to CS, the National Treasury and Economic Planning	Kenyan	24 February 2023
James Ludlow	Non-Executive Director	British	28 August 2024
Edward Okaro Omolo	Independent Non-Executive Director	Kenyan	15 January 2025
Lawrence Kibet (EBS)	Alternate Director to CS, the National Treasury and Economic Planning	Kenyan	4 April 2025
James Wambugu	Independent Non-Executive Director	Kenyan	4 April 2025
Rita Kavashe	Independent Non-Executive Director	Kenyan	4 April 2025

The following Directors served in office and resigned during the year.

Name	Position	Nationality	Date of resignation
Winnie Ouko	Independent Non-Executive Director	Kenyan	4 April 2025
Dr. Karen Kandie	Alternate Director to CS, the National Treasury and Economic Planning	Kenyan	4 April 2025

Non-Executive Directors' Remuneration policy

The Board establishes and approves transparent and competitive remuneration policies for the Non-Executive Board members. These policies clearly stipulate remuneration elements such as Directors' annual fees, sitting allowances per meeting attended and other benefits that are based on proper benchmarking and taking into consideration the prevailing market conditions.

Safaricom PLC seeks to remunerate Non-Executive Directors at least at the 75th percentile. The current remuneration structure is based on a survey commissioned by the Board through its Board Nominations and Remuneration Committee and carried out by PricewaterhouseCoopers (PwC), a consultant, across peer organisations comparable with Safaricom. Remuneration for Non-Executive Directors is reviewed every two years.

The current agreed fees and allowance's structure is as follows:

- Annual Directors' fees paid to the Chairman of the Board agreed at KShs 13,622,000 per annum
- Annual Directors' fees paid to each Non-Executive Director agreed at KShs 4,735,000 per annum
- Sitting allowance payable to the Chair of a Committee agreed at KShs 165,343 per meeting
- Sitting allowance payable to each Non-Executive Director agreed at KShs 165,343 per meeting

The annual Directors' fees for the Director representing the National Treasury and Economic Planning are paid directly to the National Treasury and Economic Planning.

The annual Directors' fees and sitting allowances for the Directors representing Vodafone Kenya Limited are paid directly to Vodafone Group Services Ltd and Vodacom Group Limited.

The Board members are also entitled to telephone and internet usage allowance.

The Board has in place a formal annual process of reviewing its performance and that of its Committees and individual Directors. Evaluation of the Board during the year ended 31 March 2026 was facilitated by an independent external consultant.

DIRECTORS' REMUNERATION REPORT (continued)

Information not subject to audit (continued)

Executive Directors' remuneration

The Executive Directors' remuneration is as per the negotiated employment contract and is employed on permanent basis.

Besides the basic salary, the Executive Director is entitled to an annual performance-based bonus and shares, residential accommodation, utility bills payment and club membership.

Statement of voting on the Directors' Remuneration Report at the previous Annual General Meeting (AGM)

During the AGM held on 25 July 2025, voting was done by the ballot to approve the Directors' Remuneration Report.

The results of the vote were as below:

Agenda	Vote	Total votes	As a percentage of the total votes cast
Directors' Remuneration Report	For	32,597,937,811	99.05%
	Against	312,158,968	0.95%
	Withheld	1,613,521	0.00%
Total votes casted		32,911,710,300	100%

Information subject to audit

The following table shows remuneration for the Executive and Non-Executive Directors in respect of qualifying services for the financial year ended 31 March 2026 and comparative figures for the year ended 31 March 2025. The aggregate Directors' emoluments are shown in Note 32(iii).

Directors' remuneration for the year ended 31 March 2026

Name	Salary KShs'Mn	Directors' fees KShs'Mn	Bonus KShs'Mn	Non-cash benefits KShs'Mn	EPSAP* KShs'Mn	Totals KShs'Mn
Dr. Peter Ndegwa (CBS)	105.4	–	118.5	31.4	69.2	324.5
Dilip Pal	65.7	–	43.0	18.5	20.3	147.5
Total	171.1	–	161.5	49.9	89.5	472.0
Non-Executive Directors						
Adil Arshed Khawaja (MGH)	–	13.6	–	2.0	–	15.6
Mohamed Joosub	–	6.7	–	–	–	6.7
The National Treasury and Economic Planning	–	4.7	–	–	–	4.7
Dr. (Eng.) John Kipnetich Mosonik	–	6.7	–	0.3	–	7.0
Murielle Lorilloux	–	5.4	–	–	–	5.4
Raisibe Morathi	–	6.7	–	–	–	6.7
Edward Okaro	–	6.7	–	–	–	6.7
James Ludlow	–	6.6	–	–	–	6.6
Lawrence Kibet (EBS)	–	1.3	–	0.2	–	1.5
James Wambugu	–	7.2	–	–	–	7.2
Rita Kavashe	–	6.4	–	–	–	6.4
Total	–	72.0	–	2.5	–	74.5
Grand total	171.1	72.0	161.5	52.4	89.5	546.5

* EPSAP – Employee Performance Share Award Plan.

DIRECTORS' REMUNERATION REPORT (continued)

Information subject to audit (continued)

Directors' remuneration for the year ended 31 March 2025

Name	Salary KShs'Mn	Directors' fees KShs'Mn	Bonus KShs'Mn	Non-cash benefits KShs'Mn	EPSAP KShs'Mn	Totals KShs'Mn
Dr. Peter Ndegwa (CBS)	98.7	—	116.7	33.5	45.3	294.2
Dilip Pal	63.3	—	43.2	19.2	6.8	132.5
Total	162.0	—	159.9	52.7	52.1	426.7
Non-Executive Directors						
Adil Arshed Khawaja (MGH)	—	23.7	—	0.8	—	24.5
Rose Ogega	—	5.2	—	0.2	—	5.4
Mohamed Joosub	—	7.5	—	—	—	7.5
The National Treasury and Economic Planning	—	3.2	—	—	—	3.2
Francesco Bianco	—	1.6	—	—	—	1.6
Dr. (Eng.) John Kipngetich Mosonik	—	7.3	—	0.3	—	7.6
Winnie Ouko	—	7.4	—	0.3	—	7.7
Murielle Lorilloux	—	5.2	—	—	—	5.2
Raisibe Morathi	—	5.8	—	—	—	5.8
Ory Okolloh	—	3.2	—	0.3	—	3.5
Dr. Karen Kandie	—	5.2	—	0.4	—	5.6
Edward Okaro	—	3.0	—	—	—	3.0
James Ludlow	—	4.1	—	—	—	4.1
Total	—	82.4	—	2.3	—	84.7
Grand total	162.0	82.4	159.9	55.0	52.1	511.4

On behalf of the Board



James Wambugu

Chairperson, Board Nominations and Remuneration Committee

6 May 2026

REPORT OF THE INDEPENDENT AUDITOR TO THE SHAREHOLDERS OF SAFARICOM PLC

Report on the audit of the consolidated Group and separate Company financial statements

Opinion

We have audited the consolidated and separate financial statements of Safaricom Plc (“the Company”) and its subsidiaries (“together the Group”) set out on pages 148 to 241, which comprise of the consolidated and separate statements of financial position as at 31 March 2026, and the consolidated and separate statements of profit or loss, the consolidated and separate statement of other comprehensive income, the consolidated and separate statements of changes in equity and the consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including material accounting policy information.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of the Group and Company as at 31 March 2026, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended, in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Kenyan Companies Act, 2015.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor’s Responsibilities for the Audit of the Consolidated and Separate Financial Statements section of our report. We are independent of the Group and Company in accordance with the International Ethics Standards Board for Accountants’ International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) as applicable to audits of financial statements of public interest entities, and other independence requirements applicable to performing audits of financial statements of the Group and Company and in Kenya. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code and in accordance with other ethical requirements applicable to performing audits of the Group and Company and in Kenya. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor’s Responsibilities for the Audit of the Consolidated and Separate Financial Statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated and separate financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated and separate financial statements.

The key audit matters apply equally to the audit of the consolidated and separate financial statements.

REPORT OF THE INDEPENDENT AUDITOR TO THE SHAREHOLDERS OF SAFARICOM PLC (continued)

Report on the audit of the consolidated Group and separate Company financial statements (continued)

Key Audit Matters (continued)

Key Audit Matter	How the matter was addressed in the audit
Revenue recognition occurrence, completeness and measurement of recorded revenue given the complexity of products, systems and IFRS 15: Revenue from contracts with customers.	
The occurrence and accuracy of amounts recorded as revenue is an inherent industry risk due to the complexity of the billing systems arising from changes in products and plans – including multiple element arrangements, the number of products sold, and the tariff structure changes during the year. The application of the revenue recognition accounting standard IFRS 15: Revenue from contracts with customers, requires the use of complex rating, billing and accounting systems. The complexity is compounded by the significant number of revenue transactions that are accounted for on an annual basis. We therefore considered revenue recognition to be a matter of most significance to our current year audit. The significant accounting policies and detailed disclosures on revenue recognition are included in Note 2(f) – Revenue recognition, Note 5(a) – Revenue from contracts with customers, and Note 30(b) – Contract liabilities disclosures	• We understood and tested the design and operating effectiveness of management's controls over the transfer of revenue information between the multiple systems involved in recording revenue; • We tested the controls in place over the authorisation of rate changes and a review of the new products recorded in the billing systems; • We involved our internal IT audit specialists to test the IT general controls of the rating and billing environments, as well as assess the completeness of the relevant revenue reports utilised for audit purposes; • We tested the end-to-end reconciliation from rating and billing systems to the journals processed in the general ledger; • We performed analytical review procedures over significant revenue streams by identifying the drivers that resulted in changes year on year to establish detailed monthly and annual expectations. Where movement were outside our precision level set, we performed substantive audit procedures; • We performed a three-way correlation between revenue, trade receivables and cash. We reviewed the reconciliation of the aggregate of the prepaid and hybrid customers per the charging system to the deferred revenue balance; • We selected and tested a sample of enterprise revenue contracts and assessed, in line with the requirements of IFRS 15: Revenue from contracts with customers, that contracts with customers were valid, that performance obligations were agreed by both parties and that revenue was appropriately recognised; • We tested the standalone selling prices as input into the system and agreed the logic behind the standalone selling prices to the relevant IFRS 15: Revenue from contracts with customers, requirements; • We tested management reconciliations for interconnect/roaming revenue to third party confirmations; • We tested a sample of journal entries, processed in relation to non-standard revenue including manual journals by reviewing supporting documentation to ensure that the journals were supported by an underlying business rationale, were accounted for correctly, in the correct period and appropriately authorised; and • We examined and assessed the accounting policies applied and disclosures in terms of the recognition of revenue for compliance with IFRS 15: Revenue from contracts with customers and industry guidance.



REPORT OF THE INDEPENDENT AUDITOR TO THE SHAREHOLDERS OF SAFARICOM PLC (continued)

Report on the audit of the consolidated Group and separate Company financial statements (continued)

Key Audit Matters (continued)

Other Information

The directors are responsible for the other information. The other information comprises the information included on pages 129 to 139 and 140 of the document titled “Safaricom Plc Annual Report and Financial Statements for the year ended 31 March 2026”, which includes Corporate Information, the Report of the Directors as required by the Kenyan Companies Act, 2015, Statement of Directors’ Responsibilities for the Consolidated and Separate Financial Statements, Directors’ remuneration report and appendices. The other information does not include the consolidated or the separate financial statements and our auditor’s report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements, in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group and Company’s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and Company or to cease operations, or have no realistic alternative but to do so.

Auditor’s Responsibilities for the Audit of the Consolidated and Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group and Company’s internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors’ use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group and Company’s ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor’s report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor’s report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the consolidated and separate financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the Group audit. We remain solely responsible for our audit opinion.



REPORT OF THE INDEPENDENT AUDITOR TO THE SHAREHOLDERS OF SAFARICOM PLC (continued)

Report on the audit of the consolidated Group and separate Company financial statements (continued)

Key Audit Matters (continued)

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements (continued)

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other matters prescribed by the Kenyan Companies Act, 2015

As required by the Kenyan Companies Act, 2015 we report to you, based on our audit, that:

- 1) in our opinion, the information given in the report of the directors on pages 129 to 139 is consistent with the consolidated and separate financial statements.
- 2) in our opinion, the auditable part of directors' remuneration report on pages 141 to 143 has been properly prepared in accordance with the Kenyan Companies Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Denis Mugisha – Practising Certificate No. 2773.

For and on behalf of Ernst & Young LLP
Certified Public Accountants

Nairobi, Kenya

7 May 2026



UNIQUE CODE: 55639260507

STATEMENT OF PROFIT OR LOSS

for the year ended 31 March 2026

	Notes	GROUP		COMPANY	
		2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Revenue from contracts with customers	5(a)	420,992.1	384,433.4	403,209.5	373,492.5
Revenue from other sources	5(b)	6,567.0	4,255.5	7,541.5	6,985.8
Total revenue		427,559.1	388,688.9	410,751.0	380,478.3
Direct costs	6(a)	(104,419.6)	(101,081.3)	(97,117.4)	(95,716.2)
Expected credit losses on financial assets	6(b)	(4,013.1)	(1,146.0)	(6,382.0)	(1,206.4)
Other operating expenses	7	(98,864.4)	(104,310.7)	(74,452.7)	(68,627.3)
Earnings before interest, tax, depreciation and amortisation (EBITDA)		220,262.0	172,150.9	232,798.9	204,928.4
Depreciation – property and equipment	18	(55,509.9)	(50,999.9)	(41,683.0)	(40,000.0)
Depreciation – indefeasible rights of use (IRUs)	19	(586.3)	(323.6)	(586.3)	(323.6)
Amortisation – intangible assets	21	(9,441.8)	(9,953.4)	(3,151.3)	(2,852.0)
Depreciation – right of use (RoU) assets	22(a)	(8,402.1)	(6,823.9)	(6,105.7)	(4,405.3)
Operating profit (Earnings before interest and tax (EBIT))		146,321.9	104,050.1	181,272.6	157,347.5
Finance income	8	6,223.8	9,222.1	1,969.2	2,341.7
Finance costs	9	(25,908.8)	(30,131.5)	(12,816.1)	(17,241.0)
Fair value remeasurement on investment properties	20	(90.0)	25.0	(90.0)	25.0
Share of profit/(loss) of associates	23(b)	219.7	57.2	(0.9)	13.2
Share of loss of joint venture	23(b)	51.3	(1,234.7)	51.3	(1,234.7)
Hyperinflationary monetary gain	35	–	11,222.3	–	–
Profit before income tax		126,817.9	93,210.5	170,386.1	141,251.7
Income tax expense	12(a)	(53,141.9)	(47,453.3)	(52,032.2)	(46,297.6)
Profit for the year		73,676.0	45,757.2	118,353.9	94,954.1
Attributable to:					
Equity holders of the parent		95,608.6	69,798.7	118,353.9	94,954.1
Non-controlling interests		(21,932.6)	(24,041.5)	–	–
Profit for the year		73,676.0	45,757.2	118,353.9	94,954.1
Basic earnings per share (KShs per share)	13	2.4	1.7	3.0	2.4
Diluted earnings per share (KShs per share)	13	2.4	1.7	3.0	2.4

STATEMENT OF OTHER COMPREHENSIVE INCOME

for the year ended 31 March 2026

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Profit for the year	73,676.0	45,757.2	118,353.9	94,954.1
Other comprehensive income:				
<i>Items that will subsequently be reclassified to profit or loss in subsequent periods:</i>				
Exchange differences on translation of foreign operations*	(17,667.3)	(153,790.2)	–	–
Other comprehensive loss for the year	(17,667.3)	(153,790.2)	–	–
Total comprehensive income/(loss) for the year	56,008.7	(108,033.0)	118,353.9	94,954.1
Attributable to:				
Equity holders of the parent	86,037.4	(9,668.2)	118,353.9	94,954.1
Non-controlling interests	(30,028.7)	(98,364.8)	–	–
Total comprehensive income/(loss) for the year	56,008.7	(108,033.0)	118,353.9	94,954.1

* These components of other comprehensive income do not attract any tax.

STATEMENT OF FINANCIAL POSITION

as at 31 March 2026

	Notes	GROUP		COMPANY	
		2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Non-current assets					
Deferred income tax	17	20,741.3	18,882.0	20,328.7	18,881.3
Property and equipment	18	248,886.8	247,200.9	173,968.0	160,804.3
Indefeasible rights-of-use	19	2,624.3	3,210.6	2,624.3	3,210.6
Investment properties	20	870.0	960.0	870.0	960.0
Intangible assets	21	108,165.0	111,455.8	48,870.9	31,227.9
Right-of-use assets	22(a)	38,370.1	38,749.6	27,524.7	20,900.1
Investment in subsidiaries	23(a)	—	—	147,807.4	128,492.5
Investment in associates and joint venture	23(b)	7,367.9	7,046.7	7,035.2	6,934.6
Restricted cash	26(b)	8,138.8	998.6	1,394.9	998.6
Deferred restricted cash asset	26(c)	88.2	183.3	88.2	183.3
Contract assets	30(a)	2,846.2	2,547.5	1,743.0	1,242.9
Loan receivable from subsidiary	32(x)(b)	—	—	—	396.2
		438,098.6	431,235.0	432,255.3	374,232.3
Current assets					
Inventories	24	1,619.5	2,937.0	1,063.7	2,208.0
Trade and other receivables	25	39,416.9	43,739.3	28,682.1	33,919.0
Net cash and cash equivalents	26(a)	26,955.3	29,995.7	18,617.2	15,908.3
Restricted cash – letter of credit	27	1,087.3	456.9	—	—
Contract assets	30(a)	9,256.0	6,351.2	9,187.5	6,280.4
Mobile financial deposit	28	1,611.8	569.1	—	—
		79,946.8	84,049.2	57,550.5	58,315.7
Total assets		518,045.4	515,284.2	489,805.8	432,548.0
Equity					
Share capital	14	2,003.3	2,003.3	2,003.3	2,003.3
Share premium	14	2,200.0	2,200.0	2,200.0	2,200.0
Retained earnings		165,739.6	153,881.8	256,739.2	218,516.1
Share based payment reserve	11	1,538.1	—	1,538.1	—
Other reserves		(16,421.4)	(6,432.3)	—	—
Proposed dividend	15	46,075.2	26,042.5	46,075.2	26,042.5
Equity attributable to equity holders of the parent		201,134.8	177,695.3	308,555.8	248,761.9
Non-controlling interests	23(a)	29,786.3	46,325.8	—	—
Total equity		230,921.1	224,021.1	308,555.8	248,761.9
Non-current liabilities					
Borrowings	16	83,714.6	64,744.4	41,000.0	39,955.3
Lease liabilities	22(b)	48,685.7	45,626.2	28,941.3	20,890.8
Payables and accrued expenses	29(a)	14,569.8	20,464.5	5,198.4	2,878.5
Provisions	29(b)	3,018.6	3,874.6	2,653.0	3,170.4
Contract liabilities	30(b)	1,690.9	1,521.1	1,690.9	1,521.1
Financial guarantees liability	32(xi)	—	—	287.6	614.5
		151,679.6	136,230.8	79,771.2	69,030.6
Current liabilities					
Current income tax	12(b)	1,821.1	2,257.5	893.7	2,042.0
Dividend payable	15	1,043.0	1,499.9	1,043.0	1,499.9
Shareholder loan	32(x)(c)	—	404.0	—	—
Borrowings	16	25,540.4	42,686.0	19,728.5	40,499.0
Lease liabilities	22(b)	8,824.8	6,336.8	7,187.4	5,780.6
Payables and accrued expenses	29(a)	80,263.9	84,571.5	57,599.8	48,962.1
Provisions	29(b)	5,066.1	5,220.1	4,812.0	5,220.1
Mobile financial payable	28	1,611.8	569.1	—	—
Contract liabilities	30(b)	11,273.6	11,487.4	10,214.4	10,751.8
		135,444.7	155,032.3	101,478.8	114,755.5
Total liabilities		287,124.3	291,263.1	181,250.0	183,786.1
Total equity and liabilities		518,045.4	515,284.2	489,805.8	432,548.0

The financial statements on pages 148 to 241 were approved for issue by the Board of Directors on 6 May 2026 and signed on its behalf by:

Adil Arshed Khawaja (MGH)
Chairman and Non-Executive Director

Dr. Peter Ndegwa (CBS)
Chief Executive Officer

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended 31 March 2026

	Notes	GROUP								
		Attributable to the equity holders of the parent								
		Share capital KShs'Mn	Share premium KShs'Mn	Retained earnings KShs'Mn	Other reserves** KShs'Mn	Proposed dividend KShs'Mn	Share based payment reserve KShs'Mn	Total KShs'Mn	Non-controlling interests KShs'Mn	Total equity KShs'Mn
Year ended 31 March 2026										
At start of year		2,003.3	2,200.0	153,881.8	(6,432.3)	26,042.5	–	177,695.3	46,325.8	224,021.1
Profit/(loss) for the year		–	–	95,608.6	–	–	–	95,608.6	(21,932.6)	73,676.0
Other comprehensive income										
Exchange differences on translation of foreign operations		–	–	–	(9,571.2)	–	–	(9,571.2)	(8,096.1)	(17,667.3)
Total comprehensive income for the year		–	–	95,608.6	(9,571.2)	–	–	86,037.4	(30,028.7)	56,008.7
Transactions with owners:										
Dividend:										
– 2025 final dividends paid	15	–	–	–	–	(26,042.5)	–	(26,042.5)	–	(26,042.5)
– 2026 interim dividend paid	15	–	–	(34,055.6)	–	–	–	(34,055.6)	–	(34,055.6)
– Proposed final dividend for 2026	15	–	–	(46,075.2)	–	46,075.2	–	–	–	–
– Capital contribution from NCI shareholders*	23(a)	–	–	–	–	–	–	–	9,451.3	9,451.3
Redistribution of loss after shareholding change		–	–	(3,620.0)	(417.9)	–	–	(4,037.9)	4,037.9	–
Share based payment reserve	11	–	–	–	–	–	1,538.1	1,538.1	–	1,538.1
		–	–	(83,750.8)	(417.9)	20,032.7	1,538.1	(62,597.9)	13,489.2	(49,108.7)
At end of year		2,003.3	2,200.0	165,739.6	(16,421.4)	46,075.2	1,538.1	201,134.8	29,786.3	230,921.1

* Capital contribution from NCI shareholders relates to the contribution of non-controlling shareholders towards investment in the equity of Safaricom Ethiopia PLC.

** Other reserves include foreign currency translation reserve representing the cumulative position of translation gains and losses arising from translation of net assets of foreign subsidiary companies to the presentation currency, adjustment on application of IAS 29 Financial Reporting in Hyperinflationary Economies (Note 35) and redistribution of loss after shareholding change.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY (continued)

for the year ended 31 March 2026

GROUP								
Attributable to the equity holders of the parent								
Notes	Share capital KShs'Mn	Share premium KShs'Mn	Retained earnings KShs'Mn	Other reserves** KShs'Mn	Proposed dividend KShs'Mn	Total KShs'Mn	Non-controlling interests KShs'Mn	Total equity KShs'Mn
Year ended 31 March 2025								
At start of year	2,003.3	2,200.0	134,314.0	61,789.3	26,042.5	226,349.1	109,398.8	335,747.9
– Adjustment on application of IAS 29	–	–	(2,152.4)	11,245.3	–	9,092.9	8,504.4	17,597.3
As restated	2,003.3	2,200.0	132,161.6	73,034.6	26,042.5	235,442.0	117,903.2	353,345.2
Profit/(loss) for the year	–	–	69,798.7	–	–	69,798.7	(24,041.5)	45,757.2
Other comprehensive income								
Exchange differences on translation of foreign operations	–	–	–	(79,466.9)	–	(79,466.9)	(74,323.3)	(153,790.2)
Total comprehensive income for the year	–	–	69,798.7	(79,466.9)	–	(9,668.2)	(98,364.8)	(108,033.0)
Transactions with owners:								
Dividend:								
– 2024 final dividends paid	15	–	–	–	(26,042.5)	(26,042.5)	–	(26,042.5)
– 2025 interim dividend paid	15	–	–	(22,036.0)	–	(22,036.0)	–	(22,036.0)
– Proposed final dividend for 2025		–	–	(26,042.5)	–	26,042.5	–	–
– Capital contribution from NCI shareholders*	23(a)	–	–	–	–	–	26,787.4	26,787.4
		–	–	(48,078.5)	–	(48,078.5)	26,787.4	(21,291.1)
At end of year	2,003.3	2,200.0	153,881.8	(6,432.3)	26,042.5	177,695.3	46,325.8	224,021.1

* Capital contribution from NCI shareholders relates to the contribution of non-controlling shareholders towards investment in the equity of Safaricom Ethiopia PLC.

** Other reserves include foreign currency translation reserve representing the cumulative position of translation gains and losses arising from translation of net assets of foreign subsidiary companies to the presentation currency, adjustment on application of IAS 29 Financial Reporting in Hyperinflationary Economies, (Note 35) and redistribution of losses after shareholding change.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY (continued)

for the year ended 31 March 2026

		COMPANY					
		Share capital KShs'Mn	Share premium KShs'Mn	Retained earnings KShs'Mn	Share based payment reserve KShs'Mn	Proposed dividend KShs'Mn	Total equity KShs'Mn
Notes							
Year ended 31 March 2026							
At start of year		2,003.3	2,200.0	218,516.1	–	26,042.5	248,761.9
Profit for the year		–	–	118,353.9	–	–	118,353.9
Transactions with owners:							
Dividend:							
– 2025 final dividends paid	15	–	–	–	–	(26,042.5)	(26,042.5)
– 2026 interim dividends paid	15	–	–	(34,055.6)	–	–	(34,055.6)
– Proposed final dividend for 2026		–	–	(46,075.2)	–	46,075.2	–
Share based payment reserve	11	–	–	–	1,538.1	–	1,538.1
		–	–	(80,130.8)	1,538.1	20,032.7	(58,560.0)
At end of year		2,003.3	2,200.0	256,739.2	1,538.1	46,075.2	308,555.8
Year ended 31 March 2025							
At start of year		2,003.3	2,200.0	171,640.5	–	26,042.5	201,886.3
Profit for the year		–	–	94,954.1	–	–	94,954.1
Transactions with owners:							
Dividend:							
– 2024 final dividends paid	15	–	–	–	–	(26,042.5)	(26,042.5)
– 2025 interim dividend	15	–	–	(22,036.0)	–	–	(22,036.0)
– Proposed final dividend for 2025		–	–	(26,042.5)	–	26,042.5	–
		–	–	(48,078.5)	–	–	(48,078.5)
At end of year		2,003.3	2,200.0	218,516.1	–	26,042.5	248,761.9

STATEMENT OF CASH FLOWS

for the year ended 31 March 2026

		GROUP		COMPANY	
	Notes	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Cash flows from operating activities					
Cash generated from operations	31(a)	223,368.1	183,677.5	233,605.4	200,018.8
Interest received		1,966.6	2,671.7	1,734.7	2,252.9
Income tax paid	12(b)	(55,426.9)	(48,626.4)	(54,627.9)	(47,524.0)
Net cash generated from operating activities		169,907.8	137,722.8	180,712.2	154,747.7
Cash flows from investing activities					
Purchase of property and equipment		(80,149.7)	(60,792.7)	(52,940.7)	(45,162.7)
Proceeds from disposal of property and equipment		17.9	46.4	14.7	40.8
Acquisition of intangible assets	21	(11,674.7)	(12,238.5)	(11,674.7)	(12,238.5)
Assets retirement obligations payments		–	(53.8)	–	(53.8)
Movement in restricted cash		(8,037.3)	1,074.9	(270.8)	272.0
Dividends from subsidiaries		–	–	1,994.0	2,251.3
Dividends from associates		–	12.5	–	–
Repayment of loans with joint ventures	32(x)(a)	–	239.5	–	239.5
Loans to subsidiaries	32(x)(b)	–	–	(152.0)	(90.1)
Investment in subsidiaries	23(a)	–	–	(19,641.6)	(30,161.1)
Acquisition of intangibles – (IRU)	19	–	(1,532.5)	–	(1,532.5)
Investment in associates and joint ventures	23(b)	–	(2,270.0)	–	(2,270.0)
Net cash used in investing activities		(99,843.8)	(75,514.2)	(82,671.1)	(88,705.1)
Cash flows from financing activities					
Dividends paid	15	(60,555.0)	(53,227.8)	(60,555.0)	(53,227.8)
Repayment of lease liabilities – principal	22(b)	(3,984.4)	(7,808.6)	(3,154.6)	(3,714.6)
Repayment of lease liabilities – interest	22(b)	(6,545.4)	(3,200.4)	(4,597.8)	(3,079.4)
Proceeds from shareholder loan		–	404	–	–
Interest paid on borrowings		(10,110.8)	(14,893.5)	(7,085.8)	(12,764.8)
Proceeds from borrowings	16	75,275.6	37,567.0	33,000.0	28,000.0
Repayment of borrowings	16	(74,178.9)	(26,305.2)	(52,934.4)	(24,415.5)
Capital contribution from NCI shareholders		9,451.3	26,787.4	–	–
Net cash used in financing activities		(70,647.6)	(40,677.1)	(95,327.6)	(69,202.1)
(Decrease)/increase in cash and cash equivalents		(583.6)	21,531.5	2,713.5	(3,159.5)
Movement in cash and cash equivalents:					
At start of year		30,024.6	22,868.2	15,912.6	19,072.1
Net foreign exchange differences		(2,451.4)	(4,409.6)	–	–
Net monetary gain on cash and cash equivalents		–	(9,965.5)	–	–
(Decrease)/increase in cash and cash equivalents		(583.6)	21,531.5	2,713.5	(3,159.5)
At end of year	26(a)	26,989.6	30,024.6	18,626.1	15,912.6

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 March 2026

1 General information

Safaricom Plc is incorporated in Kenya under the Kenyan Companies Act, 2015 as a public limited liability company and is domiciled in Kenya.

The Company's shares are listed on the Nairobi Securities Exchange.

For the Kenyan Companies Act, 2015, reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of profit or loss and other comprehensive income, in these financial statements.

2 Summary of accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

2(a) Basis of preparation

The financial statements, except for cashflow information have been prepared using the accrual accounting basis and in compliance with International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board (IASB). The financial statements are presented in Kenya Shillings (KShs), which is also the functional currency of the Company, rounded to the nearest million (**KShs'Mn**), except where otherwise stated.

The preparation of the financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires the directors to exercise its judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

Measurement basis

The measurement basis used is the historical cost basis.

Under the historical cost basis, assets are recorded at the amount of cash or cash equivalents paid or the fair value of the consideration given to acquire them at the time of their acquisition. Liabilities are recorded at the amount of proceeds received in exchange for the obligation or, in some cases, at the amounts of cash or cash equivalents expected to be paid to satisfy the liability in the normal course of business.

New and amended standards

The following standards and amendments have been applied by the Group for the first time for the financial year beginning 1 April 2025.

Lack of Exchangeability – Amendments to IAS 21

In August 2023, the Board issued amendments to IAS 21 clarifying how to assess currency exchangeability and determine a spot rate when exchangeability is lacking. If a currency is not exchangeable, entities must estimate the spot rate and disclose the impact on financial performance, position, and cash flows.

The amendment was applied this period and had no significant impact on the Group's financial statements.

Standards, interpretations and amendments issued but not yet effective

The following standards, interpretations and amendments have been issued but are not yet effective and have not been early adopted by the Group or Company.

IFRS 19 – Subsidiaries without Public Accountability: Disclosures

Issued in May 2024, IFRS 19 permits eligible subsidiaries of parent entities that report under IFRS Accounting Standards to apply reduced disclosure requirements in their financial statements, while continuing to apply the recognition and measurement requirements of IFRS.

The standard is effective for annual reporting periods beginning on or after 1 January 2027, with early application permitted. Management is currently assessing the impact on the Group's consolidated financial statements.



NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(a) Basis of preparation (continued)

Standards, interpretations and amendments issued but not yet effective (continued)

Classification and Measurement of Financial Instruments – Amendments to IFRS 9 and IFRS 7

These amendments:

- clarify the requirements for the timing of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system;
- clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion;
- add new disclosures for certain instruments with contractual terms that can change cash flows (such as some instruments with features linked to the achievement of environment, social and governance (ESG) targets); and
- make updates to the disclosures for equity instruments designated at Fair Value through Other Comprehensive Income (FVOCI).

Effective for annual periods beginning on or after 1 January 2026 (early adoption is permitted)

IFRS 18 – Presentation and Disclosure in Financial Statements

IFRS 18 replaces IAS 1 Presentation of Financial Statements and introduces new requirements to improve comparability of financial performance and enhance transparency in presentation and disclosure, including new requirements for the statement of profit or loss and management-defined performance measures.

The standard does not change recognition or measurement requirements but is expected to have a pervasive impact on presentation and disclosure.

IFRS 18 is effective for annual reporting periods beginning on or after 1 January 2027, with early application permitted. Management is currently assessing the impact on the Group's consolidated financial statements.

Translation to a Hyperinflationary Presentation Currency – Amendments to IAS 21

The amendments clarify the requirements for translating financial statements where an entity presents its financial statements in a hyperinflationary currency, including the treatment of comparative information and the use of appropriate indexation where applicable.

The amendments are effective for annual reporting periods beginning on or after 1 January 2027, with early application permitted. The Group is currently assessing the impact but does not expect a material effect on the financial statements, as Ethiopia is no longer considered hyperinflationary.

There are other standards, amendments and interpretations that become effective on or after 1 January 2026 which are not expected to have a material impact on the Group and the Company. These include:

- IFRS 10 and IAS 28 – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture
- Amendments to IFRS 7 and IFRS 9 – Contracts Referencing Nature-dependent Electricity
- Annual Improvements to IFRS Accounting Standards – Volume 11
- Amendments to Illustrative Examples accompanying IFRS 7, IFRS 18, IAS 1, IAS 8, IAS 36 and IAS 37

2(b) Basis of consolidation

(i) Subsidiaries

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries as at 31 March 2026. Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when it has power over the investee, when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date in which control is transferred to the Group. They are deconsolidated from the date that control ceases.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it derecognises the related assets (including goodwill), liabilities, non-controlling interest and other components of equity, while any resultant gain or loss is recognised in profit or loss. Any investment retained is recognised at fair value.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(b) Basis of consolidation (continued)

(i) Subsidiaries (continued)

Intercompany transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

Non-controlling interests in the results and equity of subsidiaries are shown separately in the consolidated statement of profit or loss and other comprehensive income, statement of changes in equity and statement of financial position respectively. When the proportion of the equity held by non-controlling interests' changes, the Group adjusts the carrying amounts of the controlling and non-controlling interests to reflect the changes in their relative interests in the subsidiary. The Group recognises directly in equity any difference between the amount by which the non-controlling interests are adjusted, and the fair value of the consideration paid or received, and attribute it to the owners of the parent.

(ii) Investment in associates

Associates are all entities over which the Group has significant influence but not control or joint control. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies. This is generally the case where the Group holds between 20% and less than 50% of the voting rights of the entity. In assessing existence of significant influence, the Group considers among other parameters whether there is:

- Representation on the board of directors or equivalent governing body of the investee
- Participation in the policy-making process and material transactions between the investor and the investee
- Interchange of managerial personnel between the investor and the investee
- Provision of essential technical information by the investor to the investee.

In certain instances, the requirement that significant influence arises from a 20% or more in investments can be invalidated where an entity can demonstrate that it does not have significant influence, or there is demonstrable presence of significant influence in an investment of less than 20% based on the above assessment criteria.

Investments in associates are accounted for using the equity method of accounting. The initial investment is recognised at cost of acquisition and any share of profit or loss from the investment is reflected as changes in the value of the investment. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment separately.

Under the equity method of accounting, the investments are initially recognised at cost and adjusted thereafter to recognise the Group's share of the post-acquisition profits or losses of the investee in profit or loss, and the Group's share of movements in other comprehensive income of the investee in other comprehensive income.

Dividend received or receivable from associates are recognised as a reduction in the carrying amount of the investment. In addition, when there has been a change recognised directly in the equity of the associate or joint venture, the Group recognises its share of any changes, when applicable, in the statement of changes in equity.

When the Group's share of losses in an equity-accounted investment equals or exceeds its interest in the entity, including any other unsecured long-term receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the other entity.

Unrealised gains on transactions between the Group and its associates are eliminated to the extent of the Group's interest in these entities. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of equity accounted investees have been changed where necessary to ensure consistency with the policies adopted by the Group.

Any excess of the cost of acquisition over the Group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities of the joint venture recognised at the date of acquisition is recognised as goodwill. The goodwill is included within the carrying amount of the investment. A gain on bargain purchase – is recognised through statement of profit or loss and other comprehensive income.

The carrying amount of investment in associates is tested for impairment in accordance with the policy described in Note 2(j).



NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(b) Basis of consolidation (continued)

(iii) Investment in joint ventures

The Group assesses its joint arrangements to determine whether they are joint ventures or joint operations. A joint venture arises from a joint arrangement where the parties that have joint control of the arrangement have rights to the net assets of the arrangement. The resultant share of operational results, assets and liabilities of joint ventures are incorporated in the consolidated annual report and financial statements from the date on which the Group has joint control and derecognised on the date when the Group ceases to have such control.

Upon loss of joint control over the joint venture, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the joint venture upon loss of joint control and the fair value of the retained investment and proceeds from disposal is recognised in profit or loss.

Under the equity method, joint ventures are carried in the consolidated statement of financial position at cost as adjusted for post-acquisition changes in the Group's share of the net assets of the joint venture, less any impairment in the value of the investment. Losses of a joint venture in excess of the Group's interest in that joint venture are not recognised. Additional losses are provided for, and a liability is recognised, only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the joint venture.

Any excess of the cost of acquisition over the Group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities of the joint venture recognised at the date of acquisition is recognised as goodwill. The goodwill is included within the carrying amount of the investment. A gain on bargain purchase is recognised through statement of profit or loss and other comprehensive income.

The carrying amount of investment in joint ventures is tested for impairment in accordance with the policy described in Note 2(j).

(iv) Separate financial statements

In the separate financial statements, investments in subsidiaries are accounted for at cost less impairment and investment in associates and joint venture are accounted for using the equity method. Cost is adjusted to reflect changes in consideration arising from contingent consideration amendments. Cost also includes direct attributable costs of investment.

2(c) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Senior Leadership Team (SLT) which makes strategic decisions.

The SLT consider the Group to be comprised of two operating segments, namely Kenya and Ethiopia. The financial statements are presented on the basis that risks and rates of return are related to these two reportable segments. Entity wide segments information is the same as that presented in these financial statements. There are no revenues from transactions with a single external customer that amount to 10% or more of the Group's revenue. For further details, refer to Note 36.

2(d) Foreign currency translation

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ("the functional currency"). The consolidated financial statements are presented in Kenya Shillings (KShs), which is the Group's and Company's presentation currency. The Company's functional currency is Kenya Shillings.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Differences arising on settlement or translation of monetary items that are designated as part of the hedge of the Group's net investment in a foreign operation are recognised in other comprehensive income (OCI) until the net investment is disposed of, at which time, the cumulative amount is reclassified to profit or loss. Tax charges and credits attributable to exchange differences on those monetary items are also recognised in OCI.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(d) Foreign currency translation (continued)

(ii) Transactions and balances (continued)

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of the gain or loss on the change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in OCI or profit or loss are also recognised in OCI or profit or loss, respectively).

In determining the spot exchange rate to use on initial recognition of the related asset, expense or income (or part of it) on the derecognition of a non-monetary asset or non-monetary liability relating to advance consideration, the date of the transaction is the date on which the Group initially recognises the non-monetary asset or non-monetary liability arising from the advance consideration. If there are multiple payments or receipts in advance, the Group determines the transaction date for each payment or receipt of advance consideration.

(iii) Translation of foreign operations

The results and financial position of Group entities that have a functional currency different from the presentation currency of the Group are translated into the presentation currency as follows:

- Assets and liabilities, including goodwill and fair value adjustments arising on acquisition, are translated at rates of exchange ruling at the reporting date.
- Income and expenditure are translated at weighted average exchange rates for the period or translated at exchange rates at the date of the transaction, where applicable; and
- Foreign exchange translation differences are recognised in OCI and accumulated in the foreign currency translation reserve (FCTR), except to the extent the difference is allocated to non-controlling interests.

The results and financial position of Group entities operating in hyperinflationary economies, and whose functional currencies differ from the Group's presentation currency, were translated into the presentation currency of the immediate parent using exchange rates prevailing at the reporting date.

As the Group's presentation currency is that of a non-hyperinflationary economy, and the current financial year is not considered hyperinflationary, no adjustments have been made in respect of price level changes or exchange rate movements for the current year. Accordingly, the impact of hyperinflationary accounting is limited to the FY25 financial statements, with comparative amounts not restated in the current period.

An entity may have a monetary item receivable from a foreign operation. Where settlement of such an item is neither planned nor likely to occur in the foreseeable future, it is, in substance, considered part of the entity's net investment in that foreign operation. On consolidation, exchange differences arising from the translation of such net investments are recognised in other comprehensive income and accumulated in the foreign currency translation reserve.

2(e) Hyperinflation

Until 31 March 2025, the Group applied IAS 29 – Financial Reporting in Hyperinflationary Economies.

The factors that contributed to elevated inflation in Ethiopia are no longer present. According to the IMF World Economic Outlook, the three year cumulative inflation rate was 109% as at December 2024. For 2025, the IMF forecasted an annual inflation rate of 16% (2026: 10%) and a three-year cumulative inflation rate of 80% (2026: 54%). In comparison, data published by the Ethiopian National Statistics Office indicated three-year and twelve-month cumulative inflation rates of 92% and 14%, respectively as of 31 March 2025.

Based on the criteria set out under IAS 29 – Financial Reporting in Hyperinflationary Economies, the directors concluded that Ethiopia ceased to be hyperinflationary as at 31 March 2025 and thereafter.

Following this assessment, the Group discontinued the application of IAS 29 to the results, cash flows and financial positions of Safaricom Telecommunications Ethiopia Plc and Safaricom M-PESA Mobile Financial Services Plc. The amounts expressed in the measuring units current as at 31 March 2025 have been treated as the opening carrying amounts presented in these financial statements.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(e) Hyperinflation (continued)

Accounting treatment on specific assets and liabilities after cessation of hyperinflation

Following the discontinuation of application of IAS 29, the amounts expressed in the measuring unit current as at the end of the previous reporting period have been treated as the basis for the carrying amount in the subsequent periods. The Group has treated the restated closing balances as at 31 March 2025 as the basis for the opening balances on 1 April 2025.

Property and equipment:

Property and equipment capitalised and held at the beginning of the period have been carried forward at their values as at 31 March 2025. These assets will continue to be depreciated over their remaining useful lives. Subsequently, any property and equipment acquired or capitalised after 1 April 2025 have been recognised at cost and are being depreciated over their respective useful lives in accordance with the Group's depreciation policy applicable to each asset category as per note 2 (g).

Capital work in progress (CWIP) has been carried forward at its carrying value as at 31 March 2025, including the effects of indexation. During the period, CWIP was capitalised at the indexed carrying value of the underlying assets at the date of capitalisation.

The capitalised assets will be depreciated over the weighted average useful lives applicable to the respective asset classes, with the resulting depreciation charge recognised in the income statement.

Contract assets and liabilities

Contract assets and contract liabilities have been carried forward at their values as at 31 March 2025. Subsequently, these balances have been recognised in the income statement as expenses and income, respectively, over the period in which the related contract assets and liabilities are amortised, typically not exceeding 24 months.

Inventory

Inventory at the beginning of the period has been carried forward at its value as at 31 March 2025. The incremental amounts arising from indexation have been recognised as an expense in the income statement and have been fully expensed as at 31 March 2026.

Current deferred costs

Deferred costs at the start of the period have been carried forward at their values as at 31 March 2025. The incremental amount arising from indexation has been recognised in the income statement and has been fully expensed as at 31 March 2026.

Intangible assets and right of use assets

Intangible assets and right-of-use assets held at the start of the period have been carried forward at their values as at 31 March 2025. These assets will continue to be amortised over their remaining useful lives. Any additional intangible or right-of-use assets capitalised after 1 April 2025 have been recognised at cost and are being amortised over their useful lives in accordance with the policy applicable to each asset category.

Equity

Equity line items, including share capital, capital reserves, retained earnings, and translation reserve, have been carried forward at their values as at 31 March 2025. Subsequent movements, such as additional share issues, profits or losses, and other comprehensive income items, have been recognised in accordance with the relevant accounting policies and added to these opening carrying amounts.

2(f) Revenue recognition

Revenue is recognised when or as the Group transfers control of goods or services to a customer at the amount to which the Group expects to be entitled. Depending on whether certain criteria are met, revenue is recognised:

- Over time, in a manner that best reflects the delivery of the Group's performance obligations; or
- At a point in time, when control of the goods or services is transferred to the customer.

The Group applies the five-step model as per IFRS 15 – *Revenue from contracts with customers*, to determine when to recognise revenue and at what amount.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(f) Revenue recognition (continued)

The following approach is used:

- Identify the contract with a customer
- Identify the performance obligations in the contract
- Determine the transaction price
- Allocate the transaction price to the performance obligations in the contract and
- Recognise revenue

Revenue is measured based on the consideration specified in a contract with a customer and excludes amounts collected on behalf of third parties.

The Group accounts for a contract with a customer only when;

- i. There is evidence of an arrangement
- ii. The Group can identify each party's rights and obligations regarding the goods and services to be transferred
- iii. The contract has commercial substance and collectability is reasonably assured.

The transaction price is allocated between performance obligations based on relative standalone selling prices as determined at contract inception.

Since the timing and classification of revenue recognised for a contract will often be dependent on the standalone selling prices that are identified for each performance obligation, the determination of standalone selling prices is critical.

The standalone selling price of a performance obligation is the observable price for which the good or service is sold by the Group in similar circumstances to similar customers. If a standalone selling price is not directly observable, then it is estimated. Estimations consider all relevant facts and circumstances and maximise the use of observable inputs.

Customers typically pay in advance for prepay mobile services and monthly for other communication services. Customers typically pay for handsets and other equipment either upfront at the time of sale or over the term of the related service agreement.

The Group's principal business has been the provision of telecommunication services. Airtime can be bought as scratch cards or PINless top ups through dealers and own-retail centres spread across the country. Customers can also buy airtime through M-PESA, emergency top up and direct top up for bulk purchases. Revenue from sale of the airtime is deferred and recognised as revenue on usage or expiry. Customers can use airtime to make voice calls, send SMS and browse the internet.

Voice and SMS revenue

Voice and SMS services enable both prepay and postpay customers to make calls and send text messages respectively within and outside the network. Prepay customers top up their phones by either buying prepay cards from dealers, other retail outlets, M-PESA or borrowing credit through emergency top up service (Okoka Jahazi). They can also receive airtime from other subscribers through Sambaza. Postpay customers subscribe to various tariffs and are billed at the end of the month based on a fixed charge or usage.

The headline voice tariff for prepay customers is called Uwezo and Advantage tariff for postpay customers. The on-net and off-net rate is KShs 4.67 per minute during the peak hours (08:00 to 22:00) and KShs 2.40 per minute during off-peak hours (22:00 to 08:00) applicable to both prepay and post-pay customers. Revenue from prepay voice customers is recognised on usage whereas postpay revenue is recognised at the end of every month based on a monthly charge.

In the spirit of giving value to the customers, the Group has introduced voice bundles including regional based offerings and Tunukiwa which have segmented price offerings for the customers. The Group also has in place the 'Stori Ibambe' bonus scheme where the subscribers are awarded 100% bonus airtime on achieving a daily target of usage, with the bonus valid until midnight daily. The bonus can be used for Safaricom-to-Safaricom voice calls and SMS, and revenue is recognised based on customers usage or upon expiry.

A non-expiry product named 'Milele Airtime' (Neo) is also available for use to either call or SMS at the normal rates. On purchase of Neo product, the billed amount is deferred and only revenues recognised when the service is rendered as either voice or SMS.

The Group has signed interconnect agreements with both local and foreign partners. This allows customers from either network to originate or terminate calls to each other's network. Revenue is earned and recognised when partners' calls are terminated to the Groups' network i.e., the service is rendered.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(f) Revenue recognition (continued)

Voice and SMS revenue (continued)

The Group has roaming agreements with roaming partners that enable customers to make and receive calls when travelling around the world. The agreed charges vary per partner. When visitors roam on Safaricom network, revenue is earned by billing the visiting customers' network while revenue from Safaricom customers is earned from customer billing for voice, SMS and data usage while roaming on other networks. Revenue is recognised on billing.

Customers can send messages for KShs 1.20 per SMS on both on-net and off-net. There are also attractive SMS bundles which offer an effective price per SMS lower than KShs 1.20. Revenue from SMS service is recognised on earlier of usage or expiry of SMS bundle.

Data revenue

Mobile data enables both Prepay and Postpay customers access the internet. Prepay customers top up their lines by purchasing credit or bundles in advance whereas Postpay customers are availed credit based on the tariff subscribed.

Mobile data has a wide range of propositions available as per customers' requirements. These include, Pay as you Go, hourly bundles, daily bundles, 3-day, 7-day, 14-day, 30-day bundles and time-based billing.

The data bundles are deferred on purchase and recognised as revenue on the earlier of usage or expiry.

The validity of purchased but unutilised data bundles is extended upon additional purchase of the same data bundles and the Group prompts the subscriber in advance before unutilised bundles expire and are consequently unavailable for use.

The Group introduced no expiry data bundles dubbed Neo data that allows customers to buy data for any amount they wish. As a result, customers have the option of purchasing data packs with set expiry and higher value, or non-expiry packs.

The Group has in place, My Data Manager, a tool that gives subscribers power to control data bundle usage and allows them to restrict browsing out of bundle which enables them to take control of their browsing and internet usage.

The Group has rolled out its own home fibre to connect both households and businesses through Fibre to the Home (FTTH) and Fibre to the Building (FTTB) services that enable fast, reliable and unlimited internet access from the comfort of a customer's home/premises. This service is open and available to all customers residing within areas that have Safaricom fibre infrastructure ready and have applied to have their homes/premises connected to the Safaricom fibre grid.

The price charged is based on the bandwidth and speed contracted by the customer. The price is charged upfront for a standard period of 7 days and/or 30 days and the customer can renew the subscription by making a payment. The amount charged is deferred and recognised as revenue proportionately over the subscription period.

Integrated bundles

An integrated bundle is a one-stop package that offers subscribers freedom to choose their preferred resources in the form of voice minutes, SMS bundles and mobile data bundles.

The Group has in place All in One monthly bundles, Tunukiwa tariff, S-Hook, Postpay packs and Make Your bundle.

All in One monthly bundles are available to all Safaricom customers (prepay, postpaid and hybrid) and they have a simplified journey that seeks to offer the consumer the best choice for maximising their purchase, including free WhatsApp access once the customer exhausts their mobile data bundle and the expiry date has not yet elapsed. Customers can access these bundles on USSD *544#, *100#, *200# and *456#, select the amount they wish to spend and then view all data and integrated products and resources at the respective amounts. All in one monthly bundles have a validity of 30 days with the possibility of rolling over resources if the customer purchases the same bundle before expiry.

Tunukiwa tariff is a personalised offer that is based on an individual customer usage, network utilisation, capacity availability, device type and general location. Daily, upon dialling *444# from their Safaricom line, customers access a list of custom-made options being number and value of voice minutes, SMS bundles and mobile data bundles, to choose from. The customers can purchase multiple options of the personalised package depending on their preferences. The personalised options are subject to the validity as specified in the USSD (*444#) before purchase.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(f) Revenue recognition (continued)

Integrated bundles (continued)

S-Hook is a platform that empowers the youth using mobile phones and targets the fast growing 16- to 24-year-old demographic group. The platform offers access to custom-made tariffs and product offerings that leverage Safaricom's extensive mobile network.

Make Your Bundle is an integrated proposition that allows customers across all segments to access voice and data propositions while choosing their preferred validity from hourly to monthly as well as choosing the amount of money/airtime they wish to spend for the pack. This gives flexibility to customers wishing to purchase an integrated pack that's shorter than 30-days in validity and allows them to access both products with their preferred product mix.

The price charged on these bundles is deferred on purchase and recognised as revenue on utilisation by the customers or on expiry in line with the validity period. Revenue from integrated bundles is recognised under the respective revenue stream i.e., voice, SMS and/or mobile data revenue streams.

M-PESA revenue

M-PESA is a mobile money transaction service allowing customers to deposit, transfer and withdraw money or pay for goods and services (Lipa na M-PESA) using a mobile phone. M-PESA is available to all Safaricom subscribers (Prepay and Postpay). Registration is free and available at any M-PESA agent countrywide. The M-PESA application is installed on the sim-card and works on all makes of handsets.

Payment Products and Services

Revenue from the payment services is earned at a point in time and is largely from transfer and withdrawal transactions performed by customers. A graduated tariff depending on the funds being transacted is applied on all transactions which are cumulatively reported as M-PESA transaction revenue.

The Group has in place an M-PESA tariff dubbed 'M-PESA Kadogo' where transaction charges for single transaction amounts that are up to KShs 100 were waived. This allows subscribers to send as little as KShs 1 on the M-PESA platform with nil charges.

Lipa na M-PESA enables merchants to accept cashless payments for goods and services from customers. Revenue is earned on all the transactions based on a graduated tariff applied on the transacted values. Revenue is recognised at a point in time when the transactions occur.

'Pochi La Biashara' is a micro merchant service that allows small business owners such as food vendors, small kiosk owners, boda-boda operators, second-hand clothes dealers, etc., to receive and separate business funds from personal funds on their M-PESA line. A graduated tariff depending on the funds being transacted is applied on all transactions which are cumulatively reported as M-PESA transaction revenue.

The M-PESA Kadogo tariff has also been extended to merchant services where commission charges for single transaction amounts that are up to KShs 200 were waived for merchants. This allows for merchants to accept payments as little as KShs 1 on the M-PESA platform with nil charges.

Remittance Products and Services

Safaricom Plc through its fully owned subsidiary, Safaricom Money Transfer Services Limited (SMTSL), operates the remittance services that allows customers to send and receive money to a beneficiary through registered mobile phone numbers in partnership with third party International Money Remittance (IMT) Providers. Revenues is earned from transaction fees charged to customers for international money transfers (inbound and outbound). The revenue is recognised at a point in time.

Global Payment Products and Services

In partnership with VISA the group operates a visa virtual card dubbed 'M-PESA GlobalPay' that is powering the ecommerce opportunities for M-PESA customers and make it easier for Kenyans when travelling abroad. The virtual card is linked to the M-PESA wallet and enables one to make payments to international online sites for goods and services through Visa's global network. Safaricom earns a proportion of the fee based on a prescribed revenue share matrix. The revenue is recognised at a point in time.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(f) Revenue recognition (continued)

Digital Financial Services

In partnership with Kenya lenders, NCBA Bank Kenya Limited and KCB Bank Kenya Limited, consumers and businesses can access digital saving and lending products and services.

An Overdraft (OD) facility dubbed 'Fuliza', enables customers to access unsecured line of credit by overdrawing on M-PESA to cover short-term cash-flow shortfalls subject to an applicable pre-determined limit.

Fuliza is underwritten by Kenyan lenders, NCBA Bank Kenya Limited and KCB Bank Kenya Limited. Customers who 'opt in' on Fuliza are charged a one-off access fee and daily maintenance fees on unpaid loan amounts based on a pre-determined matrix. Safaricom earns a proportion of the fee based on a pre-determined revenue share matrix. The revenue is recognised at a point in time.

In line with the financial inclusion strategy savings and loan services enables M-PESA customers to borrow money in times of need or to complement their savings dubbed M-Shwari and KCB M-PESA. The services enable customers to save as little as KShs 1 (USD 0.008) and get loans from KShs 50 (USD 0.37) to KShs 1 million (USD 7,491). M-Shwari loan is underwritten by Kenyan Lender NCBA Bank Kenya Limited while KCB M-PESA loan is underwritten by KCB Bank Kenya Limited. Customers who opt-in to the services are charged a predetermined one-time access fee. Safaricom earns a proportion of the fee based on a pre-determined revenue share matrix. The revenue is recognised at a point in time.

This has enabled more subscribers to get access to mobile banking services. There are no application forms, ledger fees, limits on the frequency of withdrawal and minimum operating. M-Shwari lock box product enables customers to make fixed deposit savings at a higher interest rate.

The Group in partnership with KCB Bank Kenya limited launched a merchant value proposition dubbed 'boost ya biashara' which is an overdraft business credit line for M-PESA Merchants. The facility allows business owners to complete transactions, by overdrawing their accounts, when they have insufficient funds in their M-PESA business tills. Boost ya Biashara is underwritten by a Kenyan Lender KCB Bank Kenya Limited and customers who opt-in are charged an access fee for every disbursement with a predetermined tiered matrix daily maintenance fee. Safaricom earns a proportion of the fee based on a prescribed revenue share matrix. The revenue is recognised at a point in time.

Super Apps, Mini Apps & Application Programming Interface (API)s

M-PESA APIs & Super Apps powers Integrations & partnerships as M-PESA has evolved into an ecosystem technology platform. The Super App and Mini App ecosystem seamlessly connect to third party services to offer more value to customers while the API economy is reshaping the financial services sector by enabling more open, integrated, and customer-centric services. It provides opportunities for financial institutions to innovate, collaborate, and create new business models, making it a key driver of digital transformation in the sector. Safaricom earns subscription-based fees from the ecosystem partners. The revenue is recognised at a point in time.

Other service revenue

This includes access fees charged on emergency top up service when a customer borrows airtime (Okoa Jahazi) and data bundles (Okoa Data) with the debt being repayable within five days.

Revenue from Cloud and Software Services

The Group generates revenue from the provision of cloud computing solutions, including Infrastructure as a Service (IaaS) and Software as a Service (SaaS). Revenue is recognised either over time or at a point in time, depending on the Group's role in the arrangement and the nature of the contract. Where the Group acts as a principal, revenue is recognised over time in line with the delivery of services. Where the Group acts as an agent, typically in transactions involving third-party software services, revenue is recognised at a point in time on a net basis when control passes to the customer.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(f) Revenue recognition (continued)

Loyalty programme

The Groups loyalty programme, 'Bonga Points', was introduced in January 2007 for both Prepay and Post-pay subscribers. Under this scheme, subscribers earn one Bonga point for every KShs 10 spent on voice calls, short messages service (SMS), data and KShs 100 for M-PESA services. These points can be redeemed for airtime, SMS or merchandise such as phones, modems and tablets at Safaricom retail outlets.

The Group has in place the 'Bonga everywhere' scheme where subscribers can utilise their Bonga points in appointed retail outlets e.g., Naivas Limited amongst others to purchase goods and services.

Management defers revenue for every point accumulated and recognises the revenue relating to the points earned on redemption either at a point in time (for merchandise or Bonga everywhere) or overtime based on the usage of acquired resources. Management also recognises revenue on the remaining loyalty points for churned sim cards at the point when the sim cards are churned.

In addition, Enterprise Business customers earn loyalty points upon achievement of their revenue targets and the accumulated amounts are only redeemable after the maturity of the underlying revenue contracts with the Group. Management defers revenue for amounts accumulated guided by a pre-determined matrix and recognises the revenue earned upon redemption.

Contract related costs (Contract assets)

Connection commissions paid to dealers and SIM activation costs are recognised as costs to fulfil a contract in the statement of financial position when the related payment obligation is extinguished through payments.

Deferred SIM costs are incurred prior to connecting customers to the network and are recognised as costs to obtain a contract in the statement of financial position when the SIM card is sold to the dealer. Contract cost are then amortised over the customer life as determined by the Group.

Other revenue

This includes, among others, site rentals. Site rental revenue is billed monthly and is based on the number of sites and equipment hosted per site. Revenue is recognised systematically over the lease period. Please refer to accounting policy 2(k) Accounting for leases, for the Group's lessor accounting policy in this regard.

Miscellaneous income

Miscellaneous income includes among others cash discounts received from vendors, donations from third parties utilised to fund Safaricom Foundation activities, and gains on disposal of property and equipment.

2(g) Property and equipment

All categories of property and equipment are initially recorded at cost. Following initial recognition, property and equipment are carried at cost, net of accumulated depreciation and accumulated impairment losses, if any. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to profit or loss statement during the financial period in which they are incurred.

Depreciation is calculated using the straight-line method to write down the cost of each asset to its residual value over its estimated useful life as follows:

Network infrastructure	5 – 20 years
Equipment and motor vehicles	4 – 10 years
Fibre	25 years
Leasehold improvements	Shorter of life of lease or useful life of the asset
Network maintenance spares	4 – 10 years
Freehold buildings	50 years

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(g) Property and equipment (continued)

Depreciation relating to the property and equipment of Safaricom Telecommunications Ethiopia Plc is based on the restated amounts, which have been adjusted for the effects of hyperinflation.

Spare parts, standby equipment and servicing equipment are recognised as property and equipment when they meet the definition of property, plant and equipment.

The assets residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each period end. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Property and equipment acquired in exchange for non-monetary assets, or a combination of monetary and non-monetary assets are measured at fair value of the new asset. If the fair value of the newly acquired asset cannot be determined reliably, then the newly acquired asset is measured at the carrying amount of the asset given up.

The carrying amount of an item of property and equipment is derecognised on disposal; or when no future economic benefits are expected from its use or disposal.

The gain or loss arising from the derecognition of an item of property and equipment is included in profit or loss when the item is derecognised. The gain or loss from the derecognition is calculated as the net disposal proceeds (usually income from sale of item) less the carrying amount of the item.

Between 31 December 2022 and 31 March 2025, the functional currency of Safaricom Telecommunication Ethiopia Plc was a currency of hyperinflationary economies. During this period, the property and equipment relating to the subsidiary were restated by applying the change in the consumer price indices from the date of acquisition to the current reporting date. Depreciation relating to property and equipment of Safaricom Telecommunication Ethiopia Plc was based on the restated amounts which was adjusted for the effects of hyperinflation.

Asset Retirement Obligations (ARO)

The Group accounts for the costs associated with dismantling and removing network infrastructure assets and returning a network infrastructure site to its original condition upon termination of the network infrastructure site.

A restoration provision is recorded based on the best estimate of the average restoration costs (being the future costs relating to dismantling and removing property and equipment and restoring each site) multiplied by the number of sites for which the Company has a restoration obligation.

The best estimate of average restoration costs per site is determined using historical and current experience, adjusted where necessary for known factors which will impact the future. In the absence of such experience, the best estimate is based on quotations obtained from relevant suppliers or an equally rigorous internal costing process.

Upon recognition of a provision, a corresponding amount is recognised as part of the cost of the asset and depreciated over its useful life, which would normally be the period to the removal of the network infrastructure from the site. This period should not exceed the remaining lease term.

Where the impact is material, the provision, as originally established, should be discounted using the appropriate pre-tax discount rate. This discount should be unwound through the finance cost in the statement of profit or loss over the period to the lease termination date.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of resources embodying economic benefits will be required to settle the obligation, the provision is reversed. The changes and adjustments to the provisions are made directly against the underlying asset to which the provision relates.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(h) Investment properties

Investment properties are properties held to earn rentals and/or for capital appreciation (including property under construction for such purposes). Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, investment properties are measured at fair value. Gains and losses arising from changes in the fair value of investment properties are included in profit or loss in the period in which they arise. The Group reassess the fair value of its investment property annually.

An investment property is de-recognised upon disposal or when the investment property is permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on de-recognition of the property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period in which the property is de-recognised.

2(i) Intangible assets – network licences

Separately acquired trademarks and licences are measured on initial recognition at cost. Following initial recognition, they are carried at cost, net of accumulated amortisation and accumulated impairment losses, if any. Licences acquired in a business combination are recognised at fair value at the acquisition date. Licences that have a finite useful life are carried at cost less accumulated amortisation and assessed for impairment whenever there is indication that the licence may be impaired. Amortisation is calculated using the straight-line method to allocate the cost of trademarks and licences over their estimated useful lives of 10 to 25 years.

Until 31 March 2025, the functional currency of Safaricom Telecommunication Ethiopia Plc was currency of hyperinflationary economies. Between 31 December 2022 and 31 March 2025, intangible assets relating to the subsidiary were restated by applying the change in the consumer price indices from the date of acquisition to the current reporting date.

A telecommunication licence is a requirement of the Communications Authority of Kenya (CA) for mobile telephone companies. The licence is renewable for an additional period upon its expiry. Currently Safaricom Plc is licensed under the Unified Licence Framework which is technology and service neutral.

Telecommunication licence fees are capitalised at cost and amortised over the period of the licence using the straight-line method from commencement of the service of the network.

Safaricom has the following licences:

- Network Facilities Provider licence Tier 1 (NFP) licence;
- Applications Services Provider (ASP) licence;
- Content Service Provider (CSP) licence;
- International Gateway Systems and service (IGSS) licence;

The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit or loss in the expense category that is consistent with the function of the intangible assets.

Amortisation relating to Safaricom Telecommunication Ethiopia Plc is based on the restated amounts, which have been adjusted for the effects of hyperinflation.

There are annual network licence fees associated with these licences which are expensed each year. The following licences are also in place for subsidiaries.

- Subscription Broadcasting Licence issued by Communication Authority of Kenya on 16 July 2019 to Comtec Integration Systems Limited valid for 10 years.
- Unified Telecommunications Services Licence issued by Ethiopian Communications Authority (ECA) on 9 July 2021 to Safaricom Telecommunications Ethiopia Plc valid for 15 years.
- Payment Instrument issuer (PII) licence for subsidiary MPESA launched in 15 August 2023 for a period of 14 years.

An intangible asset is derecognised upon disposal (i.e., at the date the recipient obtains control) or when no future economic benefits are expected from its use or disposal. Any gain or loss arising upon derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of profit or loss.



NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(j) Impairment of non-financial assets

The Group assesses at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an assets or cash-generating unit fair value less costs of disposal and its value in use.

The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

The Group bases its impairment calculation on most recent budgets and forecast calculations, which are prepared separately for each of the Group's revenue generating units to which the individual assets are allocated. These budgets and forecast calculations generally cover a period of five years. A long-term growth rate is calculated and applied to project future cash flows after the fifth year.

Impairment losses of continuing operations are recognised in the statement of profit or loss in expense categories consistent with the function of the impaired asset, except for properties previously revalued with the revaluation taken to OCI. For such properties, the impairment is recognised in OCI up to the amount of any previous revaluation.

For assets excluding goodwill, an assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the statement of profit or loss unless the asset is carried at a revalued amount, in which case, the reversal is treated as a revaluation increase.

Goodwill and intangible assets that have an indefinite useful life are not subject to amortisation but are tested annually for impairment. Non-financial assets other than goodwill that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

2(k) Accounting for leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a lessee

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Right-of-use assets

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, being the present value of the lease payments paid or payable at or before the commencement date, plus any initial direct costs incurred in entering the lease and dismantling & restoration costs, less any lease incentives received less any accumulated depreciation and impairment losses and adjusted for any remeasurement of lease liabilities. Right-of-use assets are depreciated on a straight-line basis over of the lease term.

The right-of-use assets are also subject to impairment. Refer to Note 22(a).

Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. Lease payments included in the lease liability include fixed payments and in-substance fixed payments during the term of the lease less any lease incentives receivable, variable lease payments that depend on an index or a rate, the exercise price of a purchase option if the lessee is reasonably certain to exercise that option, payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease and amounts expected to be payable by the lessee under residual value guarantees.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(k) Accounting for leases (continued)

Lease liabilities (continued)

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for lease payments made.

In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments or a change in the assessment of an option to purchase the underlying asset. The Group lease liabilities are shown in Note 22(b).

The Group is the lessor – operating leases

An operating lease is a lease in which substantially all of the risks and rewards of the leased assets remain with the lessor. Where the Group is the lessor, lease income is recognised on a straight-line basis over the period of the lease unless another systematic basis is more appropriate. The Group recognises leased assets on the statement of financial position as right-of-use assets.

Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income.

The Group acts as lessor of sites. These leases have an average life of between five and ten years with renewal options included in the contracts. There are no restrictions placed upon the lessee by entering into these leases. Rental income recognised by the Group during the year is KShs 3,745.1 million (2025: KShs 3,432.8 million).

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its short-term leases of sites, shops, facilities and secondees/expatriates houses (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of sites, shops, facilities and secondees/expatriates houses that are considered to be low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

2(l) Financial assets

Initial recognition

Financial instruments are recognised when, and only when, the Group becomes party to the contractual provisions of the instrument. All financial assets are recognised initially using the trade date accounting which is the date the Group commits itself to the purchase or sale.

Initial measurement

On initial recognition:

- Trade receivables are measured at their transaction price.
- All other financial assets are initially measured at the fair value plus or minus transaction costs that are directly attributable to the acquisition or issue of the instrument, except for financial assets measured at fair value for which the directly attributable transaction costs are expensed in profit or loss.

Classification

Financial assets that are held within a business model whose objective is to hold assets in order to collect contractual cash flows, and for which the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, are classified and measured at amortised cost.

Financial assets held during the year were classified as follows:

- Trade and other receivables, loan to subsidiary, loans and receivables due from related parties, cash and cash equivalents were classified as at amortised cost.
- Restricted cash was classified as amortised cost.

Subsequent measurement

After initial recognition, financial assets are measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(I) Financial assets (continued)

Impairment

The Group recognises a loss allowance for expected credit losses on debt instruments that are measured at amortised cost. The loss allowance is measured at an amount equal to the lifetime expected credit losses for trade receivables and for financial assets for which:

- (a) the credit risk has increased significantly since initial recognition; or
- (b) there is observable evidence of impairment (a credit-impaired financial asset).

If, at the reporting date, the credit risk on a financial asset other than a trade receivable has not increased significantly since initial recognition, the loss allowance is measured for that financial instrument at an amount equal to 12-month expected credit losses. All changes in the loss allowance are recognised in profit or loss as impairment gains or losses.

Lifetime expected credit losses represent the expected credit losses that result from all possible default events over the expected life of a financial instrument. 12-month expected credit losses represent the portion of lifetime expected credit losses that result from default events on a financial asset that are possible within 12 months after the reporting date.

Expected credit losses are measured in a way that reflects an unbiased and probability-weighted amount determined by evaluating a range of possible outcomes, the time value of money, and reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

For receivables, due from related parties and bank balances, the Group and Company applies a simplified approach in calculating ECLs. Therefore, the Group recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, and assessed forward-looking factors specific to the debtors, banks and the economic environment.

The Group considers a financial asset to be in default when contractual payments are 90 days past due. However, in certain cases, the Group may also consider a financial asset to be in default and credit impaired when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group.

Presentation

All financial assets are classified as non-current except those that are held for trading, those with maturities of less than 12 months from the reporting date, those which directors has the express intention of holding for less than 12 months from the reporting date or those that are required to be sold to raise operating capital, in which case they are classified as current assets.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e., removed from the Group's consolidated statement of financial position) when:

- The rights to receive cash flows from the asset have expired; or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either
 - (a) the Group has transferred substantially all the risks and rewards of the asset, or
 - (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognise the transferred asset to the extent of its continuing involvement. In that case, the Group also recognises an associated liability.

The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

Write-off

A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows. During the year, receivables that are still subject to enforcement activities of KShs 4,093.1 million (2025: KShs 983.0 million) at Group and KShs 4,005.0 million (2025: KShs 1,214.6 million) were written off.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(m) Financial liabilities

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, loans and borrowings and payables.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts.

Subsequent measurement

For purposes of subsequent measurement, financial liabilities are classified as financial liabilities at amortised cost (loans and borrowings and payables).

Financial liabilities at amortised cost

This is the category most relevant to the Group. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the effective interest rate (EIR) method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit or loss.

Trade and other payables excluding deferred revenue as well as dividends payable are not interest bearing and are subsequently stated at their nominal values.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability.

The difference in the respective carrying amounts is recognised in the statement of profit or loss.

Offsetting of financial instruments

Financial assets and liabilities are offset, and the net amount reported in the statement of financial position only when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. No such arrangements were in place in the year under review.

2(n) Indefeasible rights of use

The Group enters into long-term fibre contracts under which it purchases capacity from fibre networks. The purchase involves making prepayments to acquire indefeasible right of use (IRU) for a fixed period. The prepayment is amortised and recognised in the profit or loss on a straight-line basis over the life of the contract.

Provider	Inception	Contract period
The East African Marine Systems Limited (TEAMS)	1 May 2011	25 years
Kenya Power and Lighting Company (KPLC)	1 February 2010	20 years
SEACOM	1 July 2008	20 years
SIMBA Gera	1 November 2024	15 years

2(o) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average method. The cost of inventories comprises purchase price and other costs incurred in bringing each product to its present location and condition. Net realisable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

Provisions for saleable inventories are made based on aged listing for items older than 180 days, damaged and unusable stocks. Until 31 March 2025, the functional currency of Safaricom Ethiopia Plc was the currency of hyperinflationary economies. Inventories relating to the subsidiary were measured at the lower of the restated cost as at 31 March 2025 and net realisable value.



NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(p) Share capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value (KShs 0.05) of the shares is classified as 'share premium' in equity.

Ordinary shares represent the residual economic value of a Company. They carry rights to distribution of profits through dividend, to the surplus assets of a Company on a winding up and to votes at general meetings of the Company.

There are no differences in the voting rights of the ordinary shares held by the shareholders of the Company.

2(q) Cash and cash equivalents

Cash and cash equivalents include cash in hand, deposits held at call with banks, other short term highly liquid investments with original maturities of three months or less that are readily convertible to a known amount of cash and subject to an insignificant risk of changes in value.

For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above.

2(r) Restricted cash

Restricted cash and cash equivalent balances are those which meet the definition of cash and cash equivalents but are not available for use by the Group.

Kenya

Restricted cash relates to deposits held with Housing Finance Group Limited, NCBA Bank Kenya Limited, Stanbic Bank Kenya Limited, and KCB Bank Kenya Limited. The cash is used as security for staff mortgage loans, and its withdrawal is restricted until the respective mortgages have been repaid.

Restricted cash is initially measured at fair value using the discounted cash flow method. The discount rate applied is based on 70% of the Central Bank of Kenya Rate (CBR). Subsequently, the restricted cash is measured at amortised cost. The difference between the actual cash held as deposits and the determined value (i.e. the deferred restricted cash asset) is amortised over the term of the deposit.

Ethiopia

Restricted cash comprises cash held as collateral against loans and cash pledged for letters of credit issued to various suppliers.

2(s) Employees benefits

(i) Retirement benefit obligation

The Group has a defined contribution plan for its employees. The Group and all its employees also contribute to the National Social Security Fund, which is a defined contribution scheme.

A defined contribution plan is a pension plan under which the Group pays fixed contributions into a separate entity. The Group has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The contributions are recognised as an employee benefit expense when they are due.

(ii) Termination benefits

Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognises termination benefits at the earlier of the following dates: (a) when the Group can no longer withdraw the offer of those benefits; and (b) when the entity recognises costs for a restructuring that is within the scope of IAS 37 and involves the payment of termination benefits.

In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the end of the reporting period are discounted to their present value.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(s) Employees benefits (continued)

(iii) Other entitlements

The estimated monetary liability for employees accrued annual leave entitlement at the statement of financial position date is recognised as an expense accrual.

(iv) Short-term benefits

Short-term benefits consist of salaries, bonuses and any non-monetary benefits such as medical aid contributions and free services. They exclude equity-based benefits and termination benefits. Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

2(t) Share-based payments

The Group operates an Employee Performance Share Award Plan (EPSAP) under which eligible employees are granted a predetermined number of equity instruments, subject to satisfaction of specified vesting conditions.

The awards are classified as equity-settled share-based payments. The grant-date fair value of the awards is recognised as an employee benefit expense in profit or loss on a straight-line basis over the vesting period, with a corresponding credit to equity, based on the number of awards expected to vest.

To satisfy its obligations under the EPSAP, the Group acquires shares through an employee benefit trust. The shares are purchased from the market and held until vesting, after which they are transferred to employees at no cost. Shares held by the trust are treated as treasury shares and deducted from equity. No gain or loss is recognised in profit or loss on transactions in the Group's own shares.

2(u) Taxes

The income tax expense for the year comprises current and deferred tax. Income tax is recognised in the statement of profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the income tax is also recognised in other comprehensive income or directly in equity respectively.

Income tax expense

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax

Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated and separate financial statements. However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill. Deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss.

Deferred income tax is determined using tax rates (and laws) that have been enacted or substantively enacted by the reporting date and are expected to apply when the related deferred income tax asset is realised, or the deferred income tax liability is settled.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred income tax liabilities are provided on taxable temporary differences arising from investments in subsidiaries and associates, except for deferred income tax liability where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future.



NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(u) Taxes (continued)

Deferred income tax (continued)

Generally, the Group is unable to control the reversal of the temporary difference for associates except where there is an agreement in place that gives the Group the ability to control the reversal of the temporary difference not recognised.

The Group offsets deferred tax assets and deferred tax liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities which intend either to settle current tax liabilities and assets on a net basis, or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

Value added tax

Expenses and assets are recognised net of the amount of Value Added Tax (VAT) except:

- When the sales tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the sales tax is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable.
- When receivables and payables are stated with the amount of sales tax included. The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

2(v) Borrowings

Borrowings are recognised initially at fair value net of directly attributable transaction costs and subsequently stated at amortised cost using the effective interest method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. Any differences between proceeds (net of transaction costs) and the redemption value is recognised in profit or loss over the period of the borrowings. Borrowings are derecognised when the obligation under the liability is discharged or cancelled or expires or when an existing financial liability is replaced by another from the same lender on substantially different terms.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalised as a pre-payment for liquidity services and amortised over the period of the facility to which it relates and accounted for as "finance cost within profit or loss. Borrowings are classified as current liabilities unless the Group has an unconditional right to defer settlement of the liability for at least 12 months after year end.

Capitalisation of borrowing cost

The Group from time to time capitalises borrowing costs as provided under IAS 23. In line with the standard, borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset form part of the cost of that asset and, therefore, will be capitalised. A qualifying asset is one which necessarily takes more than six months to get ready for its intended use or sale. A qualifying asset can either be tangible or intangible in nature.

Examples of qualifying assets include core network equipment, transmission and radio equipment for base station sites and computer software development. The rate used to determine the amount of borrowing costs eligible for capitalisation is the EIR of the specific borrowing. There were no borrowing costs capitalised during the year.

Investment income earned on the temporary investment of specific borrowings, pending their expenditure on qualifying assets, is deducted from the borrowing costs eligible for capitalisation.

2(w) Dividend distribution

Dividend payable to the shareholders are recognised as a liability in the Group's financial statements in the period in which the dividend is approved by the Company's shareholders. Proposed dividend is shown as a separate component of equity until approved.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

2 Summary of accounting policies (continued)

2(x) Provisions

Provisions are recognised when:

- the Group has a present legal or constructive obligation as a result of past events;
- it is probable that an outflow of resources will be required to settle the obligation; and
- the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Provisions are measured at the present value of management's best estimate of the expenditures expected to be required to settle the obligation using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the obligation. When discounting is used, the increase in the provision due to passage of time is recognised as interest expense. The details on specific provisions are outlined under Note 29(b).

2(y) Dividend income

Dividend income is recognised when the Group's and Company's right to receive payment is established.

2(z) Mobile financial deposits and payables

The M-PESA service allows users to deposit money into an account stored to their cell phone number, to send balances using PIN-secured SMS text messages to other users, including sellers of goods and services, and to redeem deposits for regular money.

Mobile financial deposits are the deposits made by all customers in exchange for electronic mobile money and the unrestricted interest earned on the funds, which will be utilised upon approval if required. This cash is held in restricted accounts with reputable financial institutions and measured at amortised cost.

Upon recognition of the mobile financial deposits, the Group recognises a corresponding current liability, owed to the mobile financial customers for the deposits made. Mobile financial payables due to customers are primarily composed of saving deposits and amounts payable on demand.

3 Significant accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances.

(i) Significant accounting estimates and assumptions

The Group makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below.

Income taxes

The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made (Note 12 and 17).

Property and equipment

Critical estimates are made by directors in determining depreciation rates and timing of capitalisation of the assets. The depreciation rates used are set out in Note 2 (g) above and Note 18.

IFRS 16 leases

The key areas where estimates and judgement were applied included the interpretation of the requirements to determine the contracts containing leases and separating the lease and the non-lease components of a contract, the determination of the incremental rate of borrowing and the decision to exercise the extension or termination options while determining the lease term. See further details under Note 2 (k), Note 22(a), and Note 22 (b).

Valuation of Bonga points

The price attributed to the awarded Bonga points is determined by historical redemption information. The length of historical period used to determine the price is set by directors and is based on previous redemptions rates on airtime, data, SMS or merchandise. These balances have been included under contract liabilities, Note 30(b).



NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

3 Significant accounting estimates and judgements (continued)

(i) Significant accounting estimates and assumptions (continued)

Expected credit losses (ECL)

The Group uses a provision matrix to calculate ECL for trade receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns (i.e., product type, customer type and rating, and coverage by letters of credit). The Group also considers forward-looking information at a customer level based on macroeconomics and microeconomics variables around the customer and level of effort utilised to collect the debt.

This estimate is therefore based on factors not in control by the Group and included in the financial statements (Note 6(b)).

Provisions

The Group faces exposure to claims and other liabilities arising from normal course of business. These claims and other liabilities normally take time to be determined and therefore significant judgement is required in assessing the likely outcome and the potential liability for such matters. Management in consultation with the legal, tax and other advisers estimates a provision based on exposure, precedents, and industry best practice. Further details can be found in Note 29(b).

Impairment of non-financial assets including subsidiaries

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs of disposing of the asset.

The value in use calculation is based on a Discounting Cash Flow (DCF) model. The cash flows are derived from the budget for the next five or 10 years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the performance of the assets of the CGU being tested. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes. These estimates are most relevant to impairment assessment of the subsidiaries by the Group. The key assumptions used to determine the recoverable amount for the different CGUs, including a sensitivity analysis, are disclosed and further explained in Note 2(j).

(ii) Significant judgements in applying the entity's accounting policies

In the process of applying the Group's accounting policies, directors has made judgements in determining:

- The classification of financial assets, contract costs and liabilities.
- Whether assets are impaired.
- The average customer life; Customer life is based on the average churn period of the customers from the network;
- Assessment of IFRS 16 – Leases;
- Assessment of IFRS 9 – Financial instruments
- Income taxes – Significant judgement is required in determining the Group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business.
- Assessment of significant influence over an associate – The Group considers that it has significant influence over Circle Gas Limited though it owns less than 20% of the voting rights of the company because of the following reasons:
 - i. The Group has one non-executive directors' slot in Circle Gas board where Safaricom Plc has one reserved board seat so long as a Trademark Licence and Brand Management Co-operation Agreement made remains in force and Safaricom Plc remains a holder of ordinary shares.
 - ii. The associate uses Safaricom Plc's trademarks as per agreement in return for a royalty fee agreement and interchange of managerial personnel between the entities.
 - iii. The associate is riding on Safaricom's network to guarantee connectivity to its smart meters.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

3 Significant accounting estimates and judgements (continued)

(iii) Significant judgement on going concern

The Group's current liabilities exceed its current assets by KShs 55.5 billion (2025 net current liabilities position: KShs 71.0 billion) at the statement of financial position. For items that significantly impact the net working capital, refer to Notes 24 to 30.

This net current liability position is expected to remain in the near future as a result of the nature of the Group's business. A significant portion of creditors relate to network infrastructure investments rather than on-going trading hence net working capital is typically a negative amount due to the mismatch of the financing (short term) and the investment (long term). Other significant portion of current liabilities is a result of how revenue is recognised. The related liabilities are all held in the statement of financial position and are explained below:

- Unused airtime and data bundles by prepaid customers of KShs 2.3 billion (2025: KShs 2.5 billion). Prepaid airtime when sold to customers is held as a liability in the statement of financial position (deferred revenue) until the customer uses it, at which point revenue is recognised by reducing the liability and reporting revenue. Based on its nature, there are no expected cash outflow since its reduction is based on usage rather than actual cash outflow.
- Loyalty points earned by customers (Bonga points) of KShs 3.6 billion (2025: KShs 3.6 billion). Loyalty points are earned when a customer uses a Safaricom service including use of airtime, data or M-PESA. These points are valued and accumulated into the customer account until such a time when the customer opts to redeem the points against merchandise (devices including handsets, accessories, and merchandise from appointed Bonga everywhere outlets) or non-merchandise (free airtime and data bundles). Based on its nature, there are no expected cash outflow since its reduction is based on usage rather than actual cash outflow.
- Unutilised resources by the customers of KShs 7.0 billion (2025: KShs 6.9 billion). The Group applies IFRS 15 – Revenue from Contracts with Customers in accounting for bundled resources. The value of unutilised resources (customer balances) is reported as subscriber liability until the customers use the resources. Based on its nature, there are no expected cash outflow since its reduction is based on usage rather than actual cash settlement.

These amounts are included under contract liabilities in the statement of financial position. Management has accessed each of the items above and does not anticipate any cash outflow.

Further, the Group uses a broad mix of long-term and short debt to finance its operations. In the year ended 31 March 2026, the Group borrowed KShs 75.3 billion (2025: KShs 38.0 billion) and repaid KShs 74.2 billion (2025: KShs 26.3 billion). Of the outstanding loan amount of KShs 109.3 billion (2025 KShs 107.4 billion), KShs 25.5 billion (2025: KShs 43.1 billion) is short-term working capital.

Management is confident that sufficient funds will be available and accessible to meet all obligations as they fall due.

(iv) Significant judgement on hyperinflation

Until 31 March 2025, the Group applied IAS 29 – Financial Reporting in Hyperinflationary Economies.

In applying this standard, the Group exercised significant judgement in determining the point at which Ethiopia became hyperinflationary and in assessing whether the functional currencies of its subsidiaries were those of a hyperinflationary economy.

The factors that contributed to elevated inflation in Ethiopia during 2021 and 2022 are no longer present. Both the annual and forecast inflation rates have declined steadily over time.

According to the International Monetary Fund (IMF) World Economic Outlook (WEO), the three-year cumulative inflation rate was 109% as at December 2024. For 2025, the IMF forecasts an annual inflation rate of 16% (2026: 10%) and a three-year cumulative inflation rate of 80% (2026: 54%). In comparison, data published by the Ethiopian National Statistics Office indicated three-year and twelve-month cumulative inflation rates of 92% and 14%, respectively, as at March 2025.

Based on the criteria set out in IAS 29 – Financial Reporting in Hyperinflationary Economies, the directors concluded that Ethiopia ceased to be hyperinflationary as at 31 March 2025 and thereafter.

Following this assessment, the Group discontinued the application of IAS 29 to the results, cash flows, and financial positions of Safaricom Telecommunication Ethiopia Plc and Safaricom M-PESA Mobile Financial Services Plc. The amounts expressed in the measuring units current as at 31 March 2025 have been treated as the opening carrying amounts presented in these financial statements.



NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

4 Risk Management

4(a) Financial Risk Management

The Group's activities expose it to a variety of financial risks that include: market risks (including foreign exchange risks, interest rate risks, and price risk), credit risks and liquidity risks.

Financial risk management is carried out by the Group Treasury section in the Finance division of the Group under policies approved by the Board of Directors. The Group Treasury section identifies, evaluates, and manages financial risks.

The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk and non-derivative financial instruments and investing excess liquidity. Financial assets and financial liabilities have been carried at amortised cost.

Market risks

(i) Foreign exchange risk

Foreign exchange risk arises when future commercial transactions or recognised assets or liabilities are denominated in a currency that is not the entity's functional currency. The Group is exposed to foreign exchange risk arising from various currency exposures, primarily, with respect to the US dollar and the Euro. Foreign exchange risk arises from future commercial transactions and recognised assets and liabilities.

The Group manages foreign exchange risk arising from future commercial transactions by holding adequate foreign currency reserves to meet future cash flow requirements.

The Group does not have any derivative instruments/equity.

If there was a 10% change in the shilling against the US dollar during the year (2025: 20% change), with all other variables held constant, the consolidated pre- and post-tax profit/equity for the Group would change by KShs 1,481.5 million and KShs 1,037.1 million respectively (2025: KShs 2,117.7 million and KShs 1,478.2 million) and KShs 1,828.6 million and KShs 1,280.0 million respectively for Company (2025: KShs 1,805.6 million and KShs 1,263.9 million), mainly as a result of US dollar denominated cash and bank balances, borrowings, receivables and payables.

If there was a 10% change in the shilling against the Euro during the year (2025: 20% change), with all other variables held constant, the consolidated pre and post-tax profit/equity would change by KShs 2,988.2 million and KShs 2,091.7 million respectively for Group (2025: KShs 1,743.7 million and KShs 1,220.6 million) and KShs 1,789.5 million and KShs 1,252.7 million for Company respectively (2025: KShs 1,734.7 million and KShs 1,214.2 million), mainly as a result of increased Euro denominated creditors balances and bank balances.

The sensitivity of 10% applied in the current year has been informed by the changes in foreign currency during the year.

The Group's exposure to foreign currency changes for all other currencies is not material.

(ii) Interest rate risk

Interest rate risk arises from bank borrowings. Borrowings issued at variable rates expose the Group to cash flow interest rate risk which is partially offset by cash held at variable rates. The Group regularly monitor financing options available to ensure optimum interest rates are obtained.

A 100-basis points fluctuation in interest during the year (2025: 100 basis points) would have resulted in a net decrease/increase in Group's pre- and post-tax profit/equity of KShs 537.1 million and KShs 376.0 million respectively (2025: KShs 621.0 million and KShs 434.7 million). This sensitivity is a fair and reasonable reflection of the Company's pre- and post-tax profit/equity.

The exposure to interest rate risk for Ethiopia has not been aggregated for the period ended 31 March 2025 in the Group analysis as Ethiopia was consolidated in a hyperinflationary economy.

(iii) Price risk

The Group and Company do not hold any financial instruments subject to price risk (2025: None).

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

4 Risk Management (continued)

4(a) Financial Risk Management (continued)

Credit risk

Credit risk is managed on a Group basis. Credit risk arises from cash and cash equivalents, other financial instruments, loans receivable from related parties, trade receivables, related parties' receivables, loans to subsidiaries and other receivables. The Group has no significant concentrations of credit risk. The Group assesses the expected credit losses for all financial assets and all changes in loss allowance are recognised in profit or loss as impairment gains or losses (expected credit losses (ECL) on financial instruments).

Cash at bank, government securities and deposits with financial institutions

For banks and financial institutions, only reputable well-established investment grade financial institutions are used, which are considered to have a low credit risk. The following table represents the cash and short-term fixed deposits held in financial institutions per category. Category 1 is made up of counterparties with international presence; Category 2 are counterparties who are subsidiaries of parents that have an international presence; Category 3 counterparties are local banks that are categorised as tiers 1 and 2 by the Central Bank of Kenya. These categories are reflective of the credit risks rating of the financial institutions.

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Category 1	11,842.2	3,385.7	11,825.1	3,369.3
Category 2	10,860.5	17,051.0	2,156.7	6,770.4
Category 3	4,286.9	9,587.9	4,644.3	5,772.9
Allowance for expected credit losses	(34.3)	(28.9)	(8.9)	(4.3)
	26,955.3	29,995.7	18,617.2	15,908.3

The Group has used the general approach for measuring the loss allowance for cash at bank, government securities and deposits with financial institutions. No collateral is held on any of the cash at bank, government securities and deposits with financial institutions.

Management has assessed the expected credit losses on cash at bank, government securities and deposits with financial institutions. The loss allowance as at 31 March 2026 is shown in Note 26(a). The ECL allowance calculated reflects the lifetime losses associated with events of default that are expected to occur within 12 months of the reporting date (12-month ECL). There has been no significant increase in credit risk within these financial assets.

Other receivables

Management has assessed the expected credit losses on the other receivables. The loss allowance as at 31 March 2026 and 31 March 2025 are shown in Note 25.

The Group has used the simplified approach where applicable for measuring the loss allowance for other receivables. The Group has established a provision matrix that is based on its historical credit loss experience.

No collateral is held on any of the other receivables. The ECL allowance calculated reflects the lifetime losses associated with events of default that are expected to occur over the life of these receivables from the reporting date.

Amounts due from related parties

The Group has used the simplified approach where applicable for measuring the loss allowance for balances due from related parties. In the simplified approach, the Group has established a provision matrix that is based on its historical credit loss experience. The ECL allowance calculated reflects the lifetime losses associated with events of default that are expected to occur over the life of these receivables from the reporting date.

No collateral is held on any of the receivables from related parties. The loss allowance as at 31 March 2025 are disclosed in Note 25 and Note 32.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

4 Risk Management (continued)

4(a) Financial Risk Management (continued)

Credit risk (continued)

Trade receivables

For trade receivables, depending on the type of customer, the Group Credit Controller assesses the credit quality of each customer, taking into account their financial position, past experience and other factors including information from credit reference bureau to set individual risk limits. The utilisation of credit limits is regularly monitored.

The dealer channel comprises the largest distribution network for the Group. Dealers operate either on a cash basis or on credit following successful application of the credit facility. All credit limits are supported by a bank guarantee.

Postpay debtors comprise individuals as well as corporate customers. Postpay debtors have a 15-day credit period after which individual customers must pay within 10 days after due date, while business accounts have up to 30 days. The auto-bar feature ensures that once the limit has been reached the customer account is barred. This minimises the credit risk associated with these customers.

The Group has signed international roaming agreements. The roaming strategy is to have preferential partners in countries which historically have had the most visitors to Kenya, including United Kingdom, Italy, Spain, Sweden, South Africa, and Kenya's neighbouring countries. Roaming partners have entered into an agreement with the Group to terminate their calls on the Group's network for visitors travelling into Kenya. Amounts due from the contracted roaming partners are settled within 60 days unless a dispute arises. Disputes are handled by Comfone Financial Clearing, the current roaming clearing house.

The Group has also signed interconnect agreements with partners to terminate calls to and from other networks on the Group's network. Amounts due from interconnect partners are settled within 30 days of invoice unless a dispute arises. Disputes are handled in the first instance by the Regulatory Department of the Group. The Group's maximum exposure to credit risk is approximated by the carrying amounts.

The Group has a defined aging system for monitoring its receivables. Dealers' transactions and credit positions are closely monitored in line with existing credit policy.

Collateral is held for select trade receivables in the form of bank guarantees and deposits.

The Group applies the simplified approach to determine the expected credit losses (ECL) for trade receivables. This results in calculating lifetime expected credit losses (ECL) for these trade receivables. ECL for trade receivables is calculated using a provision matrix.

The Group segregates the trade receivables based on the aging of the receivables. The Group determines the expected loss rate per the categories based on a historical 24-month roll over model. The loss rate is computed based on the rate movement of the outstanding balances between categories and the recovery rate of past debtors for the respective debt categories.

The loss allowance as at year end was determined as shown below for trade receivables.

	GROUP			
	0 – 30 days KShs'Mn	31 – 90 days KShs'Mn	Over 91 days KShs'Mn	Total KShs'Mn
At 31 March 2026				
Trade receivables	22,641.0	2,246.9	21,794.0	46,681.9
Expected credit loss rate	2.7%	76.8%	94.0%	
Loss allowance	618.5	1,725.5	20,482.7	22,826.7
At 31 March 2025				
Trade receivables	21,845.1	4,478.1	20,392.1	46,715.3
Expected credit loss rate	7.6%	54.3%	97.0%	
Loss allowance	1,667.3	2,432.8	19,773.1	23,873.2

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

4 Risk Management (continued)

4(a) Financial Risk Management (continued)

Credit risk (continued)

Trade receivables (continued)

	COMPANY			
	0 – 30 days KShs'Mn	31 – 90 days KShs'Mn	Over 91 days KShs'Mn	Total KShs'Mn
At 31 March 2026				
Trade receivables	14,992.0	2,498.2	20,723.6	38,213.8
Expected credit loss rate	4.0%	69.1%	98.4%	
Loss allowance	602.8	1,725.2	20,389.3	22,717.3
At 31 March 2025				
Trade receivables	21,845.1	4,478.1	20,392.1	46,715.3
Expected credit loss rate	7.6%	54.3%	97.0%	
Loss allowance	1,667.3	2,432.8	19,773.1	23,873.2

A detailed assessment of the trade receivables as shown below:

	GROUP		
	Gross carrying amount KShs'Mn	Expected credit loss KShs'Mn	Net carrying amount KShs'Mn
At 31 March 2026			
Dealers	93.0	(18.5)	74.5
Post-pay	5,822.1	(1,243.3)	4,578.8
Roaming and interconnect	3,503.2	(1,732.7)	1,770.5
Other trade receivables*	37,263.6	(19,832.2)	17,431.4
Total trade receivables	46,681.9	(22,826.7)	23,855.2
At 31 March 2025			
Dealers	227.8	(22.6)	205.2
Post-pay	4,610.2	(1,544.8)	3,065.4
Roaming and interconnect	3,825.9	(1,898.0)	1,927.9
Other trade receivables*	38,051.4	(20,407.8)	17,643.6
Total trade receivables	46,715.3	(23,873.2)	22,842.1

* Other trade receivables mainly comprise of co-location receivables, commissions receivables, device financing receivables and sundry debtors.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

4 Risk Management (continued)

4(a) Financial Risk Management (continued)

Credit risk (continued)

Trade receivables (continued)

	COMPANY		
	Gross carrying amount KShs'Mn	Expected credit loss KShs'Mn	Net carrying amount KShs'Mn
At 31 March 2026			
Dealers	108.0	(18.5)	89.5
Post-pay	5,652.3	(1,243.0)	4,409.3
Roaming and interconnect	3,384.6	(1,726.6)	1,658.0
Other trade receivables*	29,068.9	(19,729.2)	9,339.7
Total trade receivables	38,213.8	(22,717.3)	15,496.5
At 31 March 2025			
Dealers	165.1	(22.6)	142.5
Post-pay	4,557.9	(1,535.0)	3,022.9
Roaming and interconnect	3,675.4	(1,858.9)	1,816.5
Other trade receivables*	32,461.9	(19,691.9)	12,770.0
Total trade receivables	40,860.3	(23,108.4)	17,751.9

* Other trade receivables mainly comprise of co-location receivables, commissions receivables, device financing receivables and sundry debtors.

Collateral held by the Group on the trade receivables as at 31 March 2026 is KShs 99.7 million. (2025: KShs 155.7 million). The collaterals relate to bank guarantees issued by dealers on dealer receivables. There is no concentration risk on trade receivables or revenue.

Maximum credit exposure

The amounts on the statement of financial position represent the maximum credit exposure for financial assets not subject to credit risk and financial assets that are subject to credit risk. Below is a summary of the maximum credit exposure.

	GROUP		
	Gross carrying amount KShs'Mn	Expected credit loss KShs'Mn	Net carrying amount KShs'Mn
At 31 March 2026			
Cash at bank and deposits with financial institutions	26,989.6	(34.3)	26,955.3
Trade receivables	46,681.9	(22,826.7)	23,855.2
Due from related parties	444.9	(0.4)	444.5
Other receivables	8,392.3	(725.1)	7,667.2
Total	82,508.7	(23,586.5)	58,922.2
At 31 March 2025			
Cash at bank and deposits with financial institutions	30,024.6	(28.9)	29,995.7
Trade receivables	46,715.3	(23,873.2)	22,842.1
Due from related parties	248.6	(6.5)	242.1
Other receivables	9,307.4	(63.5)	9,243.9
Total	86,295.9	(23,972.1)	62,323.8

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

4 Risk Management (continued)

4(a) Financial Risk Management (continued)

Credit risk (continued)

Maximum credit exposure (continued)

	COMPANY		
	Gross carrying amount KShs'Mn	Expected credit loss KShs'Mn	Net carrying amount KShs'Mn
At 31 March 2026			
Cash at bank and deposits with financial institutions	18,626.1	(8.9)	18,617.2
Trade receivables	38,213.8	(22,717.3)	15,496.5
Due from related parties	7,657.1	(3,666.2)	3,990.9
Other receivables	4,264.5	(96.9)	4,167.6
Loan receivable from subsidiary	1,111.3	(1,111.3)	–
Total	69,872.8	(27,600.6)	42,272.2
At 31 March 2025			
Cash at bank and deposits with financial institutions	15,912.6	(4.3)	15,908.3
Trade receivables	40,860.3	(23,108.4)	17,751.9
Due from related parties	5,104.1	(1,785.7)	3,318.4
Other receivables	6,571.3	(63.5)	6,507.8
Loan receivable from subsidiary	959.3	(563.1)	396.2
Total	69,407.6	(25,525.0)	43,882.6

Liquidity risk

Cash flow forecasting is performed in the operating entities of the Group and aggregated by Group Finance. Group Treasury Department monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet its operational needs.

Such forecasting takes into consideration the entity's debt financing plans, prudent liquidity risk management includes maintaining sufficient cash, and the availability of funding from an adequate amount of committed credit facilities. (See Note 16 for undrawn bank facilities), covenant compliance, compliance with internal statement of financial position ratio targets. Surplus cash held by the entity over and above the amounts required for working capital management are invested in interest bearing current accounts and fixed deposit accounts and marketable securities.

The Group's approach when managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when they fall due, without incurring unacceptable losses or risking damage to the Group's reputation.

Due to the dynamic nature of the underlying businesses, Group Treasury section maintains flexibility in funding by maintaining availability under committed credit lines. Liquidity position is monitored through daily cash position as well as monthly cash forecast that monitors debt structure and expected cash position.

The tables below analyse the Group's and the Company's financial assets and financial liabilities into relevant maturity groupings based on the remaining period at the statement of financial position date to the contractual maturity date. The amounts disclosed in the tables below are the contractual undiscounted cash flows.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

4 Risk Management (continued)

4(a) Financial Risk Management (continued)

Liquidity risk (continued)

The table below summarises the maturity profile of the undiscounted cashflows of the Group's financial assets and liabilities as at 31 March 2026.

	GROUP					Total KShs'Mn
	Maturing within 1 month KShs'Mn	Maturing after one month but within 6 months KShs'Mn	Maturing after 6 months but within 12 months KShs'Mn	Maturing after 12 months but within 5 years KShs'Mn	Maturing after 5 years KShs'Mn	
Non-derivative financial assets						
Cash and bank balances	26,955.3	—	—	—	—	26,955.3
Trade and other receivables	31,966.9	—	—	—	—	31,966.9
Other assets*	—	—	10,314.2	1,087.3	—	11,401.5
Total non-derivative financial assets	58,922.2	—	10,314.2	1,087.3	—	70,323.7
Non-derivative financial liabilities						
Payables and accrued expenses	9,529.6	58,081.0	—	14,569.8	—	82,180.4
Borrowings	848.5	20,712.4	12,562.6	95,666.9	8,866.4	138,656.8
Shareholder loan	—	—	—	—	—	—
Lease liabilities	—	—	13,842.0	—	57,795.0	71,637.0
Other liabilities**	—	1,611.8	—	—	—	1,611.8
Total non-derivative financial liabilities	10,378.1	80,405.2	26,404.6	110,236.7	66,661.4	294,086.0
Liquidity gap at 31 March 2026	48,544.1	(80,405.2)	(16,090.4)	(109,149.4)	(66,661.4)	(223,762.3)

* Other assets includes restricted cash, deferred restricted cash assets, restricted cash-letter of credit and mobile financial deposit.

** Other liabilities includes mobile financial payable.

The Group is exposed to liquidity risk from off-balance sheet commitments and contingencies, including financial guarantees, capital commitments and undrawn committed facilities, which are monitored as part of the Group's liquidity risk management framework.

Financial guarantees represent potential future cash outflows if counterparts default, while capital commitments relate to contracted future capital expenditure and give rise to expected cash outflows as projects are executed. Undrawn committed facilities provide an available source of liquidity to support funding requirements.

As at reporting date, guarantees issued amounted to KShs 849.8 million (2025: KShs 557.6 million) (Note 33), Capital commitments amounted to KShs 20,956.3 million (2025: KShs 31,053.1 million) (Note 34), and undrawn committed facilities amounted to KShs 72.9 billion (2025: KShs 12.2 billion).

These exposures are considered in assessing the Group's overall liquidity adequacy and are disclosed separately from the contractual maturity analysis in line with IFRS 7.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

4 Risk Management (continued)

4(a) Financial Risk Management (continued)

Liquidity risk (continued)

The table below summarises the maturity profile of the undiscounted cashflows of the Group's financial assets and liabilities as at 31 March 2025.

	GROUP					
	Maturing within 1 month KShs'Mn	Maturing after one month but within 6 months KShs'Mn	Maturing after 6 months but within 12 months KShs'Mn	Maturing after 12 months but within 5 years KShs'Mn	Maturing after 5 years KShs'Mn	Total KShs'Mn
Non-derivative financial assets						
Cash and bank balances	29,995.7	—	—	—	—	29,995.7
Trade and other receivables	32,328.1	—	—	—	—	32,328.1
Other assets*	—	—	1,751.0	456.9	—	2,207.9
Total non-derivative financial assets	62,323.8	—	1,751.0	456.9	—	64,531.7
Non-derivative financial liabilities						
Payables and accrued expenses	4,081.0	73,539.6	—	20,464.5	—	98,085.1
Borrowings	—	28,475.5	15,250.3	29,444.5	77,497.2	150,667.5
Shareholder loan	—	404.0	—	—	—	404.0
Lease liabilities	—	—	10,528.2	—	61,056.6	71,584.8
Other liabilities**	—	2,069.0	—	—	—	2,069.0
Total non-derivative financial liabilities	4,081.0	104,488.1	25,778.5	49,909.0	138,553.8	322,810.4
Liquidity gap at 31 March 2025	58,242.8	(104,488.1)	(24,027.5)	(49,452.1)	(138,553.8)	(258,278.7)

* Other assets includes restricted cash, deferred restricted cash assets, restricted cash-letter of credit and mobile financial deposit.

** Other liabilities includes financial guarantee and dividend payable.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

4 Risk Management (continued)

4(a) Financial Risk Management (continued)

Liquidity risk (continued)

The table below summarises the maturity profile of the undiscounted cashflows of the Company's financial assets and liabilities as at 31 March 2026.

	COMPANY					Total KShs'Mn
	Maturing within 1 month KShs'Mn	Maturing after one month but within 6 months KShs'Mn	Maturing after 6 months but within 12 months KShs'Mn	Maturing after 12 months but within 5 years KShs'Mn	Maturing after 5 years KShs'Mn	
Non-derivative financial assets						
Cash and bank balances	18,617.2	—	—	—	—	18,617.2
Trade and other receivables	23,655.0	—	—	—	—	23,655.0
Loans and receivable from related companies	—	—	—	—	548.2	548.2
Other assets*	—	—	1,958.5	—	—	1,958.5
Total non-derivative financial assets	42,272.2	—	1,958.5	—	548.2	44,778.9
Non-derivative financial liabilities						
Payables and accrued expenses	9,520.8	35,741.4	—	5,198.4	—	50,460.6
Borrowings	13.5	18,648.9	5,388.9	54,031.6	—	78,082.9
Lease liabilities	—	—	9,925.8	—	32,117.3	42,043.1
Other liabilities**	—	11,091.3	—	—	—	11,091.3
Total non-derivative financial liabilities	9,534.3	65,481.6	15,314.7	59,230.0	32,117.3	181,677.9
Liquidity gap at 31 March 2026	32,737.9	(65,481.6)	(13,356.2)	(59,230.0)	(31,569.1)	(136,899.0)

* Other assets includes restricted cash and deferred restricted cash assets.

** Other liabilities includes financial guarantee and dividend payable.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

4 Risk Management (continued)

4(a) Financial Risk Management (continued)

Liquidity risk (continued)

The table below summarises the maturity profile of the undiscounted cashflows of the Company's financial assets and liabilities as at 31 March 2025.

	COMPANY					
	Maturing within 1 month KShs'Mn	Maturing after one month but within 6 months KShs'Mn	Maturing after 6 months but within 12 months KShs'Mn	Maturing after 12 months but within 5 years KShs'Mn	Maturing after 5 years KShs'Mn	Total KShs'Mn
Non-derivative financial assets						
Cash and bank balances	15,908.3	—	—	—	—	15,908.3
Trade and other receivables	27,578.1	—	—	—	—	27,578.1
Loans and receivable from related companies	—	—	—	—	575.5	575.5
Other assets*	—	—	1,181.9	—	—	1,181.9
Total non-derivative financial assets	43,486.4	—	1,181.9	—	575.5	45,243.8
Non-derivative financial liabilities						
Payables and accrued expenses	4,080.5	38,103.8	—	2,878.5	—	45,062.8
Borrowings	0.9	27,498.1	13,000.0	15,540.1	57,089.8	113,128.9
Lease liabilities	—	—	8,715.3	—	25,741.7	34,457.0
Other liabilities**	—	11,091.3	—	—	—	11,091.3
Total non-derivative financial liabilities	4,081.4	76,693.2	18,915.3	18,418.6	85,631.5	203,740.0
Liquidity gap at 31 March 2025	39,405.0	(76,693.2)	(17,733.4)	(18,418.6)	(85,056.0)	(158,496.2)

* Other assets includes restricted cash and deferred restricted cash assets.

** Other liabilities includes financial guarantee and dividend payable.

The Company is exposed to liquidity risk from off-balance sheet commitments and contingencies, including financial guarantees, capital commitments and undrawn committed facilities, which are monitored as part of the Company's liquidity risk management framework.

Financial guarantees represent potential future cash outflows if counterparts default, while capital commitments relate to contracted future capital expenditure and give rise to expected cash outflows as projects are executed. Undrawn committed facilities provide an available source of liquidity to support funding requirements.

As at reporting date, guarantees issued amounted to KShs 802.2 million (2025: KShs 445.4 million) (Note 33), Capital commitments amounted to KShs 12,204.7 million (2025: KShs 19,938.5 million) (Note 34), and undrawn committed facilities amounted to KShs 71,200.0 million (2025: KShs 12,200.0 million).

These exposures are considered in assessing the Company's overall liquidity adequacy and are disclosed separately from the contractual maturity analysis in line with IFRS 7.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

4 Risk Management (continued)

4(b) Capital risk management

The Group and Company's objective when managing capital is to safeguard its ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital levels, the Group may adjust the amount of dividend paid to shareholders.

The Group has a dividend policy that permits dividend to be paid if the Board of Directors finds that the payments are sustainable, after taking into account the sufficiency of distributable reserves and liquidity in order to ensure the Group's operational needs and/or business growth are not limited by the unavailability of funds, as well as the Company's known contingencies and compliance with any funding facility covenants. The Group maintains to operate a progressive distribution policy based on what it assesses to be sustainable levels of dividend payments.

The first priority of the Group is to maintain sufficient liquidity to ensure that operational needs and/or business growth are not limited by the unavailability of funds and also that facilities are available to cover all known contingencies. There are no externally imposed capital requirements at end of year.

The Group's focus is to minimise funds tied up in working capital, whilst ensuring that it has sufficient financial ability to meet its liabilities as and when they fall due. The Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as equity plus net debt.

The Group aims to maintain the gearing ratios within the industry standards with the optimal debt equity mix as demonstrated by the position below:

Gearing ratio

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Net debt – Note 31 (b)	139,775.9	129,772.8	78,231.1	91,213.1
Total equity	230,921.1	224,021.1	308,555.8	248,761.9
Total capital	370,697.0	353,793.9	386,786.9	339,975.0
Gearing ratio	37.7%	36.7%	20.2%	26.8%

Fair value estimation

Assets and liabilities measured at fair value are measured using the following levels of fair value measurement hierarchy:

Level 1: The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in level 1. Instruments included in level 1 comprise primarily NSE equity investments classified as trading securities.

Level 2: The fair value of financial instruments that are not traded in an active market (for example, over-the-counter derivatives) is determined by using valuation techniques. These valuation techniques maximise the use of observable market data where it is available and rely as little as possible on entity specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

Level 3: If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3.

The carrying amounts of borrowings, loans to subsidiaries, cash and cash equivalents, trade and other receivables, loans receivable from related parties, restricted and deferred restricted cash asset, other financial assets, payables, and accrued expenses approximate their fair values due to the nature of these instruments. Investment properties are carried at fair value as disclosed in Note 20 to the financial statements.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

5 Revenue

5(a) Revenue from contracts with customers

	GROUP					
	2026			2025		
	At a point in time KShs'Mn	Over time KShs'Mn	Total KShs'Mn	At a point in time KShs'Mn	Over time KShs'Mn	Total KShs'Mn
M-PESA revenue	182,741.9	–	182,741.9	161,131.2	–	161,131.2
Voice revenue	–	84,824.8	84,824.8	–	81,958.9	81,958.9
Mobile data revenue	–	92,912.9	92,912.9	–	78,521.4	78,521.4
Fixed data revenue	–	18,877.4	18,877.4	–	16,798.7	16,798.7
Messaging revenue	–	11,170.1	11,170.1	–	12,559.4	12,559.4
Interconnect revenue	–	5,939.1	5,939.1	–	4,703.1	4,703.1
Mobile incoming	–	3,536.2	3,536.2	–	3,433.7	3,433.7
Other services revenues*	–	14,135.0	14,135.0	–	12,309.0	12,309.0
Service revenue	182,741.9	231,395.5	414,137.4	161,131.2	210,284.2	371,415.4
Handset revenue	4,850.0	–	4,850.0	11,001.5	–	11,001.5
Connection revenue	–	2,004.7	2,004.7	–	2,016.5	2,016.5
Total revenue	187,591.9	233,400.2	420,992.1	172,132.7	212,300.7	384,433.4

* Other services revenues include Okoa Jahazi fees, roaming revenues and bulk SMS service revenue.

The contract balances are trade receivables (Note 25), related party balances (Note 32), contract assets (Note 30) and contract liabilities (Note 30).

The Group has two reportable operating segments whose revenue is presented below:

	GROUP							
	Kenya			Ethiopia			Eliminations	Consolidated
	At a point in time KShs'Mn	Over time KShs'Mn	Sub Total KShs'Mn	At a point in time KShs'Mn	Over time KShs'Mn	Sub Total KShs'Mn	Total KShs'Mn	Sub Total KShs'Mn
At 31 March 2026								
Service revenue	182,727.7	218,066.9	400,794.6	14.4	14,068.3	14,082.7	(739.9)	414,137.4
Handset revenue	4,674.0	–	4,674.0	176.0	–	176.0	–	4,850.0
Connection revenue	–	1,783.4	1,783.4	–	221.3	221.3	–	2,004.7
Total revenue	187,401.7	219,850.3	407,252.0	190.4	14,289.6	14,480.0	(739.9)	420,992.1
At 31 March 2025								
Service revenue	161,118.6	203,164.1	364,282.7	12.5	7,169.1	7,181.6	(48.9)	371,415.4
Handset revenue	10,700.2	–	10,700.2	301.3	–	301.3	–	11,001.5
Connection revenue	–	1,934.9	1,934.9	–	81.6	81.6	–	2,016.5
Total revenue	171,818.8	205,099.0	376,917.8	313.8	7,250.7	7,564.5	(48.9)	384,433.4

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

5 Revenue (continued)

5(a) Revenue from contracts with customers (continued)

	COMPANY					
	2026			2025		
	At a point in time KShs'Mn	Over time KShs'Mn	Total KShs'Mn	At a point in time KShs'Mn	Over time KShs'Mn	Total KShs'Mn
M-PESA revenue	178,752.1	–	178,752.1	157,736.0	–	157,736.0
Voice revenue	–	81,815.2	81,815.2	–	80,784.7	80,784.7
Mobile data revenue	–	83,350.1	83,350.1	–	72,863.2	72,863.2
Fixed data revenue	–	19,068.9	19,068.9	–	17,065.0	17,065.0
Messaging revenue	–	11,000.7	11,000.7	–	12,477.4	12,477.4
Interconnect revenue	–	5,932.0	5,932.0	–	4,696.7	4,696.7
Mobile incoming	–	3,138.8	3,138.8	–	3,159.8	3,159.8
Other services revenues*	–	13,694.1	13,694.1	–	12,074.6	12,074.6
Service revenue	178,752.1	217,999.8	396,751.9	157,736.0	203,121.4	360,857.4
Handset revenue	4,674.1	–	4,674.1	10,700.2	–	10,700.2
Connection revenue	–	1,783.5	1,783.5	–	1,934.9	1,934.9
Total revenue	183,426.2	219,783.3	403,209.5	168,436.2	205,056.3	373,492.5

* Other services revenues include Okoa Jahazi fees, roaming revenues and bulk SMS service revenues.

5(b) Revenue from other sources

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Site rental revenue	3,745.1	3,432.8	3,745.1	3,432.8
Other income:				
– (Loss)/gain on disposal of property and equipment	(51.8)	23.0	10.6	35.7
– Dividend income	–	–	1,994.0	2,251.3
– Management fee income (Safaricom Money Transfer Services Limited)	–	–	727.1	503.2
– Miscellaneous income*	2,873.7	799.7	1,064.7	762.8
	6,567.0	4,255.5	7,541.5	6,985.8

* Miscellaneous income includes cash discounts received from vendors and non-recurring revenue from partnership agreements.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

6(a) Direct costs

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
M-PESA commissions	(37,378.6)	(37,277.7)	(36,712.5)	(36,745.1)
Airtime commissions	(9,412.6)	(8,103.1)	(6,919.5)	(6,495.9)
Licence fees	(16,566.6)	(14,787.2)	(16,293.3)	(14,604.4)
Interconnect and roaming costs	(9,294.2)	(7,764.9)	(7,700.5)	(6,595.7)
Handset costs	(8,538.4)	(10,892.1)	(8,240.6)	(10,595.0)
Customer acquisition and retention	(15,716.4)	(13,208.9)	(13,871.3)	(11,653.3)
Promotions and value-added services costs (voice and SMS)	(5,806.0)	(6,868.8)	(5,785.8)	(6,858.4)
Other direct costs	(1,706.8)	(2,178.6)	(1,593.9)	(2,168.4)
	(104,419.6)	(101,081.3)	(97,117.4)	(95,716.2)

6(b) Expected credit losses on financial assets

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Trade and other receivables (Note 25)	(3,702.1)	(11,124.8)	(5,527.8)	(11,028.3)
Loan receivables from related parties	–	2.4	(548.3)	(176.9)
Cash and cash equivalents	(9.7)	(23.6)	(4.6)	(1.2)
Contract assets	(301.3)	–	(301.3)	–
	(4,013.1)	(11,146.0)	(6,382.0)	(11,206.4)

7 Other operating expenses

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Repairs and maintenance	(383.2)	(375.4)	(364.4)	(361.5)
Non-lease operating costs – buildings**	(156.3)	(123.8)	(69.9)	(45.6)
Non-lease operating costs – sites**	(3,551.1)	(3,063.2)	(3,557.1)	(3,068.3)
Inventory storage costs	(350.3)	(343.5)	(343.7)	(341.1)
Employee benefits expense (Note 10)	(31,258.6)	(29,055.0)	(27,883.3)	(25,383.2)
Auditor's remuneration***	(115.8)	(116.0)	(88.8)	(82.4)
Sales and advertising	(6,417.3)	(5,426.7)	(6,193.0)	(5,298.1)
Consultancy and professional fees	(1,340.0)	(3,271.6)	(1,101.4)	(2,920.6)
Network operating costs	(24,424.3)	(24,124.6)	(20,127.1)	(19,456.4)
Travel and accommodation	(1,207.3)	(1,085.8)	(801.4)	(722.7)
Computer maintenance	(4,510.8)	(5,067.3)	(3,208.1)	(3,003.8)
Office administration	(931.2)	(927.2)	(832.1)	(797.2)
Net foreign exchange gains/(losses), other than on borrowings and cash and cash equivalents	(13,433.0)	(20,871.3)	(452.6)	123.7
Other operating expenses*	(10,785.2)	(10,459.3)	(9,429.8)	(7,270.1)
	(98,864.4)	(104,310.7)	(74,452.7)	(68,627.3)

* Other operating expenses includes Vodafone Group procurement fees (Note 32(iii)), fleet management costs, general staff expenses including training and welfare costs and innovation costs.

** Relates to non-lease components of the lease e.g., services charges and VAT disallowed on lease payments. The cost is excluded from the measurements of the lease liabilities as required by IFRS 16 Leases

*** The breakdown of auditors' remuneration for the year is provided on page 192.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

7 Other operating expenses (continued)

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Audit fees	(72.1)	(65.0)	(65.8)	(59.4)
Other fees	(37.4)	(35.1)	(23.0)	(23.0)
Other fees charged to other affiliates	(6.3)	(15.9)	–	–
	(115.8)	(116.0)	(88.8)	(82.4)

Audit fees represent the amounts payable for the statutory audit of the financial statements for the year. Other fees comprise audit fees payable for the statutory audits of Vodafamily Ethiopia Limited and Global Partnership for Ethiopia during the same period, as well as fees for other regulatory audits performed for the Company. Other fees charged to affiliates relate to statutory audit services provided to Safaricom Telecommunications Ethiopia Plc.

8 Finance income

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Interest income*	1,992.0	2,384.0	1,737.5	1,919.3
Foreign exchange gain on cash and borrowings	4,201.4	6,836.0	201.3	420.3
Amortisation of deferred restricted cash asset	30.4	2.1	30.4	2.1
	6,223.8	9,222.1	1,969.2	2,341.7

* Interest income relates to income earned from fixed deposits and is calculated using the effective interest method.

9 Finance costs

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Interest expense*	(10,660.4)	(14,089.1)	(7,294.3)	(11,968.0)
Foreign exchange losses on cash and borrowings	(6,918.3)	(10,119.5)	(170.0)	(1,567.2)
Interest on asset retirement obligation (ARO)	(420.3)	(501.2)	(386.8)	(442.0)
Interest on lease liabilities*	(6,647.9)	(5,109.1)	(4,428.4)	(3,079.4)
Origination fee on credit facilities	(1,261.9)	(312.6)	(536.6)	(184.4)
	(25,908.8)	(30,131.5)	(12,816.1)	(17,241.0)

* The interest expense included within finance costs is calculated using effective interest method.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

10 Employee benefits expense

The following items are included within employee benefits expense:

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Club membership	(108.5)	(86.2)	(108.3)	(86.0)
Employee other administrative costs	(38.3)	(108.1)	(0.2)	(18.5)
Secondes other administrative costs	(447.0)	(595.2)	(191.8)	(172.7)
Employee Performance Share Award Plan	(842.8)	(669.5)	(835.6)	(667.9)
Leave provision	(54.6)	224.5	(23.6)	226.5
National Social security Fund (NSSF)	(295.8)	(157.9)	(295.0)	(157.6)
Defined pension contribution plan	(1,229.3)	(1,108.8)	(1,147.0)	(1,034.0)
Salaries	(24,213.5)	(22,341.5)	(22,940.1)	(21,328.2)
Seconded salaries	(1,654.9)	(2,130.2)	(87.4)	(157.0)
Staff medical and life insurance	(2,373.9)	(2,082.1)	(2,254.3)	(1,987.8)
	(31,258.6)	(29,055.0)	(27,883.3)	(25,383.2)

Number of employees

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Permanent employees	6,616	6,462	5,653	5,564
Fixed-term contract employees	286	315	286	315
	6,902	6,777	5,939	5,879

11 Employee Performance Share Award Plan – Group and Company

On 1 July 2011, the Group implemented the Employee Performance Share Award Plan (the Trust), under which shares are awarded to qualifying employees based on performance ratings achieved in prior periods. Under the outright grant scheme, shares are acquired in the market and held by the Trust until vesting, at which point they are transferred to eligible employees at no cost. The awards are subject to a single vesting condition, being a service condition requiring employees to remain in employment over a three-year vesting period. No further performance or market-based vesting conditions apply. The fair value of share-based awards at grant date, being the market price of the Company's shares at that date, is recognised as an expense in profit or loss over the vesting period, with a corresponding credit to the share-based payment reserve within equity.

During the year, the Trust purchased 6.8 million shares at a cost of KShs 143.2 million (2025: 27.6 million shares at a cost of KShs 445.8 million). In addition, 20.1 million shares, with a historical cost of KShs 350 million (2025: 15.4 million shares at KShs 257.0 million), vested and were transferred to eligible employees.

The Company recognises a receivable from the Trust in respect of shares purchased on its behalf. At the reporting date, the Trust held nil shares (2025: 13.3 million shares at a cost of KShs 206.8 million).

The share-based payment reserve was previously misclassified as a liability instead of being recognised within equity in prior periods. The directors have reassessed the classification and concluded that, while this represented a misclassification, the impact was not material to the financial statements for those periods. Accordingly, no restatement has been made.

	2026 KShs'Mn
Reclassification from payables at start of the year	1,045.3
Shares vested in the year	(350.0)
Charge to profit or loss	842.8
At end of year	1,538.1

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

12(a) Income tax expense

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Current income tax	(55,512.2)	(50,166.7)	(54,160.1)	(49,050.0)
Adjustments in respect of current income tax of previous year	512.4	(524.1)	680.5	(523.9)
Deferred income tax (Note 17)	1,712.5	3,203.4	1,385.0	3,242.2
Adjustments in respect of deferred income tax of previous year	145.4	34.1	62.4	34.1
Income tax expense	(53,141.9)	(47,453.3)	(52,032.2)	(46,297.6)
Profit before income tax	126,817.9	93,210.5	170,386.1	141,251.7
Tax calculated at the applicable income tax rate of 30%	(38,045.4)	(27,963.2)	(51,115.8)	(42,375.5)
Tax effect of:				
– Income not subject to tax	851.3	3,266.4	613.3	687.1
– Expenses not deductible for tax purposes	(18,107.7)	(7,627.5)	(2,272.6)	(4,119.4)
Adjustments in respect of deferred income tax of previous year	145.4	34.1	62.4	34.1
Adjustments in respect of current income tax of previous year	512.4	(524.1)	680.5	(523.9)
Deferred income tax not recognised in the year	2,503.7	(14,639.0)	–	–
Translation differences	(644.4)	–	–	–
Minimum tax*	(357.2)	–	–	–
Income tax expense	(53,141.9)	(47,453.3)	(52,032.2)	(46,297.6)

* On 17 July 2025, the House of Peoples' Representatives of Ethiopia enacted the Income Tax (Amendment) Proclamation No. 1395/2025, which amends the Federal Income Tax Proclamation No. 979/2016. The amendments introduce, among other changes, a Minimum Alternative Tax (MAT), which applies where an entity's tax liability, computed based on assessable business income, is less than 2.5% of its turnover.

12(b) Current income tax (payable)/receivable

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
At start of year	(2,257.5)	(193.1)	(2,042.0)	7.9
Current income tax (Note 12(a))	(55,512.2)	(50,166.7)	(54,160.1)	(49,050.0)
Adjustments in respect of current income tax of previous year (Note 12(a))	512.4	(524.1)	680.5	(523.9)
Tax paid during the year	55,426.9	48,626.4	54,627.9	47,524.0
Translation differences	9.3	–	–	–
At end of year	(1,821.1)	(2,257.5)	(893.7)	(2,042.0)

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

13 Earnings per share

Basic earnings per share (EPS) is calculated by dividing the profit attributable to equity holders by the weighted average number of ordinary shares in issue during the year.

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Profit attributable to equity holders of the parent (KShs million)	95,608.6	69,798.7	118,353.9	94,954.1
Total number of ordinary shares in issue (million)	40,065.4	40,065.4	40,065.4	40,065.4
Basic earnings per share (KShs)	2.4	1.7	3.0	2.4
Diluted earnings per share (KShs)	2.4	1.7	3.0	2.4

There were no potentially dilutive shares outstanding as at 31 March 2026 and 31 March 2025. Diluted earnings per share are therefore the same as basic earnings per share.

14 Share capital and share premium

	Number of shares (million)	Ordinary shares KShs'Mn	Share premium KShs'Mn	Total KShs'Mn
As at 31 March 2026 and 31 March 2025	40,065.4	2,003.3	2,200.0	4,203.3

The authorised share capital of the Company is KShs 6,000,000,000 divided into 119,999,999,600 ordinary shares of KShs 0.05 each and 5 non-redeemable preference shares of KShs 4 each.

The issued share capital comprises 40,065,428,000 (2025: 40,065,428,000) ordinary shares with a par value of KShs 0.05 each. All issued shares are fully paid.

Share premium reserve was established on initial issuance of the Company's ordinary shares at premium.

Holders of ordinary shares are entitled to dividend as declared from time to time and are entitled to one vote per share at the general meetings of the Company.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

15 Dividend

Proposed dividends are classified as a separate component of equity in the statement of changes in equity through a transfer from retained earnings. They are transferred to the dividend payable account once approved by shareholders in the Annual General Meeting.

During the year, an interim dividend of KShs 0.85 per ordinary share (2025: KShs 0.55) amounting to KShs 34.06 billion (2025: KShs 22.04 billion) was declared. The directors have proposed a final dividend in respect of the year ended 31 March 2026 of KShs 1.15 per ordinary share (2025: KShs 0.65) amounting to a total of KShs 46.08 billion (2025: KShs 26.04 billion) to be approved at the Annual General Meeting (AGM) to be held on 31 July 2026. This brings the total dividend for the year to KShs 80.13 billion (2025: KShs 48.08 billion) which represents KShs 2.00 per share in respect of the year ended 31 March 2026 (2025: KShs 1.20 per share).

The payment of dividend is subject to withholding tax at the rate of 10% for all non-residents, 5% for Kenyan residents and 0% for resident Kenyan companies with a shareholding of 12.5% or more in the Company. Total dividend payouts in the year were as follows:

Movement in the year

	GROUP AND COMPANY	
	2026 KShs'Mn	2025 KShs'Mn
At start of year	1,499.9	6,649.2
Final dividend declared	26,042.5	26,042.5
Interim dividend declared	34,055.6	22,036.0
Paid during the year	(60,555.0)	(53,227.8)
At end of year	1,043.0	1,499.9

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

16 Borrowings

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
At start of year	107,430.4	108,146.8	80,454.3	77,666.6
Additions	75,275.6	37,567.0	33,000.0	28,000.0
Interest charged	10,660.4	14,089.1	7,294.3	11,968.0
Interest paid	(10,110.8)	(14,893.5)	(7,085.8)	(12,764.8)
Repayments	(74,178.9)	(26,305.2)	(52,934.4)	(24,415.5)
Revaluation of foreign currency loans	5,315.9	10,493.6	–	–
Hyperinflation adjustment	–	491.4	–	–
Translation differences	(5,137.6)	(22,158.8)	–	–
At end of year	109,255.0	107,430.4	60,728.5	80,454.3
Split				
Short term borrowings	23,486.9	39,500.1	18,500.0	39,500.0
Bank overdraft	–	1,703.0	–	–
Interest payable	2,053.5	1,482.9	1,228.5	999.0
Total short-term borrowings	25,540.4	42,686.0	19,728.5	40,499.0
Long term borrowings	83,714.6	64,744.4	41,000.0	39,955.3
At end of year	109,255.0	107,430.4	60,728.5	80,454.3

The Company loan facilities are with Kenyan banks are at an average interest rate of 10.6% (2025: average interest rate of 16.3%) whilst those at the Group include loan facilities at Safaricom Telecommunications Ethiopia Plc which are at an average interest rate of 11.6% (2025: average interest rate of 10.0%).

Long-term facilities repayment period is seven years for the Kenya shilling denominated loans and three to five years for the Ethiopian Birr denominated term loans.

In addition, the Group has established a KShs 40.0 billion Domestic Medium-Term Note (MTN) Programme to diversify its funding sources. During the year, the Group issued KShs 20.0 billion Green Medium-Term Notes under Tranche 1 of the Programme, comprising a KShs 15.0 billion base offer and a KShs 5.0 billion greenshoe option, both of which were fully subscribed.

The Notes have a maturity of five years, expiring in December 2030, and bear a fixed interest rate of 10.40% per annum, payable semi-annually. The Notes are unsecured and are listed on the Nairobi Securities Exchange. Proceeds from the issuance are designated for the financing and/or refinancing of eligible green projects in accordance with the Group's sustainability framework.

Under the terms of the loan facilities, the Group is required to comply with certain covenants. The Group had complied with all the covenants as at 31 March 2026 and 31 March 2025.

There are also undrawn bank facilities amounting to KShs 72.9 billion (2025: KShs 12.2 billion) that would be utilised to settle obligations as they fall due.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

17 Deferred income tax

Group

The analysis of deferred income tax assets and deferred tax liabilities is as follows:

	GROUP	
	2026 KShs'Mn	2025 KShs'Mn
– Deferred income tax assets	33,305.2	31,819.7
– Deferred income tax liability	(12,563.9)	(12,937.7)
Net deferred income tax asset	20,741.3	18,882.0

Deferred income tax is calculated using an income tax rate of 30%

	2026 KShs'Mn	2025 KShs'Mn
At start of year	18,882.0	15,644.5
Credit to statement of profit or loss (Note 12)	1,712.5	3,203.4
Adjustments in respect of deferred income tax of previous year (Note 12)	145.4	34.1
At end of year	20,741.3	18,882.0

Consolidated deferred income tax assets and liabilities and deferred income tax credit/(charge) in the statement of profit or loss and other comprehensive income (SOCl) are attributable to the following items:

	GROUP		
	1 April 2025 KShs'Mn	Credit/(charged) to SOCl KShs'Mn	31 March 2026 KShs'Mn
Year ended 31 March 2026			
Deferred income tax liabilities			
Unrealised foreign exchange gains	(5,558.0)	3,711.3	(1,846.7)
Right of use assets	(7,379.7)	(3,337.5)	(10,717.2)
	(12,937.7)	373.8	(12,563.9)
Deferred income tax assets			
Unrealised foreign exchange losses	8,308.7	(3,685.3)	4,623.4
Tax losses	23,118.8	(14,599.6)	8,519.2
Property and equipment	6,836.7	(1,586.8)	5,249.9
Lease liabilities	14,002.5	3,250.6	17,253.1
Other temporary differences*	13,315.7	2,268.0	15,583.7
	65,582.4	(14,353.1)	51,229.3
Deferred tax asset not recognised	(33,762.7)	15,838.6	(17,924.1)
Net deferred income tax asset	18,882.0	1,859.3	20,741.3

* Other temporary differences mainly relate to deferred income tax on expected credit losses on financial assets and provisions for liabilities.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

17 Deferred income tax (continued)

Group (continued)

	GROUP		
	1 April 2024 KShs'Mn	Credit/(charged) to SOCI KShs'Mn	31 March 2025 KShs'Mn
Year ended 31 March 2025			
Deferred income tax liabilities			
Unrealised foreign exchange gains	(1,624.0)	(3,934.0)	(5,558.0)
Right of use assets	(12,386.3)	5,006.6	(7,379.7)
	(14,010.3)	1,072.6	(12,937.7)
Deferred income tax assets			
Unrealised foreign exchange losses	324.8	7,983.9	8,308.7
Tax losses	19,700.4	3,418.4	23,118.8
Property and equipment	6,739.3	97.4	6,836.7
Lease liabilities	13,239.6	762.9	14,002.5
Other temporary differences*	8,774.4	4,541.3	13,315.7
	48,778.5	16,803.9	65,582.4
Deferred tax asset not recognised	(19,123.7)	(14,639.0)	(33,762.7)
Net deferred income tax asset	15,644.5	3,237.5	18,882.0

* Other temporary differences mainly relate to deferred income tax on expected credit losses on financial assets and provisions for liabilities.

In relation to Ethiopia, Federal Income Tax Proclamation 979/2016 Article 26 allows carry forward of a maximum of two years of losses. According to the proclamation, if the determination of taxable profits results in a loss in a tax period, the loss may base off against a future taxable income, but a taxpayer is not allowed to carry a loss forward for more than 5 tax years after the end of year in which the loss was incurred.

The Group has not recognised deferred income tax asset relating to tax losses carried forward and other deductible temporary differences amounting to KShs 17,924.1 million (2025: KShs 33,762.7 million) due to lack of certainty of availability of future taxable profits against which such deductible temporary differences and tax losses could be utilised. The tax losses relate to the financial years ended 31 March 2023 and 31 March 2024 and have an expiry period of 5 years.

Company

The analysis of deferred income tax assets and deferred tax liabilities is as follows:

	COMPANY	
	2026 KShs'Mn	2025 KShs'Mn
– Deferred income tax assets	28,600.1	25,217.7
– Deferred income tax liability	(8,271.4)	(6,336.4)
Net deferred income tax asset	20,328.7	18,881.3

Deferred income tax is calculated using an income tax rate of 30%

	2026 KShs'Mn	2025 KShs'Mn
At start of year	18,881.3	15,605.0
Credit to statement of profit or loss (Note 12)	1,385.0	3,242.2
Adjustments in respect of deferred income tax of previous year (Note 12)	62.4	34.1
At end of year	20,328.7	18,881.3

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

17 Deferred income tax (continued)

Company (continued)

Company deferred income tax assets and liabilities and deferred income tax credit/(charge) in the statement of profit or loss and other comprehensive income (SOCl) are attributable to the following items:

	COMPANY		
	1 April 2025 KShs'Mn	Credit/(charged) to SOCl KShs'Mn	31 March 2026 KShs'Mn
Year ended 31 March 2026			
Deferred income tax liabilities			
Unrealised foreign exchange gains	(66.4)	52.4	(14.0)
Right of use assets	(6,270.0)	(1,987.4)	(8,257.4)
	(6,336.4)	(1,935.0)	(8,271.4)
Deferred income tax assets			
Unrealised foreign exchange losses	208.3	(160.7)	47.6
Property and equipment	5,467.4	(296.1)	5,171.3
Lease liabilities	8,001.4	2,837.2	10,838.6
Other temporary differences*	11,540.6	1,002.0	12,542.6
	25,217.7	3,382.4	28,600.1
Net deferred income tax asset	18,881.3	1,447.4	20,328.7

* Other temporary differences mainly relate to deferred income tax on expected credit losses on financial assets and provisions for liabilities.

	COMPANY		
	1 April 2024 KShs'Mn	Credit/(charged) to SOCl KShs'Mn	31 March 2025 KShs'Mn
Year ended 31 March 2025			
Deferred income tax liabilities			
Unrealised foreign exchange gains	(562.8)	496.4	(66.4)
Right of use assets	(5,690.4)	(579.6)	(6,270.0)
	(6,253.2)	(83.2)	(6,336.4)
Deferred income tax assets			
Unrealised foreign exchange losses	452.9	(244.6)	208.3
Property and equipment	7,298.7	(1,831.3)	5,467.4
Lease liabilities	7,071.7	929.7	8,001.4
Other temporary differences*	7,034.9	4,505.7	11,540.6
	21,858.2	3,359.5	25,217.7
Net deferred income tax asset	15,605.0	3,276.3	18,881.3

* Other temporary differences mainly relate to deferred income tax on expected credit losses on financial assets and provisions for liabilities.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

18 Property and equipment

	GROUP							
	Network infrastructure KShs'Mn	Capital work in progress (CWIP)* KShs'Mn	Network maintenance spares KShs'Mn	Leasehold improvements KShs'Mn	Vehicles and equipment KShs'Mn	Fibre KShs'Mn	Freehold Property KShs'Mn	Total KShs'Mn
Year ended 31 March 2026								
Opening net carrying amount	110,265.6	41,871.4	302.2	395.9	52,015.8	40,386.7	1,963.3	247,200.9
Additions	–	69,668.8	–	–	96.1	–	4,751.3	74,516.2
Effect of hyperinflation	8,934.7	(10,429.3)	–	–	1,394.3	100.3	–	–
Transfers from CWIP	40,745.3	(82,932.7)	297.6	67.2	35,574.7	6,247.9	–	–
Asset retirement obligations (ARO) – adjustment	(865.5)	–	–	–	–	–	–	(865.5)
Disposal – cost	(17,943.3)	–	(705.6)	(20.6)	(1,571.7)	–	–	(20,241.2)
Depreciation on disposals	17,803.1	–	702.8	12.0	1,653.8	–	–	20,171.7
Reclassifications cost	(12,539.2)	14,118.0	–	(3.8)	(1,566.1)	(8.9)	–	–
Depreciation charge	(27,834.8)	–	(89.9)	(182.4)	(25,051.2)	(2,316.8)	(34.8)	(55,509.9)
Translation differences	(8,365.9)	(5,722.1)	–	(18.3)	(2,129.6)	(149.5)	–	(16,385.4)
Closing net carrying amount	110,200.0	26,574.1	507.1	250.0	60,416.1	44,259.7	6,679.8	248,886.8
At 31 March 2026								
Cost	351,927.3	26,574.1	1,581.6	8,283.9	224,590.5	59,143.8	6,732.4	678,833.6
Accumulated depreciation	(241,727.3)	–	(1,074.5)	(8,033.9)	(164,174.4)	(14,884.1)	(52.6)	(429,946.8)
Net carrying amount	110,200.0	26,574.1	507.1	250.0	60,416.1	44,259.7	6,679.8	248,886.8

* Capital work-in-progress largely relates to self-constructed assets not yet completed. These mostly include network infrastructure, equipment and fibre that had not been brought to use as at year end.

Included in property and equipment are fully depreciated assets amounting to KShs 286,677.0 million (2025: KShs 265,068.6 million) which would have a notional depreciation of KShs 50,651.2 million (2025: KShs 42,455.8 million).

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

18 Property and equipment (continued)

	GROUP							
	Network infrastruc- ture KShs'Mn	Capital work in progress (CWIP)* KShs'Mn	Network mainten- ance spares KShs'Mn	Leasehold improve- ments KShs'Mn	Vehicles and equipment KShs'Mn	Fibre KShs'Mn	Freehold Property KShs'Mn	Total KShs'Mn
Year ended 31 March 2025								
Opening net carrying amount	121,152.2	62,373.1	310.3	459.3	56,441.9	36,096.9	207.6	277,041.3
Additions	—	79,896.6	—	—	311.5	—	—	80,208.1
Transfers from CWIP	36,019.9	(70,609.5)	93.5	215.2	25,766.6	6,649.7	1,864.6	—
Asset retirement obligations (ARO) – adjustment	(847.4)	—	—	—	—	—	—	(847.4)
Disposal – cost	—	—	—	—	(123.4)	—	—	(123.4)
Depreciation on disposals	—	—	—	—	118.1	—	—	118.1
Reclassifications cost	(66.3)	—	—	—	156.2	1.2	(91.1)	—
Depreciation on reclassifications	0.5	—	—	—	0.9	(1.7)	0.3	—
Asset retirement – cost	(4,417.1)	—	—	—	(10,404.0)	—	—	(14,821.1)
Asset retirement – depreciation	4,417.1	—	—	—	10,404.0	—	—	14,821.1
Depreciation charge	(22,196.0)	—	(101.6)	(224.6)	(26,417.0)	(2,042.6)	(18.1)	(50,999.9)
Hyperinflation adjustment	10,976.2	(3,736.6)	—	23.8	4,974.8	110.4	—	12,348.6
Translation differences	(34,773.5)	(26,052.2)	—	(77.8)	(9,213.8)	(427.2)	—	(70,544.5)
Closing net carrying amount	110,265.6	41,871.4	302.2	395.9	52,015.8	40,386.7	1,963.3	247,200.9
At 31 March 2025								
Cost	345,355.4	41,871.4	1,989.5	8,269.0	194,919.7	52,968.8	1,981.1	647,354.9
Accumulated depreciation	(235,089.8)	—	(1,687.3)	(7,873.1)	(142,903.9)	(12,582.1)	(17.8)	(400,154.0)
Net carrying amount	110,265.6	41,871.4	302.2	395.9	52,015.8	40,386.7	1,963.3	247,200.9

* Capital work-in-progress largely relates to self-constructed assets not yet completed. These mostly include network infrastructure, equipment and fibre that had not been brought into use as at year end.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

18 Property and equipment (continued)

	COMPANY							
	Network infrastructure KShs'Mn	Capital work in progress (CWIP)* KShs'Mn	Network maintenance spares KShs'Mn	Leasehold improvements KShs'Mn	Vehicles and equipment KShs'Mn	Fibre KShs'Mn	Freehold Property KShs'Mn	Total KShs'Mn
Year ended 31 March 2026								
Opening net carrying amount	64,097.8	14,128.1	302.2	290.2	40,291.3	39,731.4	1,963.3	160,804.3
Additions	–	50,897.5	–	–	67.5	–	4,751.3	55,716.3
Transfers from CWIP	19,047.7	(55,071.8)	297.7	25.0	30,040.4	5,661.0	–	–
Disposal – cost	(16,734.1)	–	(705.6)	–	(1,465.5)	–	–	(18,905.2)
Depreciation on disposals	16,734.1	–	702.6	–	1,464.4	–	–	18,901.1
Asset retirement obligation adjustments	(865.5)	–	–	–	–	–	–	(865.5)
Depreciation charge	(19,420.5)	–	(89.9)	(150.3)	(19,730.5)	(2,257.0)	(34.8)	(41,683.0)
Closing net carrying amount	62,859.5	9,953.8	507.0	164.9	50,667.6	43,135.4	6,679.8	173,968.0
At 31 March 2026								
Cost	290,002.6	9,953.8	1,581.6	8,143.3	202,452.7	57,932.3	6,732.4	576,798.7
Accumulated depreciation	(227,143.1)	–	(1,074.6)	(7,978.4)	(151,785.1)	(14,796.9)	(52.6)	(402,830.7)
Net carrying amount	62,859.5	9,953.8	507.0	164.9	50,667.6	43,135.4	6,679.8	173,968.0

* Capital work-in-progress largely relates to self-constructed assets yet to be completed. These mostly include network infrastructure, equipment and fibre that had not been brought into use as at year end.

Included in property and equipment are fully depreciated assets amounting to KShs 285,179.2 million (2025: KShs 265,032.7 million) which would have a notional depreciation of KShs 50,503.1 million (2025: KShs 42,455.8 million).

Included in property and equipment is KShs 4,567.6 million (2025: KShs 4,225.8 million) relating to expenditures recognised in the carrying amount of property and equipment during its construction.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

18 Property and equipment (continued)

	COMPANY							
	Network infrastruc- ture KShs'Mn	Capital work in progress (CWIP)* KShs'Mn	Network mainten- ance spares KShs'Mn	Leasehold improve- ments KShs'Mn	Vehicles and equipment KShs'Mn	Fibre KShs'Mn	Freehold Property KShs'Mn	Total KShs'Mn
Year ended 31 March 2025								
Opening net carrying amount	58,399.1	15,335.8	310.2	319.1	39,703.9	35,322.5	207.6	149,598.2
Additions	—	51,870.5	—	—	188.3	—	—	52,058.8
Transfers from CWIP	23,439.7	(53,078.2)	93.6	172.3	21,090.5	6,417.5	1,864.6	—
Asset retirement obligations adjustments	(847.4)	—	—	—	—	—	—	(847.4)
Disposal – cost	—	—	—	—	(123.4)	—	—	(123.4)
Depreciation on disposals	—	—	—	—	118.1	—	—	118.1
Reclassifications cost	(66.3)	—	—	—	156.2	1.2	(91.1)	—
Depreciation on reclassifications	0.5	—	—	—	0.9	(1.7)	0.3	—
Asset retirement – cost	(4,417.1)	—	—	—	(10,404.0)	—	—	(14,821.1)
Asset retirement – depreciation	4,417.1	—	—	—	10,404.0	—	—	14,821.1
Depreciation charge	(16,827.8)	—	(101.6)	(201.2)	(20,843.2)	(2,008.1)	(18.1)	(40,000.0)
Closing net carrying amount	64,097.8	14,128.1	302.2	290.2	40,291.3	39,731.4	1,963.3	160,804.3
At 31 March 2025								
Cost	288,554.4	14,128.1	1,989.5	8,118.3	173,810.0	52,271.4	1,981.1	540,852.8
Accumulated depreciation	(224,456.6)	—	(1,687.3)	(7,828.1)	(133,518.7)	(12,540.0)	(17.8)	(380,048.5)
Net carrying amount	64,097.8	14,128.1	302.2	290.2	40,291.3	39,731.4	1,963.3	160,804.3

* Capital work-in-progress largely relates to self-constructed assets not yet completed. These mostly include network infrastructure, equipment and fibre that had not been brought into use as at year end.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

19 Indefeasible rights-of-use (IRU)

	GROUP AND COMPANY				
	SEACOM KShs'Mn	KPLC* KShs'Mn	TEAMS** KShs'Mn	SIMBA Gera KShs'Mn	Total KShs'Mn
Year ended 31 March 2026					
Opening carrying amount	383.1	202.9	1,134.4	1,490.2	3,210.6
Depreciation charge	(133.7)	(41.9)	(308.5)	(102.2)	(586.3)
Net carrying amount	249.4	161.0	825.9	1,388.0	2,624.3
At 31 March 2026					
Cost	1,534.9	838.3	3,253.0	1,532.5	7,158.7
Accumulated depreciation	(1,285.5)	(677.3)	(2,427.1)	(144.5)	(4,534.4)
Net carrying amount	249.4	161.0	825.9	1,388.0	2,624.3
Year ended 31 March 2025					
Opening carrying amount	459.8	244.8	1,297.1	–	2,001.7
Additions	–	–	–	1,532.5	1,532.5
Depreciation charge	(76.7)	(41.9)	(162.7)	(42.3)	(323.6)
Net carrying amount	383.1	202.9	1,134.4	1,490.2	3,210.6
At 31 March 2025					
Cost	1,534.9	838.3	3,253.0	1,532.5	7,158.7
Accumulated depreciation	(1,151.8)	(635.4)	(2,118.6)	(42.3)	(3,948.1)
Net carrying amount	383.1	202.9	1,134.4	1,490.2	3,210.6

* KPLC – Kenya Power and Lighting Company.

** TEAMS – The East African Marines Systems Limited.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

20 Investment properties (Group and Company)

The investment properties relate to vacant parcels of land title No. 164259 and 164260 located in the Nairobi area. This land does not generate any rental income or direct operating costs. There are no restrictions attached to realisability of the investment properties or the remittance of income and proceeds of disposal.

There are no contractual obligations to purchase, construct or develop investment properties or for repairs, maintenance, or enhancements.

The fair value measurement of the investment property as at 31 March 2026 was performed by a registered and independent valuation firm who has valuation experience for similar properties in Kenya. They are members of the Institute of Surveyors of Kenya. The fair value was determined by reference to market evidence of recent transactions for similar properties. In estimating the fair value of the properties, the highest and best use of those similar properties was assumed.

	GROUP AND COMPANY	
	2026 KShs'Mn	2025 KShs'Mn
At start of year	960.0	935.0
Net (loss)/gain from fair value remeasurement	(90.0)	25.0
At end of year	870.0	960.0

Details of the Group's and Company's investment properties and information about fair value hierarchy as at 31 March 2026 and 31 March 2025 is as follows:

Non-financial asset	Fair Value as at 31 March 2026 KShs'Mn	Fair Value as at 31 March 2025 KShs'Mn	Fair value hierarchy	Valuation technique (s) and key inputs	Significant unobservable inputs
Investment properties	870.0	960.0	Level III	Market comparison approach	Recent sale transactions for similar properties in the neighbourhood

Sensitivity analysis

If there was a 10% change in the selling prices of similar properties, with all other variables held constant, the fair value of the investment properties would have been KShs 87.0 million lower/higher (2025: KShs 96.0 million lower/higher).

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

21 Intangible assets – Network Licences

The cost of Group intangible assets at end of March 2026 was KShs 139,528.8 million (Company KShs 60,044.0 million) and accumulated amortisation was KShs 31,363.8 million (Company: 11,173.1 million). Below is the movement of intangibles as at 31 March 2026 and 31 March 2025.

	GROUP	
	2026 KShs'Mn	2025 KShs'Mn
Opening carrying amount	111,455.8	194,280.7
Additions	20,794.3	12,238.5
Derecognition – cost	(9,661.5)	–
Derecognition – amortisation	9,661.5	–
Hyperinflation adjustment	–	10,454.3
Translation differences	(14,643.3)	(95,564.3)
Amortisation charge	(9,441.8)	(9,953.4)
Net carrying amount	108,165.0	111,455.8
Cost	139,528.8	146,754.3
Accumulated amortisation	(31,363.8)	(35,298.5)
Closing net carrying amount	108,165.0	111,455.8

	COMPANY	
	2026 KShs'Mn	2025 KShs'Mn
Opening carrying amount	31,227.9	21,841.4
Additions	20,794.3	12,238.5
Derecognition – cost	(9,661.5)	–
Derecognition – amortisation	9,661.5	–
Amortisation charge	(3,151.3)	(2,852.0)
Net carrying amount	48,870.9	31,227.9
Cost	60,044.0	48,911.2
Accumulated amortisation	(11,173.1)	(17,683.3)
Closing net carrying amount	48,870.9	31,227.9

Derecognition represents amounts written off upon expiry of the licence. In the current year, KShs 9,661.5 million was derecognised (2025: Nil).

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

22 Leases

22(a) Right of use (ROU) asset

	GROUP						
	Site KShs'Mn	Co-location KShs'Mn	Shops KShs'Mn	Facilities KShs'Mn	Secondees houses KShs'Mn	Equipment KShs'Mn	Total KShs'Mn
Year ended 31 March 2026							
At start of year	9,905.5	26,948.4	626.9	1,235.6	33.2	–	38,749.6
Additions	2,721.9	9,979.6	298.2	2,420.4	9.8	338.2	15,768.1
Terminations and revisions – cost	(1,244.9)	(6,660.1)	(504.5)	(2,526.2)	(372.1)	(17.5)	(11,325.3)
Depreciation charge	(1,893.6)	(5,347.2)	(341.8)	(759.7)	(19.4)	(40.4)	(8,402.1)
Termination and revisions – depreciation	970.5	2,348.6	583.2	2,550.9	369.1	17.5	6,839.8
Translation differences	(796.5)	(2,283.8)	(12.3)	(163.6)	(3.8)	–	(3,260.0)
Net carrying amount	9,662.9	24,985.5	649.7	2,757.4	16.8	297.8	38,370.1
Cost	17,780.7	40,788.5	1,994.5	4,899.3	351.0	338.2	66,152.3
Accumulated depreciation	(8,117.8)	(15,803.0)	(1,344.8)	(2,141.9)	(334.2)	(40.4)	(27,782.1)
Closing net carrying amount	9,662.9	24,985.5	649.7	2,757.4	16.8	297.8	38,370.1

	GROUP					
	Site KShs'Mn	Co-location KShs'Mn	Shops KShs'Mn	Facilities KShs'Mn	Secondees houses KShs'Mn	Total KShs'Mn
Year ended 31 March 2025						
At start of year	13,985.1	41,402.6	952.8	3,032.2	83.0	59,455.7
Additions	1,090.6	5,322.3	82.8	151.0	–	6,646.7
Terminations and revisions – cost	286.9	(67.9)	(49.6)	0.2	(21.8)	147.8
Depreciation charge	(1,694.7)	(3,974.0)	(294.1)	(842.1)	(19.0)	(6,823.9)
Termination and revisions – depreciation	164.5	(783.5)	21.0	3.9	15.3	(578.8)
Hyperinflation adjustment	609.3	1,573.1	11.4	140.7	3.0	2,337.5
Translation differences	(4,536.2)	(16,524.2)	(97.4)	(1,250.3)	(27.3)	(22,435.4)
Net carrying amount	9,905.5	26,948.4	626.9	1,235.6	33.2	38,749.6
At 31 March 2025						
Cost	17,383.2	40,468.6	2,227.6	5,326.0	877.4	66,282.8
Accumulated depreciation	(7,477.7)	(13,520.2)	(1,600.7)	(4,090.4)	(844.2)	(27,533.2)
Closing net carrying amount	9,905.5	26,948.4	626.9	1,235.6	33.2	38,749.6

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

22 Leases (continued)

22(a) Right of use (ROU) asset (continued)

	COMPANY						
	Site KShs'Mn	Co-location KShs'Mn	Shops KShs'Mn	Facilities KShs'Mn	Seconddees houses KShs'Mn	Equipment KShs'Mn	Total KShs'Mn
Year ended 31 March 2026							
At start of year	5,690.9	14,386.9	555.3	249.4	17.6	–	20,900.1
Additions	2,223.3	7,707.1	306.3	2,403.8	10.2	338.2	12,988.9
Terminations and revisions cost	(1,157.9)	(47.9)	(476.8)	(2,275.1)	(60.6)	(17.5)	(4,035.8)
Depreciation charge	(1,350.1)	(3,895.1)	(313.9)	(492.2)	(14.0)	(40.4)	(6,105.7)
Terminations and revisions – depreciation	912.5	(130.0)	554.4	2,362.2	60.6	17.5	3,777.2
Net carrying amount	6,318.7	18,021.0	625.3	2,248.1	13.8	297.8	27,524.7
At 31 March 2026							
Cost	12,907.8	32,437.1	1,916.8	3,729.9	45.2	338.2	51,375.0
Accumulated depreciation	(6,589.1)	(14,416.1)	(1,291.5)	(1,481.8)	(31.4)	(40.4)	(23,850.3)
Closing net carrying amount	6,318.7	18,021.0	625.3	2,248.1	13.8	297.8	27,524.7

	COMPANY						
	Site KShs'Mn	Co-location KShs'Mn	Shops KShs'Mn	Facilities KShs'Mn	Seconddees houses KShs'Mn	Equipment KShs'Mn	Total KShs'Mn
Year ended 31 March 2025							
At start of year	5,799.0	11,584.0	776.7	775.0	33.4	–	18,968.1
Additions	754.4	5,322.3	77.2	2.6	0.0	–	6,156.5
Terminations and revisions cost	182.1	652.9	(49.6)	0.2	(21.8)	–	763.8
Depreciation charge	(1,208.2)	(2,388.8)	(270.2)	(528.8)	(9.3)	–	(4,405.3)
Terminations and revisions – depreciation	163.6	(783.5)	21.20	0.4	15.3	–	(583.0)
Net carrying amount	5,690.9	14,386.9	555.3	249.4	17.6	–	20,900.1
At 31 March 2025							
Cost	11,842.4	24,777.8	2,087.3	3,601.3	95.6	–	42,404.4
Accumulated depreciation	(6,151.5)	(10,390.9)	(1,532.0)	(3,351.9)	(78.0)	–	(21,504.3)
Closing net carrying amount	5,690.9	14,386.9	555.3	249.4	17.6	–	20,900.1

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

22 Leases (continued)

22(b) Lease liabilities

The lease liabilities balance at the end of the year was as follows:

	GROUP		
	Current KShs'Mn	Non-current KShs'Mn	Total KShs'Mn
Year ended 31 March 2026			
At start of year	6,336.8	45,626.2	51,963.0
Additions	14,081.6	1,686.5	15,768.1
Interest charge	6,647.9	–	6,647.9
Payments	(10,529.8)	–	(10,529.8)
Terminations and revisions	(6,718.8)	–	(6,718.8)
Foreign exchange revaluation	–	5,494.3	5,494.3
Translation differences	(992.9)	(4,121.3)	(5,114.2)
At end of year	8,824.8	48,685.7	57,510.5
Year ended 31 March 2025			
At start of year	6,411.0	48,474.3	54,885.3
Additions	6,207.6	439.1	6,646.7
Interest charge	5,109.1	–	5,109.1
Payments	(11,009.0)	–	(11,009.0)
Terminations and revisions	(166.5)	–	(166.5)
Foreign exchange revaluation	–	18,864.2	18,864.2
Translation differences	(215.4)	(22,151.4)	(22,366.8)
At end of year	6,336.8	45,626.2	51,963.0

Included in direct costs and recognised in the statement of profit or loss for the year is an amount of KShs 2,536.0 million (2025: KShs 2,535.8 million) for the Group and KShs 2,037.8 million (2025: KShs 1,704.7 million) for the Company, relating to short-term leases with a lease term of less than 12 months, which have not been recognised under IFRS 16.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

22 Leases (continued)

22(b) Lease liabilities (continued)

	COMPANY		
	Current KShs'Mn	Non-current KShs'Mn	Total KShs'Mn
Year ended 31 March 2026			
At start of year	5,780.6	20,890.8	26,671.4
Additions	4,969.4	8,019.5	12,988.9
Interest charge	4,428.4	–	4,428.4
Payments	(7,752.4)	–	(7,752.4)
Terminations and revisions	(238.6)	–	(238.6)
Foreign exchange revaluation	–	31.0	31.0
At end of year	7,187.4	28,941.3	36,128.7
Year ended 31 March 2025			
At start of year	5,163.1	18,409.1	23,572.2
Additions	3,564.9	2,591.6	6,156.5
Interest charge	3,079.4	–	3,079.4
Payments	(6,794.0)	–	(6,794.0)
Terminations and revisions	767.2	–	767.2
Foreign exchange revaluation	–	(109.9)	(109.9)
At end of year	5,780.6	20,890.8	26,671.4

Payments split

The lease payment split is as follows:

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Repayment of lease liabilities – principal	3,984.4	7,808.6	3,154.6	3,714.6
Repayment of lease liabilities – interest	6,545.4	3,200.4	4,597.8	3,079.4
Total payments	10,529.8	11,009.0	7,752.4	6,794.0

22(c) Maturity analysis of undiscounted lease liabilities

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Less than 1 year	13,842.0	10,528.2	9,925.8	5,915.3
Greater than 1 year	57,795.0	61,056.6	32,117.3	28,541.7
Total	71,637.0	71,584.8	42,043.1	34,457.0

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

23 Investments

From time to time the Group invests in various entities in the form of subsidiaries, associates and joint arrangements and ventures for strategic reasons in order to achieve its overall objective of transforming lives.

23(a) Investment in subsidiaries

All subsidiaries are unlisted and have the same year end as the Company except for Safaricom Money Transfer Services Limited and Safaricom Insurance Agency Limited which have a 31 December year-end because of Central Bank of Kenya's reporting guidelines and The Insurance Act respectively. The investments relate to cost of shares held in the subsidiaries.

	COMPANY	
	2026 KShs'Mn	2025 KShs'Mn
At start of year	128,492.5	98,779.6
Additional investment:		
– Safaricom Ventures Limited	–	(0.3)
– Vodafamily Ethiopia Holding Limited – cash ¹	19,641.6	30,161.4
– Vodafamily Ethiopia Holding Limited – non-cash	(326.7)	(448.3)
– M-PESA Holding Co. Limited ²	–	–
–Safaricom Insurance Agency Limited ³	–	0.1
At end of year	147,807.4	128,492.5

¹ In April 2021, Safaricom Plc, in partnership with Vodacom Group Limited, Sumitomo Corporation, and British International Investment Plc (BII), formerly CDC Group Plc, invested in Ethiopia. Safaricom Plc and Vodacom Group, through Vodafamily Ethiopia Holding Company Limited (a private limited company incorporated under the laws of England and Wales, United Kingdom), together with Sumitomo Corporation and BII, incorporated Global Partnership for Ethiopia (GPE) B.V. (a private limited company incorporated in the Netherlands) as the investment vehicle for Ethiopia. The respective shareholding in the company is Vodafamily Ethiopia Holding 61.9% (Safaricom Plc 55.71% and Vodacom Group 6.19%), Sumitomo Corporation 27.2%, and BII Group Plc 10.9%. The intention was to bid for one of the telecommunications licences in Ethiopia.

On 26 April 2021, Global Partnership for Ethiopia B.V. ("GPE") submitted a response to the Request for Proposals ("RFP") issued by the Government of Ethiopia ("GoE") through the Ethiopian Communications Authority ("ECA"). On 24 May 2021, the ECA formally notified GPE of its decision to award it one of the two telecommunications licences available under the bid process. A licence fee of USD 850 million was paid to the Government of Ethiopia. In addition, transaction fees of USD 4 million were paid to the International Finance Corporation ("IFC"). The total cost was allocated to each consortium partner in proportion to their respective shareholding in GPE.

GPE subsequently incorporated a wholly owned subsidiary, Safaricom Telecommunications Ethiopia Plc ("STE"), in Ethiopia, and a certificate of operation was issued on 6 July 2021 in accordance with Ethiopian regulatory requirements. Safaricom Plc holds an indirect shareholding of 55.71% in STE. STE's principal activity is to hold and operate the telecommunications licence granted to GPE by the Federal Republic of Ethiopia. The subsidiary was established during the FY2021 financial reporting period and has been consolidated in the Group's financial statements for the year ended 31 March 2026.

In August 2023, the International Finance Corporation ("IFC") acquired a 7.25% interest in GPE. Following this, the shareholding structure changed to Vodafamily Ethiopia Holding 57.41% (Safaricom Plc 51.67% and Vodacom Group 5.74%) and GPE B.V. holding 42.59% (Sumitomo Corporation 25.23%, British International Investment 10.11% and IFC 7.25%).

During the year, the Group, through its subsidiary Vodafamily Ethiopia Holding Limited, made additional capital contributions, while the other shareholders did not participate. As a result, the Group's ownership interest increased from 51.67% to 54.17%.

In accordance with the shareholders' agreement, the non-participating shareholders retain the right to acquire their respective "catch-up" shares from the Group at a future date to restore their original ownership proportions.

Accordingly, the shareholding structure of GPE as at 31 March was as follows:

- Vodafamily Ethiopia Holding Limited – 60.19% (comprising Safaricom Plc 54.17% and Vodacom Group 6.02%) (2025: 57.41%, comprising Safaricom Plc 51.67% and Vodacom Group 5.74%)
- Sumitomo Corporation – 23.50% (2025: 25.25%)
- BII – 9.50% (2025: 10.11%)
- IFC – 6.81% (2025: 7.25%)

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

23 Investments (continued)

23(a) Investment in subsidiaries (continued)

During the financial year, the Company invested 152 million US dollar equivalent to KShs 19,641.6 million (2025: 230.9 million US dollar equivalent to KShs 30,161.4 million), in Vodafamily Ethiopia Holding Limited.

² Acquisition of M-PESA Holding Co. Limited

Following the regulatory approvals and ratification by shareholders at the Annual General Meeting held on 28 July 2023, Safaricom Plc acquired the entire issued share capital of M-PESA Holding Co. Limited (MPHCL) from Vodafone International Holdings BV for \$1. The acquisition of MPHCL marks the Safaricom's increased control of the major aspects of the mobile money services which was deemed to be necessary given that it is the licensed payment provider. Safaricom oversees the operations of the Trust, with the overall responsibility of the Trust being held by the appointed directors.

The results of MPHCL have not been consolidated in these financial statements.

³ Safaricom Insurance Agency Limited

Following the regulatory approvals in May 2024, Safaricom Plc, was licensed to offer insurance intermediary services via Safaricom Insurance Agency Limited (SIAL). This will allow Safaricom to offer solutions to customers by co creating insurance products with insurance companies in the market, such as health, motor, business, travel and accident insurance policies.

Below is the contribution for Non-Controlling Interest (NCI) arising from their ownership in GPE and STEP:

Name	Non-controlling Interest (NCI) percentage	At start of year KShs'Mn	Contribution by NCI shareholders KShs'Mn	Losses allocated to NCI KShs'Mn	Other reserves KShs'Mn	Redistribution of losses after change in shareholding KShs'Mn	Totals non-controlling interest (NCI) KShs'Mn
At 31 March 2026							
Vodacom Group Limited	6.02%	5,670.9	2,371.3	(2,801.7)	(1,063.5)	(450.3)	3,726.7
Sumitomo Corporation	23.50%	24,083.0	3,955.2	(11,292.8)	(4,151.9)	2,774.3	15,367.8
British International Investment	9.50%	9,650.7	1,819.8	(4,564.7)	(1,677.6)	998.2	6,226.4
International Financial Corporation (IFC)	6.81%	6,921.2	1,305.0	(3,273.4)	(1,203.1)	715.7	4,465.4
Total	45.83%	46,325.8	9,451.3	(21,932.6)	(8,096.1)	4,037.9	29,786.3

Name	Non-controlling Interest (NCI) percentage	At start of year KShs'Mn	Contribution by NCI shareholders KShs'Mn	Losses allocated to NCI KShs'Mn	Other reserves KShs'Mn	Totals non-controlling interest (NCI) KShs'Mn
At 31 March 2025						
Vodacom Group Limited	5.74%	12,996.5	3,350.7	(2,858.6)	(7,817.7)	5,670.9
Sumitomo Corporation	25.23%	57,106.2	13,883.7	(12,548.3)	(34,358.6)	24,083.0
British International Investment	10.11%	22,884.5	5,563.4	(5,028.5)	(13,768.7)	9,650.7
International Financial Corporation (IFC)	7.25%	16,411.6	3,989.6	(3,606.1)	(9,873.9)	6,921.2
Total	48.33%	109,398.8	26,787.4	(24,041.5)	(65,818.9)	46,325.8

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

23 Investments (continued)

23(a) Investment in subsidiaries (continued)

The Company's interest in its subsidiaries was as follows:

	Year end	% Interest held	2026 KShs'Mn	2025 KShs'Mn
One Communications Limited and its subsidiaries ¹	31 March	100	–	–
Digifarm Kenya Limited ²	31 March	100	0.1	0.1
Safaricom Ventures Limited (formerly Instaconnect Limited) ³	31 March	100	491.5	491.5
Vodafamily Ethiopia Holding Limited	31 March	90	147,295.7	127,980.8
Safaricom Money Transfer Services Limited	31 December	100	20.0	20.0
East Africa Tower Company Limited ⁴	31 March	100	–	–
M-PESA Holding Co. Limited	31 December	100	–	–
Safaricom Insurance Agency Limited	31 December	100	0.1	0.1
			147,807.4	128,492.5

¹ The subsidiaries includes Comtec Training Management Services Limited, Comtec Integrations System Limited and Flexible Bandwidth Service Limited. The investment in One Communications Limited and its subsidiaries were written down in the year ended 31 March 2017.

² In October 2019, Digifarm Kenya Limited was incorporated as a 100% owned subsidiary by Safaricom Plc. The nominal share capital of the Company is KShs 100,000 divided into 1,000 ordinary shares of KShs 100 each. The entity is primarily designed to offer agribusiness technology support services to Kenyan farmers linking the entire production chain by connecting producers to buyers and cushioning farmers from middlemen. Other expected value additions to the Digifarm model will be filling the gaps below:

- Access to financial services – credit and insurance
- Access to quality inputs
- Knowledge on best farming practices through extension services
- Access to market and post-harvest loss management.

³ Safaricom Plc repurposed its existing subsidiary, Instaconnect Limited (now renamed Safaricom Ventures Limited), to facilitate an investment in East Africa Device Assembly Kenya Limited (EADAK), an entity established to undertake mobile phone assembly in Kenya in collaboration with other shareholders. As at 31 March 2026 the Group held a 25% equity interest in EADAK (2025: 25%).

⁴ The investment in East Africa Tower Company Limited was written down in the year ended 31 March 2017.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

23 Investments (continued)

23(a) Investment in subsidiaries (continued)

The summarised financial information of Vodafamily Ethiopia Holding Limited consolidated is provided below. The subsidiary is incorporated in United Kingdom and the principal place of business is London, United Kingdom. This information is based on amounts before inter-company eliminations.

Vodafamily Ethiopia Holding Limited consolidated summarised statement of profit or loss and other comprehensive income for year ended 31 March

	2026 KShs'Mn	2025 KShs'Mn
Total revenue	17,355.7	7,529.0
Total expenses	(32,708.2)	(41,221.0)
Loss before interest, tax, depreciation and amortisation	(15,352.5)	(33,692.0)
Depreciation and amortisation	(22,358.2)	(20,464.1)
Financing costs	(13,079.9)	(12,703.4)
Finance income	3,915.7	5,863.1
Hyperinflationary monetary gain (Note 35)	–	11,222.3
Income tax expense	(273.5)	–
Loss after tax	(47,148.4)	(49,774.1)
Other comprehensive loss		
Exchange differences on translation of foreign operations	(17,667.3)	(153,790.2)
Total comprehensive loss	(64,815.7)	(203,564.4)
Attributable to non-controlling interests	(30,028.7)	(98,484.5)

Vodafamily Ethiopia Holding Limited consolidated summarised statement of financial position as at 31 March

	2026 KShs'Mn	2025 KShs'Mn
Equity attributable to:		
Equity holders of parent	31,850.8	55,896.4
Non-controlling interest	29,786.3	41,463.3
Non-current liabilities	72,196.0	70,693.0
Total equity and non-current liabilities	133,833.1	168,052.7
Non-current assets	153,315.4	185,641.4
Current assets		
Cash and cash equivalents	7,964.5	11,534.4
Other current assets	11,228.3	10,698.8
Total current assets	19,192.8	22,233.2
Current liabilities	38,675.1	39,821.9
	133,833.1	168,052.7

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

23 Investments (continued)

23(a) Investment in subsidiaries (continued)

Vodafamily Ethiopia Holding Limited Consolidated Summarised cashflow information for year ended 31 March

	2026 KShs'Mn	2025 KShs'Mn
Cash flows from operating activities	(30,658.0)	(6,074.5)
Cash flows from investing activities	(22,300.8)	(14,860.7)
Cash flows from financing activities	51,840.3	70,551.0
Net (decrease)/increase in cash and cash equivalents	(1,118.5)	49,615.8
Movement in cash and cash equivalents		
At start of year	11,534.4	1,561.1
Net foreign exchange difference	(2,451.4)	(4,810.7)
Net monetary gain on cash and cash equivalents	–	(34,831.8)
(Decrease)/increase in cash and cash equivalents	9,083.0	49,615.8
Closing cash and cash equivalents	7,964.5	11,534.4

23(b) Investment in associates and joint venture – Group and Company

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Investment in associates				
The East African Marines Systems Limited (TEAMS)	155.6	156.5	155.6	156.5
East Africa Device Assembly of Kenya (EADAK)	332.7	112.1	–	–
Total investment in associates	488.3	268.6	155.6	156.5
Investment in joint venture				
M-PESA Africa Limited	6,879.6	6,778.1	6,879.6	6,778.1
Total investment in joint venture	6,879.6	6,778.1	6,879.6	6,778.1
Total investment in associates and joint venture	7,367.9	7,046.7	7,035.2	6,934.6
The movement in investment in associates and joint venture is as follows:				
TEAMS				
At start of year	156.5	143.3	156.5	143.3
Share of (loss)/profit	(0.9)	13.2	(0.9)	13.2
At end of year	155.6	156.5	155.6	156.5
EADAK				
At start of year	112.1	80.6	–	–
Share of profit	220.6	44.0	–	–
Dividends received	–	(12.5)	–	–
At end of year	332.7	112.1	–	–
Total share of profit/(loss) of associates	219.7	57.2	(0.9)	13.2
Total (reduction)/additional investment in associates	–	(12.5)	–	–
M-PESA Africa Limited				
At start of year	6,778.1	3,318.6	6,778.1	3,318.6
Share of profit/(loss) from M-PESA Africa Limited	51.3	(1,234.7)	51.3	(1,234.7)
Additional investment in the year (non-cash)	50.2	2,424.2	50.2	2,424.2
Additional investment in the year (cash)	–	2,270.0	–	2,270.0
At end of year	6,879.6	6,778.1	6,879.6	6,778.1
At end of year – investment in associates and joint venture	7,367.9	7,046.7	7,035.2	6,934.6

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

23 Investments (continued)

23(b) Investment in associates and joint venture – Group and Company (continued)

Included in investments in associates is the Group's 32.5% (2025: 32.5%) equity interest in The East African Marine System Limited (TEAMS). TEAMS is a private entity with no quoted market price for its shares. Its principal place of business and country of incorporation is Kenya. The Group has no contingent liabilities in respect of its interest in this associate.

The East African Marine System Limited (TEAMS) has a 30 June financial year end and derives its revenue from the provision of submarine fibre optic cable capacity. Management has assessed that variability in the results of the associate is not expected to have a significant impact on the Group's financial performance. Accordingly, the unaudited results for the nine months ended 31 March 2026 have been included in the Group's financial statements.

Set out below is the summarised financial information for TEAMS as at 31 March 2026, which has been accounted for using the equity method.

TEAMS summarised statement of financial position as at 31 March

	2026 KShs'Mn	2025 KShs'Mn
Total equity	420.9	424.3
Current liabilities	157.6	123.1
Non-current liabilities	–	–
Total liabilities & equity	578.5	547.4
Non-current assets	20.6	16.9
Current assets	557.9	530.5
Total assets	578.5	547.4

TEAMS summarised statement of profit or loss and other comprehensive income for the 9 months period ended 31 March

	2026 KShs'Mn	2025 KShs'Mn
Revenue	239.7	221.9
Other income	4.8	13.0
Total Income	244.5	234.9
Establishment expenses	(192.8)	(191.6)
Administrative expenses	(28.4)	(27.8)
Total expenses	(221.2)	(219.4)
Profit before tax	23.3	15.5
Income tax expense	(6.3)	(4.7)
Profit after tax	17.0	10.8
Share of profit of associate (32.5%)	5.5	3.5
Total share of profit of associate reported in the year	(0.9)	13.2
Share of profit overbooked in previous year	6.4	(9.7)

The information above reflects the amounts presented in the management accounts of the associate and not Safaricom Plc's share of those amounts, adjusted for differences in accounting policies between the Company and associate. The results of TEAMS do not have a material impact on the Group's results.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

23 Investments (continued)

23(b) Investment in associates and joint venture – Group and Company (continued)

There are no significant restrictions on the ability of the JV to transfer funds to Safaricom Plc in the form of a cash dividend or repayment of loans. Decisions by the JV to declare and/or pay any dividend or make any capital distribution to shareholders must have prior written consent of the existing shareholders.

The joint venture is accounted for using equity method in these consolidated and separate financial statements. Summarised financial information in respect of Safaricom Plc investment in joint venture as at year end is set out below:

In March 2020, Safaricom Plc and Vodacom Group Limited completed the acquisition of the M-PESA brand, product development and support services from Vodafone Group Plc through the Joint Venture (JV), M-PESA Africa Limited. The new objective of the JV is to strategically help accelerate M-PESA growth in Africa and giving both Safaricom Plc and Vodacom Group Limited full control of the M-PESA brand in Africa. Safaricom Plc owns 50% of the issued share capital of the JV with Vodacom Group Limited owning the remaining 50%.

The JV is registered in Kenya and has a 100% owned subsidiary, K2019102008 (South Africa) (Proprietary) Limited registered in South Africa.

M-PESA Africa Limited summarised statement of financial position as at 31 March

	2026 KShs'Mn	2025 KShs'Mn
Total equity	14,921.0	14,399.2
Non-current liabilities		
Deferred income tax	2,647.3	2,458.9
Other non-current financial liabilities	2,166.1	3,654.5
Total non-current liabilities	4,813.4	6,113.4
Total equity and non-current liabilities	19,734.4	20,512.6
Non-current assets	19,108.3	20,636.4
Current assets		
Cash and cash equivalents	1,541.5	1,677.0
Other current assets	2,509.4	1,672.5
Total current assets	4,050.9	3,349.5
Current liabilities		
Payables and accrued expenses	3,352.7	2,926.8
Other current financial liabilities	72.1	546.5
Total current liabilities	3,424.8	3,473.3
Net current assets/(liabilities)	626.1	(123.8)
	19,734.4	20,512.6

M-PESA Africa Limited summarised statement of profit or loss and other comprehensive income for year ended 31 March

	2026 KShs'Mn	2025 KShs'Mn
Revenue	8,076.5	6,695.6
Total expenses	(3,677.8)	(4,008.3)
Profit before interest, tax, depreciation and amortisation	4,398.7	2,687.3
Depreciation and amortisation	(3,571.4)	(3,695.0)
Financing cost	(207.1)	(721.4)
Income tax expense	(517.7)	(741.0)
Profit/(loss) after tax	102.5	(2,470.1)
Share of profit/(loss) from joint venture (50%)	51.3	(1,234.7)

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

23 Investments (continued)

23(c) Other investments held as financial assets through profit and loss

In December 2019, Safaricom completed a purchase of 18.96% of the issued shares capital of Circle Gas Limited (KShs 385 million), a company incorporated in England. Principal place of business for Circle Gas Limited is London, United Kingdom. Strategically, the investment in Circle Gas Limited solution is a digital service offering leveraging Internet of Things (IoT) and M-PESA, that will drive our ambition to be the leading digital services on Kenya whilst driving financial inclusion through technology by offering customers an affordable, clean energy source for cooking.

Circle Gas Limited has a 31 December year end and derives its revenues from the provision of affordable, clean energy source for cooking. Changes in the risk and fluctuation of the results of the associate is not expected to have a significant impact on the results of the Group. Initial Investment on Circle Gas Limited were fully written off by the reported losses.

In 2022 Circle Gas Limited subsequently issued ordinary shares which were used in settlement of debt. This led to a dilution of the Safaricom's shareholding to 14.648%. This investment was held as an investment in associate as per IAS 28.6 until September 2024.

In September 2024, Safaricom PLC's shareholding within Circle Gas Limited further declined to 9.538% following the conversion of two different loan notes to ordinary shares. Accordingly, following the reduction in shareholding, the evidence of significant influence did not exist and as such the investment in Circle Gas ceased treatment as an investment in associate as per IAS 28.6 and was recognised as a financial asset through profit and loss in accordance with IFRS 9.

Circle Gas Limited summarised statement of profit or loss and other comprehensive income

	12 months ended 31 December 2025 KShs'Mn	12 months ended 31 December 2022 KShs'Mn
Revenue	5,284.6	1,092.2
Expenses	(10,490.7)	(5,536.7)
Loss before tax	(5,206.1)	(4,444.5)
Income tax expense	117.3	18.4
Loss after tax	(5,088.8)	(4,426.1)
Share of loss after tax	–	–
Share of loss of associate – reported	–	–
Share of loss of associate – unrecognised	(485.4)	(648.4)

Circle Gas Limited summarised statement of financial position

	As at 31 December 2025 KShs'Mn	As at 31 December 2022 KShs'Mn
Total equity	(20,344.1)	(6,179.3)
Current liabilities	3,598.4	2,564.6
Non-current liabilities	27,562.3	13,090.3
Total liabilities & equity	10,816.6	9,475.6
Non-current assets	7,635.7	6,536.4
Current assets	3,180.9	2,939.2
Total assets	10,816.6	9,475.6

At the time of the report the financial statements for Circle Gas Limited as at 31 March had not been received. The investment is fully impaired.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

24 Inventories

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Handsets and accessories	1,710.1	3,052.8	1,443.8	2,412.1
Scratch cards	20.3	39.3	11.5	30.1
Starter packs	873.5	583.2	585.1	431.1
Stationery and other stocks	8.2	2.8	8.2	2.8
Less:				
– Provision for obsolescence	(992.6)	(741.1)	(984.9)	(668.1)
	1,619.5	2,937.0	1,063.7	2,208.0

The cost of inventories recognised as an expense during the year was KShs 10,770.1 million (2025: KShs 12,827.8 million) reported under direct costs in Note 6(a). The cost of inventories written down during the year is KShs 780.4 million (2025: KShs 413.9 million). This cost is included under direct costs in Note 6(a).

25 Trade and other receivables

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Current:				
Trade receivables	46,681.9	46,715.3	38,213.8	40,860.3
Less: Allowance for expected credit losses	(22,826.7)	(23,873.2)	(22,717.3)	(23,108.4)
	23,855.2	22,842.1	15,496.5	17,751.9
Receivable from related parties (Note 32 (viii))	444.9	248.6	7,657.1	5,104.1
Less: Allowance for expected credit losses	(0.4)	(6.5)	(3,666.2)	(1,785.7)
	444.5	242.1	3,990.9	3,318.4
Other receivables*	8,392.3	9,307.4	4,112.2	6,571.3
Less: Allowance for expected credit losses	(725.1)	(63.5)	(96.9)	(63.5)
	7,667.2	9,243.9	4,015.3	6,507.8
Prepayments	7,450.0	11,411.2	5,179.4	6,340.9
	39,416.9	43,739.3	28,682.1	33,919.0

* Other receivables comprise deposits and interest receivable.

The carrying amounts of the above receivables approximate their fair values.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

25 Trade and other receivables (continued)

Movements on the allowance for expected credit losses on trade receivables, other receivables and related parties' receivables are as follows:

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
At start of year	23,943.2	13,801.7	24,957.6	15,143.9
Allowance for expected credit losses for the year				
– Trade and other receivables	4,520.1	11,969.2	4,758.2	11,696.9
– Related parties	–	–	1,587.6	175.8
Release of prior year allowance	(818.0)	(844.4)	(818.0)	(844.4)
Provision for expected credit losses	3,702.1	11,124.8	5,527.8	11,028.3
Receivables written off during the year as uncollectible	(4,093.1)	(983.3)	(4,005.0)	(1,214.6)
Allowance for expected credit losses at year end	23,552.2	23,943.2	26,480.4	24,957.6
Provision for trade receivables	22,826.7	23,873.2	22,717.3	23,108.4
Provision for related parties	0.4	6.5	3,666.2	1,785.7
Provision for other receivables	725.1	63.5	96.9	63.5
Allowance for expected credit losses at year end	23,552.2	23,943.2	26,480.4	24,957.6

26 Cash and cash equivalents and restricted cash

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
26(a) Cash and cash equivalents				
Cash at bank	26,989.6	30,024.6	18,626.1	15,912.6
Allowance for expected credit losses	(34.3)	(32.8)	(8.9)	(4.3)
Hyperinflation adjustment	–	3.9	–	–
	26,955.3	29,995.7	18,617.2	15,908.3
26(b) Restricted cash				
Restricted cash	8,420.6	1,405.9	1,676.7	1,405.9
Discounting adjustment at inception	(281.8)	(407.3)	(281.8)	(407.3)
	8,138.8	998.6	1,394.9	998.6
26(c) Deferred restricted cash asset				
Discounting adjustment at inception (Note 26(b))	281.8	407.3	281.8	407.3
Accumulated amortisation	(193.6)	(224.0)	(193.6)	(224.0)
Net deferred restricted cash asset	88.2	183.3	88.2	183.3
26(d) Restricted cash asset movement				
At start of year	1,181.9	1,451.8	1,181.9	1,451.8
Net additions	7,014.7	–	270.8	–
Repayments	–	(272.0)	–	(272.0)
Amortisation of deferred restricted cash asset	30.4	2.1	30.4	2.1
Net deferred restricted cash asset at end of year	8,227.0	1,181.9	1,483.1	1,181.9

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

26 Cash and cash equivalents and restricted cash (continued)

Restricted cash relates to deposits held with Housing Finance Group Limited, NCBA Bank Kenya Plc and KCB Bank Kenya Limited. The cash is used as a backup to the staff mortgage loans and its withdrawal is restricted.

The restricted cash has a significant timing difference due to the contractual period of the mortgage loans, therefore the fair value of the restricted cash upon initial recognition includes the effect of discounting taking the impact of time value of money into consideration. The fair value of the restricted cash on initial recognition was determined using the discounted cash flow method. The difference between the actual cash held as deposits and the fair value (i.e., the deferred restricted cash asset) is amortised over the term of the deposit. Subsequently, the restricted cash is carried at amortised cost.

The fair value adjustment at inception is amortised over the period of the staff's mortgage.

27 Restricted cash – letter of credit

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
At start of year	456.9	1,563.4	–	–
Foreign exchange differences	(163.4)	(303.6)	–	–
Addition/(repayment) in the year	793.8	(802.9)	–	–
At end of year	1,087.3	456.9	–	–

Restricted cash comprises cash held as collateral against loans and cash pledged for letters of credit issued to various suppliers.

28 Mobile financial deposits and payables

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Mobile financial deposit	1,611.8	569.1	–	–
Mobile financial payable	(1,611.8)	(569.1)	–	–
At end of year	–	–	–	–

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

29(a) Payables and accrued expenses

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Trade payables	14,055.9	17,062.5	16,512.8	15,191.7
Due to related companies (Note 32 (ix))	4,682.4	4,044.1	1,226.7	1,656.5
Accrued liabilities:				
– Network infrastructure	46,344.5	57,594.1	18,458.2	9,285.2
– Inventory	428.1	565.8	318.0	460.1
– Other expenses	15,803.8	15,274.2	13,471.4	12,809.1
Other payables:				
– Indirect and other taxes payable	8,493.7	6,950.9	7,983.1	6,777.8
– M-PESA agent accrual	3,077.4	3,152.8	3,068.6	3,152.3
– Other accrued payables*	1,947.9	391.6	1,759.4	2,507.9
Total payables and accrued expenses	94,833.7	105,036.0	62,798.2	51,840.6
Current	80,263.9	84,571.5	57,599.8	48,962.1
Non-current	14,569.8	20,464.5	5,198.4	2,878.5
At end of year	94,833.7	105,036.0	62,798.2	51,840.6

* Other accrued payables include accruals for items such as dealer commissions, roaming, signalling and data clearing.

29(b) Provisions

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
At start of year	9,094.7	8,025.9	8,390.5	6,568.6
Charge for the year	426.7	3,107.4	393.2	3,048.2
Release of ARO provision	(865.5)	(844.4)	(865.5)	(844.4)
Payments and release for the year	(459.0)	(397.1)	(453.2)	(381.9)
Translation differences	(112.2)	(778.0)	–	–
Hyperinflation adjustment	–	(19.1)	–	–
At end of year	8,084.7	9,094.7	7,465.0	8,390.5
Current	5,066.1	5,220.1	4,812.0	5,220.1
Non-current	3,018.6	3,874.6	2,653.0	3,170.4
At end of year	8,084.7	9,094.7	7,465.0	8,390.5

Legal contingencies

The Group is currently involved in various legal disputes and has, in consultation with its legal advisors, assessed the possible outcomes in these cases and has determined that adequate provision has been made in respect of all these cases as at 31 March 2026.

Due to the nature and uncertainty of the outcomes of the various litigation cases, management exercises judgement to determine the quantum and adequacy of the provision carried. Settlement only happens when a case is closed either through court rulings or out of court agreement between parties involved. The impact of discounting on the provision is not considered to be material.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

29(b) Provisions (continued)

Tax matters

The Group is subjected to regular compliance audits by Kenya Revenue Authority (KRA) mainly around direct and indirect tax, capital allowances, withholding taxes and transfer pricing. Disputes may arise with tax authorities over the interpretation or application of certain tax rules to the Group's business. To address and manage this tax environment uncertainty, good governance is fundamental to the Group's business sustainability. The Group employs multiple approaches in tax self-assessment in order to arrive at the final Group's tax position. This includes internal reviews and periodic consulting with external tax experts in addition to periodic reviews by our external auditors. Tax decisions are always subject to review by management and are periodically reported to the Board. The Group has considered all tax matters, including ongoing tax audits by KRA within the knowledge of management and has accounted for them appropriately.

Asset restoration provision (ARO)

The Group accounts for the costs associated with dismantling and removing network infrastructure assets and returning a network infrastructure site operated under a lease to its original condition upon termination of the network infrastructure site lease. The associated cash outflows are substantially expected to occur at the dates of decommissioning of the assets.

A restoration provision is recorded based on the best estimate of the average restoration costs (being the future costs relating to dismantling and removing property and equipment and restoring each site) multiplied by the number of sites for which the Company has a restoration obligation. This is then discounted to the present value of the obligation using a pre-tax discount rate.

The adjustment in ARO provision is mainly attributed to roll out of the network by Group and Company.

30(a) Contract assets

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Costs to fulfil a contract:				
Dealer connection commissions	4,620.7	4,144.7	3,611.4	2,992.1
Link lease costs	480.2	343.8	480.2	343.8
SIM activation cost	1,319.4	1,240.0	1,073.3	1,088.0
Other contract costs	2,711.8	715.4	2,864.1	715.4
	9,132.1	6,443.9	8,029.0	5,139.3
Costs to obtain a contract:				
Deferred SIM cost	2,970.1	2,302.5	2,901.5	2,231.7
Deferred financing cost	—	152.3	—	152.3
Total contract cost	2,970.1	2,454.8	2,901.5	2,384.0
Total contract cost	12,102.2	8,898.7	10,930.5	7,523.3
The movement of the contract costs is as below:				
At start of year	8,898.7	6,809.9	7,523.3	5,702.8
Additions in the year	14,897.4	11,151.0	12,291.5	9,714.6
Expected credit losses	(301.3)	—	(301.3)	—
Amortised as costs in the year	(11,392.6)	(9,062.2)	(8,583.0)	(7,894.1)
At end of year	12,102.2	8,898.7	10,930.5	7,523.3
Non-current	2,846.2	2,547.5	1,743.0	1,242.9
Current	9,256.0	6,351.2	9,187.5	6,280.4
At end of year	12,102.2	8,898.7	10,930.5	7,523.3

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

30(b) Contract liabilities

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Customer loyalty programmes	3,590.6	3,600.5	3,589.7	3,600.5
Deferred airtime revenue	2,336.4	2,486.0	1,794.7	2,084.9
Deferred connection revenue	2,183.7	2,064.8	1,872.7	1,846.5
Deferred integrated products	1,842.4	1,798.4	1,677.9	1,682.3
Deferred neo voice and data	998.4	1,208.6	998.2	1,208.6
Deferred fixed data	821.0	395.6	819.7	395.6
Deferred fibre and site rental revenue	154.5	291.4	154.5	291.4
Deferred bulk SMS	193.3	192.4	193.3	192.4
Deferred visa revenue	83.8	—	83.8	—
Deferred emergency top up access fee	2.4	3.3	2.4	3.3
Deferred revenue – other	39.6	—	—	—
Deferred device financing revenue	718.4	967.5	718.4	967.4
Total contract liabilities	12,964.5	13,008.5	11,905.3	12,272.9
The movement of the contract liabilities is as below:				
At start of year	13,008.5	12,874.7	12,272.9	12,063.0
Additions in the year	266,092.9	256,297.0	240,549.5	244,611.7
Recognised as revenue in the year	(266,136.9)	(256,163.2)	(240,917.1)	(244,401.8)
At end of year	12,964.5	13,008.5	11,905.3	12,272.9
Current	11,273.6	11,487.4	10,214.4	10,751.8
Non-current	1,690.9	1,521.1	1,690.9	1,521.1
At end of year	12,964.5	13,008.5	11,905.3	12,272.9

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

31(a) Cash generated from operations

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Profit before income tax	126,817.9	93,210.5	170,386.1	141,251.7
Adjustments for:				
Hyperinflationary monetary gain	–	(11,222.3)	–	–
Interest income (Note 8)	(1,992.0)	(2,384.0)	(1,737.5)	(1,919.3)
Interest expense (Note 9)	10,660.4	14,089.1	7,294.3	11,968.0
Interest on lease liabilities	6,647.9	5,109.1	4,428.4	3,079.4
Depreciation on property and equipment (Note 18)	55,509.9	50,999.9	41,683.0	40,000.0
Depreciation of right of use (ROU) asset (Note 22(a))	8,402.1	6,823.9	6,105.7	4,405.3
Amortisation of intangible assets (Note 21)	9,441.8	9,953.4	3,151.3	2,852.0
Depreciation of indefeasible rights of use (Note 19)	586.3	323.6	586.3	323.6
Share of (profit)/loss from associate (Note 23 (b))	(219.7)	(57.2)	0.9	(13.2)
Share of loss of joint venture (M-PESA Africa Limited) (Note 23 (b))	(51.3)	1,234.7	(51.3)	1,234.7
Fair value adjustment to investment properties (Note 20)	90.0	(25.0)	90.0	(25.0)
Gain on disposal of property and equipment (Note 5 (b))	51.8	(23.0)	(10.6)	(35.7)
Fair valuation of restricted cash (Note 8)	(30.4)	(2.1)	(30.4)	(2.1)
Interest on ARO liability	420.3	501.2	386.8	442.0
Gain on lease termination	(2,233.0)	(0.3)	19.5	(14.6)
Revaluation of lease liabilities	5,494.3	18,864.2	31.0	(109.9)
Asset retirement obligations non-cash additions	865.5	–	865.5	–
Expected credit loss on receivables and loans	4,013.1	11,146.0	6,382.0	11,206.4
Dividends from subsidiary	–	–	(1,994.0)	(2,251.3)
Foreign exchange loss on borrowings	5,315.9	10,487.6	–	–
Share based premium	1,538.2	–	1,538.2	–
Foreign exchange difference on associate	(50.2)	–	(50.2)	–
Inventory write-down	780.4	–	780.4	–
– Movement in accrual for other liabilities (Note 29(b))	(1,295.1)	2,281.2	(1,312.3)	2,281.2
– Movement in contract liabilities	241.6	737.9	(367.6)	210.0
– Movement in contract costs	(3,626.8)	(2,778.8)	(3,254.9)	(1,820.5)
– Movement in receivables and prepayments	(1,915.3)	(40,768.2)	(741.5)	(17,197.8)
– Movement in inventories	414.6	750.5	363.9	430.9
– Movement in payables and accrued expenses	(2,510.1)	14,425.6	(937.6)	3,723.0
Cash generated from operations	223,368.1	183,677.5	233,605.4	200,018.8

As 31 March 2026, other non-cash items included in the finance income (Note 8) were foreign exchange gains on cash and borrowings and amortisation of deferred restricted cash asset of KShs 4,231.8 million and KShs 231.7 million for the Group and Company, respectively (2025: KShs 6,838.1 million and KShs 422.4 million for the Group and Company, respectively).

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

31(b) Net cash/(debt) reconciliation

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Cash and cash equivalents (Note 26 a)	26,989.6	30,024.6	18,626.1	15,912.6
Shareholder loan (Note 32 (x)(c))	–	(404.0)	–	–
Borrowings (Note 16)	(109,255.0)	(107,430.4)	(60,728.5)	(80,454.3)
Lease liabilities (Note 22)	(57,510.5)	(51,963.0)	(36,128.7)	(26,671.4)
Net debt	(139,775.9)	(129,772.8)	(78,231.1)	(91,213.1)
Cash and cash equivalents (Note 26 a)	26,989.6	30,024.6	18,626.1	15,912.6
Gross debt	(166,765.5)	(159,797.4)	(96,857.2)	(107,125.7)
Net debt	(139,775.9)	(129,772.8)	(78,231.1)	(91,213.1)

31(c) Liabilities from financing activities and net debt

	GROUP					
	Borrowings KShs'Mn	Shareholder loan KShs'Mn	Lease liabilities KShs'Mn	Sub total KShs'Mn	Cash KShs'Mn	Net debt KShs'Mn
Movement in net debt						
At 1 April 2025	(107,430.4)	(404.0)	(51,963.0)	(159,797.4)	30,024.6	(129,772.8)
Receipts	(75,275.6)	404.0	(15,768.1)	(90,639.7)	(325.2)	90,964.9
Payments	74,178.9	–	10,529.8	84,708.7	–	84,708.7
Terminations and revisions	–	–	6,718.8	6,718.8	–	6,718.8
Interest charged	(10,660.4)	–	(6,647.9)	(17,308.3)	–	(17,308.3)
Interest paid	10,110.8	–	–	10,110.8	–	10,110.8
Foreign exchange revaluation	(5,315.9)	–	(5,494.3)	(10,810.2)	–	(10,810.2)
Translation differences	5,137.6	–	5,114.2	10,251.8	(2,709.8)	7,542.0
At 31 March 2026	(109,255.0)	–	(57,510.5)	(166,765.5)	26,989.6	(139,775.9)
Movement in net debt						
At 1 April 2024	(108,146.8)	–	(54,885.3)	(163,032.1)	22,877.4	(140,154.7)
Receipts	(37,567.0)	(404.0)	(6,646.7)	(44,617.7)	11,957.9	(32,659.8)
Payments	26,305.2	–	11,009.0	37,314.2	–	37,314.2
Terminations and revisions	–	–	166.5	166.5	–	166.5
Interest charged	(14,089.1)	–	(5,109.1)	(19,198.2)	–	(19,198.2)
Interest paid	14,893.5	–	–	14,893.5	–	14,893.5
Foreign exchange revaluation	11,665.2	–	(18,864.2)	(7,199.0)	–	(7,199.0)
Translation differences	–	–	22,366.8	22,366.8	(4,810.7)	17,556.1
Hyperinflation adjustment	(491.4)	–	–	(491.4)	–	(491.4)
At 31 March 2025	(107,430.4)	(404.0)	(51,963.0)	(159,797.4)	30,024.6	(129,772.8)

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

31(c) Liabilities from financing activities and net debt (continued)

	COMPANY				
	Borrowings KShs'Mn	Lease liabilities KShs'Mn	Sub total KShs'Mn	Cash KShs'Mn	Net debt KShs'Mn
Movement in net debt					
At 1 April 2025	(80,454.3)	(26,671.4)	(107,125.7)	15,912.6	(91,213.1)
Receipts	(33,000.0)	(12,988.9)	(45,988.9)	2,713.5	(43,275.4)
Payments	52,934.4	7,752.4	60,686.8	–	60,686.8
Terminations and revisions	–	238.6	238.6	–	238.6
Interest charged	(7,294.3)	(4,428.4)	(11,722.7)	–	(11,722.7)
Interest paid	7,085.8	–	7,085.8	–	7,085.8
Foreign exchange revaluation	–	(31.1)	(31.1)	–	(31.1)
At 31 March 2026	(60,728.4)	(36,128.8)	(96,857.2)	18,626.1	(78,231.1)
At 1 April 2024	(77,666.6)	(23,572.2)	(101,238.8)	19,075.2	(82,163.6)
Receipts	(28,000.0)	(6,156.5)	(34,156.5)	(3,162.6)	(37,319.1)
Payments	24,415.5	6,794.0	31,209.5	–	31,209.5
Terminations and revisions	–	(767.2)	(767.2)	–	(767.2)
Interest charged	(11,968.0)	(3,079.4)	(15,047.4)	–	(15,047.4)
Interest paid	12,764.8	–	12,764.80	–	12,764.8
Foreign exchange revaluation	–	109.9	109.9	–	109.9
At 31 March 2025	(80,454.3)	(26,671.4)	(107,125.7)	15,912.6	(91,213.1)

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

32 Related party transactions

Vodafone Kenya Limited incorporated in Kenya, whose ultimate parent is Vodafone Group Plc, incorporated in the United Kingdom (UK), is the largest single shareholder of the Company. There are other companies in the Vodafone Group that are related to the Company through common shareholdings or common directorships.

In addition, the Government of Kenya is a significant shareholder in the Company, holding a 35% equity interest. There are other government related entities that are related to the Company through common shareholdings or common directorships.

The following are the significant arrangements that exist and form the basis of various transactions within the Group:

- (a) The Group has interconnection and roaming agreements with Vodafone affiliated companies in many countries around the world, including the UK.
- (b) The Group operates the M-PESA business which offers integrated financial services. M-PESA is an innovative mobile payment solution that enables users to complete money transfer transactions and pay for goods and services by use of mobile phone for which the Company earns a commission which is based on the amounts transacted. The Company also uses the M-PESA platform to sell airtime to M-PESA account holders as well as run the M-Shwari and KCB M-PESA products as detailed out in Note 2(f).

M-PESA Africa Limited is a joint venture between Safaricom Plc and Vodacom Group (SA). The Company has entered into a managed services agreement with the Safaricom Plc to provide technical and product-based M-PESA solutions against which a fee is charged monthly. The fee is based on 2% of the M-PESA transaction revenue effective 1 April 2020.

Safaricom Plc acquired the entire issued share capital of M-PESA Holding Co. Limited (MPHCL) from Vodafone International Holdings BV. Safaricom has the overall responsibility for the entire payment service system including operations of the Trust.

- (c) MPHCL undertakes and carries on the office and duties of corporate trustee for the funds held in trust for M-PESA account holders in Kenya. The funds held in MPHCL are due to customers and agents and relate to M-PESA units not yet redeemed. MPHCL holds these amounts in cash, deposits, and treasury bills in its bank accounts (Trust accounts).
- (d) The Group has signed an agreement with Vodacom Group for commercial services support. The agreement is effective from April 2023 to March 2026. Under the agreement, Safaricom Plc will have access to Vodacom's support for purposes of access to technology materials and thought leadership, digital marketing acceleration, logistics and warehousing strategy and transformation, big data and data science among others. The contract provides for a fixed participation fee up to a maximum of EUR 3 million payable in two equal instalments.
- (e) The Group has signed an agreement with Vodafone Group for participation in the Vodafone procurement company services. The agreement is effective from April 2023 to March 2026. Under the agreement, Safaricom Plc will have access to Vodafone's support for purposes of procurement.
The contract provides for a variable procurement fee at 3% calculated as a percentage of the actual purchase order value.
- (f) The Group has employees who are seconded from Vodafone affiliate companies. The payroll cost for the secondees is managed by Vodafone Group Services Limited and recharged (invoiced) to the Company for payment on a monthly basis.
- (g) The Group seconds its staff to other Vodafone affiliate companies. The payroll cost for these secondees is managed by Vodafone Group Enterprises (VGE) and recharged (invoiced) by the Company for payment on a monthly basis.
- (h) The Group has entered into several transactions with various government departments and entities. These transactions primarily relate to the provision of goods and services. The total value of these transactions for the year ended 31 March 2026 is collectively not significant in relation to the Group's total revenues (31 March 2025: Not significant).

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

32 Related party transactions (continued)

The following relationships exist within Safaricom Plc:

		Percentage of interest held as at	
		31 March 2026	31 March 2025
Subsidiaries	Held by		
One Communications Limited	Safaricom Plc	100%	100%
Safaricom Ventures Limited (formerly Instaconnect Limited)	Safaricom Plc	100%	100%
Safaricom Money Transfer Services Limited	Safaricom Plc	100%	100%
East Africa Tower Company Limited	Safaricom Plc	100%	100%
Safaricom Foundation*	Safaricom Plc	—	—
Flexible Bandwidth Services Limited	One Communications Limited	100%	100%
Comtec Training and Management Services Limited	One Communications Limited	100%	100%
Comtec Integration Systems Limited	One Communications Limited	100%	100%
Digifarm Kenya Limited	Safaricom Plc	100%	100%
Safaricom Insurance Agency Limited	Safaricom Plc	100%	100%
M-PESA Holding Co. Limited	Safaricom Plc	100%	100%
Safaricom Spark Fund Company Limited by Guarantee	Safaricom Plc	100%	—
Vodafamily Ethiopia Holding Company Limited	Safaricom Plc	90% – 1 share	90% – 1 share
Global Partnership for Ethiopia B.V	Vodafamily Ethiopia Holding Company Limited	60.19% (Safaricom indirectly owns 54.17%)	57.41% (Safaricom indirectly owns 51.67%)
Safaricom Telecommunications Ethiopia Plc (STEP)	Global Partnership for Ethiopia B.V (GPE)	100% (Safaricom indirectly owns 54.17%)	100% (Safaricom indirectly owns 51.67%)
Safaricom M-PESA Mobile Financial Services Plc	Safaricom Telecommunications Ethiopia PLC (STEP)	100% (Safaricom indirectly owns 54.17%)	100% (Safaricom indirectly owns 51.67%)
Safaricom Ethiopia Foundation	Safaricom Telecommunications Ethiopia Plc (STEP)	—	—
Associates			
The East African Marines Systems Limited (TEAMS)	Safaricom Plc	32.5%	32.5%
Circle Gas Limited	Safaricom Plc	14.6%	14.6%
East Africa Device Assembly Kenya Limited (EADAK)	Safaricom Ventures Limited (formerly Instaconnect Limited)	25%	25%
Joint venture			
M-PESA Africa Limited	Safaricom Plc	50%	50%

* Safaricom Foundation was established by Safaricom Plc as a public charitable trust by a Declaration of Trust dated 14 August 2003 and is domiciled in Kenya.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

32 Related party transactions (continued)

The following transactions were carried out with related parties:

(i) Sale of goods and services

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Other related parties				
Vodafone Roaming Services S.à r.l	100.4	124.2	100.4	124.3
Vodacom Tanzania Public Limited Company	26.6	29.0	26.6	29.0
Vodacom (Pty) Limited	283.7	179.4	283.7	179.4
Vodacom Business (Kenya) Limited	–	1.1	–	1.1
Vodafone Egypt Telecom. S.A.E.	1.7	1.3	1.7	1.3
Vodafone Network PTY Limited	4.4	1.3	4.4	1.3
Vodafone Sverige AB	1.5	0.7	1.5	0.7
Vodafone Qatar Q.S.C.	7.8	5.3	7.8	5.3
Vodafone Enterprise Global Limited	207.4	146.0	207.4	146.0
Vodacom Group Limited	70.0	84.3	70.0	84.3
Mtc Vodafone Bahrain	0.2	0.2	0.2	0.2
Vodacom Business Africa Group Services Limited	5.0	5.3	5.0	5.3
M-PESA Foundation	58.6	–	58.6	43.6
East Africa Device Assembly Kenya Limited	98.1	–	98.1	0.5
M-PESA Holdings Company Limited	52.5	–	52.5	87.5
M-PESA Foundation Academy	32.7	–	32.7	0
Joint venture				
M-PESA Africa Limited	1,521.5	1,209.1	1,521.5	1,209.1
Subsidiaries				
Safaricom Money Transfer Services Limited	–	–	756.1	571.9
East Africa Tower Company Limited	–	–	0.2	0.7
Digifarm Kenya Limited	–	–	152.8	117.6
Safaricom Ventures Limited (formerly Instaconnect Limited)	–	–	1.8	2.0
Safaricom Telecommunication Ethiopia Plc	–	–	2,309.8	1,771.6
Safaricom Foundation	–	–	159.4	139.1
Comtec Integration Systems Limited	–	–	3.3	0.5
One Communications Limited	–	–	3.3	3.6
Global Partnership for Ethiopia B.V	–	–	12.2	–
VodaFamily Ethiopia Holding Company Limited	–	–	1.8	–
Safaricom Insurance Agency Limited	–	–	10.8	–
	2,472.1	1,787.2	5,883.6	4,525.9

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

32 Related party transactions (continued)

(ii) Purchase of goods and services

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Other related parties				
Vodafone Global Enterprise Limited	230.8	107.4	230.8	107.4
Vodafone Roaming Services S.à r.l	120.2	223.8	120.2	134.9
Vodafone UK	8.1	17.0	8.1	17.0
Vodacom Tanzania Public Limited Company	30.2	45.4	30.2	35.7
Vodacom Service Provider Company (Pty) Limited	20.3	41.9	20.3	41.9
Vodafone Egypt Telecom. S.A.E.	1.3	0.9	1.3	0.9
Vodafone Network PTY Limited	1.7	1.3	1.7	1.3
Vodafone Qatar Q.S.C.	71.5	36.4	71.5	36.4
Vodacom Group Limited	438.0	1,055.2	433.3	1,039.7
Vodacom International	211.0	1,188.2	169.6	1,188.2
Vodafone Innovus S.A.	10.7	–	10.7	–
Vodacom Business (Kenya) Limited	–	0.6	–	0.6
Mtc Vodafone Bahrain	1.3	1.0	1.3	1.0
The East African Marine System Limited	77.8	100.7	77.8	100.7
Sumitomo Corporation Group	97.1	277.6	–	–
Vodafone Mobile Services Limited	4.4	0.4	4.4	0.4
Vodafone Procurement Company S.A.R.L	179.0	246.6	179.0	20.4
Vodafone Group Services Limited	123.3	393.3	55.6	51.2
Vodacom Lesotho Proprietary Limited	10.8	12.2	10.8	12.2
Vodacom Mozambique S.A.	23.9	24.1	–	–
Vodacom Proprietary Limited	–	41.8	–	–
Vodacom Pty Limited	28.6	59.8	28.6	59.8
Mtc-Vodafone Kuwait	0.4	0.7	0.4	0.7
East Africa Device Assembly Kenya Limited	5,742.6	–	5,742.6	8,879.9
Mezzanine Ware	155.7	188.5	155.7	188.5
M-PESA Holding Company Limited	–	0.4	–	–
Vodafone Egypt Telecommunications	2.8	–	2.8	–
Vodafone Shared Operations Ltd	151.1	–	151.1	–
SC-NEX	80.4	–	–	–
Joint venture				
M-PESA Africa Limited	3,381.5	3,007.8	3,381.5	3,007.8
Subsidiary				
Safaricom Telecommunication Ethiopia Plc	–	–	874.8	48.6
	11,204.5	7,073.0	11,764.1	14,975.2

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

32 Related party transactions (continued)

(iii) Directors' remuneration

	GROUP AND COMPANY	
	2026 KShs'Mn	2025 KShs'Mn
Fees for services as Director	72.0	82.4
Salaries	171.1	162.0
Bonuses	161.5	159.9
Value for non-cash benefits	52.4	55.0
Employee Performance Share Award Plan	89.5	52.1
	546.5	511.4

(iv) Key management compensation

	GROUP AND COMPANY	
	2026 KShs'Mn	2025 KShs'Mn
Salaries and other short-term employment benefits	806.4	918.3
Employee Performance Share Award Plan	179.3	73.5
Pension, housing levy & NSSF contribution	34.8	44.7
Termination benefits	110.4	106.3
	1,130.9	1,142.8

Key management are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of the entity.

(v) Loans from shareholders

There are no loans from shareholders outstanding as at 31 March 2026 (2025: Nil).

(vi) Loans to Directors of the Company

There are no loans to Directors of the Company as at 31 March 2026 (2025: Nil).

(vii) Donations to Safaricom Foundation

Donations made by the Group during the year amounted to KShs 525.8 million (2025: KShs 520.5 million). The donations mainly include annual committed funding of KShs 510 million, pass on grant for brand marketing to Faith Kipyegon's Women Empowerment Projects of KShs 2 million, National Consumer Promotion community project of KShs 6.3 million, and Shangwe @25 of KShs 7.5 million.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

32 Related party transactions (continued)

(viii) Outstanding receivable balances arising from sale of goods/services

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Other related parties				
Vodafone Roaming Services S.à r.l	7.2	2.6	7.2	2.6
M-PESA Holding Co. Limited	–	–	–	103.9
Vodacom Tanzania Public Limited Company	4.5	2.8	4.5	2.8
Vodacom Business (Kenya) Limited	0.6	1.1	0.6	1.1
Vodafone Egypt Telecom. S.A.E.	0.4	17.4	0.4	17.4
Vodafone Qatar Q.S.C.	1.8	–	1.8	–
Vodafone Sverige Ab	0.4	0.1	0.4	0.1
Vodacom Group Limited	138.0	17.5	138.0	17.5
Vodacom (Pty) Limited	64.0	49.0	64.1	49.0
Vodafone Network PTY Limited	3.9	1.5	3.9	1.5
Vodafone Sales & Services Limited	–	4.1	–	4.1
Vodafone Enterprise Global Limited	40.0	15.0	40.0	15.0
M-PESA Foundation	6.5	–	6.5	4.2
Vodacom Business Africa Group Services Limited	0.7	1.3	0.7	1.3
Joint venture				
M-PESA Africa Limited	158.6	136.2	158.6	136.2
Vodafone Idea Limited	6.9	0	6.9	0
M-PESA Foundation Academy	9.4	0	9.4	0
M-PESA Holdings Company Limited	2	0	2	0
Subsidiaries				
East African Towers Company Limited	–	–	17.0	17.0
One Communications Limited	–	–	12.2	9.0
Safaricom Ventures Limited	–	–	–	–
(formerly Instaconnect Limited)	–	–	95.7	93.7
Safaricom Money Transfer Services Limited	–	–	12.9	14.2
Safaricom Telecommunication Ethiopia Plc	–	–	5,141.4	2,922.7
Digifarm Kenya Limited	–	–	1,854.8	1,653.9
Comtec Integrated Services Limited	–	–	47.2	36.9
Global Partnership for Ethiopia B.V	–	–	12.2	–
VodaFamily Ethiopia Holding Company Limited	–	–	1.8	–
Safaricom Insurance Agency Limited	–	–	16.9	–
	444.9	248.6	7,657.1	5,104.1

The receivables arise mainly from trading, are unsecured and bear no interest. An allowance of KShs 0.4 million and KShs 3,666.2 million for the Group and Company respectively (2025: KShs 6.5 million and KShs 1,785.7 million for the Group and Company respectively) is held against receivables from related parties as indicated in Note 25.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

32 Related party transactions (continued)

(ix) Outstanding payable balances arising from purchases of goods/services

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Other related parties				
Vodafone Roaming Services S.à r.l	10.0	51.1	8.7	10.8
Vodacom Tanzania Public Limited Company	2.0	47.0	2.0	3.5
Vodafone Group Services Limited	200.4	221.6	–	33.9
Vodafone UK	0.5	0.3	0.5	0.3
Vodafone Qatar Q.S.C.	1.8	3.0	1.8	3.0
Vodafone Egypt Telecom. S.A.E.	0.1	0.1	0.1	0.1
MTC Vodafone Bahrain	0.1	0.1	0.1	0.1
M-PESA Holding Co. Limited	–	3.9	–	1.1
Vodacom Mozambique S.A.	8.5	141.5	–	–
Vodafone Network PTY limited	0.1	0.2	0.1	0.2
Vodafone Services LLC Oman	–	33.9	–	33.9
Vodafone Innovus S.A.	–	11.2	–	11.2
Vodacom Group Limited	172.3	583.1	90.1	511.2
Sumitomo Corporation Group	454.7	556.5	–	–
Vodacom Proprietary Limited	–	305.2	–	–
SC-NEX	36.0	–	–	–
Vodacom Lesotho Proprietary Limited	–	6.2	–	–
Vodacom International Limited	152.8	162.3	–	–
Vodacom Service Provider Company (Pty) Limited	–	1.3	–	1.3
Vodacom Pty Limited	114.3	22.1	0.4	22.1
Vodafone Global Enterprise Ltd	–	88.8	–	88.8
Vodafone Procurement Company S.A.RL	2,878.6	1,457.2	–	204.9
Mtc-Vodafone Kuwait	0.1	0.2	0.1	0.2
Mezzanine Ware	–	26.7	–	26.7
Joint ventures				
M-PESA Africa Limited	650.1	320.6	650.1	320.6
Subsidiaries				
One Communications Limited	–	–	316.5	316.5
Safaricom Money Transfer Services Limited	–	–	92.1	59.2
Digifarm Kenya Limited	–	–	–	1.5
Safaricom Telecommunication Ethiopia Plc	–	–	64.1	5.4
	4,682.4	4,044.1	1,226.7	1,656.5

The payables arise mainly from trading, are unsecured and bear no interest.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

32 Related party transactions (continued)

(x) Loan to related companies

The Group has a 50% shareholding in M-PESA Africa Limited and owns 100% of Digifarm Kenya Limited. During the year under review, the Group issued an intragroup loan to Digifarm to support their operations as per shareholders agreement and Board approvals.

The Digifarm Kenya Limited loan will be channelled towards financing both operating and capital expenditure activities. The facility has a principal and interest repayment moratorium until the business moves to positive returns.

x (a) Loans receivable from joint venture

	GROUP AND COMPANY	
	2026 KShs'Mn	2025 KShs'Mn
M-PESA Africa Limited		
At start of the year	–	2,661.3
Conversion to equity	–	(2,424.2)
Cash repayment	–	(239.5)
Less: Allowance for expected credit losses in the year	–	2.4
At end of year	–	–

On 15 April 2024, the conversion of the shareholder loan to equity was concluded with a total of KShs 2,424.2 million converted to equity and an additional 932 shares issued to Safaricom Plc. There are no loans receivable from the joint venture as at 31 March 2026 (2025: Nil).

x (b) Loan receivable from subsidiary

	COMPANY	
	2026 KShs'Mn	2025 KShs'Mn
Digifarm Kenya Limited		
At start of the year	396.2	485.4
Additions in the year	152.0	90.1
Less: Allowance for expected credit losses	(548.2)	(179.3)
At end of year	–	396.2

x (c) Shareholder loan

	GROUP	
	2026 KShs'Mn	2025 KShs'Mn
At start of the year	404.0	–
Additions in the year	–	404.0
Conversion to equity	(404.0)	–
At end of year	–	404.0

The shareholder loan represents the non-controlling interest portion of the financing provided to Global Partnership for Ethiopia B.V. (GPE) by its shareholders. In February 2025, pursuant to the Shareholders' Agreement, GPE received USD 18 million in funding from its shareholders. Of this amount, the non-controlling interests contributed USD 1.3 million, provided by the International Finance Corporation, and USD 1.8 million, provided by British International Investment Plc.

On 7 May 2025, the shareholders of GPE who had advanced the amounts above entered into a subscription agreement to subscribe for additional equity in GPE at a price of USD 100 per share. Consequently, GPE issued an additional 180,000 shares upon conversion, of which 31,248 shares were attributable to non-controlling interests.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

32 Related party transactions (continued)

(xi) Financial guarantees

The Group has issued parental guarantees to Safaricom Telecommunication Ethiopia Plc vendors (Huawei and Nokia) for the supply of network rollout equipment in Ethiopia on credit terms of up to 24 months from the date of equipment receipt. This enables the parent to spread the funding requirement to the subsidiary over a longer period of time. There are no restrictions on title, property and equipment of the Group.

The fair value of a financial guarantees contract is calculated as the present value of the difference between the net contractual cash flows required under a debt instrument, and the net contractual cash flows that would have been required without the guarantee. The present value is calculated using a risk-free rate calculated from the average of the last 3 two-year Kenyan treasury bonds yield.

As at 31 March 2026, the Company had recognised KShs 287.6 million in relation to parental guarantee (2025: KShs 614.5 million).

33 Contingent liabilities

The Group has contingent liabilities arising from normal course of business. This includes outstanding matters with Kenya Revenue Authority and various ongoing legal cases from trade and contractual disputes.

As at 31 March 2026, a guarantee of USD 600,000 equivalent to KShs 78 million (2025: KShs 77.6 million) had been given to Citibank NA against credit cards for use by senior staff during travel and other ordinary business function. The Group has also issued a guarantee of KShs 849.8 million (2025: KShs 542.0 million) to various suppliers of goods and services regularly provided by the Company.

34 Capital commitments

Capital expenditure contracted for at the statement of financial position date but not recognised in the financial statements is as follows:

	GROUP		COMPANY	
	2026 KShs'Mn	2025 KShs'Mn	2026 KShs'Mn	2025 KShs'Mn
Property and equipment	20,956.3	31,053.1	12,204.7	19,938.5

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

35 Gain on monetary position

The consumer price index (CPI) used in the restatement of the balances are indicated on the table below:

Month	Consumer price index
Opening CPI – April 2024	452.8
Closing CPI – March 2025	514.4
Movement	61.6

For the year ended 31 March 2025, the financial statements were adjusted for the effects of inflation for Safaricom Telecommunication Ethiopia Plc as the Ethiopian economy has been declared hyperinflationary on or after 31 December 2022.

The gain in monetary position as a result of translating the financial statements as at 31 March 2025 was KShs 11,222.3 million.

Management restated all balance sheet amounts that were not expressed in terms of the measuring unit current at the balance sheet date. Monetary items were not restated, because they represented money held, to be received or to be paid. Monetary items were therefore already expressed in current purchasing power at the reporting date.

31 March 2025	Monetary Etb'm*	Non- monetary Etb'm*	Total Etb'm*
Assets	31,466.7	180,599.7	212,066.4
Liabilities	(108,035.2)	(712.5)	(108,747.7)
	(76,568.5)	179,887.2	103,318.7
Equity			186,086.4
Retained earnings			(93,638.2)
			92,448.2
Net monetary gain (Etb)			10,870.5
Exchange rate (USD/Shs)			129.3
Exchange rate (USD/Etb)			125.3
Exchange rate (Etb/Shs)			1.03
Hyperinflationary monetary gain as at 31 March 2025 (KShs million)			11,222.3

* Ethiopian Birr (Etb) is the national currency of the Federal Democratic Republic of Ethiopia.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

36 Segment Information

The following tables present revenue and profit information for the Group's operating segments for the year ended 31 March 2026.

	Kenya* KShs'Mn	Ethiopia KShs'Mn	Total segments KShs'Mn	Intersegment KShs'Mn	Consolidated KShs'Mn
Revenue from contracts with customers	407,252.0	14,480.0	421,732.0	(739.9)	420,992.1
Revenue from other sources	4,836.9	2,875.7	7,712.6	(1,145.6)	6,567.0
Total revenue	412,088.9	17,355.7	429,444.6	(1,885.5)	427,559.1
Direct costs	(97,905.9)	(7,253.6)	(105,159.5)	739.9	(104,419.6)
Expected credit losses on financial assets	(5,663.8)	(78.1)	(5,741.9)	1,728.8	(4,013.1)
Other expenses	(74,633.4)	(25,376.6)	(100,010.0)	1,145.6	(98,864.4)
Earnings before interest, taxes, depreciation and amortisation (EBITDA)	233,885.8	(15,352.6)	218,533.2	1,728.8	220,262.0
Depreciation – property and equipment	(41,738.6)	(13,771.3)	(55,509.9)	–	(55,509.9)
Amortisation – Indefeasible rights of use (IRUs)	(586.3)	–	(586.3)	–	(586.3)
Amortisation – Intangible assets	(3,151.3)	(6,290.5)	(9,441.8)	–	(9,441.8)
Depreciation – Right-of-use (RoU) assets	(6,105.7)	(2,296.4)	(8,402.1)	–	(8,402.1)
Operating profit	182,303.9	(37,710.8)	144,593.1	1,728.8	146,321.9
Finance income	2,308.1	3,915.7	6,223.8	–	6,223.8
Finance costs	(12,828.9)	(13,079.9)	(25,908.8)	–	(25,908.8)
Fair value gain in investment property	(90.0)	–	(90.0)	–	(90.0)
Share of profit of associates	219.7	–	219.7	–	219.7
Share of loss of joint venture	51.3	–	51.3	–	51.3
Hyperinflationary monetary gain	–	–	–	–	–
Profit before income tax	171,964.1	(46,875.0)	125,089.1	1,728.8	126,817.9
Income tax expense	(52,868.4)	(273.5)	(53,141.9)	–	(53,141.9)
Profit for the year	119,095.7	(47,148.5)	71,947.2	1,728.8	73,676.0

* Kenya refers to entities operating within the Kenya jurisdiction.

There is no single customer with revenue above 10% (2025: 10%).

Total revenues include M-PESA, voice, mobile data, fixed data, messaging, interconnect, mobile incoming, other service revenue, handset and connection revenue. Refer to Note (5a) for the detailed breakdown on total revenue.

The inter-segment is a result of eliminating transactions between the operating segments.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

36 Segment Information (continued)

The following tables present revenue and profit information for the Group's operating segments for the year ended 31 March 2026.

	Kenya* KShs'Mn	Ethiopia KShs'Mn	Total segments KShs'Mn	Intersegment KShs'Mn	Consolidated KShs'Mn
Revenue from contracts with customers	376,917.8	7,564.5	384,482.3	(48.9)	384,433.4
Revenue from other sources	4,278.9	(35.6)	4,243.3	12.2	4,255.5
Total revenue	381,196.7	7,528.9	388,725.6	(36.7)	388,688.9
Direct costs	(96,266.9)	(4,863.3)	(101,130.2)	48.9	(101,081.3)
Expected credit losses on financial assets	(11,059.0)	(147.4)	(11,206.4)	60.4	(11,146.0)
Other expenses	(68,088.3)	(36,210.2)	(104,298.5)	(12.2)	(104,310.7)
Earnings before interest, taxes, depreciation and amortisation (EBITDA)	205,782.5	(33,692.0)	172,090.5	60.4	172,150.9
Depreciation – property and equipment	(40,055.8)	(10,944.1)	(50,999.9)	–	(50,999.9)
Amortisation – Indefeasible rights of use (IRUs)	(323.6)	–	(323.6)	–	(323.6)
Amortisation – Intangible assets	(2,852.0)	(7,101.4)	(9,953.4)	–	(9,953.4)
Depreciation – Right-of-use (RoU) assets	(4,405.3)	(2,418.6)	(6,823.9)	–	(6,823.9)
Operating profit	158,145.8	(54,156.1)	103,989.7	60.4	104,050.1
Finance income	3,359.0	5,863.1	9,222.1	–	9,222.1
Finance costs	(17,428.1)	(12,703.4)	(30,131.5)	–	(30,131.5)
Fair value gain in investment property	25.0	–	25.0	–	25.0
Share of profit of associates	57.2	–	57.2	–	57.2
Share of loss of joint venture	(1,234.7)	–	(1,234.7)	–	(1,234.7)
Hyperinflationary monetary gain	–	11,222.3	11,222.3	–	11,222.3
Profit before income tax	142,924.2	(49,774.1)	93,150.1	60.4	93,210.5
Income tax expense	(47,453.3)	–	(47,453.3)	–	(47,453.3)
Profit for the year	95,470.9	(49,774.1)	45,696.8	60.4	45,757.2

* Kenya refers to entities operating within the Kenya jurisdiction.

There is no single customer with revenue above 10% (2025: 10%).

Total revenues include M-PESA, voice, mobile data, fixed data, messaging, interconnect, mobile incoming, other service revenue, handset and connection revenue. Refer to Note (5a) for the detailed breakdown on total revenue.

The intersegment is a result of eliminating transactions between the operating segments.

NOTES TO THE FINANCIAL STATEMENTS (continued)

for the year ended 31 March 2026

36 Segment Information (continued)

The following tables present asset and liabilities information for the Group's operating segments as at 31 March 2026 and 31 March 2025.

	Kenya* KShs'Mn	Ethiopia KShs'Mn	Total segments KShs'Mn	Eliminations KShs'Mn	Consolidated KShs'Mn
Assets					
31/3/2026	334,784.5	181,628.0	516,412.5	1,632.9	518,045.4
31/3/2025	307,832.0	207,874.6	515,706.6	(422.4)	515,284.2
Liabilities					
31/3/2026	(167,421.2)	(119,990.7)	(287,411.9)	287.6	(287,124.3)
31/3/2025	(181,362.6)	(110,514.9)	(291,877.5)	614.4	(291,263.1)
Equity					
31/3/2026	(167,363.3)	(61,637.3)	(229,000.6)	(1,920.5)	(230,921.1)
31/3/2025	(126,469.4)	(97,359.7)	(223,829.1)	(192.0)	(224,021.1)

* Kenya refers to entities operating within the Kenya jurisdiction.

37 Events after the reporting period

The Directors are not aware of any other events (as defined by IAS – 10 Events after the Reporting Period) after the reporting date of 31 March 2026 and the date of authorisation of these consolidated and separate annual report and financial statements.

APPENDIX 1 – PRINCIPAL SHAREHOLDERS

The 10 largest shareholders in the Company (ordinary shares only) and the respective number of shares held as at 31 March 2026 were as follows:

Name of shareholder	Number of shares
1. VODAFONE KENYA LIMITED	16,000,000,000
2. THE NATIONAL TREASURY AND ECONOMIC PLANNING	14,022,572,580
3. KENYA COMMERCIAL BANK NOMINEES LIMITED A/C 915B	461,582,886
4. KENYA COMMERCIAL BANK NOMINEES LIMITED A/C 1019D	410,342,770
5. STANBIC NOMINEES LTD A/C NR1030824	317,426,356
6. STANBIC NOMINEES LIMITED NR7522171	262,274,832
7. STANDARD CHARTERED KENYA NOMINEES LTD A/C KE004667	253,816,679
8. STANDARD CHARTERED NOMINEES RESD A/C KE11401	201,930,759
9. STANDARD CHARTERED NOMINEES NON-RES. A/C 9866	196,532,340
10. STANBIC NOMINEES LIMITED R6631578	188,160,853
11. OTHERS	7,750,787,945
Total	40,065,428,000

Distribution of shareholders

Range (number of shares)	Number of shareholders	Number of shares	% Shareholding
1 to 1,000	359,086	206,092,210	0.51%
1,001 – 10,000	159,44	454,899,034	1.14%
10,001 – 100,000	18,726	478,784,885	1.20%
100,001 – 1,000,000	1,939	526,019,893	1.31%
1,000,001 – 10,000,000	444	1,418,200,616	3.54%
10,000,001 – 100,000,000	144	3,807,284,636	9.50%
100,000,001 – 1,000,000,000	15	3,151,574,146	7.87%
1,000,000,001 – 100,000,000,000	2	30,022,572,580	74.93%
Total	533,549	40,065,428,000	100.00%

NOTICE AND AGENDA OF THE 2026 ANNUAL GENERAL MEETING

To all Shareholders

NOTICE is hereby given that the Annual General Meeting of Safaricom PLC for the year ended 31 March 2026 will be held via electronic communication on Friday, 31 July 2026 at 11:00 a.m. to conduct the following business:

Ordinary business

- 1) To receive, consider and adopt the audited Financial Statements for the year ended 31 March 2026 together with the Chairman's, Directors' and Auditors' Reports thereon.
- 2) Dividend
 - a) To note the payment of an interim dividend of KShs 0.85 per share which was paid to shareholders on or about 31 March 2026.
 - b) To approve a final dividend of KShs 1.15 per share for the Financial Year 31 March 2026 as recommended by the Directors.

The dividend will be payable on or about 04 September 2026 to the Shareholders on the Register of Members as at the close of business on 04 August 2026.
- 3) **Mr. Edward Okaro** retires by rotation in accordance with Articles 90 and 91 of the Company's Articles of Association and, being eligible, offers himself for re-election
- 4) In accordance with the provisions of Section 769 of the Companies Act, Cap 486, the following Directors, being members of the Board Audit Committee, be elected to continue to serve as members of the said Committee subject to the re-election of the Director mentioned in Agenda 3 above:
 - a) **Mr. Edward Okaro**
 - b) **Ms. Raisibe Morathi**
 - c) **Mr. Lawrence Kibet (EBS)**
 - d) **Ms. Rita Kavashe**
- 5) Directors' Remuneration
 - a) To approve the Directors' Remuneration Policy contained in the Directors' Remuneration Report for the year ended 31 March 2026.
 - b) To approve the Directors' Remuneration Report (other than the part relating to the Directors' Remuneration Policy) and the remuneration paid to the Directors, for the year ended 31 March 2026.
- 6) To re-appoint Messrs. Ernst & Young as Auditors of the Company, having served as the Company's External Auditors since 2020, in accordance with the provisions of Section 721 (2) of the Companies Act, Cap 486 and to authorise the Directors to fix their remuneration for the ensuing financial year in accordance with the provisions of Section 724 (f) of the Companies Act, Cap 486.

Special business

- 7) The meeting will consider, and if thought fit pass, the following special resolutions, which have been proposed by Vodafone Kenya Limited ("**VKL**") as a member of the Company by requisition under section 312 of the Companies Act. Each resolution is proposed as a special resolution and, in accordance with section 257(6) of the Companies Act, the full text of each resolution and the intention to propose it as a special resolution are set out below.

8) Special resolutions

SPECIAL RESOLUTION 1: Amendment of Article 1 — Deletion of definition of "PST" and introduction of "CST"

To consider and, if thought fit, to pass the following resolution as a special resolution:

The definition of "PST" at Article 1 is deleted in its entirety and replaced with the following:

"CST: The Cabinet Secretary to the Treasury or any body corporate empowered to hold assets on behalf of the Government of Kenya or any Company in which the Government of Kenya legally and beneficially owns 100% of the shares";

9) **SPECIAL RESOLUTION 2: Amendment of Article 1 — Definition of "VKL"**

To consider and, if thought fit, to pass the following resolution as a special resolution:

The definition of "VKL" at Article 1 is amended to read as follows:

"Vodafone Kenya Limited its subsidiary or its holding Company or any subsidiary of such holding Company from time to time (but excluding the Company) which definition shall attach to the legal entity incorporated in Kenya under certificate of incorporation number C.79550 notwithstanding that VKL may change its name from time to time.";



NOTICE AND AGENDA OF THE 2026 ANNUAL GENERAL MEETING (continued)

10) **SPECIAL RESOLUTION 3: Amendment of Article 62 — Power to convene an extraordinary general meeting**

To consider and, if thought fit, to pass the following resolution as a special resolution:

Article 62 is amended to read as follows:

“The Directors may, whenever they think fit, convene an extraordinary general meeting, and extraordinary general meetings shall also be convened on such requisition, or, in default, may be convened by such requisitionists, as provided by Section 132 of the Act. If at any time there are not sufficient Directors capable of acting to form a quorum, any two Directors, any Director appointed by VKL in accordance with Article 89(b) any Director appointed by CST in accordance with Article 89(c) or any ten Members of the Company may convene an extraordinary general meeting in the same manner as nearly as possible as that in which meetings may be convened by the Directors.”;

11) **SPECIAL RESOLUTION 4: Amendment of Article 89(a) — Board composition**

To consider and, if thought fit, to pass the following resolution as a special resolution:

Article 89(a) is amended to read as follows:

“(a) Unless and until otherwise from time to time determined by a special resolution of the Company, the number of Directors (excluding alternates) shall not be less than seven (7) and shall include Independent non-executive Directors a majority of who shall be of Kenyan citizenship.”;

12) **SPECIAL RESOLUTION 5: Amendment of Article 89(b) — VKL director appointment rights**

To consider and, if thought fit, to pass the following resolution as a special resolution:

Article 89(b) is amended to read as follows:

“So long as VKL holds ten percent 10% or more of the nominal value of the issued as fully paid share capital of the Company excluding any shares hereafter issued pursuant to any share issuance to Article 13(c), VKL shall have the right to appoint, remove or replace one Director as its nominee in respect of each and every complete (10%) held by VKL of the issued and fully paid share capital of the Company excluding any shares hereafter issued pursuant to any share issuance to Article 13(c). All appointments, removals or replacements of Directors in respect hereof shall be by notice in writing served upon the Company Secretary.”;

13) **SPECIAL RESOLUTION 6: Amendment of Article 89(c) — CST director appointment rights**

To consider and, if thought fit, to pass the following resolution as a special resolution:

Article 89(c) is amended to read as follows:

“So long as CST holds ten percent (10%) or more of the nominal value of the issued and fully paid share capital of the Company, excluding any shares hereafter issued pursuant to any issuance of shares pursuant to Article 13(c), CST shall have the right to appoint, remove or replace one Director as their nominee in respect of each and every complete ten percent (10%) (based on its shareholding in the Company as rounded up to two decimal places) held by CST of the issued and fully paid share capital of the Company excluding any shares hereafter issued pursuant to Article 13(c). All appointments, removals or replacements of Directors in respect hereof shall be by notice in writing served upon the Company Secretary.”;

14) **SPECIAL RESOLUTION 7: Amendment of Article 97 and insertion of new Article 97A — Alternate director to the CEO**

To consider and, if thought fit, to pass the following resolution as a special resolution:

Article 97 is amended to read as follows, and a new Article 97A is inserted as follows:

Article 97: “Subject to Article 97A, any Director may appoint another Director or any person (provided that with the exception of the alternates of any Directors nominated in accordance with Article 89(b) and 89(c) any such person has received the approval of the Board) to be his Alternate to act in his place at any meetings of the Board at which he is unable to be present. Such appointee shall be entitled, in the absence of his appointer, to exercise all the rights and powers of a Director and to attend and vote at meetings of the Board at which his appointor is not personally present and, where he is a Director, to have a separate vote on behalf of his appointor in addition to his own vote. Subject to Article 97A, a Director may, at any time, revoke the appointment of an Alternate appointed by him. The remuneration of an Alternate shall be payable out of the remuneration if any of his appointor and shall be such proportion thereof as shall be agreed between them.”;

- 15) *New Article 97A: “For as long as VKL holds more than 50% of the nominal value of the issued and fully paid share capital of the Company excluding any shares hereafter issued pursuant to any share issuance in terms of Article 13(c), the Chief Financial Officer of the Company from time to time shall be the alternate director to the Chief Executive Officer”;*

NOTICE AND AGENDA OF THE 2026 ANNUAL GENERAL MEETING (continued)

16) **SPECIAL RESOLUTION 8: Amendment of Article 102 — Directors' powers and brand protection**

To consider and, if thought fit, to pass the following resolution as a special resolution:

Article 102 is deleted in its entirety and replaced with the following:

"The business of the Company shall be managed by the Directors who may pay all expenses incurred in promoting the Company, and may exercise all such powers of the Company as are not, by the Act or by these Articles, required to be exercised by the Company in general meeting and the exercise of the said powers shall be subject also to the control and regulation of any general meeting of the Company, but no resolution of the Company in general meeting shall invalidate any prior act of the Directors which would have been valid if such resolution had not been passed. Notwithstanding anything to the contrary contained in these Articles, any resolution relating to (i) any material change of the Company's brand shall not be deemed to have been passed unless at least seventy-five percent (75%) of the Directors vote in favour of the resolution and the consent of the Government of Kenya has been obtained and (ii) the expansion of the business of the Company into new territories outside of Kenya and Ethiopia shall not be deemed to have been passed unless the consent of the Government of Kenya has been obtained.";

17) **SPECIAL RESOLUTION 9: Amendment of Article 103 — Appointment of the Chief Executive Officer**

To consider and, if thought fit, to pass the following resolution as a special resolution:

Article 103 is amended to read as follows:

"The Directors may subject to the provisions of Article 102 from time to time appoint a Chief Executive Officer as an executive director of the Company, from a list of nominees provided by VKL (for as long as VKL holds more than 50% of the nominal value of the issued and fully paid share capital of the Company excluding any shares hereafter issued pursuant to any share issuance to Article 13(c), for such period and on such terms and with such powers, and at such remuneration (whether by way of salary, or commission, or participation in profits, or partly in one way, and partly in another), as they may think fit and, subject to the terms of any agreement entered into in any particular case, may revoke any such appointment. Without prejudice to any right to treat such determination as a breach of any such agreement as aforesaid the appointment of such a Director to office as aforesaid shall be subject to determination ipso facto if he ceases from any cause to be a Director, or if the Company in general meeting resolves that his tenure of the office of Chief Executive Officer be determined. The Directors shall encourage the retention of a predominantly Kenyan character in the Senior Management and Executive Committee of the Company.";

18) **SPECIAL RESOLUTION 10: Insertion of new Article 116A — Board deadlock resolution**

To consider and, if thought fit, to pass the following resolution as a special resolution:

A new Article 116A is inserted as follows:

"At all meetings of the Board, each Director shall have one vote provided that, in the event of any deadlock of the Board, the deadlocked matter must be considered again at the earlier of either the next scheduled meeting or a special meeting of the Board convened for the purpose of considering such deadlocked matter again (as may be convened by any director). In the event that, after the Board considering the deadlocked matter again, the matter remains deadlocked, the decision of the Board in respect of that deadlocked matter shall be the decision that was approved by the majority of the Directors appointed in terms of article 89(b) and 89(c) that voted on such deadlocked matter (on the second round of consideration). The Board and Company shall be bound by the decision of such majority.";

19) **SPECIAL RESOLUTION 11: Amendment of Article 117 — Board quorum**

To consider and, if thought fit, to pass the following resolution as a special resolution:

Article 117 is amended to read as follows:

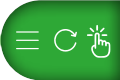
"The quorum necessary for the transaction of the business of the Directors shall be a majority in number of the Directors for the time present either personally or by Alternate.";

20) **SPECIAL RESOLUTION 12: Amendment of Article 124 — Written resolutions of directors**

To consider and, if thought fit, to pass the following resolution as a special resolution:

Article 124 is amended to read as follows:

"Subject to the provisions of Article 102, a resolution in writing signed or approved by way of electronic means or communication by a majority of the Directors or of all the Members of a committee, shall be as valid and effectual as if it had been passed at a meeting of the Directors or of the committee (as the case may be) duly convened and held. Such resolution may be contained in one document or in several documents in like form each signed or approved by all the Directors or all the Members of the committee concerned.";



NOTICE AND AGENDA OF THE 2026 ANNUAL GENERAL MEETING (continued)

21) **SPECIAL RESOLUTION 13: Amendment of Article 131 — Dividend policy compliance**

To consider and, if thought fit, to pass the following resolution as a special resolution:

Article 131 is amended to read as follows:

"The Directors may from time to time pay to the Members such interim dividends (including therein the fixed dividends payable upon any preference or other shares at stated times) as appear to the Directors to be justified by the profits of the Company, provided that, notwithstanding article 134, the Directors shall be obliged at all times, including in their recommendation to the Company in general meeting as contemplated in Article 130, to comply with the dividend policy approved by the Directors, unless otherwise approved by the Company in general meeting."; and

22) **SPECIAL RESOLUTION 14: Amendment of Article 134 — Directors' reserves subject to dividend policy**

To consider and, if thought fit, to pass the following resolution as a special resolution:

Article 134 is amended to read as follows:

"The Directors may, before recommending any dividend and subject to article 131, set aside out of the profits of the Company such sums as they think proper as a reserve or reserves which shall, at the discretion of the Directors, be applicable for any purpose to which the profits of the Company may be properly applied, and pending such application may, at the like discretion, either be employed in the business of the Company or be invested in such investments (other than shares of the Company) as the Directors may from time to time think fit. The Directors may also without placing the same to reserve carry forward any profits which they may think prudent not to divide."

23) **AND THAT**, the Directors and the Company Secretary be and are hereby authorised to take all necessary actions, make all required statutory and regulatory filings, and do all such acts as may be necessary or desirable to give effect to these resolutions

24) Any other business of which due notice has been given.

Notes on special business

1. **Special resolutions.** Each resolution above is proposed as a special resolution and will be passed only if approved by not less than 75% of the votes cast by members entitled to vote at the meeting, in person or by proxy. Voting on the special resolutions will be by poll.
2. **Requisition.** The special resolutions have been proposed by VKL, a member of the Company, by a requisition under section 312 of the Companies Act received by the Company on 6 July 2026. The Company is required under section 313 of the Companies Act to give members notice of the requisitioned resolutions and does so by this Notice.
3. **No Board recommendation.** The Board of Directors makes no recommendation on any of the special resolutions and makes no representation that any of them complies with the Companies Act, the Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015, or the Listing Rules. The Board's Explanatory Memorandum accompanies this Notice.
4. **Full text and inspection.** The full text of the special resolutions is set out above. A marked-up copy of the affected Articles is available on the Company's website at <https://www.safaricom.co.ke>.

By order of the Board

Ms Linda Mesa Wambani
Company Secretary

Date: 8 July 2026

NOTICE AND AGENDA OF THE 2026 ANNUAL GENERAL MEETING (continued)

Notes on the Annual General Meeting (AGM)

1) Revised Articles of Association of the Company

The revised Articles of Association of the Company along with the table of changes are available on the Company's website <https://www.safaricom.co.ke>

2) Safaricom PLC has convened and is conducting this virtual annual general meeting in line with the provisions of the Company's Articles of Association.

- a) Shareholders wishing to participate in the meeting should register for the AGM by doing the following: Dialling ***717#** for Safaricom telephone networks, ***483*904#** for all Kenyan telephone networks, ***801*300#** for Rwanda networks, ***284*766#** for Uganda networks, ***120*2477*10#** for South Africa networks, ***149*46*8#** for Tanzania networks, ***384*1#** for Zambia networks. Send an email request to be registered to safaricomshares@image.co.ke

- b) Shareholders with email addresses will receive a registration link via email through which they can use to register.

To complete the registration process, shareholders will need to have their ID/Passport Numbers which were used to purchase their shares and/or their CDSC Account Number at hand. For assistance shareholders should dial the following helpline number: (+254709170000 /+254730121100) from 9:00 a.m. to 3:00 p.m. from Monday to Friday. Any shareholder outside Kenya should dial the helpline number to be assisted to register.

3) Registration for the AGM opens on Wednesday 8 July 2026 at 9:00 am and will close on Wednesday 29 July 2026 at 11:00 am.

4) In accordance with Section 283 (2) (c) of the Companies Act, the following documents may be viewed on the Company's website www.safaricom.co.ke

- a) A copy of this Notice and the proxy form.
- b) The Company's audited financial statements for the year ended 31 March 2026.

The reports may also be accessed upon request by dialling the USSD code above and selecting the Reports option. The reports and agenda can also be accessed on the livestream link.

5) Shareholders wishing to raise any questions or clarifications regarding the AGM may do so by:

- a) Sending their written questions by email to agmquestions@image.co.ke; or
- b) Shareholders who have registered to participate in the meeting shall be able to ask questions via SMS by dialling the USSD code above and selecting the option (ask Question) on the prompts or dial in and ask questions during the AGM by choosing the option (Request to Speak); or
- c) To the extent possible, physically delivering their written questions with a return physical address or email address to the registered office of the Company at Safaricom House, or to Image Registrars offices at 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street; or
- d) Sending their written questions with a return physical address or email address by registered post to the Company Registrars address: Image Registrars, P O Box 9287, 00100 Nairobi.

Shareholders must provide full details (full names, ID/Passport Number/CDSC Account Number) when submitting their questions and clarifications.

Questions and/or clarifications must reach the Company on or before Wednesday 29 July 2026 at 11:00 am. Some questions will also be answered at the Annual General Meeting.

Following receipt of the questions and clarifications, the directors of the Company shall provide written responses to the questions received at the return physical address or email address provided by the Shareholder no later than 12 hours before the start of the general meeting. A full list of all questions received, and the answers thereto will be published on the Company's website not later than 24 hours following the conclusion of the Annual General Meeting.



NOTICE AND AGENDA OF THE 2026 ANNUAL GENERAL MEETING (continued)

- 6) In accordance with Section 298(1) of the Companies Act, shareholders entitled to attend and vote at the AGM are entitled to appoint a proxy to vote on their behalf.

A proxy need not be a member of the Company. If the Proxy appointed is not the Chairman of the AGM, the appointed proxy will need access to a mobile telephone.

A proxy form is available on the Company's website via this link: www.safaricom.co.ke. Physical copies of the proxy form are also available at Safaricom House, Waiyaki Way, Westlands, Nairobi, or from any of the Safaricom Shops countrywide or from Image Registrars Limited offices, 5th Floor Absa Towers (formerly Barclays Plaza), Loita Street.

A proxy must be signed by the appointor or his attorney duly authorised in writing. If the appointer is a body corporate, the instrument appointing the proxy shall be given under its common seal or under the hand of an officer or duly authorised attorney of such body corporate.

A completed form of proxy should be emailed to safaricomshares@image.co.ke or delivered to Image Registrars Limited, 5th Floor Absa Towers (formerly Barclays Plaza), Loita Street, P.O. Box 9287 – 00100 GPO, Nairobi, to be received not later than 48 hours before the time of holding the meeting i.e. Wednesday 29 July 2026 at 11:00 a.m. Any person appointed as a proxy should submit his/her mobile telephone number to the Company no later than Wednesday 29 July 2026 at 11:00 a.m. Any proxy registration that is rejected will be communicated to the shareholder concerned no later than Thursday 30 July 2026 to allow time to address any issues.

- 7) The AGM will be streamed live via a link which shall be provided to all shareholders who will have registered to participate in the general meeting. Duly registered shareholders and proxies will receive a short message service (SMS) prompt on their registered mobile numbers and/or email, 24 hours prior to the AGM acting as a reminder of the AGM and providing a link to the live stream. A second SMS/email prompt shall be sent one hour ahead of the AGM, reminding duly registered shareholders and proxies that the AGM will begin in an hour's time and provide a link to the live stream.
- 8) Duly registered shareholders and proxies may follow the proceedings of the AGM using the live stream platform and may access the agenda and the Company's audited financial statements for the year ended 31 March 2026. Duly registered shareholders and proxies may vote (when prompted by the Chairman) either via the USSD platform or on the livestream page by clicking on the Resolutions tab.
- 9) A poll shall be conducted for all the resolutions put forward in the notice.
- 10) Results of the poll shall be published within 48 hours following conclusion of the AGM, in two newspapers of national circulation and on the Company's website.
- 11) The preferred method of paying dividends which are below KShs 250,000/- is through M-PESA. Shareholders who wish to receive their dividend through M-PESA and who have not registered for this mode of payment can opt to receive future dividends via M-PESA when registering for the AGM via the USSD or contact Image Registrars Tel: +254709170000/+254730121100, Email: safaricomshares@image.co.ke or Safaricom PLC's Investor Relations Team Email: investorrelations@safaricom.co.ke.
- 12) Shareholders are encouraged to continuously monitor the Company's website www.safaricom.co.ke for updates relating to the AGM.

Shareholders are encouraged to update their contact information, and dividend payment details to switch to receiving payments via either M-PESA or through bank transfers. To do this, shareholders can update their information online via <https://contactsir.azurewebsites.net/>

PROXY FORM

I/We _____

Share A/c No _____

of (address) _____

Being a member(s) of Safaricom PLC, hereby appoint:

of Mobile No./Email _____

Or failing him/her, the duly appointed Chairman of the Meeting, to be my/our proxy, to vote for me/us and on my/our behalf at the Annual General Meeting of the Company, to be held on Friday, 31st July 2026 at 11:00 a.m. and at any adjournment thereof.

As witness I/We lay my/our hand(s) this _____ day of _____ 2026.

Signature _____

Signature _____

Please clearly mark the box below to instruct your proxy how to vote

RESOLUTION	FOR	AGAINST	ABSTAIN
1) To receive, consider and adopt the audited Financial Statements for the year ended 31 March 2026 together with the Chairman's, Directors' and Auditors' Reports thereon.			
2) Dividend a) To note the payment of an interim dividend of KShs 0.85 per share which was paid to shareholders on or about 31 March 2026 and approve a final dividend of KShs 1.15 per share for the Financial Year 31 March 2026 as recommended by the Directors. b) The dividend will be payable on or about 04 September 2026 to the Shareholders on the Register of Members as at the close of business on 04 August 2026.			
3) To re-appoint Mr. Edward Okaro who retires at this meeting in accordance with the provisions of Articles 90 and 91 of the Company's Articles of Association, and being eligible, offers himself for re-election.			
4) In accordance with the provisions of Section 769 of the Companies Act, Cap 486, the following Directors, being members of the Board Audit Committee, be elected to continue to serve as members of the said Committee subject to the re-election of the Director mentioned in Agenda 3 above: a) Mr. Edward Okaro b) Ms. Raisibe Morathi c) Mr. Lawrence Kibet (EBS) d) Ms. Rita Kavashe			
5) a) To approve the Directors' Remuneration Policy contained in the Directors' Remuneration Report for the year ended 31 March 2026. b) To approve the Directors' Remuneration Report (other than the part relating to the Directors' Remuneration Policy) and the remuneration paid to the Directors, for the year ended 31 March 2026.			
6) To re-appoint Messrs. Ernst & Young as Auditors of the Company, having served as the Company's External Auditors since 2020 in accordance with the provisions of Section 721 (2) of the Companies Act, Cap 486 and to authorise the Directors to fix their remuneration for the ensuing financial year in accordance with the provisions of Section 724 (1) of the Companies Act, Cap 486.			

PROXY FORM (continued)

SPECIAL BUSINESS		FOR	AGAINST	ABSTAIN
7)	To consider, and if thought fit pass, the following special resolutions, which have been proposed by Vodafone Kenya Limited ("VKL") as a member of the Company by requisition under section 312 of the Companies Act. Each resolution is proposed as a special resolution and, in accordance with section 257(6) of the Companies Act, the full text of each resolution and the intention to propose it as a special resolution are set out below.			
8)	SPECIAL RESOLUTION 1: Amendment of Article 1 — Deletion of definition of "PST" and introduction of "CST" To consider and, if thought fit, to pass the following resolution as a special resolution: The definition of "PST" at Article 1 is deleted in its entirety and replaced with the following: "CST: The Cabinet Secretary to the Treasury or anybody corporate empowered to hold assets on behalf of the Government of Kenya or any Company in which the Government of Kenya legally and beneficially owns 100% of the shares";			
9)	SPECIAL RESOLUTION 2: Amendment of Article 1 — Definition of "VKL" To consider and, if thought fit, to pass the following resolution as a special resolution: The definition of "VKL" at Article 1 is amended to read as follows: "Vodafone Kenya Limited its subsidiary or its holding Company or any subsidiary of such holding Company from time to time (but excluding the Company) which definition shall attach to the legal entity incorporated in Kenya under certificate of incorporation number C.79550 notwithstanding that VKL may change its name from time to time.";			
10)	SPECIAL RESOLUTION 3: Amendment of Article 62 — Power to convene an extraordinary general meeting To consider and, if thought fit, to pass the following resolution as a special resolution: Article 62 is amended to read as follows: "The Directors may, whenever they think fit, convene an extraordinary general meeting, and extraordinary general meetings shall also be convened on such requisition, or, in default, may be convened by such requisitionists, as provided by Section 132 of the Act. If at any time there are not sufficient Directors capable of acting to form a quorum, any two Directors, any Director appointed by VKL in accordance with Article 89(b) any Director appointed by CST in accordance with Article 89(c) or any ten Members of the Company may convene an extraordinary general meeting in the same manner as nearly as possible as that in which meetings may be convened by the Directors.";			
11)	SPECIAL RESOLUTION 4: Amendment of Article 89(a) — Board composition To consider and, if thought fit, to pass the following resolution as a special resolution: Article 89(a) is amended to read as follows: "(a) Unless and until otherwise from time to time determined by a special resolution of the Company, the number of Directors (excluding alternates) shall not be less than seven (7) and shall include Independent non-executive Directors a majority of who shall be of Kenyan citizenship.";			
12)	SPECIAL RESOLUTION 5: Amendment of Article 89(b) — VKL director appointment rights To consider and, if thought fit, to pass the following resolution as a special resolution: Article 89(b) is amended to read as follows: "So long as VKL holds ten percent 10% or more of the nominal value of the issued as fully paid share capital of the Company excluding any shares hereafter issued pursuant to any share issuance to Article 13(c), VKL shall have the right to appoint, remove or replace one Director as its nominee in respect of each and every complete (10%) held by VKL of the issued and fully paid share capital of the Company excluding any shares hereafter issued pursuant to any share issuance to Article 13(c). All appointments, removals or replacements of Directors in respect hereof shall be by notice in writing served upon the Company Secretary.";			

PROXY FORM (continued)

SPECIAL BUSINESS		FOR	AGAINST	ABSTAIN
13)	SPECIAL RESOLUTION 6: Amendment of Article 89(c) — CST director appointment rights To consider and, if thought fit, to pass the following resolution as a special resolution: Article 89(c) is amended to read as follows: “So long as CST holds ten percent (10%) or more of the nominal value of the issued and fully paid share capital of the Company, excluding any shares hereafter issued pursuant to any issuance of shares pursuant to Article 13(c), CST shall have the right to appoint, remove or replace one Director as their nominee in respect of each and every complete ten percent (10%) (based on its shareholding in the Company as rounded up to two decimal places) held by CST of the issued and fully paid share capital of the Company excluding any shares hereafter issued pursuant to Article 13(c). All appointments, removals or replacements of Directors in respect hereof shall be by notice in writing served upon the Company Secretary.”;			
14)	SPECIAL RESOLUTION 7: Amendment of Article 97 and insertion of new Article 97A — Alternate director to the CEO To consider and, if thought fit, to pass the following resolution as a special resolution: Article 97 is amended to read as follows, and a new Article 97A is inserted as follows: Article 97: “Subject to Article 97A, any Director may appoint another Director or any person (provided that with the exception of the alternates of any Directors nominated in accordance with Article 89(b) and 89(c) any such person has received the approval of the Board) to be his Alternate to act in his place at any meetings of the Board at which he is unable to be present. Such appointee shall be entitled, in the absence of his appointer, to exercise all the rights and powers of a Director and to attend and vote at meetings of the Board at which his appointor is not personally present and, where he is a Director, to have a separate vote on behalf of his appointor in addition to his own vote. Subject to Article 97A, a director may, at any time, revoke the appointment of an Alternate appointed by him. The remuneration of an Alternate shall be payable out of the remuneration if any of his appointor and shall be such proportion thereof as shall be agreed between them.”;			
15)	New Article 97A: “For as long as VKL holds more than 50% of the nominal value of the issued and fully paid share capital of the Company excluding any shares hereafter issued pursuant to any share issuance in terms of Article 13(c), the Chief Financial Officer of the Company from time to time shall be the alternate director to the Chief Executive Officer”;			
16)	SPECIAL RESOLUTION 8: Amendment of Article 102 — Directors’ powers and brand protection To consider and, if thought fit, to pass the following resolution as a special resolution: Article 102 is deleted in its entirety and replaced with the following: “The business of the Company shall be managed by the Directors who may pay all expenses incurred in promoting the Company, and may exercise all such powers of the Company as are not, by the Act or by these Articles, required to be exercised by the Company in general meeting and the exercise of the said powers shall be subject also to the control and regulation of any general meeting of the Company, but no resolution of the Company in general meeting shall invalidate any prior act of the Directors which would have been valid if such resolution had not been passed. Notwithstanding anything to the contrary contained in these Articles, any resolution relating to (i) any material change of the Company’s brand shall not be deemed to have been passed unless at least seventy-five percent (75%) of the Directors vote in favour of the resolution and the consent of the Government of Kenya has been obtained and (ii) the expansion of the business of the Company into new territories outside of Kenya and Ethiopia shall not be deemed to have been passed unless the consent of the Government of Kenya has been obtained.”;			

PROXY FORM (continued)

SPECIAL BUSINESS		FOR	AGAINST	ABSTAIN
17)	SPECIAL RESOLUTION 9: Amendment of Article 103 — Appointment of the Chief Executive Officer To consider and, if thought fit, to pass the following resolution as a special resolution: Article 103 is amended to read as follows: “The Directors may subject to the provisions of Article 102 from time to time appoint a Chief Executive Officer as an executive director of the Company, from a list of nominees provided by VKL (for as long as VKL holds more than 50% of the nominal value of the issued and fully paid share capital of the Company excluding any shares hereafter issued pursuant to any share issuance to Article 13(c)), for such period and on such terms and with such powers, and at such remuneration (whether by way of salary, or commission, or participation in profits, or partly in one way, and partly in another), as they may think fit and, subject to the terms of any agreement entered into in any particular case, may revoke any such appointment. Without prejudice to any right to treat such determination as a breach of any such agreement as aforesaid the appointment of such a Director to office as aforesaid shall be subject to determination ipso facto if he ceases from any cause to be a Director, or if the Company in general meeting resolves that his tenure of the office of Chief Executive Officer be determined. The Directors shall encourage the retention of a predominantly Kenyan character in the Senior Management and Executive Committee of the Company.”;			
18)	SPECIAL RESOLUTION 10: Insertion of new Article 116A — Board deadlock resolution To consider and, if thought fit, to pass the following resolution as a special resolution: A new Article 116A is inserted as follows: “At all meetings of the Board, each Director shall have one vote provided that, in the event of any deadlock of the Board, the deadlocked matter must be considered again at the earlier of either the next scheduled meeting or a special meeting of the Board convened for the purpose of considering such deadlocked matter again (as may be convened by any director). In the event that, after the Board considering the deadlocked matter again, the matter remains deadlocked, the decision of the Board in respect of that deadlocked matter shall be the decision that was approved by the majority of the Directors appointed in terms of article 89(b) and 89(c) that voted on such deadlocked matter (on the second round of consideration). The Board and Company shall be bound by the decision of such majority.”;			
19)	SPECIAL RESOLUTION 11: Amendment of Article 117 — Board quorum To consider and, if thought fit, to pass the following resolution as a special resolution: Article 117 is amended to read as follows: “The quorum necessary for the transaction of the business of the Directors shall be a majority in number of the Directors for the time present either personally or by Alternate.”;			

PROXY FORM (continued)

SPECIAL BUSINESS		FOR	AGAINST	ABSTAIN
20)	SPECIAL RESOLUTION 12: Amendment of Article 124 — Written resolutions of directors To consider and, if thought fit, to pass the following resolution as a special resolution: Article 124 is amended to read as follows: “Subject to the provisions of Article 102, a resolution in writing signed or approved by way of electronic means or communication by a majority of the Directors or of all the Members of a committee, shall be as valid and effectual as if it had been passed at a meeting of the Directors or of the committee (as the case may be) duly convened and held. Such resolution may be contained in one document or in several documents in like form each signed or approved by all the Directors or all the Members of the committee concerned.”;			
21)	SPECIAL RESOLUTION 13: Amendment of Article 131 — Dividend policy compliance To consider and, if thought fit, to pass the following resolution as a special resolution: Article 131 is amended to read as follows: “The Directors may from time to time pay to the Members such interim dividends (including therein the fixed dividends payable upon any preference or other shares at stated times) as appear to the Directors to be justified by the profits of the Company, provided that, notwithstanding article 134, the Directors shall be obliged at all times, including in their recommendation to the Company in general meeting as contemplated in Article 130, to comply with the dividend policy approved by the Directors, unless otherwise approved by the Company in general meeting.”;			
22)	SPECIAL RESOLUTION 14: Amendment of Article 134 — Directors’ reserves subject to dividend policy To consider and, if thought fit, to pass the following resolution as a special resolution: Article 134 is amended to read as follows: “The Directors may, before recommending any dividend and subject to article 131, set aside out of the profits of the Company such sums as they think proper as a reserve or reserves which shall, at the discretion of the Directors, be applicable for any purpose to which the profits of the Company may be properly applied, and pending such application may, at the like discretion, either be employed in the business of the Company or be invested in such investments (other than shares of the Company) as the Directors may from time to time think fit. The Directors may also without placing the same to reserve carry forward any profits which they may think prudent not to divide.”			
23)	The Directors and the Company Secretary be and are hereby authorised to take all necessary actions, make all required statutory and regulatory filings, and do all such acts as may be necessary or desirable to give effect to these resolutions.			
24)	Any other business of which due notice has been given.			

ELECTRONIC COMMUNICATIONS CONSENT FORM

Please complete in BLOCK CAPITALS

Full name of Proxy(s): _____

Address: _____

Mobile Number: _____

Date: _____

Signature: _____

Please tick **ONE** of the boxes below and return to Image Registrars at P.O. Box 9287- 00100 Nairobi, 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street:

Approval of Registration

I/WE approve to register to participate in the virtual Annual General Meeting to be held on Friday, 31st July 2026.

☐

Consent for use of the Mobile Number provided

I/WE would give my/our consent for the use of the mobile number provided for purposes of voting at the AGM.

☐

NOTES:

- 1) If a member is unable to attend personally, this Proxy Form should be completed, signed and delivered (together with a power of attorney or other authority (if any) under which it is assigned or a notarised certified copy of such power or authority) to reach the Company's share registrar, Image Registrars Limited, 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street, P.O. Box 9287, GPO 00100, Nairobi, or via email to safaricomshares@image.co.ke to arrive not later than 11:00 a.m. on Wednesday 29 July, 2026 i.e. 48 hours before the meeting or any adjournment thereof or, in the case of a poll taken subsequent to the date of the meeting, or any adjourned meeting, not less than 24 hours before the time appointed for the taking of the poll which is taken more than 48 hours after the day of the meeting or adjourned meeting.
- 2) In case of a member being a corporate body, the Proxy Form must be under its common seal or under the hand of an officer or duly authorised attorney of such body corporate.
- 3) As a shareholder you are entitled to appoint one or more proxies to exercise all or any of your shareholder rights to attend and to speak and vote on your behalf at the meeting. The appointment of the Chairman of the meeting as proxy has been included for convenience. To appoint as a proxy any other person, delete the words "the Chairman of the Meeting or" and insert the full name of your proxy in the space provided. A proxy need not to be a shareholder of the Company.
- 4) Completion and submission of the form of proxy will not prevent you from attending the meeting and voting at the meeting in person, in which case any votes cast by your proxy will be excluded.
- 5) In the case of a company being a shareholder then this proxy form must be executed under its common seal or signed on its behalf by an officer of that company or an authorised attorney for that company.
- 6) A vote "abstain" option has been included on the form of proxy. The legal effect of choosing this option on any resolution is that you will be treated as not having voted on the relevant resolution. The number of votes in respect of which votes are withheld will, however, be counted and recorded, but disregarded in calculating the number of votes for or against each resolution.

GLOSSARY

AGM	Annual General Meeting
AI	artificial intelligence
AML	Anti-Money Laundering
ARO	asset retirement obligation
ARPU	average revenue per user
AUM	assets under management
BOSA	back-office savings and accounting
BRESG	Board Risk and ESG Committee
CEO	Chief Executive Officer
CFIO	Chief Finance and Innovation Officer
CFT	Combating the Financing of Terrorism
CG Code	Capital Markets Authority (CMA) Code of Corporate Governance Practices for Issuers of Securities to the Public 2015
CMA	Capital Markets Authority
CoE	Centre of Excellence
CPI	consumer price index
CRO	Chief Risk Officer
CS	Cabinet Secretary
CVM	customer value management
CWIP	capital work in progress
DMTN	Domestic Medium-Term Note
DoA	Delegation of Authority
EADAK	East Africa Device Assembly Kenya
EBIT	Earnings Before Interest Tax
EBITDA	Earnings Before Interest, Tax, Depreciation and Amortisation
ECA	Ethiopian Communications Authority
ECL	expected credit losses
ED	Executive Director
EIR	effective interest rate
EPS	earnings per share
EPSAP	Employee Performance Share Award Plan
ERM	Enterprise Risk Management
ESG	environmental, social, and governance
ESX	Ethiopian Securities Exchange
ETB	Ethiopian birr
EVP	Employee Value Proposition
FATF	Financial Action Task Force
FTTB	Fibre to the Building
FTTH	Fibre to the Home
FWA	Fixed Wireless Access
FX	foreign exchange
GDP	Gross Domestic Product
GPE	Global Partnership for Ethiopia
HR	Human Resources
ICT	Information and Communication Technology
IESBA	International Ethics Standards Board for Accountants

GLOSSARY (continued)

IFRS	IFRS® Accounting Standards
IMF	International Monetary Fund
IMT	international money transfers
INED	Independent Non-Executive Directors
IoT	Internet of Things
IPO	initial public offering
IRM	Integrated Risk Management
IRU	indefeasible rights of use
ISA	International Standards on Auditing
JV	joint venture
KES	Kenyan shilling
KPI	key performance indicators
KRA	Kenya Revenue Authority
KRI	key risk indicators
KYC	know your client
MTR	mobile termination rate
NCI	non-controlling interest
NED	Non-Executive Directors
NPS	net promoter score
NSE	Nairobi Securities Exchange
NYOTA	National Youth Opportunities Towards Advancement
OCI	other comprehensive income
OSH	Occupational Safety and Health
PV	photovoltaic
PwD	Persons with Disabilities
RISO	Reference Infrastructure Sharing Offer
RMC	Risk Management Committee
ROU	right of use
SACCO	Savings and Credit Cooperative Organisations
SIM	subscriber identity module
SLA	Service Level Agreement
SME	small- and medium-sized enterprises
SMS	Short Message Service
SOC	Security Operations Centre
SOCI	statement of profit or loss and other comprehensive income
STE	Safaricom Telecommunications Ethiopia
TEAMS	The East African Marine System
TVET	technical and vocational education and training
UHC	Universal Health Coverage
UN SDG	United Nations Sustainable Development Goals
USF	Universal Service Fund
VASP	virtual asset service providers
VAT	Value Added Tax

CORPORATE INFORMATION

Registered office and principal place of business

L.R. No. 209/15029
Safaricom House, Waiyaki Way
P.O. Box 66827-00800
Nairobi, Kenya

Principal bankers

Citibank NA
Citibank House,
P.O. Box 30711 – 00100
Upper Hill Road
GPO Nairobi, Kenya

Standard Chartered Bank Kenya Limited
Standard Chartered Building
P.O. Box 30003 – 00100
Westlands Road, Chiromo Lane
Westlands
Nairobi, Kenya

Registrars

Image Registrars Limited
5th Floor, Absa Plaza, Loita Street
P.O. Box 928-00100, Nairobi
Telephone: +254 709 170 000
Email: info@image.co.ke
Website: www.image.co.ke

Company Secretary

Linda Mesa Wambani
L.R. No. 209/15029
Safaricom House, Waiyaki Way
P.O. Box 66827 – 00800
Nairobi, Kenya

Independent Auditor

Ernst & Young LLP
Kenya Re Towers, Upper Hill
P.O. Box 44286-00100
Nairobi, Kenya

Investor Relations

Safaricom House, Waiyaki Way, Westlands
P.O. Box 66827-00800, Nairobi
Telephone: +254 722 00 6218/4233/4746
Email: investorrelations@safaricom.co.ke
Website: www.safaricom.co.ke/investor-relations





 **Safaricom**

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